



years of

engineering excellence



इंजीनियर्स
इंडिया लिमिटेड  ENGINEERS
INDIA LIMITED

Delivering Excellence through People

ENGINEERING EXCELLENCE

*A journey that began almost
half a century ago...*

VISION

To be a world-class globally competitive EPC and total solutions Consultancy Organization.

MISSION

- Achieve 'Customer Delight' through innovative, cost effective and value added consulting and EPC services.
- To maximize creation of wealth, value and satisfaction for stakeholders with high standards of business ethics and aligned with national policies.

CORE VALUES

- Benchmark to learn from superior role models.
- Nurture the essence of Customer Relationship and Bonding.
- Foster Innovation with emphasis on value addition.
- Integrity and Trust as fundamental to functioning.
- Thrive upon constant Knowledge updation as a Learning organisation.
- Passion in pursuit of excellence.
- Quality as a way of life.
- Collaboration in synergy through cross-functional Team efforts.
- Sense of ownership in what we do.

RISK MANAGEMENT POLICY

EIL is committed to effective management of risks across the organization by aligning its risk management strategy to its business objectives through instituting a risk management structure for timely identification, assessment, mitigating, monitoring and reporting of risks.

Risk management at EIL is the responsibility of every employee both individually as well as collectively.





Engineers India Limited

A Total Solutions Consultancy Company providing services from Concept to Commissioning.

At a glance

- One of India's leading Consultancy and EPC Companies in Hydrocarbons and Petrochemicals.
- Diversification into other potential sectors:
 - 1972 : Mining & Non-Ferrous Metallurgy
 - 2001 : Infrastructure
 - 2006 : Strategic Crude Oil Storages
 - 2011 : Solar & Nuclear Power
 - 2012 : Oil & Gas Exploration (NELP-IX)
- Technology driven organization with in-house and collaborative R&D strengths.
- International projects in Middle East, North Africa and South East Asia.
- Zero debt firm with consistent record of healthy earnings and dividend payout.



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Chairman's Statement

A. K. PURWAHA
Chairman & Managing Director

Dear Shareholders,

It gives me immense pleasure to report your Company's performance for the 48th year of its service to the nation.

During the financial year 2012-13, your Company has registered a turnover of ₹2506 Crores. The revenue from consultancy business increased year-on-year to ₹1234 Crores which was driven by a 35% increase in overseas consultancy income from ₹116 Crores to ₹157 Crores. Profit after Tax during the year was ₹629 Crores.

Your Company's MOU performance, for the sixth consecutive year, has been rated "Excellent" with a score of 1.08 which has improved over the previous year's score.

On the business front, your Company secured new business of ₹1438 Crores in FY2012-13 which is 89% more than that secured in the previous year with consultancy segment registering a substantial growth of 106% from ₹629 Crores in FY2011-12 to ₹1296 Crores in FY2012-13.

Hydrocarbon sector continued to be the mainstay of your Company's business having contributed most to the new orders secured followed by Chemicals & Fertilizers sector.

The major consulting orders in the downstream sector secured by your Company during the financial year include Integrated Refinery Expansion Project of BPCL at Kochi. Your Company has been entrusted with various pre-project activities for Greenfield and Brownfield projects including 9 MMTPA Refinery & Petrochemical Complex of HPCL in Rajasthan and Mangala Polymer Project of CAIRN.

In the midstream segment of hydrocarbon value chain, your Company has secured major consultancy services projects for upgradation of Pump Stations/Terminals of OIL's Naharkatiya-Barauni Crude Oil Pipeline and GILL's Mallavaram – Bhilwara – Vijaiapur Pipeline.

Your Company's efforts to venture into LNG Sector resulted in the award of FEED packages by Petronet LNG for its new LNG Terminal at Gangavaram & Expansion Project of Dahej LNG Terminal and LNG Tank Capacity Expansion Project Phase-II of Shell's Hazira Terminal.

Your Company has also strengthened its presence in the Infrastructure sector by winning new orders for PMC services for canal/pipeline projects from Sardar Sarovar Narmada Nigam Limited (SSNNL), Development of Central University of Punjab at Bathinda and Preparation of Detailed Feasibility Report for MoEF clearance of Bangalore International Airport Expansion Project of AAI.

During FY2012-13, your Company has strengthened its international footprints by securing breakthrough business in new geographies like Bangladesh where the Company has secured a job to provide Consultancy Services for implementation of Shahjalal Fertilizer Project, in Indonesia where the Company has been awarded the job of preparation of BDEP and EPCM Services for Bitumen Plant at Buton Island and in Nigeria where your Company will provide its services for development of facility to produce Fertilizer products in Port Harcourt, River State.

The current growth phase of Indian process industry led by hydrocarbon sector has resulted in transformation of our country from net importer to net exporter of petroleum products. This has largely been due to the rapid growth of refining sector resulting in augmentation of Indian refining capacity to 215 MMTPA thanks to the capacity expansion and construction of major grassroots refineries. The major project achievements of your Company during the year include the foundation stone laying of Integrated Refinery Expansion Project (IREP) of BPCL's Kochi Refinery on January 8, 2013 by the Hon'ble Prime Minister of India. Your Company is providing EPCM services for the project.

Your Company also completed a number of key projects during the year which include PFCCU & Amine Regeneration Unit of SRU Block of MRPL Phase-III Expansion, Integrated Onshore Gas Processing Unit of ONGC



Hazira and LNG Plant at Skikda of SONATRACH, Algeria wherein your Company provided PMC services.

Your Company, over the years, has concentrated on project execution without time and cost overrun while providing quality services to its clients. In order to explore more effective ways of establishing equilibrium between the Time and Cost variant, your Company has developed an innovative project execution solution through Open Book Estimate (OBE) mode. This mode of project execution brings together the advantages of both conventional and EPC mode resulting in benefits for both the Owners and the Contractors. During the year, project for Butene-1 at Panipat Naptha Cracker Complex of IOCL was secured on OBE mode of execution. Sulphur Recovery Unit and PFCC Unit of MRPL Refinery under its Phase –III Expansion were mechanically completed. Other projects like Onshore Gas Terminal Project at Mallavaram of GSPC and Poly Propylene Unit of MRPL are also being executed on OBE mode.

Your Company recently established a joint venture company, Jabal ELIOT Co Ltd along with Jabal Dhahran and IOTL in Saudi Arabia to explore business opportunities in hydrocarbon and infrastructure sector in KSA. While consolidating its footprints in Middle East, your Company is also undertaking project assignments and spreading its presence in African subcontinent, South East Asia and Latin America.

Empowerment of executives is an imperative for improving the project performance on time and cost matrix. Enhanced delegation of powers has been extended to the executives to enable them take instant decisions related to projects and its effective implementation. This will have direct impact on schedule and profitability of the projects.

The business environment in which we are operating today is dynamic and highly competitive. Quest for higher market share and increased margins have propelled competitors to introduce new and innovative business models thereby creating a business environment where the core competencies are becoming imitable and competitive advantages are short lived. Your Company being a technology driven organization lays great emphasis on developing innovative technologies at its Research & Development Centre (R&D) in Gurgaon and has been successful in commercial application of various process technologies. During FY2012-13, a new Patent for “Process for Purification of Liquid Sulphur” was granted and the Company has applied for a Patent for “Process for an Apparatus and Method of Treatment of a Sour Stream.” The Modified Vis-breaker Technology, jointly developed by EIL and Indian Institute of Petroleum (IIP) was successfully implemented in HPCL Vizag Refinery. Your Company’s portfolio has grown to 13 ‘live’ patents and 17 pending patent applications relating to various process technologies and hardware.

In addition to its R&D efforts, your Company continuously reviews the complete project value chain and identifies, develops and adopts the solutions that add value to the systems and processes. Your Company over the years has focused on continuous up-dation of its systems and processes and aligning them with international standards and best practices.

The environmental technology basket with your Company is quite diverse. In the recent past on standalone basis and along with our collaborating partners, your Company has developed a number of technologies that have improved the environmental performance of various process plants. Some of these technologies include Diesel Hydrotreating Technology which is used to upgrade fuel quality and reduce sulphur in the product; Food grade Hexane for upgrading quality and reduce Benzene content of the product; Sulfur Recovery to recover sulphur and reduce atmospheric emissions; Spent Caustic treatment for reducing water and land pollution and Oily Sludge Treatment Technology to reduce contamination of soil—land and associated environmental degradation.

Your Company is also continuously leveraging the strength of Information Technology for enhancing the efficiency & effectiveness of its systems and processes across its operational functions. The process of implementation of ERP across the Company’s functional areas has been initiated. On procurement front, your Company is amongst first few CPSEs to have implemented e-Tendering

and Reverse Auction process in the country. We have been successfully carrying out e-Tendering and Reverse Auction for projects of various clients, in addition to our in-house jobs.

Your Company has taken a number of initiatives towards achieving improved transparency and fairness in the system including implementation of e-payment and e-receipt, ‘Bill Watch System’ with ‘First-in-First-out’ methodology to enable the vendors/contractors to know the status of their bill/payment, facility for online registration of vendors, online Complaint Handling System etc. These initiatives have paved the way towards realization of operational benefits to the clients and suppliers.

Your Company is committed to aligning its business model with the philosophy of sustainable development. Your Company is focused on meeting the present day needs of a growing energy sector in a way that does not compromise the needs of future generations to meet their own needs. This requires the reconciliation of Social, Economic and Environmental Demands – the Three Pillars of Sustainability. Your Company’s sustainability mandate is not just about giving money to a good cause or complying with environmental regulations but rather about operating its business in a manner that is responsible and transparent to all its stakeholders and the society at large. During the year five sustainable development projects in the areas of biodiversity, energy management and carbon footprints were completed.

Your Company’s CSR program aims to assist socially and economically weaker segments of society, thereby projecting EIL as a socially-responsible corporate to its employees, clients, local communities and other stakeholders. The CSR projects of your Company target various activities in education, healthcare, drinking water and electrification of rural areas through solar power. Your Company also focuses on environmental protection and women empowerment as strategic areas for its sustainable initiatives.

Since Human Resources are the core assets in any consultancy organization, your Company is focused on enhancing the value of its human capital. The focus hinges on two basic rules: the organization designs its value offerings by first analyzing and understanding the needs of its employees and then finding strategically prudent ways to meet those needs. To foster better communication between the company management and the employees, your Company has launched an internal two-way communication tool called EIL Connect that allows employees to give feedback to the management and exchange ideas on an open platform. Towards addressing employee needs and to strategically align them with corporate objectives, your Company took number of initiatives to augment its HR best practices, prominent among them is Assessment & Development Centre (ADC), to facilitate your Company’s ambitious growth strategy by developing leaders on an ongoing basis. In FY2012-13, ADC were conducted for 65 senior executives of the Company. Apart from this, your Company has also focused on training and development initiatives this year with a special emphasis on developing Domain Expertise, Soft-skill competencies and leadership development among many other initiatives.

This year also saw the Company being bestowed with a number of prestigious awards, prominent being Petrotech-2012 Special Technical Awards in Project Management Category for Guru Gobind Singh Refinery (GGSR) Project of HMEL and in Greening of Oil and Gas Business Category for India’s first Indigenous DHD Unit jointly developed with IOCL, PMI Award-2012 for GGSR Project of HMEL, ICC PSE Excellence Award-2012 for R&D, Technology Development & Innovation and Performance Excellence Award for Financial and Operational Strength for the year 2010-11 from Indian Institution of Industrial Engineering.

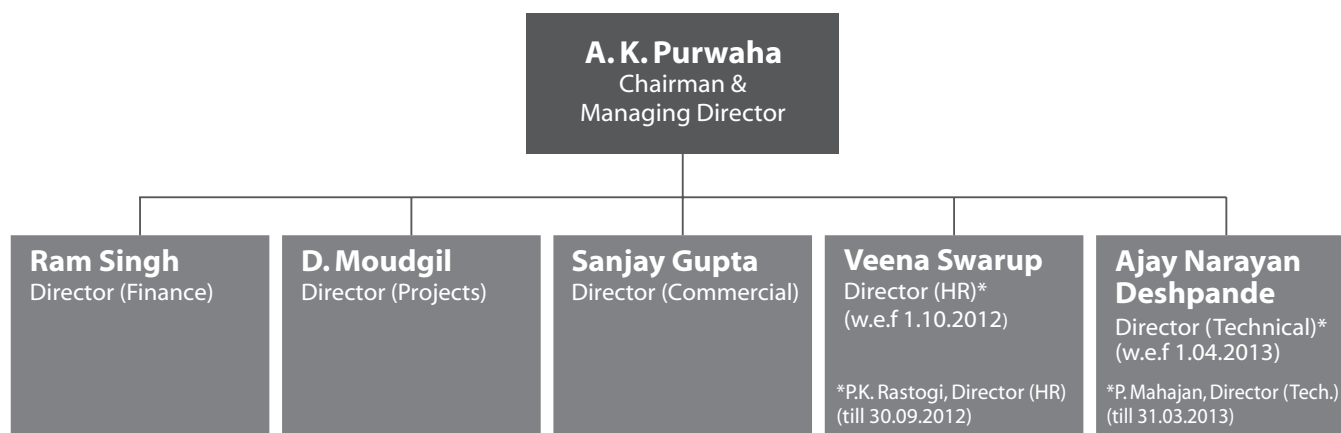
The Company remains committed to good corporate governance and ethical practices as per our listing agreement and Government guidelines.

I thank you for your unflinching faith in the Company’s growth potential and look forward to your feedback and advice. EIL management joins me in wishing you and your families the very best of prosperity and good health.

A.K. Purwaha



Board of Directors



Non-Executive Directors

R. N. Choubey Director (Govt. Nominee) (w.e.f. 10.04.2013)	Dr. Archana S. Mathur Director (Govt. Nominee) (w.e.f. 3.08.2012)	Adit Jain Non-official Independent Director
Dr. (Prof.) K. D. P. Nigam Non-official Independent Director	Bijoy Chatterjee Non-official Independent Director	Dr. R. K. Shevgaonkar Non-official Independent Director
Dr. J. P. Gupta Non-official Independent Director		
L. N. Gupta Director (Govt. Nominee) (till 2.08.2012)	Dependra Pathak Director (Govt. Nominee) (till 2.08.2012)	Sushma Taishete Director (Govt. Nominee) (from 3.08.2012 to 9.04.2013)
U. N. Bose Non-executive Independent Director (till 30.11.2012)	Dr. Avinash Chandra Non-official Independent Director (till 29.01.2013)	A. K. Purwar Non-official Independent Director (till 29.01.2013)

Company Secretary
Rajan Kapur

Brief Profiles

of the Directors

Functional Directors



Mr. A. K. Purwaha is the Chairman and Managing Director of our Company since October 1, 2009 and is responsible for the management of the Company. He has a Bachelor's Degree in Electrical Engineering from Delhi College of Engineering, Delhi University. Mr. Purwaha has more than 36 years of experience in the hydrocarbon sector. He has served Oil & Natural Gas Corporation Limited for more than eight years and GAIL (India) Ltd. for more than 24 years. He has worked on various projects, including cross country pipelines for gas distribution, gas processing and petrochemical plants, operation and maintenance of gas pipeline systems and was on Board of GAIL (India) Ltd. as Director (Business Development) for 3 years. Further, he had also led Mahanagar Gas Limited (a joint venture of GAIL (India) Ltd., BG Group, (U.K.) and the Government of Maharashtra), as its Managing Director for five years.

Mr. Ram Singh is the Director (Finance) of our Company. He has been on the Board since January 28, 2010. He has a Bachelor's Degree in Commerce from Delhi University and is an associate member of the Institute of Cost Accountants of India. He has 32 years of experience in finance and cost accounting in the steel and hydrocarbon sector. His experience includes positions held with the Steel Authority of India Limited, Bharat Petroleum Corporation Limited, Oil Co-ordination Committee and Petroleum Planning and Analysis Cell of the Ministry of Petroleum and Natural Gas. He is currently responsible for the financial management of our Company. He has been associated with various government appointed committees, including Expert Technical Group, Advisory Committee on Synergy in Energy and Committee on Pricing and Taxation of Petroleum Products and the High Powered Committee. Mr. Ram Singh has been conferred with Business Today Best CFO of a PSU (Mid size) Award-2013 and India CFO Award for Excellence in Risk Management by IMA India.



Mr. Deepak Moudgil is the Director (Projects) of our Company. He has a Bachelor's Degree in Civil Engineering from Punjab University. He has been associated with EIL for over 37 years. During his professional career with EIL, he has gained extensive experience holding different positions in various departments of EIL, including construction, administration, marketing and projects. He has also successfully led EIL's diversification into infrastructure sector.

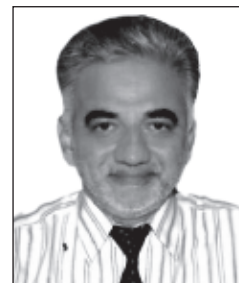
Mr. Sanjay Gupta is the Director (Commercial) of our Company. He has a B.E. from the University of Roorkee. He has about 32 years of experience in implementation of various mega projects including pipelines, refineries and petrochemicals. Some of these projects include the Maharashtra Gas Cracker Complex, Tabriz Petrochemicals, Pata Petrochemicals Phase-1 & Phase-2, Panipat Refinery Phase-1, Phase - 2 & Panipat Naphtha Cracker Complex. He was also entrusted with the task of leading the implementation of the OBE mode of project implementation and pioneered the same with CPCL Euro-IV. He was also singularly responsible for implementation of the LSTK Projects of EIL, under implementation, on the OBE route viz. PFCCU at MRPL. He is primarily responsible for strategizing the EPC and business growth initiatives within the Company.





Ms. Veena Swarup is the Director (HR) of our Company. She holds a Master's Degree in Business Administration from Lucknow University. She has 30 years of experience in the field of human resource in the petroleum and natural gas sector. Prior to joining EIL, Ms. Swarup was with ONGC since 1983, where she headed the Performance Management and Benchmarking Group, which steers the performance contracts and service level agreements between board level and unit chiefs. Her other assignments included setting up the ONGC Energy Center, Head HR at various units of ONGC, policy making and negotiations with collectives. She also headed the SAP-HR Project for ONGC. She was deputed to MRPL as a change agent to initiate aligning the Company to public sector requirements. She has also had a stint with the Directorate General of Hydrocarbons as the Head of Corporate Affairs and Human Resources.

Mr. Ajay Narayan Deshpande is the Director (Technical) of our Company. He has a Bachelor's Degree in Chemical Engineering from Nagpur University and a Master's Degree in Systems & Management from the Indian Institute of Technology, Delhi, securing the first rank in both the programs. He has worked in various capacities in our Company over the past 33 years, including oil and gas, refinery and petrochemicals sector, covering the functions of process design/ development, project management as well as being head of the research and development division, plant operations and safety, heat & mass transfer, environmental engineering, specialist materials and maintenance services and information technology. He has also been responsible for the business growth and technology initiatives of the Company and was also responsible for meeting the company's targets on sustainable development. He has co-authored four patent applications on behalf of the Company. He also served as a director on the Board of CEIL for about two years.



Government Nominee Directors



Mr. Rajiv Nayan Choubey is a Government nominee Director of our Company. He has a Master's Degree in Physics from Delhi University and a Master's Degree in Social & Economic Planning from the London School of Economics. Mr. Choubey is an officer of the Indian Administrative Services from the batch of 1981 in the Tamil Nadu cadre. He is currently also acting as the 'Director General', Directorate General of Hydrocarbons, Ministry of Petroleum & Natural Gas and was earlier posted as the Development Commissioner (Handlooms), Ministry of Textiles; Principal Advisor, Telecom Regulatory Authority of India; and Joint Secretary in the Ministry of Finance. He has also been a director on the Board of BPCL.

Dr. Archana S. Mathur is a Government nominee Director of our Company. She has a Master's Degree in Economics from the Delhi School of Economics, Delhi University and Ph. D. in the field of international trade from the Jawaharlal Nehru University, New Delhi. She joined the Indian Economic Service in 1982. Over the course of 29 years in the government service, Dr. Mathur has served in various economic ministries of the Government of India.



Non Official Independent Directors



Mr. Adit Jain is a non-official Independent Director of our Company. He has a Bachelor's Degree in Mechanical Engineering from the Birla Institute of Technology, India and a Master's Degree in Business Administration from the Henley Management College, United Kingdom. He is the chairman and editorial director of IMA India, a business information company he established in 1994. Mr Jain has advised several multinational corporations towards the development of the India strategy and has successfully handled assignments in the areas of public policy, entry strategy planning, location audits, competitor analysis, scenario planning, joint ventures. He has also authored papers and articles on foreign policy, defence, the environment and business practices.

Dr. (Prof.) K. D. P. Nigam is a non-official Independent Director of our Company. He is a science graduate and also has Bachelor's Degree in Chemical Engineering, Master's Degree in Chemical Engineering Design and Doctorate in Technology. He joined the faculty of Chemical Engineering, IIT Delhi in 1976. He has published over 120 research papers in peer review international journals and his research work has been widely acclaimed and referred in prestigious journals of international repute. He has been visiting professor in various international schools in France, Germany, Australia, UK and USA. He also served as an independent director at NFL during 2003-2006 and member of the Scientific Advisory Committee, Ministry of Petroleum & Natural Gas during 2001-2003.



Mr. Bijoy Chatterjee is a non-official Independent Director of our Company. He has a Master's Degree in Physics and Master's Degree in National Development and Project Planning. He has served as the secretary/additional chief secretary/principal secretary of several government departments, including the Department of Chemicals and Petrochemicals in the Government of India, and the Forest Department, Tourism Department and Information Technology Department in the Government of West Bengal. He has also served as Joint Secretary, Cabinet Secretariat, Government of India and handled work relating to the department of personnel and training, agriculture, feed and public distribution, consumer affairs, environment and forests, finance, commerce, industry, law and chemicals & fertilizers. He has served as Managing Director of the West Bengal Power Development Corporation Ltd. and Chairman of West Bengal Tourism Development Corporation Ltd.

Dr. R. K. Shevgaonkar is a non-official Independent Director of our Company. He holds a Doctorate in Electrical Engineering from the Indian Institute of Technology, Bombay after completing his post doctoral fellowship at the University of Maryland, USA. He has served in various positions at the Indian Institute of Technology, Bombay, including the dean of students' affairs, dean - resource mobilization, head - department of electrical engineering, head - centre for distance engineering education programme and as a deputy director. He was the vice chancellor of University of Pune and is presently serving as a director at the Indian Institute of Technology, Delhi. He has been a visiting professor at University of Lincoln, USA; ETH, Zurich, Switzerland; and ISEP Paris, France. He has been a researcher in the field of optical communication, image processing, antennas, microwaves, radio astronomy. He has published more than 150 papers in international journals and conferences, and two books. He has guided 18 doctorate students and more than 30 master in technology dissertations. He is recipient of IEEE Undergraduate Teaching Award 2011, IETE award 145 for his outstanding contribution to optical communication, and the 'Excellence in Teaching' award of IIT, Bombay. He is fellow of IEEE, fellow of Indian National Academy of Engineering, fellow of National Academy of Science, India, fellow of Optical Society of India, and a member of International Astronomical Union and Astronomical Society of India.



Dr. J. P. Gupta is a non-official Independent Director of our Company. He has a Bachelor's Degree in Technology in Chemical Engineering from the Indian Institute of Technology, Kanpur, Master's Degree in Science in Chemical Engineering from University of Michigan, USA and Doctorate in Chemical Engineering from University of Pennsylvania, USA. He joined the faculty of chemical engineering at the Indian Institute of Technology, Kanpur in 1973. He has published/presented over 120 research papers and authored/edited four books. He is on the editorial board of various international research journals. He has been awarded the Hutchinson Medal (jointly with David Edwards) by the Institution of Chemical Engineers (U.K.) and the IPCL Safety Award by the Indian Institute of Chemical Engineers. He has also participated in various conferences and delivered seminars worldwide, including at the United Nations and the World Bank. He has been a UNIDO Expert in Argentina and a visiting professor in universities in France, UK, Mexico, Taiwan and USA. He has served as director-general for Gujarat Energy Research & Management Institute, Gandhinagar, member for the board of governors and finance committee, Indian Institute of Technology, Kanpur. He has also been a consultant to Larsen & Toubro (Mumbai) and Joseph Oat Corp. (USA), in addition to being a diplomat (science & technology) Embassy of India, Washington DC and India's delegate to the United Nations. He is currently a director on the board of Rajiv Gandhi Institute of Petroleum Technology, Rae Bareilly.



Corporate Information

► COMPANY SECRETARY

Rajan Kapur

► STATUTORY AUDITORS

M/s M Verma & Associates
Chartered Accountants,
1209, Hemkunt Chambers,
89, Nehru Place, New Delhi - 110 019

► STOCK EXCHANGES WHERE SHARES OF THE COMPANY ARE LISTED

The Bombay Stock Exchange Ltd.

Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001

National Stock Exchange of India Ltd.

Exchange Plaza, Plot No.C/1, G Block
Bandra-Kurla Complex
Bandra (E), Mumbai - 400 051

► REGISTRAR AND SHARE TRANSFER AGENT

M/s Karvy Computershare Private Limited

305, New Delhi House,
27, Barakhamba Road,
Connaught Place,
New Delhi - 110 001
Tel No. 011-43681700
Fax No. 011-43681710
Email: delhi@karvy.com

or

Plot No. 17-24, Vittalrao Nagar
Madhapur, Hyderabad - 500 081
Tel No. 040-44655000
Fax No. 040-23420814
Email: einward.ris@karvy.com
Website: www.karvy.com/
www.karvycomputershare.com

► REGISTERED & HEAD OFFICE

Engineers India Bhavan,
1, Bhikaiji Cama Place,
New Delhi-110 066

► SUBSIDIARY COMPANIES

Certification Engineers International Limited
Engineers India Bhavan,
1, Bhikaiji Cama Place,
New Delhi - 110 066

EIL Asia Pacific Sdn. Bhd.
Suite B-02-05,
Dataran 3 Two, No. 2, 19/1,
46300 Petaling Jaya, Selangor Darul Ehsan
Kuala Lumpur - Malaysia

► MAIN BANKERS

State Bank of India Corporate Accounts Group,
11th Floor, Jawahar Vyapar Bhawan,
1, Janpath
New Delhi - 110 001

Indian Overseas Bank F-47, Malhotra Building, Janpath
New Delhi - 110 001

Corporation Bank 3, Ansal Chamber-I
Bhikaiji Cama Place,
New Delhi - 110 066

Bank of Baroda 3, Ansal Chamber-I
Bhikaiji Cama Place,
New Delhi - 110 066

State Bank
of Travancore 3, Ansal Chamber-I
Bhikaiji Cama Place,
New Delhi - 110 066

HDFC Bank Ltd. B-6/3, Safdarjung Enclave,
DDA Complex,
New Delhi - 110 029

Ten Years' Performance at a Glance

(₹ in Lakhs)

PARTICULARS/YEARS	2003-2004	2004-2005	2005-2006	2006-2007	2007-2008	2008-2009	2009-2010	2010-2011	2011-2012	2012-2013
A. OPERATING STATISTICS										
Turnover*	106,953.03	91,580.11	79,048.04	57,108.13	73,775.21	153,246.28	199,379.70	282,328.44	369,882.43	250,596.70
Other Income	4,759.33	5,786.74	6,666.63	10,778.65	13,557.26	22,152.52	18,367.10	16,036.63	23,217.74	31,642.17
Expenditure	98,713.29	80,073.64	65,551.08	47,450.86	57,702.15	123,351.90	151,619.05	219,339.16	301,432.07	192,717.42
Prior Period Adjustments (Net)	-	627.63	185.67	(28.07)	242.27	0.13	79.96	577.45	191.57	427.75
Profit before Tax	12,999.07	16,665.58	19,977.92	20,463.99	29,388.05	52,046.77	66,047.79	78,448.46	91,476.53	89,093.70
Tax	5,407.75	6,989.22	8,025.57	8,647.19	10,904.48	19,385.10	24,972.04	29,608.15	31,707.33	28,446.97
Fringe Benefit Tax	-	-	255.00	275.00	270.20	286.67	-	-	-	-
Deffered Tax (Assets)/Liability	(426.78)	(1,587.15)	(2,166.99)	(2,757.61)	(1,246.50)	(2,078.37)	(2,481.76)	(3,411.63)	(3,862.33)	(2,210.82)
Profit after Tax	8,018.10	11,263.51	13,864.34	14,299.41	19,459.87	34,453.37	43,557.51	52,251.94	63,631.53	62,857.55
Amount Transfer from General Reserve	-	-	-	-	-	-	56,156.10	-	-	-
Dividend including Dividend Tax	4,117.15	4,811.75	5,122.57	6,183.11	7,205.74	12,124.72	69,620.58	19,510.55	23,438.99	23,507.42
Retained Surplus	3,900.95	6,451.76	8,741.77	8,116.30	12,254.13	22,328.65	30,093.03	32,741.39	40,192.54	39,350.13
B. FINANCIAL POSITION										
CAPITAL EMPLOYED	79023.73	86292.27	95034.04	103150.34	115205.00	137533.65	111470.58	144211.97	184404.51	223754.64
NON CURRENT ASSETS										
i) Fixed Assets**	4729.79	4148.89	4001.49	3967.54	5035.89	6328.12	7189.38	7315.10	10469.07	18597.45
ii) Other Non current Assets***	17335.23	18749.23	20014.84	22047.43	24312.64	27058.43	24224.52	28674.83	34724.74	39170.21
CURRENT ASSETS ***	112781.90	139859.79	133432.97	143754.70	182309.81	265175.87	251937.62	310934.04	329212.37	326699.21
EQUITY & LIABILITIES										
i) Share Capital	5615.62	5615.62	5615.62	5615.62	5615.62	5615.62	5615.62	16846.84	16846.84	16846.84
ii) Reserve & Surplus	73408.11	80676.65	89418.42	97534.72	109589.38	131918.03	105854.96	127365.13	167557.67	206907.80
NON CURRENT LIABILITIES ****	-	-	-	-	-	-	-	2101.85	2515.21	2,479.95
CURRENT LIABILITIES ****	55823.19	76465.64	62415.26	66619.33	96453.34	161028.77	171880.94	200610.15	187486.46	158232.28
C. RATIOS										
PBT / Turnover	12.15%	18.20%	25.27%	35.83%	39.83%	33.96%	33.13%	27.79%	24.73%	35.55%
PAT / Turnover	7.50%	12.30%	17.54%	25.04%	26.38%	22.48%	21.85%	18.51%	17.20%	25.08%
PBT / Capital Employed	16.45%	19.31%	21.02%	19.84%	25.51%	37.84%	59.25%	54.40%	49.61%	39.82%
PAT / Net Worth	10.15%	13.05%	14.59%	13.86%	16.89%	25.05%	39.08%	36.23%	34.51%	28.09%
Turnover / Net Worth (number of times)	1.35	1.06	0.83	0.55	0.64	1.11	1.79	1.96	2.01	1.12
Sundry Debts / Turnover (Month's Turnover)	2.06	4.23	3.40	4.21	2.87	2.35	1.91	1.31	1.00	1.59

Notes:

* Turnover includes accretion/decretion to Work in Progress.

** Fixed Assets includes Capital Work-in-progress.

*** From Financial Year 2010-11, Assets have been reclassified into Current and Non Current as per Revised Schedule VI of the Companies Act, 1956. Prior to that other Non Current Assets comprises of Investments, Deferred Tax asset and Voluntary Retirement Compensation (to the extent not written off or adjusted)

**** From Financial Year 2010-11, Liabilities have been reclassified into Current and Non Current as per Revised Schedule VI of the Companies Act, 1956.



Notice

NOTICE is hereby given that the 48th Annual General Meeting of the Members of Engineers India Limited will be held on Friday, the 23rd day of August, 2013 at 10.30 a.m. at Manekshaw Centre, Parade Road, Delhi Cantt., New Delhi-110 010 to transact the following business:

ORDINARY BUSINESS

1. To receive, consider and adopt the Audited Statement of Profit & Loss of the Company for the year ended 31st March, 2013 and the Balance Sheet as on that date together with the Reports of Directors and Auditors thereon.
2. To consider declaration of final dividend.
3. To appoint a director in place of Shri D. Moudgil, who retires by rotation and being eligible, offers himself for re-appointment.
4. To appoint a director in place of Shri Sanjay Gupta, who retires by rotation and being eligible, offers himself for re-appointment.
5. To appoint a director in place of Dr. J.P. Gupta, who retires by rotation and being eligible, offers himself for re-appointment.
6. To appoint a director in place of Shri Bijoy Chatterjee, who retires by rotation and being eligible, offers himself for re-appointment.
7. To fix remuneration of Auditors for the financial year 2013-14 and, if thought fit, to pass with or without modifications, the following resolution as an Ordinary Resolution:

"RESOLVED THAT the Board of Directors of the Company be and are hereby authorized to fix the remuneration, out of pocket, statutory taxes and other ancillary expenses of Auditors to be appointed by the Comptroller and Auditor General of India for the financial year 2013-14."

SPECIAL BUSINESS

8. **To consider and if thought fit, to pass, with or without modifications, the following resolution, as an Ordinary Resolution:**

"RESOLVED THAT Dr. Archana S. Mathur, who was appointed as an Additional Director (Government Nominee) by the Board of Directors of the Company and who, as per the provisions of Section 260 of the Companies Act, 1956, holds office up to the date of this Annual General Meeting and in respect of whom the Company has, pursuant to Section 257 of the Companies Act, 1956, received a notice from a member in writing proposing the candidature of Dr. Archana S. Mathur for the office of director, be and is hereby appointed as a director of the Company."

9. **To consider and if thought fit, to pass, with or without modifications, the following resolution, as an Ordinary Resolution:**

"RESOLVED THAT Ms. Veena Swarup, who was appointed as an Additional Director, in the capacity of Director (HR) by the Board of Directors of the Company and who, as per the provisions of Section 260 of the Companies Act, 1956, holds office up to the date of this Annual General Meeting and in respect of whom the Company has, pursuant to Section 257 of the Companies Act, 1956, received a notice from Ms. Veena Swarup herself in writing proposing her candidature for the office of director, be and is hereby appointed as a director of the Company, liable to retire by rotation."

10. **To consider and if thought fit, to pass, with or without modifications, the following resolution, as an Ordinary Resolution:**

"RESOLVED THAT Shri Ajay N. Deshpande, who was appointed as an Additional Director, in the capacity of Director (Technical) by the Board of Directors of the Company and who, as per the provisions of Section 260 of the Companies Act, 1956, holds office up to the date of this Annual General Meeting and in respect of whom the Company has, pursuant to Section 257 of the Companies Act, 1956, received a notice from Shri Ajay N. Deshpande himself in writing proposing his candidature for the office of director, be and is hereby appointed as a director of the Company, liable to retire by rotation."

11. **To consider and if thought fit, to pass, with or without modifications, the following resolution, as an Ordinary Resolution:**

"RESOLVED THAT Shri R.N. Choubey, who was appointed as an Additional Director (Government Nominee) by the Board of Directors of the Company and who, as per the provisions of Section 260 of the Companies Act, 1956, holds office up to the date of this Annual General Meeting and in respect of whom the Company has, pursuant to Section 257 of the Companies Act, 1956, received a notice from a member in writing proposing the candidature of Shri R.N. Choubey for the office of director, be and is hereby appointed as a director of the Company."

By order of the Board

(Rajan Kapur)
Company Secretary

Place: New Delhi
Date : July 5, 2013



Notes

1. A MEMBER ENTITLED TO ATTEND AND VOTE AT THE MEETING IS ENTITLED TO APPOINT ANOTHER PERSON AS HIS PROXY AND THE PROXY NEED NOT BE A MEMBER OF THE COMPANY. PROXIES, IN ORDER TO BE EFFECTIVE, MUST BE LODGED AT THE REGISTERED OFFICE OF THE COMPANY NOT LATER THAN 48 HOURS BEFORE THE TIME OF HOLDING THE MEETING.
2. The Explanatory Statement pursuant to the provisions of Section 173(2) of the Companies Act, 1956 setting out the material facts in respect of the Special Business is annexed herewith.
3. Members are requested to:-
 - (i) bring their copy of Annual Report and Attendance Slip, duly completed and signed, to the meeting.
 - (ii) quote their Folio/Client ID & DP ID Nos. in all correspondence with the R&TA/Company.
 - (iii) note that due to strict security reasons, eatables and other belongings are not allowed inside the Auditorium.
4. Corporate Members intending to send their authorized representative(s) to attend the Meeting are requested to send a certified copy of the Board Resolution authorizing their representative to attend and vote on their behalf at the Meeting.
5. The Register of Members and Share Transfer Books of the Company will remain closed from Wednesday, the 14th day of August, 2013 to Friday, the 23rd day of August, 2013 (both days inclusive) for the purpose of ascertaining the entitlement of dividend.
6. Dividend, if any, approved at the 48th Annual General Meeting of the Company will be paid to those shareholders whose names appear:
 - a) As Beneficial Owners as at the end of the business hours on August 13, 2013 as per the list to be furnished by the Depositories in respect of shares held in Electronic form, and
 - b) As Members in the Register of Members of the Company after giving effect to all valid share transfers in physical form lodged with the Registrar and Share Transfer Agent of the Company on or before August 13, 2013.
7. Members holding shares in physical form are requested to notify immediately Change of Address, if any, quoting their Folio Number to M/s Karvy Computershare Private Limited at Plot No. 17-24, Vittalrao Nagar, Madhapur, Hyderabad - 500081 (Tel: No. 040-44655000, Fax No. 040-23420814, Email: einward.ris@karvy.com, Website: www.karvy.com/www.karvycomputershare.com) or at 305, New Delhi House, 27, Barakhamba Road, Connaught Place, New Delhi - 110 001 (Tel: No. 011-43681700, Fax No. 011-43681710, Email: delhi@karvy.com) to ensure prompt receipt of communications and other corporate actions. Similarly, members holding shares in Electronic / Demat form are requested to notify any change of address and change of Bank Account to their respective Depository Participant (DP) with whom the Demat account is maintained as the Company is obliged to use only the data provided by NSDL / CDSL.
8. In order to provide protection against fraudulent encashment of dividend warrants, Members are requested to provide their Bank Account Number, Name and address of the Bank / Branch to the Registrar and Share Transfer Agent of the Company i.e. M/s Karvy Computershare Private Limited in respect of shares held in physical mode and to their respective DPs for demat mode to enable them to incorporate the same in the dividend warrant.
9. Shareholders may avail the facility of National Electronic Clearing Service (NECS)/Electronic Clearing Service (ECS) for receiving direct credit of Dividend to their accounts with the Banks. This will enable expeditious credit of dividend amount and protect from loss, theft and postal delay of dividend warrant.
10. The balance lying in the unpaid dividend account of the Company in respect of dividend declared on 15.09.2006 for the financial year 2005-2006 will be transferred to the Investor Education and Protection Fund (IEPF) of the Central Government by 14.10.2013 (tentative date). Members who have not encashed their dividend warrants pertaining to the said year may approach to the Company or its Registrar & Share Transfer Agent for obtaining the payments thereof upon completion of necessary formalities in the said behalf before 30th September, 2013. No claim shall lie against the Company or IEPF, once the dividend is deposited in IEPF. The subsequent due dates of transfer of unpaid/unclaimed dividend to IEPF for the respective financial years have been provided in the Corporate Governance Report and also at Company's website. Therefore, the members who have not encashed their dividend so far for these years are also requested to write to the Company or its Registrar & Share Transfer Agent for claiming the unpaid dividend before their due dates of transfer to IEPF.
11. All documents referred to in the accompanying notice are open for inspection at the registered office of the Company on all working days between 10.30 A.M. to 12.30 P.M. prior to the Annual General Meeting.
12. Pursuant to the requirements of Corporate Governance, a brief resume of the Directors proposed for appointment/re-appointment is annexed with the Notice.
13. Members desirous of obtaining any information / clarification (s) concerning the accounts and operations of the Company or intending to raise any query are requested to forward the same at least 10 days before the date of meeting to Company Secretary at the Registered Office of the Company so that the same may be attended to appropriately.
14. Members may kindly note that the Company had sent a letter dated July 4, 2011 to all the members towards the "Green Initiative in the Corporate Governance" in view of circular nos. 17/2011 dated 21.04.2011 and 18/2011 dated 29.04.2011 issued by the Ministry of Corporate Affairs. The said letter is also posted on the website of the Company at www.engineersindia.com. Further, the appeals were also made to the Members in this regard in the Annual Report of the Company for the financial years 2010-11 and 2011-12. Since the Company is committed towards Green Initiative, it is earnestly requested again that the Members who have yet not registered/updated their e-mail ids may notify the same by filling up the Registration Form sent vide 'Appeal to Members' dated 16.07.2012 along with the Annual Report for the financial year 2011-12. The same is also available on the website of the Company i.e. www.engineersindia.com.
15. **No Gifts shall be distributed in the Annual General Meeting or afterwards.**

By order of the Board

(Rajan Kapur)
Company Secretary

Place: New Delhi

Date: July 5, 2013



Explanatory Statement pursuant to Section 173 (2) of the Companies Act, 1956

Item No.8

Dr. Archana S. Mathur was appointed as Additional Director (Government Nominee) w.e.f. 3.08.2012 by the Board of Directors of the Company pursuant to the provisions of Section 260 of the Companies Act, 1956, Article 83 and 93-A of the Articles of Association of the Company and in terms of Ministry of Petroleum & Natural Gas, Government of India letter No.C-31033/1/2012-CA dated 3.8.2012.

Since, the Notice of 47th AGM scheduled for 30.08.2012 was already dispatched, her tenure as Additional Director expired on 30.08.2012 in terms of the provisions of the Companies Act, 1956. Therefore, her appointment was renewed by the Board and accordingly, she was appointed as Additional Director (Government Nominee) w.e.f. 30.08.2012.

In terms of Section 260 of the Companies Act, 1956, she shall hold office up to the date of this Annual General Meeting. The Company has received valid notice along with requisite deposit from the Member under Section 257 of the Companies Act, 1956 proposing her candidature for the office of Director. In view of the background and vast experience, it will be in the interest of the Company that she continues as Director of the Company. Brief resume of Dr. Archana S. Mathur has been given in the Annexure to the Notice of 48th Annual General Meeting. Dr. Archana S. Mathur, Director (Government Nominee), being the non-executive director has disclosed that she is not holding any shares in the Company.

Your Directors recommend the resolution for approval of members.

None of the Directors, except Dr. Archana S. Mathur, is interested in the resolution.

Item No.9

Ms. Veena Swarup was appointed as Additional Director in the capacity of Director (HR) w.e.f. 1.10.2012 by the Board of Directors of the Company pursuant to the provisions of Section 260 of the Companies Act, 1956, Article 83 and 93-A of the Articles of Association of the Company and in terms of Ministry of Petroleum & Natural Gas, Government of India letter No.C-31018/13/2010-CA dated 28.6.2012. In terms of Section 260 of the Companies Act, 1956, she shall hold office up to the date of this Annual General Meeting. The Company has received valid notice along with requisite deposit from Ms. Veena Swarup under Section 257 of the Companies Act, 1956 proposing her candidature for the office of Director. In view of the background and vast experience, it will be in the interest of the Company that she continues as Director of the Company. Brief resume of Ms. Veena Swarup has been given in the Annexure to the Notice of 48th Annual General Meeting.

Your Directors recommend the resolution for approval of members.

None of the Directors, except Ms. Veena Swarup, is interested in the resolution.

Item No.10

Shri Ajay N. Deshpande was appointed as Additional Director in the capacity of Director (Technical) w.e.f. 1.04.2013 by the Board of Directors of the Company pursuant to the provisions of Section 260 of the Companies Act, 1956, Article 83 and 93-A of the Articles of Association of the Company and in terms of Ministry of Petroleum & Natural Gas, Government of India letter No.C-31018/4/2011-CA dated 21.01.2013. In terms of Section 260 of the Companies Act, 1956, he shall hold office up to the date of this Annual General Meeting. The Company has received valid notice along with requisite deposit from Shri Ajay N. Deshpande under Section 257 of the Companies Act, 1956 proposing his candidature for the office of Director. In view of the background and vast experience, it will be in the interest of the Company that he continues as Director of the Company. Brief resume of Shri Ajay N. Deshpande has been given in the Annexure to the Notice of 48th Annual General Meeting.

Your Directors recommend the resolution for approval of members.

None of the Directors, except Shri Ajay N. Deshpande, is interested in the resolution.

Item No.11

Shri R.N. Choubey was appointed as Additional Director (Government Nominee) w.e.f. 10.04.2013 by the Board of Directors of the Company pursuant to the provisions of Section 260 of the Companies Act, 1956, Article 83 and 93-A of the Articles of Association of the Company and in terms of Ministry of Petroleum & Natural Gas, Government of India letter No.C-31033/1/2012-CA dated 10.04.2013. In terms of Section 260 of the Companies Act, 1956, he shall hold office up to the date of this Annual General Meeting. The Company has received valid notice along with requisite deposit from the Member under Section 257 of the Companies Act, 1956 proposing his candidature for the office of Director. In view of the background and vast experience, it will be in the interest of the Company that he continues as Director of the Company. Brief resume of Shri R.N. Choubey has been given in the Annexure to the Notice of 48th Annual General Meeting. Shri R.N. Choubey, Director (Government Nominee), being the non-executive director has disclosed that he is not holding any shares in the Company.

Your Directors recommend the resolution for approval of members.

None of the Directors, except Shri R.N. Choubey, is interested in the resolution.

By order of the Board

(Rajan Kapur)
Company Secretary

Place: New Delhi
Date: July 5, 2013



Annexure to AGM Notice

Brief Resume of Directors, retiring by rotation and eligible for re-appointment vide Item Nos. 3 to 6 of Notice of 48th AGM:

Item No.3

Name	:	Shri D.Moudgil
Father's Name	:	Shri Roshan Lal Moudgil
Designation	:	Director (Projects)
Official Address	:	Engineers India Limited 1, Bhikaiji Cama Place, New Delhi-110066
Date of Birth	:	28 th August, 1954
Qualification (s)	:	Civil Engineering, Punjab University
Experience	:	He has a Bachelor's Degree in Civil Engineering from Punjab University. He has been associated with EIL for over 37 years. During his professional career with EIL, he has gained extensive experience holding different positions in various departments of EIL, including construction, administration, marketing and projects. He has also successfully led EIL's diversification into infrastructure sector.
Other Directorships	:	Nil
Other Committee Memberships	:	Nil

Item No.4

Name	:	Shri Sanjay Gupta
Father's Name	:	Shri Jyoti Swaroop Gupta
Designation	:	Director (Commercial)
Official Address	:	Engineers India Limited 1, Bhikaiji Cama Place, New Delhi-110066



Date of Birth : 29th October, 1957

Qualification(s) : B.E.- University of Roorkee

Experience : He has 32 years of experience cutting across implementation of various mega projects including Pipelines, Refineries and Petrochemicals. He was involved in some of the most prestigious mega projects implemented by EIL hitherto, such as, Maharashtra Gas Cracker Complex, Tabriz Petrochemicals, Pata Petrochemicals Phase-1 & Phase-2, Panipat Refinery Phase-1, Phase-2 & Panipat Naphtha Cracker Complex.

He was also entrusted the task of leading the implementation of the OBE Mode of Project implementation and pioneered the same with CPCL Euro-IV. This was followed by the largest value OBE/ LSTK Project for the Company viz. Petro FCC at MRPL. Projects over ₹8000 crores on OBE route have materialized ever since.

He is primarily responsible for strategizing the EPC and business growth initiatives in the Company. All JVs, EIL Equity Investments & SPVs to promote projects in partnership with Oil Majors are being singularly piloted by him. All these initiatives have now materialized into a key Strategy Group cutting across various initiatives for the company to enhance its business profile, geography and horizontal base.

In addition to the above, he is responsible for implementation of overseas jobs and selective EPC & EPCM jobs for the domestic market.

Other Directorships : (a) Certification Engineers International Ltd.
(b) TEIL Projects Ltd.
(c) EIL Asia Pacific Sdn Bhd.
(d) Jabal EIL IOT Company Ltd.

Other Committee Memberships : Audit Committee-TEIL Projects Ltd.

Item No.5

Name : **Dr. Jai Prakash Gupta**

Father's Name : Shri N.M. Gupta



Designation	:	Non-Official (Independent) Director
Official Address	:	Director, Rajiv Gandhi Institute of Petroleum Technology, Ratapur Chowk, Rae Bareli – 229316 (U.P.)
Date of Birth	:	4 th May, 1945
Qualification (s)	:	B.Tech in Chemical Engineering, IIT Kanpur MSE in Chemical Engineering, University of Michigan, USA Ph.D. in Chemical Engineering, University of Pennsylvania, USA
Experience	:	He joined the faculty of Chemical Engineering, IIT Kanpur, in 1973. He has published/presented over 120 Research papers and authored/edited 4 Books. His teaching and research focus on transport phenomena and process safety. He is on the Editorial Board of international research journals. He has been awarded by the Institution of Chemical Engineers (U.K.) and the Indian Institute of Chemical Engineers. He has participated in various conferences and delivered seminars worldwide, including at the U.N. and the World Bank. He has been a UNIDO Expert in Argentina and a Visiting Professor in Universities in France, UK, Mexico, Taiwan and USA. He has served as Director-General, Gujarat Energy Research & Management Institute, Gandhinagar that founded the Pandit Deendayal Petroleum University and as Member – Board of Governors and Finance Committee, IIT Kanpur. He has also been a Consultant to Larsen & Toubro (Mumbai) & Joseph Oat Corp. (USA), Diplomat (Science & Technology) Embassy of India, Washington DC and India's Delegate to the United Nations. He is currently the Director, Rajiv Gandhi Institute of Petroleum Technology, Rae Bareli.
Other Directorships	:	Certification Engineers International Limited
Other Committee Memberships	:	Nil
Shareholding in EIL	:	Nil

Item No.6

Name	:	Shri Bijoy Chatterjee
Father's Name	:	Late Shri Bisweswar Chatterjee
Designation	:	Non-Official (Independent) Director
Official Address	:	I-1715, 2 nd Floor, Chittranjan Park, New Delhi - 110 019



Date of Birth	:	20 th September, 1950
Qualification (s)	:	M.Sc.in Physics M.Sc.in National Development and Project Planning
Experience	:	He has served as Secretary/Additional Chief Secretary/Principal Secretary of several Government Departments such as Department of Chemicals and Petrochemicals in the Government of India and the Departments of Forest, Tourism and Information Technology in the Government of West Bengal. He has also served as Joint Secretary, Cabinet Secretariat, Government of India and looked after work relating to several Ministries/Departments like Personnel & Training (DOPT), Agriculture, Feed and Public Distribution, Consumer Affairs, Environment and Forests, Finance, Commerce, Industry, Law and Chemicals & Fertilizers and also participated in Departmental Promotion Committee meetings. During foreign assignment with the Organization for the Prohibition of Chemical Weapons (a UN-affiliated Inter-Governmental Body), he was responsible primarily for work relating to international cooperation and assistance in areas relating to chemical activities and promotion of chemical safety. As Managing Director of the West Bengal Power Development Corporation Ltd., a large power company of the public sector, he was responsible for running of major power generating stations and implementation of large thermal power projects.
Other Directorships	:	Nil
Other Committee Memberships	:	Nil
Shareholding in EIL	:	Nil

Brief Resume of Additional Directors vacating office at 48th AGM and proposed to be appointed vide Item Nos.8 to 11 of Notice of 48th AGM:

Item No.8

Name	:	Dr. Archana Saharya Mathur
Father's Name	:	Shri Suresh Behri Sahary
Designation	:	Director (Government Nominee)
Official Address	:	Economic Adviser 12 th Floor, Paryavaran Bhawan CGO Complex, New Delhi - 110003



Date of Birth	:	22 nd November, 1958
Qualification (s)	:	Master's Degree in Economics, Delhi School of Economics Ph.D. in International Trade, Jawaharlal Nehru University
Experience	:	She joined the Indian Economic Service in 1982. During the past 30 years in Government Service, she has served in various economic Ministries of the Government of India. Her present charge in the Ministry of Petroleum & Natural Gas includes all issues pertaining to Plan programmes, external trade and tariff policy, monitoring mega projects of the sector, Infrastructure Committees & G20 issues, apart from bringing out statistical documents on the Petroleum and Natural Gas Sector.
Other Directorships	:	Nil
Other Committee Memberships	:	Nil
Shareholding in EIL	:	Nil

Item No.9

Name	:	Ms. Veena Swarup
Father's Name	:	Lt.Col.Shanti Swarup
Designation	:	Director (HR)
Official Address	:	Engineers India Limited 1, Bhikaiji Cama Place, New Delhi-110066
Date of Birth	:	7 th June, 1956
Qualification (s)	:	MBA, Lucknow University
Experience	:	She holds a Master's degree in Business Administration from Lucknow University. She has 30 years of experience in the field of human resource in the petroleum and natural gas sector. Prior to joining EIL, Ms. Swarup was with ONGC since 1983, where she headed the Performance Management and Benchmarking Group, which steers the performance contracts and service level agreements between board level and unit chiefs. Her other assignments included setting up the ONGC Energy Center, Head HR at various units of ONGC, policy making and negotiations with collectives. She also headed the SAP-HR Project for ONGC. She was



deputed to MRPL as a change agent to initiate aligning the Company to public sector requirements. She has also had a stint with the Directorate General of Hydrocarbons as the Head of Corporate Affairs and Human Resources.

Other Directorships : Nil

Other Committee Memberships : Nil

Item No.10

Name : **Shri Ajay N. Deshpande**

Father's Name : Shri Narayan Raghunath Deshpande

Designation : Director (Technical)

Official Address : Engineers India Limited
1, Bhikaiji Cama Place,
New Delhi-110066

Date of Birth : 2nd January, 1958

Qualification (s) : Degree in Chemical Engineering, Nagpur University
Post Graduate in Systems & Management, IIT Delhi

Experience : He is a graduate in Chemical Engineering and Post-graduate in Systems & Management. He has worked for over 33 years in various capacities in EIL covering Oil & Gas, Refinery & Petrochemicals sectors. As Executive Director (Technical) he was also responsible for Plant Operations & Safety, Heat & Mass Transfer, Environmental Engineering, Specialist Materials & Maintenance Services and Information Technology Divisions in addition to Process design/development and R&D. He steered EIL's various business growth/technology initiatives and was also responsible for meeting the Company's targets on Sustainable Development. He has co-authored a total of 4 patent applications on behalf of EIL R&D. He also served as Director on the board of CEIL for about 2 years.

Other Directorships : Nil

Other Committee Memberships : Nil



Item No. 11

Name	:	Shri R.N.Choubey
Father's Name	:	Shri Uma Kant Choubey
Designation	:	Director (Government Nominee)
Official Address	:	Directorate General of Hydrocarbons Ministry of Petroleum and Natural Gas, Govt. of India OIDB Bhawan, Tower-A, Plot No.2 OIDB, Sector 72, NOIDA-201301 (U.P.)
Date of Birth	:	28 th January, 1959
Qualification (s)	:	M.Sc.in Physics, Delhi University M.Sc.in Social & Economic Planning, London School of Economics
Experience	:	He is a senior IAS Officer belonging to the 1981 batch of Tamil Nadu cadre. He is a Post Graduate in Physics from Delhi University and has a Master's Degree in Social & Economic Planning from London School of Economics. He has earlier served as Development Commissioner (Handlooms), Ministry of Textiles; Principal Advisor, Telecom Regulatory Authority of India and Joint Secretary in the Ministry of Finance. He was also a Director on the Board of BPCL.
Other Directorships	:	Nil
Other Committee Memberships	:	Nil
Shareholding in EIL	:	Nil



Directors' Report

To
The Shareholders
Engineers India Limited
Ladies & Gentlemen,

Your Directors have great pleasure in presenting the 48th Annual Report together with audited accounts of the Company for the year ended March 31, 2013 along with Audited Statement of Accounts, the Auditors' Report and Review of the Accounts by the Comptroller and Auditor General of India.

2012-13 in Retrospect

EIL continued its good performance during the year 2012-13. The salient features, as stated in the audited financial statement, are as follows:

Turnover	:	₹ 250597 lakhs
Profit Before Tax (PBT)	:	₹ 89094 lakhs
Profit After Tax (PAT)	:	₹ 62857 lakhs

The revenue from consultancy business increased year-on-year to ₹123424 lakhs which is driven by an increase in overseas consultancy income.

Dividend

The Board of Directors of the Company has recommended for the Financial Year (FY) 2012-13, a final dividend of ₹ 3/- per share (of face value of ₹5/- per share) in addition to ₹ 3/- per share interim dividend already paid during the year. With this, the total dividend for the FY 2012-13 works out to ₹6/- per share. Payment of final dividend is, however, subject to approval of the shareholders in the ensuing Annual General Meeting of the Company.

Investor Relations

Your Company is actively engaged in improving its relations with all stakeholders. Besides the holding of Annual General Meeting wherein performance of the Company is shared with existing shareholders, the Quarterly and Annual Results are shared with Statutory Bodies, Investors and Media. The results, investor presentations, major news and events are uploaded on the Company's website for ensuring fair and equal access to all stakeholders.

Management and Investor Relations Cell engage in communication with Investors and Analysts through one on one meetings, conference calls, conference participation

and road shows. Quarterly updates are also shared with the analysts who actively cover the Company. EIL is forthcoming in addressing the queries of investors on the Company's performance, its business initiatives, industry outlook, avenues of growth, investment and diversification plans.

All channels of communication are utilized for reaching out to both institutional and retail investors. Your Company is equally committed to strict compliance to disclosures and governance norms as per applicable rules and guidelines and maintains equal and non selective treatment with all stakeholders.

Company periodically obtains the opinion of the investment and analyst community as a valuable feedback for strategic decision making.

Management Discussion & Analysis

A separate report on Management Discussion and Analysis is annexed to this Report.

Petroleum Refining

Petroleum Refining sector continued to be the mainstay of Company's business. During the year, EIL has achieved significant progress on the following major projects, some of which were commissioned or are in advanced stage of completion:

- As part of Phase-III Refinery Expansion Project, Mangalore Refinery & Petrochemicals Limited (MRPL) had planned to increase the crude processing capacity to 15 MMTPA by adding CDU/VDU of 3 MMTPA. The Project also aimed at upgrading the refinery to meet Euro-III/IV specifications for its entire Diesel pool by revamping existing units or adding new secondary processing units including associated Utilities/Offsites. The Project is being implemented on hybrid mode of LSTK/OBE/conventional EPCM system for various units. EIL is PMC for LSTK packages and EPCM consultant for Utilities/Offsites. EIL is also executing the Petro Fluidized Catalytic Cracking (PFCC), Sulphur Recovery Unit (SRU) block, Poly-propylene Unit (PPU), SPM & associated facilities for this Project on OBE mode of execution.

The CDU/VDU unit was commissioned in March, 2012 with required utilities/offsites. During the year, secondary processing units viz., Hydrogen Generation Unit, DHTU, HCU I & II revamps and part of SRU block were also commissioned. Other units such as Heavy



Coker Gas Oil, PFCC, DCU & remaining part of SRU block were mechanically completed. Consequently with the completion of catalyst loading, critical pre-commissioning milestone of PFCC has been achieved. The PPU unit is heading towards completion. Part of the Utilities/Offsites facilities are already commissioned and balance facilities including Coke Handling System and Captive Power Plant are in advance stage of completion.

For PFCC unit, the magnitude and the volume of work involved posed the critical challenge of building one of the most complex process units in the Refining industry, implemented hitherto in India. The construction of PPU was also a challenging task due to undulating terrain of the site. EIL has successfully overcome various construction impediments which has paved the way for completion of remaining facilities.

- Revamp of CDU/VDU-II at Chennai Refinery of Chennai Petroleum Corporation Limited (CPCL) was mechanically completed during the year. The shut down work was completed within 58 days against a schedule of 60 days, from receipt of the 1st hot permit. The revamped unit is now fully operational.
- New Coke Chambers & Allied Modernization Facilities at IOCL's Guwahati Refinery were successfully commissioned during the year.
- CDU-4 project is being executed by Bharat Petroleum Corporation Limited (BPCL) in their Mahul Refinery, Mumbai to enhance safety, environment & equipment integrity and minimize energy consumption and improve yields with deep cut VGO. EIL is providing EPCM services for this project. The new Crude and Vacuum Distillation Unit (being termed as CDU-4) is being designed for a capacity 6.0 MMTPA that will replace the ageing CDU- 1 and CDU- 2. The Project also includes Treatment facilities for LPG & off-gas and associated Utilities and Offsites.
- The Integrated Refinery Expansion Project (IREP) of BPCL Kochi Refinery aims to increase refining capacity from present 9.5 MMTPA to 15.5 MMTPA, including modernization of refinery to produce auto-fuels complying with Euro-IV/V specifications, up-gradation of residue stream from the refinery to value added products and production of propylene as petrochemical feedstock to BPCL's proposed petrochemical complex. Execution of this prestigious project has been entrusted to EIL on EPCM mode. The IREP comprises of CDU/VDU, DHDT, VGO-HDT, FCCU,

DCU, associated utilities including CPP and off-site facilities. Along with above facilities, BPCL also intends to revamp and convert its existing Naphtha Hydro-Desulfurization (NHDS) and Semi-Regenerative Reformer (SRR) unit to a Naphtha Hydrotreater-Isomerisation (NHT-ISOM) unit to produce high octane Isomerate from light naphtha as a blend stream for production of Euro-IV gasoline. Process packages for all licensed units have been received. Engineering and procurement activities are gaining momentum while site grading and civil/structural works are in progress.

- A Tail Gas Treating Unit (TGTU) is being installed at HPCL Vizag Refinery using indigenous technology developed by EIL (R&D). The process objective of TGTU is to convert all sulphur bearing compounds present in Claus Tail Gas to Hydrogen Sulphide and to recycle the recovered Hydrogen Sulphide to existing sulphur recovery unit to achieve a recovery of 99.9%. This is an achievement for EIL in implementing the Company's in-house technologies. Basic Engineering for the project is completed and detailed engineering is in progress.
- EIL is also providing PMC services for implementation of 366 MW Captive Power Project (CPP) of IOCL's 15 MMTPA Paradip Refinery Project. Engineering & procurement are in advance stage of completion and construction activities are progressing in full swing.
- Wax Project of Numaligarh Refinery Limited (NRL) envisages production of paraffin wax and Semi-crystalline wax utilizing inherent properties of Assam Crude. Major engineering and ordering activities are completed and Construction activities for the project are in various stages of execution.

Petrochemicals

During the year, EIL made significant progress on following petrochemical projects:

- Dahej Petrochemical Complex of ONGC Petro-additions Limited (OPaL) is being executed on PMC - LSTK mode. The Project consists of 1100 KTA Dual Feed Ethylene Cracker, HDPE, LLDPE/HDPE SWING Unit, PP units and associated Utilities & Offsites. The Dual Feed Cracker Unit, India's largest dual feed cracker, has been mechanically completed. EIL is closely monitoring the progress of the balance 14 LSTK packages under execution by various International and Indian contractors.

With various innovative action plans worked out with the LSTK contractors, activities of all Process Units (HDPE, LLDPE, PP), Combined Cycle Power Plant,



Integrated Utilities & Offsites, Cooling Towers, Plant & Instrument Air Packages and Warehouses are progressing well. Equipment deliveries are in advanced stage and are propelling the construction towards completion.

- Assam Gas Cracker Project of Brahmaputra Cracker and Polymer Limited (BCPL) is a grassroot petrochemical project, being executed by EIL on conventional EPCM mode. The project encompasses licensed units viz., Ethylene Cracker, LLDPE/HDPE & PP from Lummus Technology USA, INEOS UK and Lummus Novolen Germany respectively besides EIL licensed Gas Sweetening Unit, C2+ Separation Unit, Gas Dehydration Unit, Utilities & Offsites and Pipelines. Procurement of all equipment and award of all construction contracts have been completed. Civil & structural works are nearing completion and mechanical, piping, electrical & instrumentation works are in progress. Once completed, this complex will produce LLDPE, HDPE & PP and availability of these products shall boost the development of plastic industry in the North-East region of the country.
- GAIL Petrochemical Complex - II Project at Vijaipur & Pata consists of Gas Sweetening, Gas Cracker, C2/C3 recovery, LLDPE/HDPE Swing, Butene-I Units as well as Utilities & Offsites. The Gas Processing Unit (GPU) at Vijaipur, at a capacity of 21.71 MMSCMD, is one of the largest gas plants being designed in the world for recovery of C2/C3 fraction as feed to GCU.

Major long lead items such as Compressors, SS column/vessels, Heat Recovery Steam Generators, Utility boilers, STGs etc. have been received at site. Civil and structural activities at site are in advance stage of completion. Major focus has been on composite mechanical contracts which are progressing in full swing for both the complexes at Vijaipur and Pata.

- The Butadiene Extraction Unit (BDEU) of IOCL's Panipat Naphtha Cracker Project (PNCP) is being executed on EPCM basis. The 138,000 TPA capacity unit has been licensed by CB & I Lummus and it is nearing completion.
- The Butene-1 Unit of PNCP is being executed on OBE basis. The 20,000 TPA capacity unit has been licensed by Axens, France. Detailed engineering and ordering activities are in the advanced stage of completion. All major long lead items such as Thin Film Evaporators, Pump Around Coolers, Pumps etc have been ordered much in advance and delivery of the equipment has

started. Civil/structure works at site are progressing well and mechanical works have also commenced.

Pipelines

EIL has established a strong track record of executing cross country pipelines for transportation of crude oil, refined petroleum products, natural gas and LPG. The Company is not only working with its traditional clients like GAIL, ONGC & BPCL but has also aligned with new clients such as GSPL & its Joint Ventures in pipeline projects. Building on its success of securing the Mehsana-Bathinda Gas Pipeline project from one of GSPL's JVs, EIL could further establish its marquee project execution capabilities, by obtaining another major pipeline project from the client i.e., Mallavaram-Vijaipur-Bhilwara project that spans a total length of 1765 kms including spur lines of sizes upto 36".

Based on the DFR prepared by EIL for Augmentation and Modernization of Pumping Stations of Naharkatiya-Barauni Crude Pipeline of Oil India Limited, the Company was entrusted the responsibility of providing EPCM services for the execution of the project.

The following pipeline projects have been successfully completed during the year:

- 36"/30"/24"/18" x 995 km Dabhol-Bangalore Natural Gas Pipeline of GAIL.
- Last Compressor train of the Vijaipur Compressor Station of Vijaipur-Dadri-Bawana Pipeline System.
- LNG terminal of RGPPL at Dabhol which has started receiving LNG cargos.

The following major pipeline projects are in progress:

- 36"x860 km Mehsana-Bathinda Pipeline along with 24"/18"/16"/8"x726 km Spurlines for GSPL.
- South Jetty Development Pipeline project for loading/unloading of petroleum products and crude oil for IOCL Paradip Refinery. This jetty will handle a wide variety of oil & gas products including crude and is first of its kind in India.
- 12"x100 km, Hazira-Dahej Naphtha Pipeline for ONGC.
- Two additional Compressor stations at Chainsa (Haryana) and Kailaras (Madhya Pradesh) on Vijaipur-Dadri Pipeline of GAIL.
- 10" x 26 km LPG Onshore/Offshore Pipeline from BPCL/HPCL Mahul Refineries to Uran for BPCL.



- 18"/16" x 275 km Natural Gas Pipeline from Vijaipur to Kota and Spurline to Chittorgarh for GAIL.

City Gas Distribution

City Gas Distribution (CGD) was identified as a high growth potential sector due to inherent advantage of gas as a clean fuel. EIL believes that its vast experience in executing Pipeline and Urban Infrastructure projects can be leveraged for entry into City Gas Distribution as an Owner/Operator. The regulatory environment for CGD continued to undergo changes and EIL is carefully examining the situation based on its strategic interests and looking forward to taking a calibrated view of its entry into this area.

Offshore Oil & Gas

EIL has completed the following assignments in Offshore Oil & Gas sector during the year:

- PMC services for Marine and Topside Facilities for Standby Jetty of Dahej LNG Terminal of Petronet LNG Limited (PLL). The Standby Jetty is designed to moor and offload LNG carriers with capacity of 125,000 m3 to 266,000 m3.
- Pre-award services to ONGC for turnaround reconstruction works of BPA & BPB Platform Complexes.
- Integrated offshore crude handling facilities project of IOCL at Paradip. The facilities include installation of two SPMs and 71 km subsea pipelines.
- Engineering Study for HAZOP action points of Umm Shaif and Zakum facilities in Abu Dhabi of Abu Dhabi Marine Operating Company (ADMA-OPCO).

The following Offshore Oil & Gas projects are currently under execution:

- Well-head platform, Process-cum-Living Quarters Platforms and submarine pipelines of Deen Dayal Field Development Project of GSPC at Mallavaram, Andhra Pradesh. Significant progress has been achieved in this project. Fabrication and assembly works for the various modules of platforms & connecting bridges were carried out and subsequently installed at offshore location.
- SPM and Associated Facilities Project of MRPL at Mangalore are being executed by EIL on OBE basis. With implementation of these facilities, MRPL shall be able to import crude by VLCC Tankers of up to 3,00,000 DWT capacity resulting in considerable cost savings.

- Project Management Consultancy services are being provided for South Oil Jetty of IOCL at Paradip.
- Re-qualification and re-certification of 50 (nos.) offshore jackets for ONGC.
- Front-End Engineering Design (FEED) for New Gas Injection, Gas Lift, Oil Facilities for 7 (nos.) well head platforms in Upper Zakum facilities of Zakum Development Company (ZADCO), Abu Dhabi.

During the year, EIL bagged the following orders against stiff competition:

- Consultancy services for preparation of FEED package and LSTK Tenders for following projects of Petronet LNG:
 - Storage Tanks and Re-gasification Terminal for capacity expansion of Dahej LNG Terminal from 10 MMTPA to 15 MMTPA. The FEED package and tenders have been prepared and handed over to PLL.
 - Marine Works, Storage Tanks and Re-gasification Terminal for 5 MMTPA Gangavaram LNG Terminal.
- Consultancy services for pre-award activities for ONGC NQRC Phase-II project including new Living Quarter Platform.
- Consultancy services for preparation of detailed feasibility study report for Naval System Ocean Station "MAINAK".
- Detail Engineering & Procurement services for long lead items for Slops System Rehabilitation & Drains Upgrade at Umm Shaif Super Complex (USSC) of Abu Dhabi Marine Operating Company (ADMA-OPCO), Abu Dhabi.

Onshore Oil & Gas

- Gujarat State Petroleum Corporation (GSPC), as a part of Deen Dayal Field Development Project, is implementing an Onshore Gas Terminal (OGT) facility at Mallavaram. The project is being executed on OBE mode and consists of two trains of 100 MMSCFD each with GDU, GSU, DPDU, CSU, Sulphur Recovery unit and associated Utilities & Offsites. A unique execution methodology has been adopted for CPP of the project wherein BHEL has supplied the equipment & material and all installation/testing activities are being directly executed by EIL.

This year has witnessed significant progress with the major achievement being erection of all heavy lifts



equipment, compressors and GTG. Presently, piping, electrical & instrumentation works are in full swing. Phase-I of raw water feeder pipeline has been commissioned.

- EIL is implementing the Western Onshore Redevelopment Project (WORP) of ONGC on PMC basis. The Project entails revamp of onshore assets for 90 installations at Ahmedabad, Ankleshwar and Mehsana. The modernization plan shall ensure sustainability of oil and gas production from old ageing fields to handle increasing level of liquid, its efficient processing and declining pressure. The Project will also meet sales specifications of crude oil and better safety & reliability requirements. All 7 (nos.) technical bid packages for the project have been prepared, based on which EPC tendering activities have been initiated by ONGC.
- EIL has prepared FEED Packages for implementation of Enhanced Oil Recovery System through Polymer Injection at Mangala Oil Fields of Cairn India Limited at Barmer, Rajasthan. The Company is also providing PMC services for Cairn's Associated Facilities Project at Mangala Processing Terminal. Associated Facilities comprise of Storage Tanks & Export System, Power Generation & Distribution System and Integrated balance works which shall enhance production capacity of the Terminal from 100 KBOPD to 175 KBOPD. Engineering and ordering activities are in advance stage of completion while construction activities are in progress.
- EIL has also completed PMC services for ONGC's Additional Gas Processing Facilities (AGPF) Phase-IV at Hazira.

Strategic Storages

Energy security is of strategic importance in the current global geo-political climate. Taking cognizance of the nation's heavy dependence on imported crude oil, Government of India (GoI) is creating facilities for storage of crude oil using underground unlined rock cavern storage technology.

Under the Strategic Storage Program (Phase-I) of GoI, EIL is providing PMC services for crude oil storage projects presently under construction at three locations viz., Vishakhapatnam, Mangalore and Padur (Karnataka). During the year, significant progress has been achieved at all the three locations.

EIL has been striving to adopt the latest technologies for cavern storage and engaged foreign back-up consultants for the projects at Vishakhapatnam and Mangalore. Through this process of knowledge assimilation, EIL has been able to execute the project at Padur without engagement of any foreign back-up consultant except review by experts for design of critical items related to the containment of stored products.

Under Phase-II of the Strategic Storage Program, EIL was assigned to prepare DPRs for storage of crude oil in unlined rock caverns at Padur & Chandikhol (Odisha); in-ground concrete tanks at Rajkot (Gujarat) and solution-mined salt caverns at Bikaner (Rajasthan). As storage in solution-mined salt caverns and in-ground concrete tanks are to be implemented for the first time in the country, foreign back-up consultants were engaged during the preparation of DPR. The DPRs for the aforesaid four selected sites have been completed and are under review by ISPRL.

Metallurgy

The following key Metallurgy projects were completed or are under advance stage of completion:

- Engineering services to Aditya Aluminium Smelter (capacity 360,000 TPA) project of Hindalco Industries Ltd.(HIL) at Lapanga, Odisha have been completed.
- Revalidation of Pre-feasibility Report of Aluminium Smelter & Captive Power Plant (CPP) Project of NALCO at Sundargarh, Odisha has been completed.
- Study and preparation of detailed scope towards technical consultancy services for capacity utilization of Mishra Dhatu Nigam Limited, Hyderabad has been completed.
- Fourth Stream Upgradation Project (from 0.525 MMTPA to 0.7 MMTPA) of NALCO Alumina Refinery at Damanjodi is under advance stage of completion.
- Engineering and procurement services for Fume Treatment Plant (FTP) at NALCO, Angul are nearing completion.
- Rectifier Replacement of Hirakud Smelter of HIL is under advance stage of engineering.

Infrastructure

In the Infrastructure sector, EIL is providing various services such as Project Management, Third Party Inspection, Quality Assurance, Independent Engineer & Lender's Engineer, Project Appraisal and project execution on 'Deposit

Concept'. The Company has executed projects for many reputed organizations which include:

- PSUs/Autonomous Organizations: Oil Industry Development Board, Rajiv Gandhi Institute of Petroleum Technology, Oil & Natural Gas Corporation, Hindustan Petroleum Corporation Limited, Airports Authority of India and Sardar Sarovar Nagar Nigam Limited.
- Urban Development Agencies: Municipal Corporation of Delhi, New Delhi Municipal Council, Jaipur Development Authority, Delhi Jal Board and Pune Municipal Corporation.
- Educational Institutions: Indian Institutes of Technology, Delhi University, Institute of Genomics & Integrative Biology, Regional Centre for Biotechnology and Indian Institute of Information Technology.
- Ministries: Ministry of Home Affairs and Ministry of Environment & Forests.
- Airports: Delhi International Airport Limited, Mumbai International Airport Limited and Bangalore International Airport Limited.
- Other statutory bodies: Unique Identification Authority of India, Department of Income Tax etc.
- International clients: GASCO.

The current year marked EIL's foray into infrastructure projects in the international market also. The Company secured the job for Annual Inspection of facilities for GASCO against stiff competition. The services were completed within the contractual period.

Efforts are being made to secure more projects in Airports, Sustainable Urban Development, Intelligent Green Buildings etc.

The following infrastructure projects were completed during the year or are under advance stage of completion:

- Construction of Data Centre Complexes for UIDAI at Manesar & Bengaluru.
- Technical Audit of project cost estimate incurred by Mumbai International Airport Limited.
- Technical Audit of automotive test track at Pithampur.
- Bid Management services for up-gradation of ONGC Nhava Supply Base.
- Construction of Institutional Buildings for Delhi University and Rajiv Gandhi Institute of Petroleum Technology at Jais (U.P.) & Sivasagar (Assam).
- Construction of Biotech Science cluster at Faridabad.

Fertilizers

Fertilizer sector is expected to achieve significant growth in near future. Recognizing this, EIL has embarked on leveraging its capabilities and global network to develop competencies in fertilizer sector. By virtue of consistent efforts, EIL's re-entry into fertilizer sector has culminated into successes.

The following initiatives and assignments in fertilizer sector are worth mentioning:

- Fertilizer Association of India (FAI) entrusted EIL with the preparation of Cost Estimates for both Brown Field and Green Field Projects with capacity of 2200 TPD Ammonia and 3850 TPD Urea with all associated facilities so as to enable FAI to give requisite input for formulation of new Urea Policy. EIL has successfully completed the assignment.
- Detail engineering assignment for Indogulf Fertilizer for their revamp project of Ammonia and Urea plant at Jagdishpur is nearing completion.
- Capitalizing on the availability of cheap feedstock at strategic overseas locations for new fertilizer projects, EIL roped in its global network to bag some key international projects. PMC services for world's largest single train Urea plant complex in Nigeria for Indorama is a recent success in this area. Efforts are on to maintain this momentum by securing more upcoming fertilizer projects in India and abroad.
- EIL is considering an investment in joint venture for revival of FCIL- Ramagundam Fertilizer Project.

Water and Waste Management

In this sector, EIL has secured a consultancy assignment for developing a Tertiary Treatment Reverse Osmosis plant at Koyambedu, Chennai. The Company intends to focus on integrated water management covering the gamut of water block packages, source apportionment studies etc. EIL will continue to target engineering consultancy, PMC opportunities as well as EPC projects in this sector.

Power

EIL continued efforts to ramp up its power sector operations and secured additional business in Nuclear, Solar & Conventional Thermal Power projects.



• Nuclear

In Nuclear sector, EIL has secured a major project from Nuclear Fuel Complex (a unit of Deptt. of Atomic Energy) for providing Detailed Engineering Consultancy Services and Construction Supervision for certain key processes of a Greenfield Nuclear Fuel Complex at Kota, Rajasthan. This new complex will produce Natural Uranium Fuel bundles to cater to the fuelling requirements of new 700 MW Nuclear Power Plant being setup by NPCIL.

EIL also bagged an assignment from Heavy Water Board for carrying out Design Adequacy Re-Evaluation of Equipments, Structures and Piping systems of Heavy Water Plant, Manuguru. NPCIL entrusted EIL with additional assignments for Kudankulam Nuclear Power Project Unit – 3 & 4 leveraging the Memorandum of Cooperation between the companies.

• Conventional Thermal Power

EIL has bagged the order for DFR for 22 MW CPP expansions of ONGC, Uran. In addition, EIL has been awarded PMC services for installation of 160 TPH Utility Boiler Package at BORL, Bina with completion schedule of 15 months.

EIL is presently providing EPCM services for CPP of IREP, Kochi as also for GAIL at Pata & Vijaipur i.e. by designing and integrating separate package for Gas Turbines, Utility Boilers, HRSGs and BOP.

EIL has also made an entry into 660 MW supercritical power area by providing Specialist Consultancy Services viz. Verification of Contracting strategy, Cost Implication of Side Mill v/s Front Mill Arrangement, Life Cycle Operation and Maintenance (O&M) Schedule for 2x660 MW capacity coal fired supercritical thermal power plant of Odisha Power Generation Corporation (OPGC) at Jharsuguda, Odisha.

• Solar

EIL recently completed 5MW Solar PV Power Project (under National Solar Mission Phase-I, Batch-II) of GAIL well within the given schedule of 11 months. The plant is continuously generating power and feeding to the Rajasthan State Grid.

Engineering assignment for 1 x 125 MW Solar Thermal Power Project of Reliance is nearing completion. In recognition of EIL's proactive approach in the project, EPC contractor AREVA has entrusted EIL with five additional add-on orders for Engineering Consultancy Services for Civil/Structural Design, Design & 3D modeling of Interconnecting Piping Systems, Earthing/Lightning

Protection, E&I & Communication Network of Solar Block and inspection & construction supervision services.

Turnkey Projects

EIL is executing turnkey projects either on LSTK mode or on the 'Open Book Estimate (OBE)' basis. Substantial progress was made in following OBE jobs during the year:

- Mangalore Refinery Expansion Phase-III project of MRPL consists of 3 nos. OBE convertible to LSTK jobs viz., PFCC, SRU Block and PP. Out of these, SRU block is mechanically completed and partly commissioned; PFCC is mechanically completed and is under commissioning. Construction activities are in progress for PP unit.
- Further, SPM and associated facilities for MRPL Phase-III project is being executed on OBE mode.
- South Jetty Development Pipeline project for loading/unloading of petroleum products and crude oil for IOCL Paradip Refinery progressed well.
- The Onshore Gas Terminal Project of GSPC at Kakinada, Andhra Pradesh achieved significant progress during the year. Mechanical, Electrical and Instrumentation activities of the project are in full swing.
- For 20,000 TPA Butene-1 Unit of IOCL's Panipat Naphtha Cracker Project (PNCP), detail engineering and procurement activities are in the advanced stage of completion.

Overseas Assignments

EIL's global expansion plans were bolstered during the year with the securing of following assignments:

- Technical services to WIKA for 10,000 TPA Bitumen Plant in Indonesia.
- Technical support services to GASCO, Abu Dhabi.

Following assignments have been completed or good progress has been achieved during the year:

- Design & detail Engineering Services contract with EPC contractor NPCC for Qusahwira Field Development (1.8 MMBOPD) project of ADCO, Abu Dhabi has been completed. Project consisted of two gas & crude receiving/separation stations, 43 oil/gas/water injection wells, and 102 km long crude/gas transfer pipelines. EIL teams stationed at Abu Dhabi are presently supporting construction work.



- Design, engineering and preparation of FEED Package for 431 MMSCFD New Flare System at Central Gas Processing facilities, Turkmenistan for Dragon Oil (Turkmenistan) Ltd, Dubai was completed during the year. With this, a new beginning was made with an important client in Dubai.
- EIL is providing PMC services for Rehabilitation and Adaptation Projects of Skikda and Algiers Refineries of SONATRACH, Algeria. In both the Refineries, various processing units and associated utilities/offsites are being revamped. New Secondary Processing units are also being added. As part of PMC contract, EIL has completed the Phase I & II i.e. FEED and Technical evaluation of bids. Phase-III i.e. managing implementation and commissioning of projects is in progress.
- PMC Services for EPC Phase of Habshan Acid Gas Flare Recovery Project of GASCO, Abu Dhabi is progressing well.
- Engineering services assignments of BAPCO, Bahrain was completed during the year.
- EIL is also providing PMC services for 5 nos. Pipeline Projects of GASCO.
- Kochi, resulting in significant reduction in steam consumption.
- Feasibility Study & incorporation in specification for Pure & Purge oil mist lubrication for increase of bearing life of pumps of IREP, BPCL-Kochi.
- Incorporation of innovative ideas of Long Term Service Agreement and exhaust gas energy loading in Engineering for Procurement of 3x34.5 MWe Gas Turbine Generator Packages thereby specifying bid comparison based on life-cycle costing concept.
- Feasibility study and engineering for procurement, for the first time, of 2x25 Mwe & 1x 9 Mwe Steam Turbine Generator Packages for GAIL-Pata Project & 1x15 Mwe Steam Turbine Generator Packages for GAIL-Vijaipur Project.
- Study report on comparison of Gas Engine Generator with the conventionally used Gas Turbine Generator of about 8.5 MW rating for Gangavaram LNG Plant based on the life-cycle costing concept.
- Study report on comparison of Gas Engine Generator of 25-500 KVA rating with similar rating Diesel Engine Generator conventionally used on Pipeline SV stations for Mallavaram-Bhopal-Bhilwara-Vijaipur Pipeline based on life-cycle costing concept.

Engineering

During the year, the Engineering Division of EIL continued with efforts towards providing efficient and value added services for all ongoing projects of the Company. Special focus was put on improvement of systems, 3D Model based working, automation & customization of work processes, smooth and trouble free data transfer and information exchange as well as training and manpower development. Some of the major assignments completed during this period are given below:

- Engineering for procurement, for the first time, of Hot Gas Power Recovery Expander Generator of 12 MWe rating handling hot flue gases at around 760 °C for FCC unit of IREP, BPCL-Kochi Refinery.
- Engineering for procurement, for the first time, of a multi-stage inert gas vacuum package for Wax Plant of NRL comprising of a hybrid system of roots blower, liquid ring vacuum pump and liquid ring compressor handling gas between inlet vacuum of 0.1 ata and discharge pressure of 2.3 ata.
- Feasibility study and engineering for procurement, for the first time, of a hybrid ejector vacuum pump package for CDU-4 Project, BPCL-Mumbai & CDU of IREP, BPCL-
- Development of Design Basis Reports/Specifications for NFC-Kota Composite facility for PHWR Fuel Fabrication Facility & TPY Zircaloy Fabrication Facility at Rawatbhata, Rajasthan.
- Generation of Concept Notes, Design Basis report, Technical Specifications, Scope of supply etc. for all package items including HVAC, Centrifugal Chillers, Hydrogen and Oxygen generation package, Material handling etc. for Balance of Plant area of Kudankulam Nuclear Power Plant of NPCIL.
- Design, engineering and construction of facilities for the manufacture of fuel bundles for various nuclear power plants of Nuclear Fuel Complex. The complete detailed engineering including new schemes for automation of the plant is being done by EIL.
- Engineering for procurement including basic design and engineering of Petroleum Coke Handling system (total conveying length of approx. 3 Km) for Integrated Refinery Expansion Project, BPCL-KR at Kochi having 3 Pipe Conveyors of design capacity 750TPH and fully covered and environment friendly Coke Storage Yard of 120 m diameter with circular type Stacker-cum-Reclaimer.



- Engineering for procurement, for the first time, of Wax slabbing and packing machine for NRL Wax Project.
- PMC services for 5MWe Solar Photo Voltaic Power project of GAIL in Rajasthan.
- Detailed engineering of 15 MW Captive Power Plants of GAIL at Pata & Vijaipur.
- Detailed engineering of 125MWe Solar Field of Areva at Jaisalmer.
- Detailed engineering of 129" diameter Refractory lined piping of RR Section of PFCC unit of BPCL Kochi.
- Fully Automated hydraulic operated Instrumentation Safety Shutdown system for Unmanned Offshore Well Head Platform of ZADCO, Abu Dhabi.
- Study and analysis for implementation of Radiological Safety for Nuclear Fuel Complex, Rajasthan for compliance with enhanced safety regulations of AERB.
- Integrated perimeter security and surveillance system, anti-intrusion detection system for first time in Nuclear Fuel Complex of NPCIL.
- Detailed feasibility report for the construction of Offshore Missile Launching Platform and Torpedo control for Naval Science Technology Laboratory (NSTL), Vizag.
- Design of remote metering and monitoring of Solar Steam Generator (SSG) of Solar field area project with about 200 nos. of Reflector Control Panel (RCP) of RSTEPL, Rajasthan of Reliance Group.
- Design of LNG Double walled cryogenic storage tank prototype for 1,60,000 m3 capacity.
- Engineering & installation of heavy weight columns of 1200 MT (C3 Rectifier & C3 Stripper) for MRPL – PFCCU and very heavy walled SS vessel of 126 thk for GAIL Vijaipur.
- Engineering for C3 Splitter column in GAIL Pata. Optimal size was suggested to licensor resulting in about 100 MT saving.
- Design of Heat exchangers with double bundles for BCPL and HP Exchanger DEU type for NRL & GSPC for the first time.
- Design & procurement for 9% Ni steel sphere for OPaL.
- Techno-commercial feasibility study for Aluminium Dome roof tanks.
- Software for Vessel design for nuclear applications as per ASME Section III is being developed.

Project Services - Planning

Planning Division continued to provide critical planning services to various projects. Using state-of-the-art tools and its database, the division caters to diverse project execution roles of the Company viz. EPCM, PMC, LSTK/OBE.

Planning Division utilizes Primavera, PERT Master and various in-house software packages for project planning, scheduling, monitoring, project risk management and material control activities both at Head Office and various project sites. Apart from providing services for all the projects undertaken by EIL, the Division continued to provide project monitoring services to Ministry of Petroleum and Natural Gas. This Division also supports man-hour control, manpower planning, project risk management and project drawing/material control activities of the Company.

Project Services - Costing

Costing Division provides services such as preparation of cost estimates and economic analysis in diverse activities ranging from technology selection to preparation of feasibility reports. It also provides other project cost related support such as cost monitoring and control during execution of projects under conventional and LSTK mode of execution. The vast database and capabilities help in providing valuable support for bid evaluation and award of major contracts as well as in providing effective cost control services.

Construction

Construction Division continued to provide Construction Management Services for various clients at 37 domestic project locations and 6 overseas locations. The Division offers services for total Construction Management including Contract Administration, Construction Quality Surveillance, Feedback Analysis, HSE and Warehouse Management for projects in Petrochemicals, Refineries, Cross-country pipelines, Gas Processing Complexes, LNG Terminals, Non-ferrous Metallurgy and Offshore industry.

Concurrent prestigious commitments for the Division include MRPL Phase-III involving 4 OBE contracts (except PPU all others are in commissioning phase), OPaL Petrochemical at Dahej, BCPL Lepetkata, OGT, GSPC Kakinada, Wax project, NRL, DBPL Pipeline, Integrated Refinery Expansion Project at Kochi, CDU/VDU-IV Project at Mumbai for BPCL & PMC service for Mangala Field Development Project for Cairn Energy at Barmer.

Construction activities commenced for the following major projects during the year:

- Integrated Refinery Expansion Project of BPCL, Kochi
- CDU/VDU-IV Project of BPCL, Mumbai
- Mumbai-Manmad-Manglaya-Bijwasan Pipeline (MMBPL) capacity augmentation Project of BPCL
- Butene-1 of IOCL at Panipat on OBE basis
- Hazira-Dahej Naphtha Pipeline (HDNPL) Project of ONGC
- Mangala Field Development Project of Cairn Energy at Barmer.

The highly skilled & motivated EIL construction team has been instrumental in establishing & monitoring adherence of construction Quality Management system comprising of Quality Plans, test plans including record keeping (FIR), monitoring special processes for concreting, welding (involving latest NDT techniques, radiography, ultrasonic test etc) during all phases of construction to ensure trouble free commissioning/operation of critical units.

EIL attaches high importance to HSE policy in execution of all its projects and achieved following accolades:

- 50 million LTA free man-hours at Dahej Petrochemical Project of OPaL.
- 50 million LTA free man-hours at Assam Gas Cracker project of BCPL.
- Certificate of Appreciation by National Safety Council for PFCCU Project of MRPL.
- 18.04 million LTA free man-hours at DBPL project of GAIL.
- 12.4 million LTA free man-hours at Petrochemical Complex-II project of GAIL.
- 40 million LTA free man-hours at Rehabilitation & Adaptation of Skidda Refinery Project, Algeria for SONATRACH.

Five officers from Construction acquired the certification of OHSAS 18001 lead auditor course.

Process Design & Development

Prominent jobs undertaken by the Process Design and Development Division during the year include the following:

- Detailed Feasibility Report for Integrated Refinery Expansion Project of BPCL's Kochi Refinery from 9.5 to 15.5 MMTPA capacity by value addition of streams and bottom up gradation facilities. Other activities carried out on this project are:
 - Process Design of open art Units like CDU/VDU, SWS, ARU and Utilities and offsites and over all integration of all facilities.
 - Licensor Selection and Detailed Engineering activities for the Petrochemical FCC, DCU, VGO HDT, TGTU, DHT units.
- Detailed Feasibility Report for Coal to Liquid Project for Government of Meghalaya.
- Study for production of 100% EURO-IV Grade Gasoline for Numaligarh Refinery Limited.
- Pre-feasibility Report for Nagarjuna Oil Corporation Limited for expansion of Cuddalore Refinery from 6 MMTPA to 12 MMTPA.
- Techno economic feasibility study for 6 MMTPA expansion of Numaligarh Refinery for identification of most optimum configuration for processing 100% PG crude.
- Capacity expansion and configuration study for IOCL's Gujarat and Panipat Refineries for additional crude processing and value addition.
- Process Design and Engineering Package for Visbreaker Unit at IOCL's Mathura Refinery & HPCL's Vizag Refinery and achieving incremental yield by replacement of Soaker Internals in collaboration with IIP, Dehradun.
- Installation of Waste Heat Boilers in the Biturox unit of Mathura Refinery to enhance Waste Heat Recovery from flue gases by achieving steam generation.
- Techno economic feasibility study for Ethylene Derivative project at IOCL's Paradeep Refinery to examine various possible options of monetizing the Ethylene from FCC off gases.
- Detailed feasibility report for a state-of-the-art Refinery-cum-Petrochemical Complex for HPCL in Rajasthan. The refinery capacity is 9MMTPA, with maximization of Petrochemicals like Polypropylene and Polyethylene.
- Consultancy service for licensor selection and detailed feasibility study for Polybutadiene Rubber Project of GAIL & ONGC to be set up at Dahej, Gujarat. The project intends to utilize the 1-3 Butadiene produced from



OPaL, Dahej and produce 110 KTPA Polybutadiene Rubber.

- Detailed feasibility study for a Propylene-based Petrochemical Complex at Kochi. This project, to be set up in JV mode by BPCL and LG Chem, intends to produce Oxo alcohols, Acrylic Acid, Acrylates and SAP from Propylene produced from BPCL's Kochi Refinery.
- Due Diligence study for 6 MMTPA Cuddalore Refinery of Nagarjuna Oil Corporation Ltd. for ONGC.
- Detailed feasibility report for production of Cumene/Phenol for GAIL by utilizing 50 KTPA Propylene produced at the Company's Pata Complex.
- Configuration study and detailed/feasibility study report for HPCL's Mumbai Refinery for capacity expansion from 7.5 MMPTA to 9.5 MMPTA.
- Utilization of C4 streams from Panipat Naphtha Cracker Complex to produce MTBE, Butene 1, MMA and PMMA.
- Configuration study and capacity expansion study for BPCL's Mumbai Refinery for enhancing crude processing from 12 MMTPA to 14 MMTPA.
- Successfully commissioned 3 MMTPA CDU/VDU designed for processing Arab Mix and Mumbai High Crude for MRPL.
- Successfully commissioned ONGC's Hazira Gas Processing complex with MDEA based Gas Sweetening Unit, Gas Dehydration unit and Dew Point Depression unit.
- Residual and detailed engineering of Wax Production facilities of Numaligarh Refinery.
- Residual and detailed engineering of a grassroot Crude Distillation Unit (CDU-4) at BPCL's Mumbai Refinery for 6.0 MMPTA crude processing capacity.

Research & Development

It has been EIL's endeavour to foster the spirit of innovation and creativity in the organization in order to continuously enhance the quality of its services to clients by providing value addition and leveraging technological advances. Research and Development (R&D) Division plays a significant role in achieving this objective by way of consolidation of existing capabilities, development of new technologies & hardware and enhancement of the portfolio for special technology related services. R&D Division is pursuing developmental activities, both in house and in collaboration with academic institutes, other R&D

organizations like IOCL-R&D, IIP, BPCL (R&D) and cooperating with smaller companies to promote the creative ideas generated by them.

During the year, the Division has undertaken the following initiatives for development of new capabilities and up-gradation & commercialization of existing capabilities:

- The major initiative taken this year was preparation of R&D Policy and detailed R&D Plan and its approval by the Board of the Company.
- The R&D Division completed the identified projects under MoU with MoP&NG well in time.
- An MoU was signed with Forbes Marshall Pvt. Ltd. to work jointly on developing 'Energy Efficient Steam Traps', developing 'Large Size Ejectors' for suitable applications and offering 'Energy Audit Services' to chemical industries wherever possible.
- Enhancement of Computational Fluid Dynamics (CFD) facilities/capabilities by up-gradation of FLUENT 6.3 2007 release to ANSYS FLUENT release 14.5 and installation of the same on dedicated workstations. CFD modelling extensively deployed in the ongoing projects such as CTL, Improved Feed Inlet Device for columns and also in several troubleshooting and safety studies.
- The Centre for High Technology (CHT) sponsored Coal to Liquid (CTL) technology development project undertaken in association with BPCL (R&D) is progressing well.
 - Micro & bench scale reactors have been procured and installed at BPCL and kinetic studies completed.
 - At EIL, cold flow slurry bubble column pilot facility has been installed. The data generation and analysis have been completed.
 - Procurement of pilot facilities for Synthesis Gas clean-up pilot facility is in progress.
 - Fabrication of gasifier and civil work is in progress.
 - Thermo Gravimetric Analyzer (TGA) for Coal/ Feed characterization has been Commissioned and experimental work has commenced as part of Gassifier Development.
- Technology development projects initiated during the year:
 - Development of Process Design for Ammonia



Recovery from Sour Water Stripper ammonia rich stream by converting to ammonium sulphate project has been completed successfully.

- Development of Process Design for CO₂ Recovery from flue gas by Amine solvent project has been completed successfully.
- Development of Pinch analysis capability for minimization of waste water and fresh water usage. Based on the capability developed, EIL secured two jobs for minimization of fresh water usage and waste water generation using pinch technology at Gujarat and Guwahati refineries which are under execution.
- Technology commercialization:
 - FGH technology indigenously developed by EIL and IOCL has been adopted by Guru Gobind Singh refinery (HMEL). The unit commissioned in May 2012 is producing food grade hexane (IS 3740-2002).
 - Activities have started for setting up demonstration unit at Guwahati refinery for demonstration of INDADAPT technology developed jointly by IOCL & EIL for deep desulphurization of gasoline with funding from OIDB. Basic design package for the unit completed in association with Process Department.
 - R&D has successfully completed the job of preparing BDEP for the High Melting Explosive (HMX) production unit of Terminal Ballistic Research Laboratory (TBRL). This is a DRDO project of national importance. Working in close association with scientists from TBRL, the plant capacity has been scaled up and a significant level of automation has been achieved.
 - EIL continued its successful commercialization of CFC technology developed along with IOCL-R&D. Three more LPG treating units (one unit for BPCL Mumbai and 2 units for BPCL Kochi) have been designed based on this technology.
 - Developed basic design and engineering package for flue gas Desulphurization for Demonstration of SO₂ Recovery Process (SOR) Technology at NRL.
- Based on its capability for setting up Laboratory facilities, R&D has been instrumental in securing the following jobs:
 - PMC role for setting up laboratory facility for Quality Control (QC) Lab of OPaL
 - PMC role for setting up laboratory facility for QC Lab of Paradip Refinery
 - PMC role for setting up laboratory facility for QC Lab of BCPL, Lepetkata
 - QC & HPU Labs for Nuclear Fuel Complex, Kota.
- Patents
 - Based on innovative work done, the Division has filed one patent titled "An apparatus and Method for Treatment of a Sour Stream"
 - A new patent for the "Process for Purification of Liquid Sulphur" has been granted.

With this the number of live patents with EIL stood at 13 with 17 patent applications filed.

Plant Operation and Safety

The Plant Operation and Safety Division (POSD) of EIL continued to provide services in the following areas during the year:

- Process design for offsite facilities of refineries, petrochemicals, gas processing units, oil terminals, onshore terminals, topsides of strategic storages (underground caverns), cross country pipelines, LNG terminals, etc.
- Safety related studies like Hazard and Operability Study (HAZOP), Hazard Identification (HAZID), Risk Analysis & Quantitative Risk Analysis (QRA), Safety Integrity Level (SIL), Safety Audits, Safety Reviews and Emergency Planning.
- Pre-commissioning & commissioning of process plants, Utilities & Offsites in refineries, petrochemical and gas processing areas, terminals of crude oil, product and LNG and pipelines, etc., including total responsibility for LSTK projects and Operating Manuals preparation.

The following major assignments were completed/were in progress during the year:

- Process Package for Dahej LNG terminal Phase-III expansion from 10 MMTPA to 15 MMTPA for Petronet LNG Limited (PLL).
- Process Package for LNG terminal at Gangavaram for PLL.
- Process Package of additional LNG tankage for Shell Hazira Pvt. Ltd.
- PMC services for capacity enhancement of Mangala processing terminal at Barmer for Cairn Energy.



- Process design of offsites facilities for GAIL Petrochemical-II project.
- Process Package for offsites facilities of IREP, BPCL-Kochi.
- PMC services for GASCO Pipelines.
- Process Package for Polymer Injection Pipelines for Enhanced Oil Recovery project of Cairn Energy.
- Process Package for Mehsana-Bathinda Pipeline of GIGL.
- Process Package for revamp of pump stations, terminal and other facilities of the Naharkatiya-Barauni Pipeline of Oil India Ltd.
- Process Package for Mallavaram-Bhopal-Bhilwara Pipeline of GITL.
- DFR for Strategic Storage Phase-II at Rajkot, Padur, Bikaner & Chandikhol for ISPRL.
- Process Package for Dabhol-Bangalore Phase-II Pipeline.
- PMC/EPCM services for Topsides facilities for Strategic Storage of Crude Oil at Padur, Mangalore & Vishakhapatnam for ISPRL.
- Based on in house developed design capabilities, Process Package for design of Vapour Recovery System of MRPL Phase - III project completed.
- Process Package for design of Vapour Recovery System of GAIL Petrochemical-II Project.

The Division has successfully executed the following major commissioning assignments during the year:

- DHDT Project of Bongaigaon Refinery of IOCL which is the first refinery in the country to adopt the indigenous technology developed by EIL-IOCL R&D Consortium.
- CDU/VDU, Utilities & Offsites and ARU, SWS of MRPL Phase-III Project.
- CDU/VDU-II of CPCL, Chennai.
- Additional Gas Processing Facilities of ONGC Hazira.
- SPM and associated onshore and offshore facilities at Mangalore.
- Dabhol-Bangalore Pipeline Phase-I of GAIL.
- Vijaipur Borari loop section of Vijaipur-Kota Pipeline.

- Chainsa & Kailaras Compressors station of Vijaipur-Dadri pipeline.

- LNG Terminal at Dabhol of RGPPL.

The following pre-commissioning/commissioning activities were under progress.

- SRU & PFCC of MRPL Ph-III project.
- GSU, C2+ Recovery units of BCPL, Lepetkata.
- Onshore Gas Terminal of GSPC, Kakinada.
- DFCU, LLDPE Swing, HDPE, PP, Butene-1 units of OPaL, Dahej
- Augmentation of Kota – Piyala section of Mumbai-Brijwasan Pipeline.
- Vijaipur-Kota Pipeline of GAIL.
- Butadiene Extraction unit & Offsite facilities of IOCL, Panipat

The Division continued its efforts in securing new business in both domestic and overseas markets and undertook following major studies during the year:

- Safety Analysis report for construction of Nuclear Fuel Complex, Kota.
- Quantitative Risk Analysis (QRA) for BPCL-Mumbai & IOCL-Mathura Refineries.
- What-if Analysis of SALPG above ground facilities modified portion.
- HAZOP studies for various units of GAIL Petrochemical-II project.
- HAZOP study for Hydrocracker unit and SRU/ARU/SWS units of BAPCO, Bahrain
- Setting up of BAPCO's ICS Laptop based on PHAST Runs on Risk Scenarios.
- Gas Dispersion modeling study of release to atmosphere from safety valve in GCU GAIL, Pata.

New business initiatives like O&M services to industry are in progress.

Heat and Mass Transfer

The Heat and Mass Transfer Division (HMTD) of EIL continued to provide thermal/hydraulic/mechanical designs for Fired Heaters, Cast/Glass Air Preheaters, Mass Transfer Systems (column trays/packing etc), Sulphur

Recovery Equipments and Ejectors in addition to thermal design of Heat Exchangers & Air Coolers for various projects including BPCL-IREP, BPCL-CDU-4, GAIL etc.

Further, equipment of Utility Boiler and Heat Recovery Steam Generator (HRS) were also included in HMTD's area of operation.

The Division also continued to provide process services for offshore jobs of ONGC, GSPC, ZADCO and ADMA-OPCO.

The Division undertook many jobs where various innovative /value added specialist services like feasibility study, troubleshooting were provided. Some of the key achievements are as follows:

- A prestigious job was undertaken for conceptual study and design for HC removal from existing glycol regeneration unit of ZADCO, Abu Dhabi. Study broadly covers identification of root cause, possible mitigation measures and suitability for installation of selected equipment within existing space constraints. Second phase of the project includes design and engineering of the scheme selected with client and preparation of EPC scope of work.
- HMTD in association with EIL R&D has developed BDEP for the Desulphurization system of INDADeptG process. This system is based on Caustic scrubbing for removal of SO₂ from the circulating combustion air system for INDADeptG unit of IOCL-Guwahati Refinery. Salient features of this system include in-house development of process scheme using Caustic as reagent; De-SO_x system expected to bring down SO₂ in circulating gas to as low as 50 mg/Nm³; Effluent generated from the system can be treated in ETP and disposed off safely. The unit is configured to have minimum number of equipment and smaller plot space.
- HMTD provided services to IOCL, Mathura for Revamp of CDU heaters corresponding to 11 MMTPA including replacement of convection sections, burners. The job included complete health assessment and execution in modular form after identification of constraints. Basic engineering data along with burner technical / tender specifications have been furnished to enable execution by client to meet the challenging shutdown requirements in a fast & reliable manner.
- A study was carried out for performance improvement & enhancing the capacity of CDU-I heaters of IOCL, Haldia Refinery. Client has been facing chronic problems of high flue gas temperatures/ flame impingement in one CDU heater. The study involved site survey & suggesting alternatives for achieving the

target duty. Study also included examination of various heater components and evaluation of the feasibility of replacement within existing constraints.

- HMTD rendered services for IOCL, Gujarat Refinery for study of replacement of conventional burners with low NO_x burners. Job also includes study of replacing existing plenum-mounted arrangement with state-of-art technology and improvement of thermal efficiency scheme with respect to latest fan philosophy.
- Optimization of multi-stage ejector system design with respect to steam consumption has been carried out evolving the revised model / correlations for ejector design. Validation /testing activities through proto-type are planned to complete the development process. Optimization of vacuum ejector condenser design is already completed.
- HMTD has developed comprehensive range of PARLPAK & PARLGRID series of packings along with M/s. Kevin. Testing of different types of structured packings have been carried at EIL-R&D and data has been collected for development of PARLPAK – Ace Series (i.e. High Capacity Packings). Advanced versions of Vane Type Inlet Feed Devices have also been conceptualized and validation is in progress.

Specialist Materials and Maintenance Services

The Specialist Materials and Maintenance Services (SMMS) division of the Company continued to provide specialist services to its clients in Petroleum, Petrochemical, Metallurgical, Nuclear and Infrastructure sectors during the year. Some of the important activities are:

- Fitness for service study for HVJ Compressor Station at GAIL, Vijaipur; Health Assessment study of Sockolet joints at South Asia LPG, Vizag, Repair and Certification of Mounded Storage Vessel at GAIL, Usar.
- Condition Assessment of 30" Crude Pipeline, CPCL, Chennai; Modification of Insulation and Fireproofing of LPG spheres at HOCL, Kochi, Technical Support during Refractory application in CPCL, Chennai.
- Refractory Lining modification in Mangalore Chemical & Fertilizer Ltd., Water Pinch study at Gujarat Refinery and Guwahati Refinery of IOCL, Review of Neutralization Procedure for Austenitic Stainless Steel Equipment at Ruwais Refinery, Takreer, UAE.
- Technical Evaluation of Replacement Requirement of 18" dia. Pipeline from CTF, Nawagam to Koyali Refinery, Engineering Consultancy Services for Intelligent



Pigging for two PLRP Project of ONGC; Technical advisory services to HPCL Vizag and to various refineries of IOCL.

- Material selection for equipment, piping and pipelines for various on-going projects viz., MRPL, OPaL, BCPL, NPCIL, Nuclear Fuel Complex, GSPC, BPCL Mumbai and IREP of BPCL, Kochi.

SMMS has been advising and specifying on the Corrosion Monitoring Systems, Inhibitor Injection Systems, Corrosion Protection Coatings, Cathodic Protection Systems for On-shore and Off-shore pipelines and Chemical Cleaning Systems for new plants.

SMMS has been actively involved in evaluating newer materials, fabrication and inspection techniques for the benefit of industries and have also contributed to the National and International Standardization bodies like BIS and ISO.

Environmental Engineering

Continued increase in resource use and the related environmental impacts can have a multitude of negative effects leading to ecological crises and security threats. The sustainable use and management of natural resources have therefore come into focus and has been the subject of many policy discussions. EIL works with both industries and state municipalities to deliver cost-effective and environmentally sustainable solutions for resource & waste management.

Our expertise assists in better conservation of environment and eco-system by means of effective solutions for solid & hazardous waste management, resource recoveries & conservation, liquid effluent treatment & recycle, industrial emissions management etc. Our researchers are helping solve waste management challenges by commercializing innovative technologies & cleaner processes and developing new waste remediation techniques for industries. Our processes are not only meant for mere conservation of the environment, but also ensure its protection for larger interest of mankind. In all our operations, we meet the national and international standards to keep our environment clean and green.

Improvement in the standard of living and affluence amongst the population has resulted in increase in pollution load. With a vision to diversify in specialized air pollution assessment studies, Environment Division strengthened its capability in air pollution monitoring, assessment and control. It has completed several projects in diversified fields of environmental engineering which includes:

- Water & wastewater treatment
- Effluent recycle and zero discharge projects
- Environmental impact assessment studies
- Environmental audits
- Air quality assessment, modelling & control
- Ground water monitoring studies
- Solid & hazardous waste management
- Oily sludge management
- Volatile organic carbon (VOC) & fugitive emissions control
- Site assessment and remediation
- Environmental health & risk management
- Environmental management plans

Over a period of time, the ambit of environment engineering activities in the Company has widened. Strict environment norms and growing awareness about environment among people have given an impetus for delivering effective environment solutions. Today, our clients are looking for solutions to environmental problems being faced during design as well as operation of the plants.

Some of the major achievements of Environment Division include the following:

- Water Pinch studies for IOCL for their Gujarat & Guwahati refineries.
- Consultancy services to Chennai Metropolitan Water Supply & Sewerage Board for tertiary treatment of secondary treated municipal sewage and reuse as industrial water supply.
- Implementation of Effluent Recycle Concept for OPaL and MRPL.
- Development of know how and successful research work for control of Volatile Organic Compounds and bioremediation of oily sludge in confined bioreactor for OPaL.
- Development of know-how in conservation and enhancement of biodiversity and offering services to clients.
- Development of in-house software to calculate carbon footprint and offering services to clients.

- Completion of design and engineering of water block packages of both onshore and process cum living platform of GSPC at Kakinada.
- Completion of EIA reports for BPCL Mumbai Refinery's new CDU/VDU projects, Catalytic Cracking Reformer project and Indian Navy's Project Sea Bird Phase-II facilities.
- Completion of comprehensive air quality monitoring works for Source Apportionment Study for NTPC Dadri Plant.
- Release of Carbon Footprint Software for computation of carbon footprint for various EIL offices.
- PMC services for Nuclear Fuel Complex at Kota including management of both active and non-active liquid & solid waste from the complex.
- Study for HMEL Bathinda Refinery to assess efficacy of pollution control measures taken

Sustainable Development

At EIL, the sustainability mandate is not just about contributing to a good cause or complying with environmental regulations but rather about operating its business in a manner that is responsible and transparent to all its stakeholders. Our project designs support sustainability right from the concept stage to plant commissioning and subsequently during the commercial operation. Energy efficiency, resource optimization and safety of plant personnel & society at large are the cornerstones of our business operations and also ensure business continuity.

EIL has refocused its engineering philosophy and business models to achieve long term sustainable growth. Alongside, EIL has initiated evaluation and reporting of its performance on the triple bottom lines of economic, social and environmental aspects. We believe that the sustainability initiatives underway at EIL will propel our organization on an upward growth trajectory.

A separate Report on Sustainable Development is annexed to this Report.

Information Technology Services

Information Technology Services (ITS) Division of EIL continued to be a backbone of EIL's onward progress by providing critical IT enabled services during the year. This year, the focus has been to develop/implement IT solutions using state-of-the-art technology leading to improvements in systems and processes and resulting in better efficiency,

cost reduction, faster execution of projects, consolidation and availability of information centrally.

Some of the initiatives implemented during the year are:

- **AADHAR:** A software package that facilitates re-usability of past project data from Electronic Document Management System (eDMS). This shall lead to less man-effort and cost reduction for generating required documents for the new projects.
- **OPTIMA:** Optima, a structural steel MTO calculation software, enables MTO generation of Structural Steel for various types of structures accurately. The software will reduce the difference between estimated and actual consumed quantities, leading to optimum structural material utilization.
- **Intelligent Design Basis:** An intelligent system that ensures consistency and integrity of design basis across Process Design and detailed engineering.
- **E-Online:** E-Online will enable standardization & integration of work flow methodology, and computerization of electrical engineering activities having interface with eDMS.
- **Supplier/Contractor Document Submission System:** This software has been implemented to minimize vendor/contractor document review cycle time and to have better control & monitoring on document flow.
- **Project IPMS:** A Software to get Online status of MRs/RFQs by Projects. This will avoid manual intervention between Projects and C&P leading to faster procurement of various equipment.
- **E-payment for vendors:** As a green initiation, Electronic payment system for vendors has been implemented. Through this system payment to vendors is released electronically & vendor is able to see the status and details of payment made.
- **On-line Separation/Clearance:** This portal will facilitate separating employees (either on resignation or superannuation) in getting on-line clearance. Employees fill required data on-line and subsequently HR gives online clearance to the employees posted in HO or field offices.
- **Employee Transfers:** Employee Transfers Portal is developed to facilitate HR in issuing online Office Order for transfers. Following types of transfer are covered:
 - Inter/Intra Division/Department/Directorate within same location



- Head Office to Site Offices
- Site Offices to Head Office
- **Local Area Networks:** New Local Area Networks (LANs) are being set up at the new EI buildings at Gurgaon & Chennai.
- **EIL Connect Web Portal:** To have corporate and employee related information under a single window, 'EIL Connect' portal has been developed and implemented. Required information is updated on the portal regularly and employees are able to access the data /information on-line at any time from anywhere. Common applications like Time Sheet, Performance Management System (PMS) etc. can also be accessed through this portal.

Procurement Services

Procurement Services Division of EIL provides comprehensive and integrated end-to-end Supply Chain Management Services which includes enlistment of suppliers and construction contractors, contracting and purchasing function from issue of an enquiry to placement of an order, inspection, expediting and logistics services for deliveries up to construction sites. These activities are carried out for various projects undertaken by EIL as a consultant as well as a contractor.

Effective and efficient procurement of goods and services is a critical factor in determining EIL's project execution success. Procurement Services Division's thrust on implementation of newer technologies in order to enhance the efficiency and effectiveness of procurement and improved & faster deliverables has led to IT-enabling of all procurement functions in EIL. The division is continuously reviewing and upgrading IT tools towards this end.

As a step towards enhancing the transparency and fairness of its operations, the division has already implemented e-procurement as well as reverse auction for its contracting and purchasing function. This brings in better value for the project by ensuring lower operation cost as well as better prices for the supplies/services. The division has an integrated in-house ERP as well as a strong EDMS application linking all procurement functions across various geographical locations.

Procurement Services Division is fully seized of the criticality of the vital ingredients of public procurement, viz., equity, fairness and transparency and is totally focused on the same while simultaneously improving upon the efficiency of procurement.

During the year, orders for ₹600 crores of direct purchases were placed on suppliers/contractors globally for various OBE/LSTK/Depository projects. In addition, orders for ₹3600 crores were placed for various other clients' projects.

EIL as a responsible CPSE is committed towards implementation of various procurement policies issued by the Govt. of India including Public Procurement Policy (PPP) 2012 for Micro and Small Enterprises. During the year, EIL procured ₹31.73 crores of goods and services from micro and small enterprises which is 5.64% of the total value of direct orders placed by EIL.

Procurement division carried out in-process and pre-dispatch inspection of critical equipment at suppliers' works as well as project sites through its Regional Procurement Offices located all over the country and overseas offices located in London, Shanghai and Milan. Major items inspected included GTG offshore platform facilities for GSPC project for first time at L&T Hazira, Ethylene column (96 m long, 640 MT) and C2 Splitter Column (79 m long, 409 MT) for GAIL Pata Project, Demethaniser column (39 m long, 390 MT) for GAIL Vijaipur, 18 MW Steam turbine driven Wet Gas Compressor for MRPL PFCCU project (developed for the first time by BHEL in collaboration with GE), Cold Box (23.6 m x 5.18 m x 5.1 m, 106 MT) for BCPL etc.

Enlarging data base for capable suppliers has always been the effort of the division. Suppliers and Contractors located worldwide apply through online system available 24x7 at EIL website. Modified software and upload of technical specifications for all items helped faster resolutions on enlistment.

Quality Management System

In EIL, Quality Management System (QMS) is aligned and focused with long term objectives of the Company. Quality is inbuilt into our processes, workplace, deliverables and services.

The Quality Management System in respect of the Company's services has been reassessed this year as per the requirement of ISO 9001:2008 by the certification agency, who conducted the renewal audit. Post audit, the certification agency declared that the QMS of the Company continues to conform to international standards and recommended for renewal of the ISO certificate. The renewed Certificate of Approval is valid up to 13.10.2015.

The important ingredients of quality initiatives are effective & comprehensive internal audit process, planned customer perception surveys, analysis of feedbacks from stakeholders and regular directions from Management Review Committee (MRC) & Systems Committee. MRC is chaired by

C&MD and all Directors are members of the committee. The Systems committee is chaired by a senior ED and senior official from all areas of operation are members of the committee. Regular monitoring is done to analyze the data & feedbacks for recommending improvements in processes, products and QMS to reduce costs, shorten cycle times and improve visibility and credibility. QMS implementation and its effectiveness have been further increased by computerization of certain processes through inhouse developed softwares.

Quality Management System of EIL's UAE (Abu Dhabi) office was also independently audited and reassessed for certification by Certifying Agency, who conducted the second surveillance audit, for its conformance to the requirement of ISO 9001:2008, during period under review. In addition, the Company participated as a prominent and active member in various committees for formulating products and quality system standards by Bureau of Indian Standards.

Quality Management System at EIL provides the competitive edge in securing and executing the projects with focus on full customer satisfaction.

Risk Management

The Company has a Risk Management policy and a supporting frame work which facilitates the identification and assessment of new risks and review of existing risks. The process is based on identified risks and the risk events or factors which require regular assessment and quick response. Based on the probability and impact of the risk, the requisite controls and action plans are designed. To measure the adequacy, effectiveness and efficiency of these controls and action plans, the concept of Key Risk Indicators (KRI) have been implemented. KRIs have been designed and are being implemented to measure presence, level, or trend of the risk.

The objective of risk management in the Company is to act as enabler in maintaining its knowledge edge, sustaining and expanding the business, being competitive and ensuring execution of projects within budgeted cost and time resulting in improved turnover and profitability.

Risks, their root causes, controls and action plans are prepared by process owners and updated regularly. These are approved by the Risk Management Committee (RMC) with Director (Finance) as Chairman of RMC and all the Executive Directors, GM (ITS) & Company Secretary as members and Head of Risk Group as member secretary. Risk audits are conducted regularly to test the compliance of controls and the same is reported to RMC.

The status of Enterprise Risk Management (ERM) process is presented to Audit Committee on bi-annual basis which is reviewed by the Board of Directors also. The reporting structure meets the regulatory compliance.

Based on periodic reviews and implementations of recommendations resulting from review process, the ERM process is continuously being improved and strengthened. As one of the major initiative, Project Risk Management has been implemented for high value and important projects to anticipate critical risk and to take actions in advance to mitigate them. A risk register is prepared by listing all possible risk events associated with the project and approved by Risk Management Team (RMT) consisting of all disciplines associated with the project.

As advancement in this field, the risk management processes are being automated by developing Enterprise Risk Management System (ERMS) software.

The communication is being sent regularly, across the organization to spread awareness on risks, root causes and action plans through in-house risk management awareness programs, external trainings & seminars, certification program on Project Risk Management. A quarterly news letter 'Risk Screen' has been launched during this period which is being shared with all the employees to increase their involvement & create awareness among them to control risks in their work processes & areas.

The management is committed to further strengthen its risk management capabilities in order to protect and enhance shareholder value by improving its business performance. Continuous efforts in creating new opportunities, improving competencies/knowledge in various areas leading to improved performance and leveraging existing knowledge resources, in line with the risk appetite of the company, has enabled the company to protect the shareholders interests.

Vigilance

During the year, CTE type examination of EIL's jobs on LSTK/OBE basis, random inspection of in-house contracts/purchases, scrutiny of Immovable Property Returns, investigation of complaints etc. were carried out by the Vigilance Department with the focused objective of ensuring conformity to the Company procedures and Government guidelines. For systemizing the work, various rules, regulations and procedures were reviewed during the year. The observations reported by CTE/CVC were examined and necessary actions were taken. System improvements were suggested to the Management & necessary measures were undertaken for improvement.



Structured meetings between CVO, C&MD and Directors were held and the MOMs were forwarded to CVC and MoP&NG. Inter-directorate meetings were also held between CVO & Directors to resolve the pending issues. Details of Vigilance activities were presented to the Board.

Various vigilance workshops, interactive sessions, seminars, debates, Vigilance Awareness Week etc. were organized in HO, Regional, Branch, Procurement and site offices of EIL during the year for spreading vigilance awareness amongst the employees of EIL. A seminar was organized on the theme "Transparency in Public Procurement" which featured an address by General Secretary and Director (IP&CF) of Transparency International India followed by question / answer session.

Some important features of Vigilance activities are given below:

- **Leveraging Technology**

Reverse auctioning, e-tendering, e-payment, e-receipt, etc are already implemented in the Company and being monitored regularly against the set targets. Clearance of vendors' bills on 'First in, First Out' (FIFO) under Bill Tracking system (BTS) is ensured. BTS has been further improved to give details about pendency of vendors' bills.

- **Complaint Handling Policy**

As per CVC Guidelines, EIL has formulated a Complaint Handling Policy (CHP) to resolve complaints/grievances from public, contractors, vendors, suppliers etc. A web portal for online complaint handling is available on the Company's website which is regularly monitored by Vigilance with respect to the status of complaints.

- **Policy regarding recruitment of Ex-employees**

A policy for hiring of Retired/Ex-employees on contract exists in EIL and other PSUs. Vigilance has ensured that employees who have been penalized during service are not considered for re-employment.

- **Job Rotation**

Job rotation of sensitive posts is being done. List of Sensitive Posts is being reviewed.

- **Integrity Pact**

EIL is committed to higher ethical standards in contracts and procurement as well as transparency in all of its business dealings. EIL has adopted Integrity Pact Program & signed an MOU with Transparency

International India and the same is applicable for all Contracts & Purchases on EIL's account for enquiries having threshold value of over ₹5 crore.

- **Online Vigilance Clearance & Scrutiny of IPRs**

System for online Vigilance Clearance & Scrutiny of IPRs on EIL Intranet is being developed.

Finance

The Company continued its strong cash generation driven by business performance. The efficient financial and cost management system continued to facilitate cash generation as well as creation of wealth. EIL optimized the returns on cash reserves by deploying cash surplus in safe and liquid instruments as per the approved investment policy of the Company.

Internal Audit

The Company has an Internal Audit Department having adequate number of professionals. During the year, several internal audit assignments with focus on checks and controls on system and procedures, monitoring compliances and continuous upgrade of controls have been carried out and the reports are regularly submitted to the Management and the Audit Committee of the Board.

Human Resource & Industrial Relations

EIL values its human resources and is committed to providing them with an enabling environment which motivates, facilitates their growth and rewards them for their contributions. Various welfare measures, employee-centric policies and development initiatives, drive its human resource to deliver their best thereby leading to enhanced productivity.

- **Human Resource Profile**

As of March 31 2013, we have more than 3370 permanent employees, including more than 2950 technically and professionally qualified employees. Approximately 3.46 % of our employees are located outside India, and have experience of international work environments.

Our HR policies for talent acquisition facilitate intake of young professionals at Entry levels as well as skilled and experienced professionals at junior and middle-management level. Through focused talent development and engagement policies, individuals are encouraged to showcase their talent in their professional arena.



• Employee Welfare

Employee Welfare being a key driver of engagement is given adequate thrust throughout the year. To propagate this, 15 health camps and health talks/programmes were organized for the benefit of employees as welfare initiative under HALE (Health Assessment & Lifestyle Enrichment) Programme, aiming at improving organizational productivity through employee health and well-being. To encourage employees to make their contribution as responsible citizens of the society, a Blood Donation Camp was organized on 15th March, 2013, EIL's Foundation Day, wherein 80 employees volunteered for the cause.

Another significant welfare measure in EIL is organizing and participating in various sports tournaments at regional and national levels. The objective of such activities is to promote a spirit of sportsmanship and collaborative working environment. EIL is a member of Petroleum Sports Promotion Board (PSPB) and actively supports the vision of PSPB in encouraging Sports and Sports persons and has been keenly participating in various tournaments and matches organized by PSPB. During the month of October 2012, EIL hosted the PSPB veterans cricket tournament wherein 6 teams participated.

EIL teams participate in various sports like Cricket, Chess, Badminton, Table Tennis, Carrom, Golf, Hockey, Kabbadi. EIL teams have won accolades in Table Tennis & Carrom tournaments.

To encourage greater participation in sports, EIL introduced EIL Cricket League which enlisted participation of 90 employees.

Organization of various social interactions at Head Office, Regional Offices, Branch Office, Construction sites and Overseas locations and trekking expeditions help in extending the positive relationships beyond work, which is the key to effective team working and ensures better work life balance.

• Employee Grievance Management System

Grievance mechanism in EIL has been constituted to address needs of its employees and bring in more transparency in the decision making process. The Grievance Management System consists of various sub-committees and these committees attend to the employees' representations in a time bound manner thereby promoting higher employee engagement.

• Reward & Recognition

With an objective to recognize employees' efforts, inspire creativity and motivate the achievers, two Reward and Recognition schemes have been implemented in EIL, viz, "Kudos!" – for exemplary work done and "System Feedback" – for providing meaningful suggestion/feedback resulting in system improvement.

• Performance Management System

EIL has in place a robust and transparent Performance Management System that gives weightage to both performance and potential. The Performance Management System is an online process and follows a Bell Curve Approach. The outcome of Performance Management System is used for performance related pay, career progression, training & development and succession planning.

• Training & Development

As part of the talent development initiatives, Training & Development function of EIL is continuously engaged in identifying and implementing various areas wherein employees should be trained and enriched through different modes of learning interventions.

During year 2012-13 training initiatives were focused on domain areas wherein a total of 157 no. training programmes were conducted in technical/functional areas such as Fire Hazard Analysis in Nuclear Plant; PMP Certification for Project Management; PDS/PDMS training for 3D plant modeling; Rehabilitation of concrete structure; Lead Auditors Course For OHSAS 18001:2007, etc.

'Coaching skills workshop' for Dy. General Managers & General Managers was organized to promote a Coaching culture. Fifth batch of Leadership Development Program - 'Aarohan' was completed covering 24 participants.

Customized competency based programmes on Enhancing Effectiveness through Emotional Intelligence; Putting Customer First; Change is good; Creativity & Innovation; Plan, Decide & Deliver Enthusiastically; Creating Winning Teams etc. were organized on regular basis covering executives at all levels.

• HR Initiatives

➤ Assessment & Development Centre

With a vision to sustain its competitive edge and



further achieve greater heights, the Assessment & Development centers were conducted for 65 DGMs of EIL in August-September 2012. It was a starting point to a structured Individual Development Planning Process (IDP) for each participant in the programme. The data is also being utilized for creating more robust HR systems.

➤ **Aarohan – Leadership Development Programme**

Aarohan is a sustained, collaborative effort to build best in class leaders, across levels. During the year 2012-13, fifth batch of 'Aarohan' for 24 participants from various departments including Construction sites and Regional offices was completed.

The program is divided in two phases i.e. Self Reflection and Development phase. In self reflection phase participants are provided inputs derived from psycho-metric & multi-rater tools and in the development phase structured workshops are organized on the identified development areas.

The participants of Aarohan programme were also assigned Action Learning Projects (ALPs). The ALPs focus on addressing current business issues and enable the participants to practice skills in a real environment. Senior management closely monitored and tracked progress on these projects, apart from providing active support and guidance, in their roles as 'Project Sponsors' & 'Project Guides'.

➤ **Mentorship Development Program**

EIL supports Mentorship Development Program and allocates trained mentors in the ratio of 1:4 (Mentor:Mentee) for new joiners in level 12-14. The mentors guide their protégées in order to nourish their career in EIL and help them navigate their way towards a bright career.

• **Leveraging IT in HR processes-Launch of EIL Connect**

An Interactive web Portal titled 'EIL Connect' has been developed by Information Technology Services Department with support from Corporate Affairs Department (CAD) and HR.

The objective of this interactive portal is to share latest corporate events/news/information with EIL employees through a single window as well as access existing utility applications. This portal provides an interactive environment by facilitating users to give their comments on various published information and has become a valuable communication forum for

employees posted both within India and at overseas locations.

Being a progressive technology driven organization, implementation of online HR modules developed in-house for its various HR functions has been a constant endeavor in EIL. Implementation of such processes has resulted in achieving greater efficiency and employee satisfaction in the organization.

• **Implementation of Government Directives on Scheduled Caste/Scheduled Tribe**

With a view to accelerate the pace of socio-economic development of the nation, EIL has been endeavoring towards safeguarding the interests of SC/ST employees. In pursuance of the philosophy and compliance of Presidential Directives dated December 30, 1972 issued by Ministry of Petroleum and Natural Gas, EIL has incorporated necessary provisions in its Recruitment process and Promotion norms.

The Company has appointed a Liaison Officer to work as a facilitator in ensuring that due attention is paid to the issues of SC/ST employees. Management also encourages communication with the office bearers of the SC/ST Employee's Welfare Association by holding periodical meetings with the Association.

The percentage of employees belonging to Scheduled Caste & Scheduled Tribes category was 17.99% and 4.17% respectively of total staff strength of the company (as on March 31, 2013). Senior officials of the Company have been holding regular meetings with representatives of SC/ST Welfare Association and Liaison Officer for redressal of their grievances/concerns. During the year, out of 138 personnel joining the company 30 belonged to SC/ST (SC-18, ST-12). Reports are being sent to MoP&NG/DPE periodically as per Govt. of India guidelines. Post based rosters are being maintained in direct recruitment and in promotion.

In order to fill up the backlog of vacancies, EIL has been resorting to special recruitment drives from time to time in order to meet the constitutional obligations.

• **Women Empowerment**

Women constitute approximately 11% of EIL's human resource, wherein 70% of the women employees are professionally qualified and more than 50% are in the junior/ middle management. To cater to the development needs of its women employees, EIL has constituted a Women Forum.

The forum focuses on providing opportunities for development to women employees and identifies various training interventions especially in the area of Managerial Skills and Leadership Development. The forum also facilitates participation of women employees in various conferences and seminars. Senior executives of EIL have been rewarded at prestigious forums for their contributions.

As a part of International Women Day Celebration, a programme was organized on 8th March, 2013. On this occasion, the top management of EIL encouraged the women employees to continue to add value through their concerted efforts for achievement of the Organizational goals. The event was interspersed with various competitions and fun games to inculcate a feeling of togetherness and bonding.

Corporate Social Responsibility

"EIL's Corporate Social Responsibility (CSR) policy is the company's commitment to operate in an economically, socially and environmentally sustainable manner to enhance the company's overall contribution to society". In keeping with the national objective of inclusive growth and the DPE Guidelines on CSR, the areas identified for CSR projects are Education, Health Care, Drinking Water/Sanitation, Rural Electrification, Environment Protection/Sustainability, Women Empowerment, Upliftment of underprivileged, Community Development and other areas. The CSR Budget for FY 2012-13, in keeping with the DPE Guidelines, was kept at ₹1273 Lakhs i.e. 2% of PAT of previous financial year. The CSR expenditure achieved during the financial year was ₹567 Lakhs which exceeded the MoU annual 'Excellent' target of ₹500 Lakhs.

Salient highlights of the CSR initiatives undertaken are as follows:

- **Education** – Education being an essential aspect in the life of every human being, EIL has focused on providing infrastructural support to Government Secondary School in Sangam Vihar, New Delhi. The present facilities were upgraded through construction of laboratories, additional classrooms, staircase/ramp, provision for potable water along with sanitation facilities for both girls and boys. The Company also procured and distributed supplementary books amongst 500 underprivileged students of Class X in rural areas of Assam through Assam School of Education (Society) and Zilla Parishad. Around 100 villages/Vidyalayas in rural/tribal areas of Dibrugarh, Assam were also adopted for imparting training and basic informal education to children.

Projects under execution include upgradation of educational infrastructure in various schools in the North Eastern region.

- **Healthcare** – In an endeavour to provide better healthcare facilities within easy reach of the needy, the construction of super specialty blocks on the second and third floor of Government General Hospital at Kakinada, Andhra Pradesh was undertaken.

EIL also organized 20 free Health and Eye Check-up camps in backward and slum areas of NCR to provide primary health care treatment to the underprivileged. Projects on the anvil include providing a Mobile Cancer Detection Van to an NGO to cater to the needs of the population of Delhi/NCR as well as providing medical equipments to Government General Hospital at Kakinada, Andhra Pradesh.

- **Drinking Water/Sanitation** – Availability of clean and hygienic drinking water has been accomplished through construction of a water treatment plant thereby augmenting potable water supply in the Kanchipuram District in Tamil Nadu.

Additional sanitation facilities have been provided at Senior Citizen Home at Najafgarh, New Delhi by constructing separate toilets for Gents and Ladies wing.

Project under implementation is the installation of RO plants at six locations at Kakinada, Andhra Pradesh.

- **Rural Electrification** – As a step towards promoting sustainable development, installation of 100 Solar Powered Street Light Systems catering to the needs of rural and power starved areas of Barabanki District, UP was accomplished.

Ongoing projects include setting up of solar power plants in the remote villages of Pipcha & Pigmo of Kargil region in association with the Kargil Renewable Energy Development Agency. The highlight of this project is that the maintenance and management of the power plants will be carried out by the village community itself.

- **Environment Protection/Sustainability** – EIL is engaged in a social outreach program to enhance consciousness amongst school children and locals on environmental protection and sustainability of Ladakh in trans Himalayan region.

Major project under implementation is the construction of environment friendly green cremation systems in different locations of Delhi NCR.



- **Women Empowerment** – Prosthesis and medical bras for post-operative care to 500 breast cancer patients who had undergone mastectomy at various hospitals of Delhi NCR have been provided. The construction of 2nd and 3rd floor of office-cum-training centre of Godavari Maha Samakhya (GMS), an initiative towards women empowerment and poverty alleviation, Kakinada is underway.
- **Upliftment of Underprivileged** – EIL has facilitated education of 550 visually-impaired students and children by providing study materials in Mumbai. Quilts, mattresses, heaters, chairs and adult diapers were provided to the senior citizens at Vridh Ashram, New Delhi to enable them to lead a life with dignity and comfort.

Projects under implementation include extending support to camps organized for providing:
 - artificial limbs, aids and appliances to persons with disability in New Delhi
 - vocational training courses such as computer course, book binding course, english language course, tailoring and cloth handicraft course being run for enabling hearing impaired and handicapped women. In addition to above, construction of a multi-purpose hall for the Old Age Home in Mirzapur, Uttar Pradesh and enabling availability of Multi Facility Health Kit for Old Age Homes of Delhi are also underway.
- **Community Development** – The construction of Panchayat building with community hall and water supply pipeline works to individual houses in Padur Village, Manipal is under implementation.

Official Language

To propagate and enhance usage of Official Language in communication, various initiatives as follows were taken:

- Regular Classes & Correspondence Courses for employees not conversant with Hindi
- Hindi workshops for creating awareness and enhancing skills
- Hindi Fortnight celebration

EIL also organized an Essay competition on “Energy Problem and Solution in India” for Member undertakings of Town Official Language Implementation Committee (TOLIC).

EIL received appreciation and awards at various forums for implementation and dissemination of the official language like:

- Award by “Roopambra” to Delhi Head Office for maximum use of official language
- Awards by TOLIC, Gurgaon to EIL, R&D for disseminating of Hindi among TOLIC members; writing technical article and for special efforts for implementation of official language policy

During the year the Committee of Parliament on Official Language visited our site office at Kochi and branch office at Mumbai. The Committee was satisfied with the efforts invested for implementation of official language. The Rajbhasha Vibhag, Ministry of Home Affairs also conducted inspections at HO, Branch Office, Mumbai and Gurgaon Office. Rajbhasha Vibhag of EIL also carried out regular inspections at its Division/Departments and Regional/Field/Procurement offices during the year in accordance with the official language policy.

Ministry of Petroleum and Natural Gas entrusted EIL with the responsibility of compilation of the “Brihat Petroleum Shabdawali”. EIL coordinated with concerned undertakings and compiled 10,000 words after carrying out necessary editing and classification. The Shabdawali has been released in Hindi Advisory Committee of Ministry of P & NG.

Awards and Accolades

- Petrotech-2012 Special Technical Award in Project Management Category for Guru Gobind Singh Refinery Project, Bathinda of HMEL.
- Petrotech-2012 Special Technical Award in Greening of Oil and Gas Business Category for India's first Indigenous DHDT Unit jointly developed with IOCL and implemented in Bongaigaon Refinery of IOCL.
- Petrotech 2012 Life Time Achievement Award in the ‘Research & Development’ category to Dr. S J Chopra, the officiating Chairman & Managing Director of EIL (January 2000-January 2001).
- “HelpAge India Bronze Plate Award” for the commendable contribution towards the cause and care of the underprivileged elderly. Shri Ram Singh, Director (Finance) received the award from Shri Pranab Mukherjee, the Hon’ble President of India in New Delhi.
- ICC PSE Excellence Award-2012 for R&D, Technology Development & Innovation in the Mini Ratnas Category.
- Performance Excellence Award for Financial and Operational Strength for the year 2010-11 from Indian Institution of Industrial Engineering (IIIE).



- BT Star PSU Excellence Award 2012 for Excellence in Human Resource Management.
- Special Commendation for the Golden Peacock Occupational Health & Safety Award 2012.
- PMI Award-2012 for Guru Gobind Singh Refinery Project of HPCL-Mittal Energy Limited (HMEI) at Bathinda.
- Certificate of Appreciation from National Safety Council of India (NSCI) in recognition of the appreciable achievements attained in occupational health and safety during the assessment year 2010 for PFCCU, MRPL, Mangalore.
- IPE CSR Award in recognition to Best practices in CSR.
- 'CIDC Partners in Progress Trophy 2013' for display of utmost commitment and drive to create a vibrant work environment for the construction fraternity especially for achieving targets of "Mission Skilling India" under various initiatives by CIDC.
- Best Site Award 2012 from ISPRL in recognition of the outstanding efforts put in by site team towards safety, quality, house-keeping and Project management for Strategic Storage of Crude Oil Project at Padur.
- Lifetime Achievement Award 2012 by Indira Gandhi Technological & Medical Science University, Arunachal Pradesh to Shri A K Purwaha, C&MD for his contribution towards Project Management and Corporate Affairs.
- ICAI Award for Excellence in Cost Management Practices-2nd prize for the year 2011 in the category of Public-Service Sector-Large.
- India CFO Award for Excellence in Risk Management to Shri Ram Singh, Director (Finance) by IMA India.
- Women Super Achievers Award to Ms. Veena Swarup, Director (HR) by Institute of Public Enterprise (IPE) and World HRD Congress in recognition to her achievement.
- Award to Ms. Veena Swarup, Director (HR) by Forum for Emotional Intelligence Learning (FEIL) and Tata Institute for Social Sciences (TISS) in recognition of her Outstanding Contribution to Leadership Development.
- "Achievement Award for Academician Scientist/Technologist/Innovator" to Dr. R N Maiti, AGM (R&D) by CIDC.
- HR Leadership Award by Institute of Public Enterprises (IPE) to Shri P K Rastogi, the then Director (HR), EIL in recognition of his outstanding contribution in the field of Human Resource.
- Rajbhasha Awards for Implementation of Official Language and Technical Writing in Hindi from the Home Ministry.
- Certificate for completing 50 million LTA free man-hours at Assam Gas Cracker Project of BCPL.
- Certificate of Recognition for achieving 50 Million LTA free man-hours for Rehabilitation & Adaptation of Skikda Refinery Project of SONATRACH, Algeria.
- Safety Certificate for achieving 28 million LTA free man-hours at Dahej Petrochemical Project of ONGC Petro additions Limited (OPaL).
- Safety Certificate for achieving 18.04 million LTA free man-hours for Dabhol-Bangalore Pipeline Project of GAIL.
- Certificate of Recognition on achieving 12.4 million LTA free man-hours at Petrochemical Complex-II Project of GAIL at Pata.
- Safety Certificate for achieving 10.3 million LTA free man-hours for the Sulphur Recovery Unit at Mangalore Refinery Expansion Project (Phase-III) of MRPL.
- Certificate of Recognition for achieving 10 million LTA free man-hours at Strategic Storage of Crude Oil Project at Padur, Karnataka of ISPRL.
- Safety Certificate for achieving 5.0 million LTA free man-hours for Deen Dayal West Field Development Project at Onshore Gas Terminal, Kakinada, Andhra Pradesh of Gujarat State Petroleum Corporation Ltd. (GSPC).
- Safety Trophy for achieving 5 million LTA free man-hours for Strategic Storage of Crude Oil Project at Mangalore of ISPRL.
- Certificate of Recognition for achieving 1.8 million LTA free man-hours for Crude Drum System Project at Guwahati Refinery of IOCL.
- Certificate of Appreciation for achieving 1.37 million LTA free man-hours for Kailaras Compressor Station Project of GAIL at Morena.

Joint Ventures

Jabal EIL IOT Company Limited

EIL, Jabal Dhahran Company Limited and IOT Infrastructure & Energy Services Limited entered into a joint venture



agreement pursuant to which Jabal EIL IOT was set up on July 5, 2011 for the purpose of undertaking business of engineering, design, services, project management, material procurement, site preparation, execution, installation, implementation, construction, operation, maintenance and undertaking of engineering procurement and construction projects in select sectors such as oil and gas, fertilizers, oil and gas well drilling, petro-chemicals. The companies have a shareholding of 33.33% each in Jabal EIL IOT.

TEIL Projects Limited

EIL and Tata Projects Limited entered into a joint venture agreement pursuant to which TEIL was set up on July 15, 2008 for the purpose of pursuing certain identified projects on engineering, procurement and construction basis in select sectors such as oil and gas, fertilizers, steel, railways, power and infrastructure. EIL has entered into a shareholders' agreement Tata Projects Limited by which EIL and Tata Projects Limited have a shareholding of 50% each in TEIL.

Subsidiary Companies

Certification Engineers International Ltd.

Certification Engineers International Ltd. (CEIL), a wholly owned subsidiary of EIL, continued to provide Certification as well as Third Party Inspection (TPI) services to various clients. During the year, CEIL secured a number of assignments from ONGC, VMSS, GSPL, various State Governments and others, notable among these being:

- **ONGC** – Certification services for B-127 WPP Project and Certification and TPI services for OGIP.
- **VMSS & SMC**- TPI for various Infrastructure Projects.
- **GSPL**- TPI for various Pipeline Projects and Technical Audit.
- **ONGC Asset**- TPI for Mumbai High MH, B&S, N&H and OMG Projects.

Apart from these, CEIL secured many Third Party Inspection assignments from suppliers of package equipment for projects of IOCL, ONGC and State Govt. Organizations etc.

The Board of Directors of the Company have recommended for the financial year 2012-13, a final dividend of ₹200/- per share (of face value of ₹100/- each) in addition to ₹200/- per share interim dividend already paid during the year. With this, the total dividend for the year 2012-13 works out to ₹400/- per share. Payment of final dividend is, however, subject to approval of the shareholders in the ensuing Annual General Meeting.

EIL Asia Pacific Sdn. Bhd.

EIL Asia Pacific Sdn. Bhd. (EILAP) was incorporated on February 21, 1994 under the Malaysian Companies Act, 1965. EILAP is primarily engaged in the business of providing technical services for projects in oil and gas and other industrial sectors.

Conservation of Energy, Technology Absorption, Foreign Exchange Earnings and Outgo

As the Company operations do not involve any manufacturing or processing activities, the particulars as per the Companies (Disclosure of Particulars in the Report of the Board of Directors) Rules, 1988, regarding conservation of energy and technology absorption, are not applicable. The particulars regarding expenditure and earnings in foreign exchange are given in Point no. 2.26 of the Notes to Accounts.

Corporate Governance

The Company is committed to good Corporate Governance as per the requirements of Clause 49 of the Listing Agreement and DPE Guidelines on Corporate Governance. The Board of Directors support the broad principles of Corporate Governance. In addition to the basic issues, EIL Board lays strong emphasis on transparency, accountability and integrity.

As required under Clause 49 of the Listing Agreement and DPE Guidelines on Corporate Governance, the Report on Corporate Governance, together with the Auditors' Certificate on compliance of conditions of Corporate Governance, along with the Management's Reply on the comments of Auditors is annexed.

Code of Conduct

EIL has formulated a Code of Conduct for its Board of Directors and Senior Management Personnel. The confirmation of compliance of the same is obtained from all concerned on annual basis. All Board Members and Senior Management Personnel have given their confirmation of compliance for the year under review. A declaration duly signed by C&MD is given under para 2(e) of the Report on Corporate Governance.

Right to Information

EIL, being a responsible public sector undertaking, has displayed essential information on its website under the head RTI. The management has notified CPIO and the First Appellate Authority (FAA) in compliance with the requirements of the RTI Act. During the year 2012-13, a total of 141 queries were received by the Company and all of



them were replied to/answered. Apart from RTI applications, the Company also received 27 appeals against the decision of CPIO, which too were duly attended to and appropriately disposed off by the FAA.

Directors' Responsibility Statement

Pursuant to Section 217(2AA) of the Companies Act, the Directors confirm:

- i that in the preparation of the annual accounts, the applicable accounting standards have been followed and that no material departures have been made from the same
- ii. that they have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit or loss of Company for that period
- iii. that they have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 1956 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities
- iv. that they have prepared the annual accounts on a going concern basis

Auditors

M. Verma & Associates, Chartered Accountants were appointed as Auditors of the Company for the financial year 2012-13 by the Office of Comptroller & Auditor General of India.

Bankers

Bankers of the Company include State Bank of India, Indian Overseas Bank, State Bank of Travancore, Vijaya Bank, Corporation Bank, Bank of Baroda, Punjab National Bank, Union Bank of India, HDFC Bank, ICICI Bank, Indian Bank, Bank of India, Oriental Bank of Commerce, Canara Bank, IDBI Bank and Axis Bank.

Particulars of Employees

Information with respect to employees as required by Section 217(2A) of Companies Act, 1956 read with Companies (Particulars of Employees) Rules, 1975, as amended is given as Annexure to this Report.

Directors

After the date of last Directors' Report i.e. 16.07.2012, Shri L.N. Gupta and Shri Dependra Pathak, Directors (Government Nominee) ceased to be Directors of the Company w.e.f. 3.08.2012 in terms of Ministry of Petroleum & Natural Gas, Government of India, letter No. C-31033/1/2012-CA dated 3.08.2012 and their resignation of the same date.

Dr. Archana S. Mathur, Economic Adviser, MoP&NG and Ms. Sushma Taishete, Director (GP), MoP&NG were appointed as Additional Directors (Government Nominee) on the Board of the Company w.e.f. 3.08.2012. In terms of the provisions of the Companies Act, 1956, their tenure as Additional Directors expired on 30.08.2012. Therefore, their appointment was renewed and accordingly, they were appointed as Additional Directors (Government Nominee) w.e.f. 30.08.2012.

Shri P.K. Rastogi, Director (HR) ceased to be the Director of the Company w.e.f. 1.10.2012 due to his retirement on attaining the age of superannuation on 30.09.2012.

Ms. Veena Swarup was appointed as Additional Director in the capacity of Director (HR) with effect from 1.10.2012.

Shri U.N. Bose ceased to be the Director of the Company w.e.f. 1.12.2012 due to his retirement from ONGC on attaining the age of superannuation on 30.11.2012.

Dr. Avinash Chandra and Shri A.K. Purwar ceased to be the Directors of the Company due to resignation w.e.f. 30.01.2013.

Shri P. Mahajan, Director (Technical) ceased to be the Director of the Company w.e.f. 1.04.2013 due to his retirement on attaining the age of superannuation on 31.03.2013.

Shri Ajay N. Deshpande was appointed as Additional Director in the capacity of Director (Technical) with effect from 1.04.2013.

Ms. Sushma Taishete, Additional Director (Government Nominee), ceased to be Director of the Company w.e.f. 10.04.2013 in terms of Ministry of Petroleum & Natural Gas, Government of India, letter No. C-31033/1/2012-CA dated 10.04.2013 and her resignation of the same date.

Shri R.N. Choubey, Director General, Directorate General of Hydrocarbons, Ministry of Petroleum & Natural Gas was appointed as Additional Director (Government Nominee) on the Board of the Company w.e.f. 10.04.2013

The Board placed on record its sincere appreciation for the valuable services rendered and contributions made by Shri L.N. Gupta, Director (Government Nominee),



Shri Dependra Pathak, Director (Government Nominee), Shri P.K. Rastogi, Director (HR), Shri U.N. Bose, Director, Dr. Avinash Chandra, Director, Shri A.K. Purwar, Director, Shri P. Mahajan, Director (Technical) and Ms. Sushma Taishete, Director (Government Nominee) of the Company.

In accordance with the provisions of the Articles of Association of the Company, Shri D. Moudgil, Director, Shri Sanjay Gupta, Director, Dr. J.P. Gupta, Director and Shri Bijoy Chatterjee, Director would retire by rotation, at the ensuing Annual General Meeting, and being eligible, offer themselves for reappointment.

In accordance with the provisions of the Companies Act, 1956, Dr. Archana S. Mathur, Ms. Veena Swarup, Shri Ajay N Deshpande and Shri R.N. Choubey who were appointed as Additional Directors after the date of last Directors' report, shall vacate their offices at the ensuing Annual General Meeting. Necessary notices have been received from the Members/Directors of the Company under Section 257 of the Companies Act, 1956, proposing their candidature for appointment. The Board recommends their appointment.

Brief resume of the Directors seeking appointment/reappointment together with the nature of their expertise in specific functional areas, names of companies in which they hold directorships, membership of Committees of the Board and Shareholding of non-executive directors as stipulated under Clause 49 of the Listing Agreement and DPE Guidelines on Corporate Governance are given in the Annexure to Notice of 48th Annual General Meeting.

Acknowledgement

Your Directors are grateful for all the help, guidance and support received from Ministry of Petroleum & Natural Gas and from other Ministries of the Government of India. Your

Directors are also grateful to the Bankers, Statutory Auditors, Comptroller & Auditor General of India and the investors for their continued patronage and confidence in the Company.

Your Directors thank all our esteemed clients for the faith and trust reposed in the Company. With continuous learning, skill upgradation, technology development, we will continue to provide world class professionalism and services to our clients.

Your Directors thank all associates, vendors and contractors within the country and abroad, for their continued support without which EIL could not have achieved the desired results. Your Directors are grateful to all the Foreign Missions in India and Indian Missions abroad in countries where EIL has business operations for their continued help and support.

Your Directors wish to convey their appreciation to all employees for the valuable services and cooperation extended by them and are confident that they will continue to contribute their best towards achieving still better performance in future.

For and on behalf of the Board of Directors

A.K. Purwaha
Chairman & Managing Director

Place: New Delhi

Date: July 5, 2013

Report on Sustainable Development

Introduction

At EIL, the sustainability mandate is not just about contributing to a good cause or complying with environmental regulations but rather about operating its business in a manner that is responsible and transparent to all its stakeholders.

Sustainability at EIL implies:

- Delivering projects as per corporate Quality and HSE policies which enables its customers to far exceed their targets of sustainability
- Fostering partnership with its esteemed customers, suppliers, contractors and the community to support sustainable development
- Nurturing and training a highly qualified workforce for sustainability initiatives at individual as well as at society levels
- Developing and deploying environment-friendly technologies and work practices
- Following Corporate Governance policies based on an established code of ethics, transparency and scientifically developed Risk Management System

Project designs support sustainability right from the concept stage to plant commissioning and subsequently during the commercial operation. Energy efficiency, resource optimization and safety of plant personnel & society at large are the cornerstones of EIL's business operations and also ensure business continuity.

R&D initiatives are focused on offering technologies to clients who reduce carbon footprint and increase plant yield. These technology initiatives include coal gasification, coal to liquid, CO₂ removal from natural gas and DHDT.

Transparency, professionalism and accountability in its business operations build trust of all our stakeholders which is a pre-requisite for our growth. Risk management policy and its supporting framework facilitate early identification and assessment of risks for timely intervention through appropriate control and mitigation measures.

EIL has an unconditional commitment to adhere to the highest standards in our corporate HSE practices. EIL takes proactive measures to ensure Injury-free and incident-free man hours of work at construction sites. The infrastructure and the work environment EIL provides to its employees is built towards maintaining a sound work-life balance to enhance their professional and emotional growth.

EIL is a people-centric organization delivering excellence in services through its people. Overall welfare of its talent pool continues to remain its top priority. Continuous efforts are on to enhance the capabilities of its human capital by increasing the competency and commitment, through various HR initiatives such as reward & recognition scheme, transparent performance management system, mentoring, domain specific technical programs and management development programs. EIL has institutionalized a unique Leadership Development program- 'Aarohan' to create a leadership pipeline within the organization as support to holistic growth strategy.

The Company continues to reinforce its social commitment through various programs organized at construction sites to develop artisans amongst the local community for their contribution during plant construction and preparing them with the necessary skill sets to exploit various available employment opportunities in the long run. EIL's business operations support developing local manufacturers and suppliers as partners.

In accordance with the call of time, EIL has refocused its engineering philosophy and business models to achieve long term sustainable growth. Alongside, EIL has initiated evaluation and reporting of its performance on the triple bottom lines of economic, social and environmental aspects.

Organization's Key impacts on sustainability

Sustainable development is possible through collective contributions from the government, the society, business entities and the individuals across the globe. EIL as a consultant plans to integrate sustainability and safety in



technology, design, engineering & construction practices.

For promotion of Sustainable Development, EIL is committed to:

- Conduct its business operations in line with Environment and HSE Policy
- Support, advise and promote environment supportive practices to clients
- Promote employees' awareness and learning so that they may integrate environmental considerations into their daily activity;
- Work with clients, partners, suppliers and subcontractors to build a common environmental management system on each project; and
- Advocate with key stakeholders and decision makers viz. investors, clients, suppliers, government agencies and regulatory bodies, sustainable development and energy efficient policies.
- Engage in community welfare programs for sharing amongst the deprived sections the benefits of economic development
- Promote use of technology and best practices for improving carbon footprints from our business operations.

Majority of EIL's revenues today and in near mid-term shall continue to flow from Indian region, especially the Hydrocarbon and Petrochemicals segment. Sustainable growth of EIL in near to mid-term shall be closely associated to the socio – political environment, economic growth and prospects of sustainable development and energy security in India.

EIL's Corporate Sustainability Policy:

- Commitment to align EIL business model with social and environmental responsibilities so as to ensure the needs of the present are met without compromising the ability of future generations to meet their needs.
- Create, adopt and foster culture of conserving natural resources and biodiversity.
- Increase awareness by imparting training to all stakeholders on social and environmental responsibilities towards sustainable development.

Environment Performance

Environment Policy

EIL has dedicated Environment Policy at corporate level, which has the following salient features:

- Ensure compliance with applicable environmental requirements/regulations during design and delivery of products/services and our operations
- Consider environmental impact in decision making processes
- Promote/develop green technologies for sustainable development
- Promote environmental awareness among all employees
- Adopt the adage-reduce, reuse and recycle in all operations

Environmental Services to Industries

EIL is a leading consultant in India in carrying out Environmental Impact Assessment (EIA) studies and preparation of Environmental Management Plan (EMP) for new projects. A comprehensive and detailed EIA study helps in accurately predicting & assessing the environmental & socio-economical impacts of the proposed new facilities.

Having accurately predicting the impacts, EIL ensures that all negative impacts are properly addressed and all mitigation measures are taken to ensure the sustainability of environment in the region. EIL also carries out Environment Health Risk Assessment study for its clients, which helps in tracing the impact of various pollutants on health of the people in the vicinity of the plant.

There are also many efforts by EIL such as recommendation to 'Vardhraj Committee Report' on Taj Trapezium zone resulting in providing natural gas to all industry in the vicinity; ensuring environmental sustainability in Delhi region by contributing in projects such as city gas distribution, Yamuna clean-up project, city centre redevelopment, city sewage collection & treatment, creation of eco-friendly buildings, etc. In its commitment to the environment, EIL has the expertise in deployment of state of art technologies in the field of effluent recycle/reuse leading to Zero Liquid Discharge (ZLD)

requirements, carbon management for control of volatile organic compounds, hazardous and solid waste management, recovery of oil from oily sludge and treatment of residual oily sludge using bioremediation process, opting energy efficient processes and treatment system, etc.

Green Technologies

The exploration, production, refining & distribution of petroleum products result in the generation of a considerable volume of petroleum sludge. The contaminants in sludge are considered hazardous because of the presence of benzene (a confirmed human carcinogen) & other toxic contaminants.

Land-farming has been a common practice in India in handling oily sludge. Land-farming was undertaken in the 1960's worldwide because it was seen as low cost method to manage oily sludge. Since most of the refineries had lots of land available on their refinery site, it was an attractive alternative because it allowed refiners to manage their wastes onsite. In those early years very little study was undertaken to determine the environmental impacts of land-farming, since it was done on the refiner's site. Groundwater monitoring was either not considered or undertaken with very simple equipment. Also at that time neither the mobility nor toxicity of many of the organic contaminants such as benzene was really understood. Emissions of hazardous air pollutants such as benzene can create a significant health risk. Operating land-farms poses a health risk to onsite workers and population at large in the vicinity. In today's environment, land farming of oily sludge is not sustainable because of environmental & health hazards associated with it; non-availability of land or land availability at very high cost; and social resistance in locating these sites near to the residential areas.

EIL took lead in addressing this problem and evolved a solution to the problem which is not only sustainable but also has environmental, social & economic acceptance. EIL's R&D & Environment Divisions in association with Indian Institute of Technology, Roorkee bring together extensive expertise in chemistry, biology and microbiology in carrying out research & development to offer confined reactor based solutions for bioremediation of oily sludge to its clients. Reactor-based bioremediation is better alternative to land-farming as it offers onsite treatment of sludge thus avoiding off site transport of hazardous oily waste & is characterized by much higher

rates of degradation due to minimization of mass-transfer limitation & increased desorption of contaminants by continuous mixing. Residual material after bioremediation is non-hazardous and contains inorganic clay, silt or sand, water, and very low levels of hydrocarbons. Residual solids can be de-watered & reused in asphalt or other industrial purposes.

Water Conservation

EIL has also been providing solutions for water resources management while protecting or restoring our major water ecosystems. EIL helps enable the adoption of innovative integrated water management for industries & municipalities, while working to increase environmental, social and economic benefits. Some of the approaches which EIL has been adopting in its design & engineering to conserve water resources include the following:

- **Water Conservation:** this involves minimizing the water consumption & adopting advanced process technologies resulting in less effluent generation. This also involves recovery of water from all feasible sources.
- **Zero Liquid Discharge Concept:** this involves treatment of liquid effluent/waste water to produce fresh water or demineralized water from effluent.
- **Water Pinch:** this involves applying the concepts of Pinch Analysis for improving the water utilization and treatment system together. This helps in allocating and reusing different water sources effectively for various demands and thereby achieve the target of zero liquid discharge. EIL has done Water Pinch Study at Gujarat Refinery of IOCL.

Effluent Management & Zero Liquid Discharge

In India, the regulatory requirements in terms of Environmental protection are quite stringent. By any benchmark, India has an extensive environmental management system with a comprehensive set of environmental laws, specific statutory mandates, regulatory instruments, and institutional frameworks to implement and enforce environmental policy objectives.

It was in late nineties of the twentieth century when regulatory authorities in India started enforcing zero liquid discharge (ZLD) concepts to conserve the natural resources. This was the time when there was no reference of effluent recycle plants in hydrocarbon industry



worldwide and the lack of technical know-how was a big hindrance in implementing such projects. EIL took it as a challenge to address and evolve a total solution to the problem, wherein, an optimal solution is obtained for viable implementation.

Various technologies & treatment processes were studied with respect to their merits & demerits for being adopted as potential technology/process for effluent treatment & recycle. Pilot plants were put up in association with the clients and the system suppliers to evaluate the performance of various treatment options in effluent recycle.

Prominent pilot plants include an enhanced chemical oxidation process using hydrogen peroxide in presence of UV rays at MRPL-Mangalore Refinery and a high efficiency reverse osmosis plant at IOCL-Panipat Refinery. After a comprehensive study and zeroing down on the treatment processes, the first full-scale effluents recycle plant to produce D.M. water from refinery effluent was put up at IOCL for their Panipat Refinery Expansion Project (PREP), which was commissioned in the year 2006. This was a unique milestone in the history of effluent recycle and the concept of zero liquid discharge in hydrocarbon industry in India. The success of effluent recycle plant at IOCL-PREP prompted the hydrocarbon industry in India to increasingly implement such concepts to meet the zero liquid discharge requirements stipulated by the regulatory authorities.

Some of the other effluent recycle plants which either have been commissioned or are under construction include IOCL - Panipat Naphtha Cracker Project (PNCP), HPCL Mumbai - Integrated Effluent Treatment Plant (IETP), BORL - Bina Refinery, HMEL - Bhatinda Refinery, MRPL - Phase III Expansion project and OPaL-Dahej Petrochemical Complex.

Solid Waste Management

EIL also offers its services to industries and municipalities to develop and implement scientific & sustainable methods for Solid & Hazardous Waste Management comprising of segregation, storage, collection, transportation, treatment and disposal of waste by proper utilization of resources (men, money and materials) and as per the applicable provisions of The Municipal Solid Wastes (Management and Handling) Rules, 2000; E-waste Management and Handling Rules, 2011; Hazardous Waste (Management, Handling and Trans-boundary Movement)

Rules, 2008; and other applicable rules, regulations and statutory provisions.

Social Performance

Human Resources & Human Rights

Human resources along with technology are the two prime resources of consulting organizations like EIL.

Programs for skills management and lifelong learning that support the continued employability of employees and assist them in managing career endings including HSE and Sustainability activities.

Labour Practices Strategies

Finding and retaining right people has always been a challenge for the high end consultancy companies as it requires a flexible and highly skilled global workforce to deliver in often very demanding environments.

EIL has two types of work force, one working at HO in design areas and the other working on field in execution of the projects. Additionally, Contractors account for approximately three quarters of the man hours on projects. It is therefore especially important that these contractor personnel understand and reflect Company's values and work in alignment with its culture.

The industry is experiencing a shortage of skilled and experienced contractors in technical disciplines and it is expected that this trend will continue. Therefore, EIL is conscious of the need to ensure that contractors meet and maintain the standards.

People working in field are trained on labour related policies of the organization to maintain standards in services with regard to implementation of managing contractor's personnel.

EIL has firm policies in place to select contractor, ensure they are accountable, monitor and audit them and report on their performance. EIL also has firm plans to focus on improving the quality of contractor personnel and the way to manage them.

Social Strategy and Management approach (Anti-Corruption strategies)

EIL's Vigilance Department, under the leadership of Chief Vigilance Officer (CVO), consistently works towards achieving a transparent and impartial working



environment in the company and spreading vigilance awareness to all employees to eradicate corruption in all its forms. CVO acts as a link between the company and Govt., CVC, CBI, etc.

Vigilance Department undertakes activities such as Intensive Examination of EIL's own jobs on LSTK/OBE basis, random surprise inspection of in-house Contracts/Purchases, scrutiny of Immovable Property Returns, investigation of complaints etc. with the focused objective of ensuring conformity to the company procedures and Government guidelines. For systemizing the work, various rules, regulations and procedures of the company are reviewed and scrutinized from time to time. The observations reported by Central Vigilance Commission (CVC) are examined and necessary actions are taken. System improvements are suggested to the Management wherever found necessary and compliance of the same are pursued for improvement.

As per CVC guideline quarterly 'Structured Meetings' are held between CVO, C&MD and Directors and the MOMs are forwarded to CVC and Ministry of Petroleum & Natural Gas. Inter-directorate meetings are also held periodically between CVO & Directors to resolve the pending issues. Vigilance activities are also presented to the Board of Directors on half yearly basis.

Vigilance workshops, interactive sessions, seminars, debates, Vigilance Awareness Week etc. are organized in HO, Regional, Branch, Procurement and site offices of EIL for spreading vigilance awareness and encouraging "Participative Vigilance" amongst the employees of EIL.

Product Responsibility (Quality Assurance)

EIL is ISO 9001:2008 certified for Quality Management Systems and current certificate is valid up to 13.10.2015.

The certificate for conformance was originally awarded & issued on 26.09.1994 and since last 20 years EIL is continuously maintaining this certification. The renewal certification Audit has been successfully completed on 29.08.2012 and auditors had recommended for certificate for conformance for further period of 3 years.

The Company does have a mechanism for monitoring and collecting feedback/perception of our customers. It is basic policy in EIL to meet or exceed the customer needs and expectations and pursue excellence in delivery of its services. To meet customer needs/expectations in the best possible manner, regular feedback and suggestions are obtained from clients and the services/deliverables are evaluated critically to bring further improvement in systems and processes on a continuous basis.

Product Responsibility (Health & Safety)

EIL's commitment to HSE requires that the operations be conducted in such a way as to preserve the health and safety of the employees, client officials, contractors, vendors, and other stake holders associated with EIL working and to give due regard to the protection of the environment.

The highest standards in health, safety and environmental preservation and protection can only be achieved through a systematic approach to the establishment, implementation and maintenance of an HSE Management System designed to ensure, as a minimum, compliance with the laws and project requirements and to achieve continuous performance improvements.

EIL has therefore evolved its safety management system which ensures that due attention is paid to every aspect of safety in design and, at the same time, is flexible enough to adapt to the customer's special requirements. It is the conscious effort of project management that such safety enhancement activities are carried out in a manner that does not affect the schedule and quality of works.

The HSE services that EIL provides to its clients are continually assessed for improvements and enhancements.

HSE Policy

EIL has dedicated HSE (Health, Safety & Environment) Policy at corporate level, which has the following salient features:

- Ensure compliance with requirements of health, safety and environment, during design and delivery of products/services as per applicable National and International codes, standards, procedures, engineering practices, statutory requirements including customer's requirements
- Ensure safety and health of employees, personnel of clients and associates
- Create awareness on health, safety and environment aspects for all employees and associates

The HSE Policy is to establish EIL as one of the recognized leaders in occupational health, safety and protection of the environment, for both, plant design & project execution and all work locations, and ultimately achieve the goal of preventing any accident or injuries.

Further, EIL views a safe design of the plants/projects to be an integral part of the quality of the services supplied to the client and consider HSE to be the primary duty of an employer.



EIL Corporate Management recognizes its responsibility for creating and sustaining a culture that supports the implementation of high standards of HSE. EIL Corporate Management, therefore, provides the necessary leadership and commitment to ensure that the necessary resources to develop, operate and maintain the HSE Management System and to achieve the HSE Corporate Policy and objectives are available.

The HSE Corporate Policy also provides the basis for establishing the HSE Objectives which set the limits within which EIL shall operate and the basis for the establishment of departmental and project plans and objectives.

The HSE Corporate Policy and objectives are communicated to all employees through Corporate Communication, newsletters, awareness program and campaigns, and training.

The stress on meeting the environmental and safety requirements in the corporate policy is reflected in the entire design, engineering and project activities. It is the constant endeavor of Project Management in EIL to fulfill the above corporate policy in letter and spirit.

EIL endeavors to achieve the highest standard of safety comparable to latest similar facilities in operation abroad; this, needless to mention, is done within the project specifications. Besides compliance with regulatory bodies like OISD, CCE, TAC, Factory inspector etc, internationally acknowledged codes and practices like those of API, NFPA and relevant Company's standard, as relevant are being followed.

Process Safety Management System

Plant Safety is an important concern of project management, especially for large petroleum and petrochemical projects handling highly flammable and explosive chemicals. Plant Safety is ensured during every stage of project execution:

- a) Conceptual design
- b) Detail design and engineering
- c) Equipment procurement and construction
- d) Commissioning

Carrying out the design and engineering of the facility as per Regulations, Codes of Practice, Industry standards and Guidelines is necessary to ensure plant safety. Adopting inherent safety and extrinsic safety measures at the project execution, ensures a safely designed plant for further operation and production.

Safety forms an important consideration in site selection, in order to ensure that the site does not pose undue risk to habitation outside the facility. If required, adequate buffer zones are provided between the facility and habitation adjoining the site.

EIL's HSE management system and best practices are reviewed periodically and enhancements & new procedures are implemented as necessary.

Various safety studies are undertaken by EIL at various stages of the project to ensure plant safety. These are as under:

- Rapid Risk Analysis
- Safe Design Procedures
- Hazard And Operability Study
- Safety Integrity Level (SIL)
- Quantitative Risk Analysis Study (QRA)
- Hazard Identification Study (HAZID)
- Gas dispersion Study (Flammable & Toxic Gas)
- Vent Radiation Study
- Consequence Analysis
- Fire Safety Assessment
- Safety Layouts
- F&G Layouts and Cause/ Effect Matrix
- Qualitative Risk Analysis study
- Disaster Control and Management Plan
- Escape Evacuation and Rescue Assessment
- Escape Route layouts
- Flare Radiation and Dispersion Study

HSE activities (Construction):

The Construction Division during the four decades of its functioning has provided construction management services for construction of more than 250 major projects besides numerous small ones within the country and overseas.

Presently there are more than 37 construction sites spread all over India & Overseas projects are being executed at Abu Dhabi and Algeria.

EIL Construction on an average renders supervision for

more than 150 million man hours annually at sites. Construction team has been credited with many accolades and landmarks in HSE aspects, some of the notable achievements are as under:-

- 81.86 million man hours without any LTA (PREP project, Panipat)
- 80 million man hours without any LTA (PNCP project, Panipat)
- 50 million man hours without any LTA (OPAL Dahej Gujarat)
- 36.29 million man hours without any LTA (PTA project, Panipat)
- 48.3 million man hours without any LTA (MRPL Phase- III Mangalore)
- 40 million man hours without any LTA (BCPL Lepetkata Assam project)

EIL is also a member of British Safety Council (Membership No: 104420) and National Safety Council (CM-DLI-225) for keeping abreast with latest trends and development in HSE matters. Further external institutional training is also being arranged for the employees.

Sustainable Development Initiatives by EIL

Sustainable Development has become a necessity, a reality. EIL's commitment to sustainability has been strong and enduring and our ability to evolve and grow defines what EIL stands for today.

EIL has endeavoured into Sustainability by constituting the Sustainable Development Initiative Projects under Technical Directorate:

- Biodiversity
- Battery Charging Station for Battery Operated Vehicles
- Carbon Foot Print
- Energy Management of EIL at Delhi & Gurgaon
- Training Session of EIL Employees

The Sustainable Development Initiative Projects are being described in brief:

Biodiversity

Biodiversity is the variety and variability of life on Earth. This includes all the plants and animals that live and grow on the Earth, all the habitats in which they survive, and all

the natural processes of which they are a part. The earth supports an incredible array of biodiversity. Unfortunately, the earth's biodiversity is disappearing, with an estimated 1,000 species becoming extinct every year. Conserving biodiversity is crucial especially in developing countries where people's livelihoods are directly dependent on natural resources such as forests, fisheries and wildlife. With the increasing pressure and demand for land and unplanned land use of various landscapes, for majority of the biodiversity has become the main abode for survival.

As emphasized by the Convention on Biological Diversity, any strategy to slow the loss of biodiversity and to enhance its contribution to sustainable development must integrate three essential elements: conservation of biodiversity, sustainable use of its components and the equitable sharing of benefits.

Development is a necessary evil and will take place with time but one needs to recognize the potential of the campus as a green lung and carbon sink; if absolutely needed, sustainability of the natural wealth should be given due consideration.

Exploration of species season wise within the campus area and addition of plant species through plantation program in gap areas have resulted in improvement in biodiversity.

Approximately ₹20 Lakhs per annum is being spent by EIL for expenditures towards horticulture; biodiversity enhancement; and operation & maintenance of sewage treatment plant at its Gurgaon complex.

Battery Charging Station for Battery Operated Vehicles

Transport sector accounted for 24% of global carbon dioxide (CO₂) emissions (as of 2006). This proportion is rising as economic growth brings the benefits of widespread vehicle use to the world's emerging and developing economies.

In India, National Electric Mobility Mission Plan 2020 (NEMMP 2020), which is the mission document for National Mission for Electric Mobility (NMEM) has set a target of 6-7 million units of new vehicle sales of full range of electric vehicles, along with resultant liquid fuel savings of 2.2 – 2.5 million tonnes to be achieved in 2020.

Hence it is expected that demand of battery charging station will increase substantially considering growth of Battery Operated Vehicles.

The Objective of the project:

- To study the basic design of a Battery Charging Station



- Detail design of a Charging Dispenser covering safety
- Metering and payment facility required for a commercial charging station
- Infrastructure requirements and other facilities required for a commercial battery charging station
- Cost estimation

Commercially available EVs/PHEVs in India are presently compatible with 240V 16A single phase power supply with Mode -1 charging and 3 pin sockets. For the purpose of this project, equipment is designed to suit the same.

For the case of EV/PHEV Battery charging at residential homes/complexes, and already existing office/ workplace Parking Lot, no separate infrastructure is required except for the battery charging dispenser and canopy for the open type parking spaces.

Dedicated charging stations have been designed with two options, one with underground option and the other with above ground option.

In case of the underground option, dedicated charging station with ground floor and an underground floor has been considered. 8 vehicles can be charged at a time at the ground floor and 14 vehicles can be charged at a time at the underground level

In case of over ground option, two above ground floors have been considered other than the ground floor. For this case, 8 vehicles can be charged at a time at the ground floor and 16 vehicles can be charged at a time at each upper level.

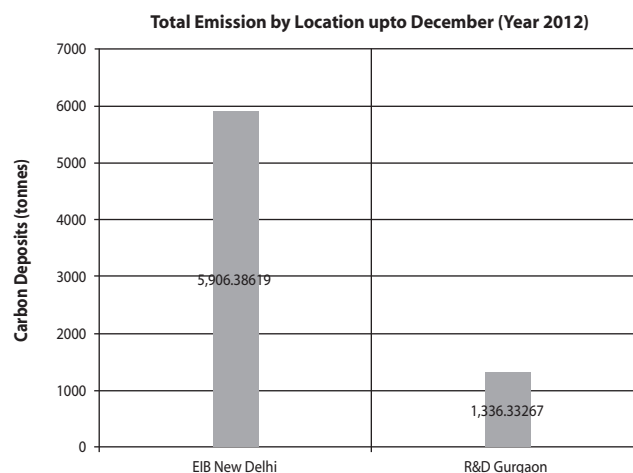
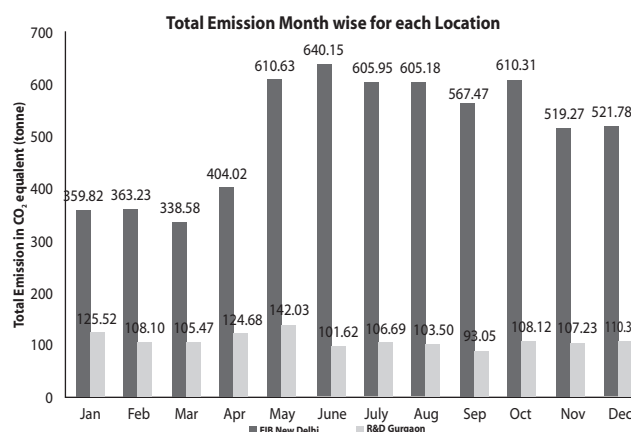
Carbon Foot Print (CFP)

It's imperative to take some serious measures to control the emission of green-house gases to protect and conserve the environment. EIL has taken an initiative to play its role towards sustainable development by establishing different measure to safeguard the environment.

EIL has calculated its Carbon Foot Print (CFP) using "CarboPrint," an in-house software. The relevant input data is fed into the software to calculate the Carbon-di-Oxide equivalent emission. CarboPrint is already fed with the emission factors for the different fuels for different places. The extracted data is converted to the (CO₂) eq. Total carbon-di-oxide equivalent emission of EIL has been calculated by this software.

Electricity is the major contributor for the (CO₂) eq. emission in EIL's New Delhi and Gurgaon complexes. The location wise emission of (CO₂) eq. indicated that the emission in EIL's office in New Delhi is overwhelming mainly because of the number of employees, but Gurgaon office shows the higher per capita emission of (CO₂) eq.

CFP of both these offices were calculated from April 2012 to January 2013, and it is found that these offices contributed 6670 tonnes of CO₂ equivalent for the above said period. For the year 2012-13, it is found that the electricity is the major contributor for CO₂ emission, so, measures have been taken for the optimal usage of Electricity to bring the CFP of EIL under control.



Energy Management of EIL at Delhi & Gurgaon

The Energy Management refers to reductions in cost,



greenhouse gas emissions and other environmental impacts, through efficient use and systematic management of energy.

Energy Management for the building is the process of monitoring, controlling and conserving energy and reducing energy consumption in building without affecting operational and functional requirements. Report on Energy Management of EIL at Delhi and Gurgaon was prepared and recommendations were made for reduction of energy footprints in EIL buildings to result in energy conservation as a sustainable development project in EIL, EIA and EIL R&D Gurgaon buildings.

Detailed Energy Audits of EIL Buildings at Delhi and Gurgaon were carried out in the year 2012-13 to identify the opportunities in improvement of Energy Efficiency of the equipment and to promote Conservation of Energy which will help to reduce Annual Energy Consumption.

Training Session of EIL Employees:

As per MOU signed with DPE for FY 2012-13, "Training sessions to 30 EIL employees in Sustainable Development (SD)" was one of the selected Projects as part of sustainable development programme in EIL. The aim of selecting the training in SD as one of the Project was to sensitise and educate EIL employees in various aspects of

SD so that the various activities undertaken by EIL are carried out in right perspective and are effective.

Based on the training received through FICCI and other resources, the trained employees voluntarily developed training modules of the training manual – "The Green Training Book". The Green Training Book was officially launched on 01.01.2013.

The Green Training Book comprises of the following six modules:

Module 1: Introduction to Sustainable Development

Module 2: Energy Mgmt. & its effective Implementation

Module 3: Biodiversity & its effect on Mother Nature

Module 4: Green Economy and CDM Programme

Module 5: Resource and Waste Management

Module 6: SD Reporting

The target for providing training to 30 EIL employees in SD by 15.03.2013 was completed well within schedule. Audit by Dr. C. R. Babu, Emeritus Professor, Centre for Environmental Management of Degraded Ecosystem was also completed and "excellent" rating was accorded by him.



Management Discussion & Analysis

We are pleased to present our performance highlights for FY 2012-13 and the business outlook for this year:

1. Business Overview

For the year 2012-13, the Company secured business worth ₹ 1438.43 crores with segment-wise breakup as follows:-

Domestic Consultancy : ₹ 1157.34 crores

Domestic Turnkey : ₹ 142.50 crores

Overseas : ₹ 138.59 crores

Hydrocarbon sector continued to be the mainstay of EIL's business having contributed most to new businesses. Overseas business inflow was primarily led by Middle-East with considerable contributions from Africa & Far-East Asia.

In the Refining Sector, major consulting orders secured include Integrated Refinery Expansion Project at Kochi of BPCL, INDAdaptG unit at Guwahati Refinery of IOCL, Associated Facilities Project at Barmer of CAIRN. Also Pre project activities for a number of future Greenfield and Brownfield projects such as 9 MMTPA refinery & petrochemical complex of HPCL in Rajasthan, Propylene derivatives Petrochemical Project at Kochi, Poly Butadiene Rubber (PBR) Project in Gujarat of GAIL, Mangala Polymer Project of CAIRN have been entrusted by our esteemed clients.

In the field of Pipelines, major projects secured include consultancy services for Upgradation of Pump Stations/Terminals of OIL's Naharkatiya-Barauni Crude Oil Pipeline and GITL's Mallavaram – Bhilwara – Vijaipur Pipeline Project.

EIL's efforts to grow into LNG Sector resulted in an award of FEED package for LNG Terminal at Gangavaram of Petronet and LNG Tank-Hazira Capacity Expansion Project Phase-II of Shell.

Significant order inflows were received in Oil and Gas Processing segments with award from Oil & Natural Gas Corporation Limited.

EIL has also strengthened its presence in the Infrastructure sector by winning new orders for PMC services for canal/pipeline projects from SSNNL and development of Central

University of Punjab at Bathinda.

In the LSTK foray, EIL is entrusted the job of executing Butene-1 Project at Panipat on Open Book Estimate mode by IOCL.

In order to increase its geographic foot prints, EIL is in the process of exploring business opportunities in Venezuela. EIL made an entry into Nigeria and Bangladesh by securing jobs in the fertilizer sector. In addition to the above, EIL continues to provide a large number of value added specialized services in fields relating to Project Feasibility Studies, Risk Analysis, Environment Management, Energy Efficiency Management etc.

2. Business Environment & Future Outlook

Global economic environment deteriorated during the year owing to concerns of fiscal in Europe, increased risk aversion and credit constraints. Most developing countries were also hit by higher funding costs and sharply weakened capital flows. In India, the percolating effects of global slowdown were much lesser. However, going forward, the slowdown in GDP growth witnessed over the last two quarters is likely to extend into the coming fiscal years owing to delays in corrective policies, inflation, rupee depreciation and weakened investment sentiments.

As per World Economic Outlook reports, the global economy has deteriorated further in this Fiscal Year, with uncertainty over the prospects and stability of possible recovery in medium term. The current policies and corrective mechanisms implemented in advanced countries have not yet given confidence for strengthening of economic activity.

The Company envisages strengthening of its competencies in core areas viz. Refineries, petrochemicals, offshore platforms, oil & gas processing, pipelines and terminals. However for long term sustainability of growth, we envision to increase our global expanse and diversify into newer areas where EIL's core engineering strength can be leveraged.

We feel there are significant growth opportunities in other sectors viz. infrastructure, water & waste management, solar & nuclear power and fertilizers, wherein EIL can play a niche role. Besides developing consulting and EPC service segments in these areas, the Company shall also target other

modes of project management viz. BOO/BOOT, O&M segments and project development both domestic and international.

For the overseas, the Company plans to build strategic partnerships for complementing the skill sets to enable faster scaling up of Consulting and EPC business.

3. Financial Performance

The main highlights of the financial performance of the Company for the year, as stated in the audited financial statement, along with the corresponding performance for the previous year are as under:

(Figures ₹ in Lakhs)

No.	Description	2012-13	2011-12
A(i)	INCOME FROM SERVICES RENDERED	250597	369882
A(ii)	OTHER INCOME	31642	23218
	TOTAL INCOME	282239	393100
B.	EXPENDITURE		
i)	Cost of rendering services	192058	299678
ii)	Depreciation	1087	1945
	TOTAL	193145	301623
C	PROFIT BEFORE TAX (A-B)	89094	91477
D	Provision for Current tax	28446	32026
E	Provision for Deferred Tax	(2230)	(3862)
F	Prior Period Tax Adjustments, Short/(Excess)	20	(318)
G	PROFIT AFTER TAX (C-D-E-F)	62858	63631
H	Dividend	20216	20216
I	Tax on Dividend	3291	3223
J	Retained Profits	37139	40192
K	RESERVES & SURPLUS	206908	167558
L	NET WORTH	223755	184405



3.1 Segment wise Performance

In line with Accounting Standard (AS-17) "Segment Reporting", the Company has (segmented) strategized its business activity into two business segments i.e. Consultancy & Engineering Projects and Turnkey Projects, taking into account the organizational structure and internal reporting system as well as different risks and rewards of these segments. Segment results are given below:

(Figures ₹ in Lakhs)

	Year ended 31.03.2013	Year ended 31.03.2012
Segment Revenue		
Consultancy & Engineering Projects	123424	120731
Turnkey Projects	127173	249151
Total	250597	369882
Segment Profit From Operations		
Consultancy & Engineering Projects	52705	51091
Turnkey Projects	11048	24521
Total (A)	63753	75612
Prior period adjustment	428	192
Interest	–	116
Other unallocatable expenditure	5873	7045
Total (B)	6301	7353
Other Income (C)	31642	23218
Profit Before Tax (A-B+C)	89094	91477
Capital Employed (*)	223755	184405

(*) Fixed Assets used in the Company's Business or Liabilities Contracted have not been identified to any of the reportable segments, as the fixed assets and support services are used interchangeably between segments. Accordingly, no disclosure relating to total segment assets and liabilities has been made.

3.2 Financial Performance in relation to Operational Performance

The Company has registered a turnover of ₹250597 lakhs in FY2012-13, as stated in the audited financial statement. The revenue from consultancy business increased year-on-year to ₹123424 lakhs which is driven by an increase in overseas consultancy income.

The Company has recommended a final dividend of ₹3/- per share (Face value ₹5/- per share) in addition to interim dividend of ₹3/- per share paid during the year.

4. Risk & Concerns

The Company has a Risk Management policy and a supporting frame work which facilitates the identification and assessment of new risks and review of existing risks. The process is based on identified risks and the risk events or factors which require regular

assessment and quick response. Based on the probability and impact of the risk, the requisite controls and action plans are designed. To measure the adequacy, effectiveness and efficiency of these controls action plans have been made to implement the concept of Key Risk Indicators (KRI). KRIs have been designed and are being implemented to measure presence, level, or trend of the risk.

The objective of risk management in the Company is to act as enabler in maintaining its knowledge edge, sustaining and expanding the business, being competitive and ensuring execution of projects within budgeted cost and time resulting in improved turnover and profitability.

Risks, their root causes, controls and action plans are prepared by process owners and updated regularly. These are approved by the Risk Management

Committee (RMC) with Director (Finance) as chairman of RMC and all the Executive Directors, GM (ITS) & Company Secretary as members, with Head of Risk Group as member secretary. Risk audits are conducted regularly to test the compliance of controls and the same is reported to RMC.

The status of Enterprise Risk Management (ERM) process is presented to Audit Committee on bi-annual basis which is reviewed by the Board of Directors also. The reporting structure meets the regulatory compliance.

Based on periodic reviews and implementations of recommendations resulting from review process, the ERM process is continuously being improved and strengthened. As one of the major initiatives, Project Risk Management has been implemented for high value and important projects to anticipate critical risk and to take actions in advance to mitigate them. A risk register is prepared by listing all possible risk events associated with the project and approved by Risk Management Team (RMT) consisting of all disciplines associated with the project. RMT meets every month for updating the risk register & continuously focuses on the identified risks. The risks severities are categorized as critical, major, minor and cautionary based on the probability and overall impact. Proactive measures are taken to address the critical & major risks whereas constant watch is kept for remaining risks. Project Risk Management helps in facilitating management towards risk mitigation for effective project implementation.

As advancement in this field, the risk management processes are being automated by developing Enterprise Risk Management System (ERMS) software.

The communication is being sent regularly, across the organization to spread awareness on risks, root causes and action plans through in-house risk management awareness programs, external trainings & seminars, certification program on Project Risk Management.

A quarterly news letter 'Risk Screen' has been launched during this period which is being shared with all the employees to increase their involvement & create desires among them to control risks in their work processes & areas.

The management is committed to further strengthen its risk management capabilities by continuing efforts in creating new opportunities & improving competencies/ knowledge in various areas in line with the risk appetite of the company.

5. Internal Control Systems

The Company has in place adequate systems of internal controls and documented procedures covering all financial and operating functions. These have been designed to provide reasonable assurance with regard to maintaining proper accounting controls, monitoring economy & efficiency of operations, protecting assets from unauthorized use or losses and ensuring reliability of financial & operational information. The Company has continued its efforts to align all its processes and controls with global best practices.

Some significant features of the internal control systems are:

- Preparation and monitoring of annual budgets for all operating and service functions.
- A well established Internal Audit team reviews and reports to management and audit committee regularly, the adequacy and compliance of internal controls across the organization.
- Clear delegation of power with authority limits for incurring capital and revenue expenditure.
- Corporate policies on accounting and capital acquisition.
- Periodic meetings of the management committee at apex level to review operations and plans in key business areas.

6. Memorandum of Understanding (MoU) with the Govt. of India

The Company signed an MoU with Ministry of Petroleum & Natural Gas (MoP&NG) for the year 2013-14 with targets for turnover and gross margin along with initiatives for HRD, R&D, CSR and Sustainable Development.

7. Significant Initiatives

EIL intends to leverage engineering consultancy, EPC capabilities and track record to selectively diversify into other potential project segments as part of our strategic initiatives for enhanced growth and diversification. We intend to focus on specific project segments and industries including in LNG, water and waste management, city gas distribution, power, gas based fertilizer projects and coal to liquid projects. We participated in the NELP IX bidding along with four other consortium members and have signed the Production Sharing Contracts (PSC) with Gol



(MoP&NG/DGH) for two exploration acreages. We also continue to focus on providing engineering consultancy services for gas-based fertilizer projects and explore turnkey opportunities in this sector. We are presently considering an investment in joint venture for the revival of the Ramagundam unit of the Fertiliser Corporation of India Limited (FCIL).

7.1 Human Resources

• Assessment & Development Centre (ADC) at EIL:

EIL recognizes that in order to facilitate its ambitious growth strategy, it needs to invest in developing leaders on an ongoing basis, with the objective of better equipping them to lead teams to execute the strategy. The ADC approach to key HR processes leads to strengthening the current capabilities as well as enables us in drawing-up a synchronized projection for the future.

To meet this objective, the assessment & development centres were conducted for 65 DGMs in August-September 2012.

• Learning & Development Initiatives at EIL:

Learning and Development initiatives for year 2012-13 mainly focused on developing Human Resources through training interventions emphasizing on:

- i. Domain expertise
- ii. Soft skills competencies
- iii. Leadership Development

During 2012-13, total 4299 nominations were processed through different programmes resulting in 2.31 average training man-days per employee.

Apart from conducting need based technical and functional interventions, Training & Development Division increased its focus on planned interventions for FY 2013-14. All departments were consulted for their domain inputs for culling out exhaustive training plans to cater to the present and emergent training needs.

7.2 Marketing

EIL has also been successful in expanding its client base further with addition of new clients in existing and diversified business segments. Further, EIL continues to build upon its strength in hydrocarbon sector by securing new orders from existing clients such as IOCL, ONGC, BPCL, CAIRN and Petronet as also from new

clients viz. GITL and PT Wijaya Karya, Indonesia. EIL has also been successful in establishing its footprints in Fertilizer Sector in foreign territory by securing contracts from Indo Rama Eleme, Nigeria and BCIC, Bangladesh.

During the year, there were positive developments in terms of acquiring new orders in fields of Institutional complexes, Water Management and Third Party Inspection services.

Diversification initiatives into emerging and sunrise sectors, namely, Fertilizer, Nuclear, CTL, Water and Solar have shown encouraging outcomes. EIL's efforts have resulted in new projects in Nuclear and Solar segments. EIL's persistence in these sectors is important for its long term business growth. The competencies developed in these sectors can be leveraged in expansion of business to newer territories such as Middle East, Africa, and Venezuela etc.

While there have been delays in project expansion plans proposed for City Gas and Nuclear for various policy and environment concerns, the Company was still able to secure pre project related consulting assignments. We feel our capabilities of supporting clients for end to end services from project inception to commissioning and post award trouble shooting provides competitive advantages for long term association for customer recall.

The Company, therefore, plans to acquire additional skill sets, resources and technology, if required, to meet the emerging challenges in the diversified business domains.

7.3 Operational Improvements

Keeping in view the Company's emphasis on improving the operational efficiency, various initiatives have been undertaken to move towards creating a robust Knowledge Management (KM) System. Electronic Document Management System (eDMS) for this purpose is being utilized for live projects effectively.

7.4 Diversification

EIL's strategy is focused on leveraging its wide range of services capabilities and its global network to create business value for its customers and execute new growth initiatives. EIL is focusing on expansion of its business portfolio through several initiatives viz. Power, Fertilizer and Infrastructure sectors.



EIL has secured major breakthrough in securing E&P business (partnering two Blocks under NELP-IX) as well as Solar Power. We continue to actively pursue opportunities in Solar Power sector for photovoltaic power plants, entering into agreements with concentrated solar power technology providers and participating in competitive bidding for solar energy projects. We were involved in installation of one of the largest solar thermal power plants in India.

EIL continues to explore opportunities in the Infrastructure segment and has been empanelled by various clients such as Government of Rajasthan, Bharat Electronics, Bihar Urban Infrastructure Development Corporation, etc. EIL is also taking all measures in scouting investment options including equity participation as well as targeting 'Build Own Operate' business model for utilities in Hydrocarbon, Desalination Plant, Waste Management, etc.

In addition, to sustain strong growth in new areas, the Company continues to look closely at acquisitions that are strategic in nature.

7.5 Cost Control & Monitoring

Effective cost reduction measures like reduction of support staff, overheads, better cost control etc. have been taken up.

7.6 Corporate Social Responsibility

CSR Policy of the Company is aligned with the national accent on inclusive growth and the DPE Guidelines on CSR. The corporate systems and processes were strengthened with the formation of a CSR Committee of the Board by the Board of Directors and a CSR Council by EIL Management to provide direction and oversee the CSR initiatives of the Company.

8. Environment Protection & Conservation, Technological Conservation, Renewable Energy Development, Foreign Exchange Conservation

EIL has taken steps for the implementation of clean and green technologies in order to reduce carbon footprint of its projects. State-of-the-art technologies in the field of effluent recycle/reuse leading to Zero Liquid Discharge (ZLD) requirements, carbon management for control of volatile organic compounds, hazardous and solid waste management, recovery of oil from oily sludge and treatment of oily sludge using bioremediation process, opting energy efficient processes and treatment system have driven the Company's green initiatives.

9. Management Information System (MIS)

MIS in the Company is constantly being fine tuned to cater to the ever growing information needs for effective and quick decision making as well as for statutory requirements. MIS Division is providing vital data inputs to various Divisions and Senior Management highlighting operating variables, achievement vis-a-vis budgets and other decision support data.

10. Disclosure by Senior Management Personnel

Reflecting EIL's commitment towards increasing transparency in all spheres, Senior Management Personnel have confirmed that none of them have material financial and commercial transactions where they have personal interest that may have a potential conflict with the interest of the Company at large.

11. Cautionary Statement

Statements in Management Discussion and Analysis describing the Company's objectives, projections, expectations and estimates are based on current business environment. Actual results could differ from those expressed or implied based on future economic and other developments, both in India and abroad.



Report on Corporate Governance

1. Company's Philosophy on Corporate Governance

The Company firmly believes in and has consistently practiced good Corporate Governance. The Company's essential character is shaped by the values of transparency, professionalism and accountability. The Company is committed to attain the highest standard of Corporate Governance. The philosophy of the Company in relation to Corporate Governance is to ensure transparency in all its operations, make disclosures and enhance all stakeholders' value within the framework of laws and regulations.

The Company has received Certificate of Recognition from the Institute of Company Secretaries of India under 12th ICSI National Awards for Excellence in Corporate Governance for 2012. The Award was received by the Chairman & Managing Director alongwith other Functional Directors and Company Secretary of the Company from Hon'ble Mr. Justice M.N. Venkatachaliah, former Chief Justice of India.

2. Board of Directors

a) Composition of the Board of Directors

Engineers India Limited is a public sector undertaking and all the directors are appointed by the Government of India. The Board has a mix of executive and non-executive Directors. The Articles of Association of the Company stipulates that the number of Directors shall not be less than five and not more than twenty five.

Presently, EIL is having 13 Directors on its Board viz. C&MD, 5 whole time Executive Directors (Functional) and 7 Non-Executive Directors. The whole time Executive Directors (Functional) are reporting to the Chairman and Managing Director.

Clause 49 of the Listing Agreement and DPE Guidelines on Corporate Governance for CPSEs stipulate that at least 50% of the directors should be Non-Executive Independent directors, where Chairman is Executive. Since the Government of India appoints the Directors of the Company, the company is constantly pursuing for appointment of requisite number of Independent directors on the Board of the Company.

b) Number of Board Meetings

The Board of Directors met 6 times during the financial year 2012-13. The details of the Board Meetings are as under:

S. No.	Date of Meeting	Place	Board Strength	No. of Directors present
1.	May 28, 2012	New Delhi	13	12
2.	August 1, 2012	New Delhi	16	16
3.	October 30, 2012	New Delhi	16	10
4.	December 10, 2012	New Delhi	15	13
5.	January 29, 2013	New Delhi	15	11
6.	March 13, 2013	New Delhi	13	9

c) Attendance record of Directors at Board Meetings and Annual General Meeting and number of other Directorships/Committee Memberships/Chairmanships.

Attendance of each Director at the Board Meetings and at the last Annual General Meeting held during the year 2012-2013 and number of other Directorships / Committee Memberships / Chairmanships of each director is given below:

Name of the Director	Attendance Particulars		Number of other Directorships / Committee Memberships / Chairmanships		
	Board Meetings	Last Annual General Meeting held on 30/08/2012	Other Directorships	Committee Memberships**	Committee Chairmanships**
A) Chairman and Managing Director (Executive)					
Shri A.K. Purwaha	6	Yes	4	-	-
B) Whole-time Directors (Executive)					
I) Present Directors					
Shri Ram Singh	6	Yes	1	-	-
Shri D. Moudgil	5	Yes	-	-	-
Shri Sanjay Gupta ^{*-1}	5	Yes	4	1	-
Ms. Veena Swarup ^{*-2}	4	-	-	-	-
Shri Ajay N. Deshpande ^{*-3}	-	-	-	-	-
II) Directors Retired/Resigned					
Shri P.K. Rastogi ^{*-4}	2	Yes	-	-	-
Shri G.D. Goyal ^{*-5}	1	-	-	-	-
Shri P. Mahajan ^{*-6}	6	Yes	-	-	-
C) Non-Executive Directors					
I) Present Directors					
Shri R.N. Choubey ^{*-7}	-	-	-	-	-
Dr. Archana S. Mathur ^{*-8}	4	-	-	-	-
Shri Adit Jain	4	-	5	-	1
Dr. (Prof.) KDP Nigam	2	-	-	-	-
Shri Bijoy Chatterjee ^{*-9}	3	-	-	-	-
Dr. J.P. Gupta ^{*-10}	4	-	1	-	-
Dr. R.K. Shevgaonkar ^{*-11}	2	-	-	-	-
II) Directors Retired/Resigned					
Shri U.N. Bose ^{*-12}	2	-	-	-	-
Shri L.N. Gupta ^{*-13}	2	-	-	-	-
Shri Dependra Pathak ^{*-14}	2	-	-	-	-
Dr. Avinash Chandra ^{*-15}	5	-	-	-	-
Shri A.K. Purwar ^{*-16}	3	-	-	-	-
Ms. Sushma Taishete ^{*-17}	3	-	-	-	-

Remarks:

- ^{*-1} Shri Sanjay Gupta was appointed as additional Director in the capacity of Director (Commercial) w.e.f. 1.07.2012 and was appointed as Director in the 47th AGM held on 30.08.2012.
- ^{*-2} Ms. Veena Swarup was appointed as additional Director in the capacity of Director (HR) w.e.f. 1.10.2012.
- ^{*-3} Shri Ajay N. Deshpande was appointed as additional Director in the capacity of Director (Technical) w.e.f. 1.04.2013.
- ^{*-4} Shri P.K. Rastogi retired as Director (HR) w.e.f. 1.10.2012 on attaining the age of superannuation on 30.09.2012.
- ^{*-5} Shri G.D. Goyal retired as Director (Commercial) w.e.f. 1.07.2012 on attaining the age of superannuation on 30.06.2012.
- ^{*-6} Shri P. Mahajan retired as Director (Technical) w.e.f. 1.04.2013 on attaining the age of superannuation on 31.03.2013.
- ^{*-7} Shri R.N. Choubey was appointed as additional Director (Government Nominee) w.e.f. 10.04.2013.



- *⁸ Dr. Archana S. Mathur was appointed as additional Director (Government Nominee) w.e.f. 3.08.2012. However, in terms of the provisions of the Companies Act, 1956, her tenure as Additional Director expired on 30.08.2012. Therefore, her appointment was renewed and accordingly, she was appointed as additional Director (Government Nominee) w.e.f. 30.08.2012.
- *⁹ Shri Bijoy Chatterjee was appointed as additional Director (Non-official Independent) w.e.f. 4.07.2012 and was appointed as Director in the 47th AGM held on 30.08.2012.
- *¹⁰ Dr. J.P. Gupta was appointed as additional Director (Non-official Independent) w.e.f. 4.07.2012 and was appointed as Director in the 47th AGM held on 30.08.2012.
- *¹¹ Dr. R.K. Shevgaonkar was appointed as additional Director (Non-official Independent) w.e.f. 4.07.2012 and was appointed as Director in the 47th AGM held on 30.08.2012.
- *¹² Shri U.N. Bose ceased to be the Director w.e.f. 1.12.2012 due to his retirement from M/s ONGC on attaining the age of superannuation on 30.11.2012.
- *¹³ Shri L.N. Gupta, Director (Government Nominee) ceased to be Director w.e.f. 3.08.2012 in terms of Ministry of Petroleum & Natural Gas, Government of India, letter No. C-31033/1/2012-CA dated 3.08.2012.
- *¹⁴ Shri Dependra Pathak Director (Government Nominee) ceased to be Director w.e.f. 3.08.2012 in terms of Ministry of Petroleum & Natural Gas, Government of India, letter No. C-31033/1/2012-CA dated 3.08.2012.
- *¹⁵ Dr. Avinash Chandra ceased to be the Director w.e.f. 30.01.2013 due to resignation.
- *¹⁶ Shri A.K. Purwar ceased to be the Director w.e.f. 30.01.2013 due to resignation.
- *¹⁷ Ms. Sushma Taishete was appointed as additional Director (Government Nominee) w.e.f. 3.08.2012. However, in terms of the provisions of the Companies Act, 1956, her tenure as Additional Director expired on 30.08.2012. Therefore, her appointment was renewed and accordingly, she was appointed as Additional Director (Government Nominee) w.e.f. 30.08.2012. Thereafter, she ceased to be Director of the Company w.e.f. 10.04.2013 in terms of Ministry of Petroleum & Natural Gas, Government of India, letter No. C-31033/1/2012-CA dated 10.04.2013.
- ** None of Directors on the Board is a member of more than 10 committees or chairman of more than 5 committees across all the companies in which he is a Director. Membership/ Chairmanship in committee is reckoned pertaining to Audit Committee and Shareholders/ Investors Grievance Committee and based on disclosures received from Directors.

d) Board Procedure

The meetings of the Board of Directors are generally held at the Company's Registered Office in New Delhi. The meetings are generally scheduled well in advance. The Board meets at least once a quarter to review the quarterly performance and the financial results. The time gap between two meetings was not more than three months. The agenda for the meetings is prepared by the concerned officials, sponsored by the concerned Functional Directors and approved by C&MD. The Board papers are circulated to the Directors in advance. The members of the Board have access to all information and are free to recommend inclusion of any matter in the agenda for discussion. Senior executives are invited to attend the Board meetings and provide clarification as and when required. Action Taken Reports are put up to the Board periodically. To enable better and more focused attention on the affairs of the Company, the Board has delegated certain matters to Committees of the Board set up for the purpose.

e) Code of Conduct

The Board of Directors has laid down the code of conduct for all Board Members and Senior Management of the Company. The same has also been posted on the Website of the Company.

Declaration as required under Clause 49 of the Listing Agreement and DPE Guidelines on Corporate Governance for CPSEs.

All the Members of the Board and Senior Management Personnel have affirmed compliance of the Code of Conduct for the Financial year ended on March 31, 2013.

Date: May 28, 2013
Place: New Delhi

(A.K. Purwaha)
Chairman & Managing Director

f) Compliance Reports

To the best of the knowledge and belief, the Company is complying with all applicable laws as on date except the composition of Board of Directors with regard to independent directors. The Board has reviewed Compliance Report of all Laws applicable to the company and the steps taken by the company to rectify instances of non-compliances.

3. Audit Committee

Presently, the Audit Committee comprises of five Independent Directors viz. Shri Adit Jain as the Chairman, Dr. (Prof.) KDP Nigam, Shri Bijoy Chatterjee, Dr. J.P. Gupta and Dr. R.K. Shevgaonkar as the members. The Audit Committee was reconstituted during the year due to the following:-

- Dr. (Prof.) KDP Nigam ceased to be member w.e.f. 1.08.2012.
- Shri Bijoy Chatterjee and Dr. R.K. Shevgaonkar were inducted as members w.e.f. 1.08.2012.
- Shri UN Bose ceased to be member w.e.f. 1.12.2012.
- Shri A.K. Purwar ceased to be Chairman w.e.f. 30.01.2013.
- Dr. Avinash Chandra ceased to be member w.e.f. 30.01.2013.
- Shri Adit Jain, the existing member was appointed as Chairman w.e.f. 30.01.2013.
- Dr. (Prof.) KDP Nigam was inducted as member w.e.f. 30.01.2013.
- Dr. J.P. Gupta was inducted as member w.e.f. 30.01.2013.

The Composition of Audit Committee meets the requirements of Section 292A of the Companies Act, 1956, Clause 49 of the Listing Agreement and DPE Guidelines on Corporate Governance for CPSEs. The details of meetings held during the financial year 2012-13 and the attendance of the Members is given below:

S.No	Date of the Meeting	Name of the Members	Category	Attendance
1.	28.05.2012	Shri A.K. Purwar Shri U.N. Bose Dr. Avinash Chandra Shri Adit Jain Dr. (Prof.) KDP Nigam	Non-Executive (Independent) Non-Executive (Independent) Non-Executive (Independent) Non-Executive (Independent)- Chairman of the Meeting Non-Executive (Independent)	Not Present Not Present Present Present Present
2.	1.08.2012	Shri A.K. Purwar Shri U.N. Bose Dr. Avinash Chandra Shri Adit Jain Dr. (Prof.) KDP Nigam	Non-Executive (Independent)-Chairman Non-Executive (Independent) Non-Executive (Independent) Non-Executive (Independent) Non-Executive (Independent)	Present Present Present Present Present
3.	30.10.2012	Shri A.K. Purwar Shri U.N. Bose Dr. Avinash Chandra Shri Adit Jain Shri Bijoy Chatterjee Dr. R.K. Shevgaonkar	Non-Executive (Independent) Non-Executive (Independent) Non-Executive (Independent)- Chairman of the Meeting Non-Executive (Independent) Non-Executive (Independent) Non-Executive (Independent)	Not Present Not Present Present Not Present Present Not Present
4.	29.01.2013	Shri A.K. Purwar Dr. Avinash Chandra Shri Adit Jain Shri Bijoy Chatterjee Dr. R.K. Shevgaonkar	Non-Executive (Independent)-Chairman Non-Executive (Independent) Non-Executive (Independent) Non-Executive (Independent) Non-Executive (Independent)	Present Not Present Not Present Not Present Present

The Audit Committee invites senior Executives & External Auditors whenever it considers appropriate to be present in the meetings. The Head of Internal Audit Department and Director-in-Charge of Finance operations attend the meetings of the Audit Committee as invitees.

The scope of the Audit Committee includes-

- a) Oversight of the Company's financial reporting process and the disclosure of its financial information, to ensure that the financial statement is correct, sufficient and credible;



- b) Recommending audit fees payable to Statutory Auditors appointed by C&AG and approving payments for any other services.
- c) Approval of payment to statutory auditors for any other services rendered by the statutory auditors.
- d) Reviewing with the Management, the periodical financial statements before submission to the Board for approval, with particular reference to:
 - Matters required to be included in the Director's Responsibility Statement to be included in the Board's Report in terms of clause (2AA) of section 217 of the Companies Act, 1956.
 - Changes, if any, in accounting policies and practices and reasons for the same.
 - Major accounting entries involving estimates based on exercise of judgment by management.
 - Significant adjustments made in the financial statements arising out of audit findings.
 - Compliance with listing and other legal requirements relating to financial statements.
 - Disclosure of any related party transactions.
 - Qualifications in draft Audit Report.
- e) Reviewing with the management, the quarterly financial statements before submission to the Board for approval.
- f) Reviewing with the management, performance of statutory and internal auditors, and adequacy of internal control systems.
- g) Reviewing the adequacy of internal audit function, including the structure of the internal audit department, staffing and seniority of the official heading the department, reporting structure coverage and frequency of internal audit.
- h) Discussion with internal auditors of any significant findings and follow-up there on.
- i) Reviewing the findings of any internal investigations by the internal auditors into matters where there is suspected fraud or irregularity or a failure of internal control systems of a material nature and reporting the matter to the Board.
- j) Discussion with Statutory auditors, before the audit commences, about the nature and scope of audit as well as post audit discussion to ascertain any area of concern.
- k) To look into the reasons for substantial defaults in the payment to the depositors, debenture holders, shareholders (in case of non-payment of declared dividends) and creditors.
- l) To review the functioning of the Whistle Blower Mechanism, in case the same is existing.
- m) Carrying out any other function, as mentioned in the terms of reference of the Audit Committee.

4. Subsidiary Companies

The Company is having two wholly owned subsidiaries viz. Certification Engineers International Limited (CEIL) and EIL Asia Pacific Sdn. Bhd. Malaysia (EILAP). Both the subsidiary companies do not fall under the category of "material non-listed subsidiary company" within the meaning of Clause 49 of the Listing Agreement and DPE Guidelines on Corporate Governance.

The Audit Committee of EIL has reviewed the financial statements and performance, in particular, the investments made by CEIL and EILAP. The Minutes of the Board Meetings of CEIL have also been placed before the Board meetings of EIL.

5. Remuneration Committee/Remuneration of Directors

There is no pecuniary relationship or transactions of the non-executive directors vis-à-vis the company. The part-time official directors nominated on the Board do not draw any remuneration from the Company for their role as director. The sitting fees fixed for part-time (non official) independent directors of the Company is ₹ 10,000/- per meeting attended by them as fixed by the 42nd Annual General Meeting held on 17th September 2007 under the authority of the Articles of Association of the Company within the overall limit fixed by Rule 10-B of the Central Government General Rules and Forms, 1956. The non-executive directors are not holding any shares in the Company.

The whole-time Functional Directors including the Chairman and Managing Director are appointed by the Government of India and are being paid remuneration as per the terms of their appointment. The Company, therefore, has not constituted a Remuneration Committee under Listing Agreement to decide on the Directors' remuneration policy.

However, a Remuneration Committee has been formed by the Board of Directors in its meeting held on 19.12.2008 as per DPE OM dated 26th November, 2008 regarding pay revision of CPSE executives. Presently, the Remuneration Committee comprises of five Directors viz. Shri Bijoy Chatterjee as the Chairman, Shri Adit Jain, Dr. J.P. Gupta, Dr. R.K. Shevgaonkar and Ms. Veena Swarup, Director (HR) as the members of the committee. The Remuneration Committee was reconstituted during the year due to the following:-

- Dr.(Prof.) KDP Nigam ceased to be member w.e.f. 1.08.2012.
- Shri Bijoy Chatterjee and Dr.R.K.Shevgaonkar were inducted as members w.e.f. 1.08.2012.
- Shri P.K.Rastogi, Director (HR) ceased to be member and in his place, Ms.Veena Swarup was inducted as member w.e.f. 1.10.2012.
- Shri A.K.Purwar ceased to be Chairman w.e.f.30.01.2013.
- Dr.Avinash Chandra ceased to be member w.e.f.30.01.2013.
- Shri Bijoy Chatterjee, the existing member was appointed as Chairman w.e.f.30.01.2013.
- Shri Adit Jain was inducted as member w.e.f.30.01.2013.
- Dr.J.P.Gupta was inducted as member w.e.f.30.01.2013.

The details of meetings held during the financial year 2012-13 and the attendance of the Members is given below:

S.No	Date of the Meeting	Name of the Members	Category	Attendance
1.	28.05.2012	Shri A.K.Purwar	Non-Executive(Independent)	Not Present
		Dr.Avinash Chandra	Non-Executive(Independent)	Present
		Dr.(Prof.) K.D.P Nigam	Non-Executive (Independent)-chairman of the Meeting	Present
		Shri P.K.Rastogi	Director (HR)	Present
2.	1.08.2012	Shri A.K.Purwar	Non-Executive(Independent)-Chairman	Present
		Dr.Avinash Chandra	Non-Executive(Independent)	Not Present
		Dr.(Prof.) K.D.P Nigam	Non-Executive(Independent)	Present
		Shri P.K.Rastogi	Director (HR)	Present

The details of remuneration paid to the whole-time Functional Directors during the financial year ended March 31, 2013 are as under:

(Amount in Rupees)

S.No	Name of Director	Gross Salary	Other Benefits	Performance Related Pay/ Productivity Linked Reward	Stock Options during the financial year 2012-13	Total
1.	Shri A.K.Purwaha	2271911	556726	1112351	Nil	3940988
2.	Shri Ram Singh	2025838	575734	756597	Nil	3358169
3.	Shri D.Moudgil	2172864	1234998	766538	Nil	4174400
4.	Shri Sanjay Gupta	1544105	872275	-	Nil	2416380
5.	Ms.Veena Swarup	1120052	211238	-	Nil	1331290
6.	Shri P.K.Rastogi	3784994	584326	766938	Nil	5136258
7.	Shri G.D.Goyal	2851320	403745	761902	Nil	4016967
8.	Shri P.Mahajan	2224634	1127082	751985	Nil	4103701
	Total	17995718	5566124	4916311	Nil	28478153

Details of payments towards sitting fees to Independent Directors during the financial year 2012-13 are given below:-

(Amount in Rupees)

Name of Part-time(non-official) Independent Director	Sitting Fees*		Total
	Board Meeting	Committee Meeting	
Shri A.K. Purwar	30000	50000	80000
Dr. Avinash Chandra	50000	70000	120000
Shri Adit Jain	40000	20000	60000
Dr. (Prof.) KDP Nigam	20000	100000	120000
Shri Bijoy Chatterjee	30000	10000	40000
Dr. R.K. Shevgaonkar	20000	10000	30000
Dr. J. P. Gupta	40000	30000	70000
Total	230000	290000	520000

*Gross Fees excluding Tax as per applicable Tax Laws and Rules.

**6. Accounting Treatment**

The Financial statements have been prepared as per generally accepted accounting principles and in accordance with the prescribed Accounting Standards.

7. Risk Management

The Company has a Risk Management policy and a supporting frame work which facilitates the identification and assessment of new risks and review of existing risks. The process is based on identified risks and the risk events or factors which require regular assessment and quick response. Based on the probability and impact of the risk, the requisite controls and action plans are designed. To measure the adequacy, effectiveness and efficiency of these controls and action plans, the concept of Key Risk Indicators (KRI) have been implemented KRIs have been designed and are being implemented to measure presence, level, or trend of the risk. The objective of risk management in the Company is to act as enabler in maintaining its knowledge edge, sustaining and expanding the business, being competitive and ensuring execution of projects within budgeted cost and time resulting in improved turnover and profitability. Risks, their root causes, controls and action plans are prepared by process owners and updated regularly. These are approved by the Risk Management Committee (RMC) with Director (Finance) as Chairman of RMC and all the Executive Directors, GM (ITS) & Company Secretary as members, with Head of Risk Group as member secretary. Risk audits are conducted regularly to test the compliance of controls and the same is reported to RMC. The status of Enterprise Risk Management (ERM) process is presented to Audit Committee on bi-annual basis which is reviewed by the Board of Directors also. The reporting structure meets the regulatory compliance. Based on periodic reviews and implementations of recommendations resulting from review process, the ERM process is continuously being improved and strengthened. As one of the major initiative, Project Risk Management has been implemented for high value and important projects to anticipate critical risk and to take actions in advance to mitigate them. A risk register is prepared by listing all possible risk events associated with the project and approved by Risk Management Team (RMT) consisting of all disciplines associated with the project. As advancement in this field, the risk management processes are being automated by developing Enterprise Risk Management System (ERMS) software. The communication is being sent regularly, across the organization to spread awareness on risks, root causes and action plans through in-house risk management awareness programs, external trainings & seminars, certification program on Project Risk Management. A quarterly news letter 'Risk Screen' has been launched during this period which is being shared with all the employees to increase their involvement & create desires among them to control risks in their work processes & areas. The management is committed to further strengthen its risk management capabilities in order to protect and enhance shareholder value by improving its business performance. Continuous efforts in creating new opportunities, improving competencies/knowledge in various areas leading to improved performance and leveraging existing knowledge resources, in line with the risk appetite of the company, has enabled the company to protect the shareholders interests.

8. Proceeds from Public Issues, Rights Issues and Preferential Issues

The company has not raised any money through Public Issue, Right Issues or any Preferential Issues.

9. Shareholders

A) The brief resume of the Directors seeking appointment/reappointment together with the nature of their expertise in specific functional areas, names of companies in which they hold directorships, membership of Committees of the Board and Shareholding of non-executive directors as stipulated under Clause 49 of the Listing Agreement and DPE Guidelines on Corporate Governance is annexed to the Notice calling the Annual General Meeting.

B) Means of Communication

Quarterly, Half Yearly Results and Yearly Results	Published in Economic Times (all editions), Financial Times (Delhi) in English, Economic Times (Delhi) & Navbharat Times (Delhi) in Hindi and Economic Times (Ahmedabad) in Gujarati.
Displayed on Website	www.engineersindia.com. Simultaneously posted on the Corporate Filing and Dissemination System website namely www.corpfiling.co.in and NSE Electronic Application Processing System website namely www.connect2nse.com.
Whether it displays official news, releases and presentations made to media, analyst, institutional investors, etc.	Yes. The website of the company also contains dedicated section "Investor Zone" having updated information for Shareholders.
Exclusive email id for redressal of investors' complaints	company.secretary@eil.co.in
Exclusive email id for registering/updating e-mail ids in terms of MCA circular issued regarding Green Initiative in Corporate Governance.	eil.annualreport@eil.co.in

C) Shareholders'/Investors' Grievance Committee of the Board

The Company is having a Shareholders'/Investors' Grievance Committee. Presently, the Shareholders'/Investors' Grievance Committee comprises of three Directors viz. Dr. (Prof.) KDP Nigam as the Chairman, Shri Ram Singh, Director (Finance) and Ms. Veena Swarup, Director (HR) as the members of the Committee. The committee was reconstituted during the year since Shri P.K. Rastogi, Director (HR) ceased to be the member with effect from 1.10.2012 and in his place, Ms. Veena Swarup, Director (HR) was inducted as member w.e.f. 1.10.2012. The Committee met 4 times during the year on 28.05.2012, 1.08.2012, 30.10.2012 and 29.01.2013.

D) Share Transfer Committee of the Board

The company has a Share Transfer Committee in place. Presently, the Share Transfer Committee comprises of three Directors viz. Shri Ram Singh, Director (Finance) as Chairman, Shri D. Moudgil, Director (Projects) and Shri Ajay N. Deshpande, Director (Technical) as the members of the Committee. This committee was reconstituted due to cessation of Shri P. Mahajan, Director (Technical) as member of the committee and induction of Shri Ajay N. Deshpande, Director (Technical) as member of the Committee w.e.f. 1.04.2013. M/s Karvy Computershare Pvt. Limited has been appointed as Registrar and Share Transfer Agent to register share transfers, coordinate with the Depositories and to look after the redressal of shareholders' and investors' complaints. The complaints received from investors relating to transfer of shares, non-receipt of balance - sheets, dividends etc. and also the complaints received through SEBI, Ministry of Corporate Affairs and the Stock Exchanges are being attended by the Transfer Agents on priority basis. The activities of the Registrar & Share Transfer Agents are being audited independently by a practicing Company Secretary.

The Share Transfer Committee met 36 times during the financial year 2012-13 to transact all business concerning to transfer of shares and related issues.

E) Investment Committee of the Board

The Investment Committee has been constituted to examine the proposals relating to Investments of surplus funds of the Company and recommend the same to the Board for its approval. Presently, the Investment Committee comprises of four Directors viz. Shri Adit Jain as Chairman, Dr. (Prof.) KDP Nigam, Dr. R.K. Shevgaonkar and Shri Ram Singh, Director (Finance) as the members of the committee. The committee was reconstituted during the year due to the following:

- Shri A.K. Purwar ceased to be chairman w.e.f. 30.01.2013.
- Dr. Avinash Chandra ceased to be member w.e.f. 30.01.2013.
- Shri Sudershan Gupta, ED (F&A) ceased to be member w.e.f. 30.01.2013.,
- Shri Adit Jain, existing member was appointed as chairman w.e.f. 30.01.2013.
- Dr. (Prof.) KDP Nigam, Dr. R.K. Shevgaonkar and Shri Ram Singh, Director (Finance) were inducted as members w.e.f. 30.01.2013.

F) HR Committee of the Board

The HR Committee has been constituted to deal with some specific HR issues including revision in HR Policies and Rules. Presently, the HR Committee comprises of nine Directors viz. all Functional Directors including C&MD of EIL, Shri Adit Jain, Dr. (Prof.) KDP Nigam and Shri Bijoy Chatterjee as the members of the Committee. Shri A.K. Purwaha, C&MD is acting as Chairman of the committee. During the year, Shri A.K. Purwar, Director ceased to be the member of the committee w.e.f. 30.1.2013. Shri Bijoy Chatterjee and Shri Adit Jain were inducted as members w.e.f. 1.8.2012 and 30.01.2013 respectively. The committee met two times during the financial year on 28.05.2012 and 1.08.2012.

G) CSR Committee of the Board

The CSR Committee of the Board has been constituted to approve all CSR Projects, to allocate funds for such projects, to review & monitor the progress of execution of the projects and to carry out any other associated activity which the committee may consider appropriate. Presently, CSR Committee comprises of five Directors viz. Shri A.K. Purwaha, C&MD as chairman, Dr. (Prof.) KDP Nigam, Dr. J.P. Gupta, Dr. R.K. Shevgaonkar and Ms. Veena Swarup, Director (HR) as members of the committee. Director (HR) is also the convener of this committee. The committee met two times during the year on 10.12.2012 and 13.03.2013. The Committee was reconstituted during the year due to the following:

- Shri L.N. Gupta ceased to be the member w.e.f. 3.08.2012.
- Dr. Avinash Chandra ceased to be member w.e.f. 30.01.2013.
- Shri P.K. Rastogi, Director (HR) ceased to be member and convener w.e.f. 1.10.2012 and in his place, Ms. Veena Swarup, Director (HR) was inducted as member and convener w.e.f. 1.10.2012.
- Dr. R.K. Shevgaonkar was inducted as member w.e.f. 30.01.2013.

**H) SD Committee of the Board**

The Sustainable Development Committee has been constituted to approve the Sustainable Development Plan, to oversee the Sustainable Development Performance and to develop, review and implement monitoring mechanism for meeting Sustainable Development Performance/Progress. Presently, the SD committee comprises of five Directors viz. Dr. (Prof.) KDP Nigam as Chairman, Dr. J.P. Gupta, Shri Ram Singh, Director (Finance), Ms. Veena Swarup, Director (HR) and Shri Ajay N. Deshpande, Director (Technical) as the members of the committee. Director (Technical) is also the convener of this committee. The committee met two times during the year i.e. on 24.05.2012 and 17.01.2013. The Committee was reconstituted during the year due to the following:

- Shri P.K. Rastogi, Director (HR) ceased to be member w.e.f. 1.10.2012 and in his place, Ms. Veena Swarup, Director (HR) was inducted as member w.e.f. 1.10.2012.
- Shri P. Mahajan, Director (Technical) ceased to be member and convener w.e.f. 1.04.2013 and in his place Shri Ajay N. Deshpande was inducted as member and convener w.e.f. 1.04.2013.
- Dr. J.P. Gupta was inducted as member w.e.f. 1.08.2012.

I) Committee of the Board for equity participation in new ventures by EIL

The Board of Directors, in its meeting held on 1.08.2012, constituted the Committee of the Board for equity participation in new ventures by EIL, to closely evaluate and consider the proposals in this regard and approve the same. Presently, this committee comprises of eight Directors viz. Shri Adit Jain as Chairman, Dr. Archana S. Mathur, Shri Bijoy Chatterjee, Dr. R.K. Shevgaonkar, Shri Ram Singh, Director (Finance), Shri Ajay N. Deshpande, Director (Technical), Shri D. Moudgil, Director (Projects) and Shri Sanjay Gupta, Director (Commercial) as members of the committee. The Committee was reconstituted during the year due to the following:

- Shri A.K. Purwar ceased to be Chairman w.e.f. 30.01.2013.
- Dr. Avinash Chandra ceased to be member w.e.f. 30.01.2013.
- Dr. R.K. Shevgaonkar was inducted as member w.e.f. 30.01.2013.

J) Committee of Functional Directors

The Committee of Functional Directors has been constituted to deliberate and decide on the matters as per defined scope of the committee. The committee consists of all Functional Directors and C&MD is the Chairman of the Committee. The committee met 22 times during the year.

K) Compliance Officer

Shri Rajan Kapur, Company Secretary is the Compliance officer. The Company Secretary also acts as the Secretary to the various empowered committees of the Board.

L) Status of Investor Complaints

Complaints pending on 01.04.2012	NIL
Complaints received during the financial year 2012-13	182
Complaints disposed off during the financial year 2012-13	182
Complaints pending as on 31.03.2013	NIL

As on 31st March, 2013, no transfer request was pending.

10. General Body Meetings**i) Annual General Meeting (AGM)**

The Annual General Meetings of the Company are held at New Delhi where the registered office of the Company is situated. The details of such meetings held during the last three years are as under:

AGM	Year	Venue	Date	Time
45 th	2009-2010	FICCI Golden Jubilee Auditorium, 1, Tansen Marg, New Delhi – 110001.	14.09.2010	3.00 PM
46 th	2010-2011	Siri Fort Auditorium, Khel Gaon, August Kranti Marg, New Delhi- 110049.	7.09.2011	10.00 AM
47 th	2011-2012	Manekshaw Centre, Parade Road, Delhi Cantt., New Delhi – 110010.	30.08.2012	10.00 AM

ii) Details of Special Resolutions passed at last three AGMs

AGM	Details of Special Resolutions Passed
45 th	Nil
46 th	Approval under Section 163 of the Companies Act, 1956 regarding place of keeping Register/Index of Members etc.
47 th	Nil

No special resolutions were put through ballot during the last year. No special resolution is proposed to be passed by postal ballot at the ensuing Annual General Meeting.

iii) No Extra-ordinary General Meeting of the members was held during the financial year 2012-13.

iv) Procedure for Postal Ballot

The company will follow the procedure as laid down under section 192A of the Companies Act, 1956 in respect of passing of resolution by postal ballot as and when the need arises.

11. CEO/CFO Certification

The Chairman & Managing Director and whole time Director (Finance) have given the certificate to the Board as well as disclosed the required information to the Statutory Auditors and the Audit Committee in terms of clause 49 (V) of the Listing Agreement and DPE Guidelines on Corporate Governance for CPSEs.

12. Disclosures

- (i) Details of transactions between the Company and its subsidiaries, associates, key managerial personnel during the year 2012-2013 are given in Point no. 2.36 of the Notes to the Annual Accounts for the year ended 31st March, 2013. These transactions do not have any potential conflict with the interests of the Company at large.
- (ii) There were no penalties or strictures imposed on the Company by any statutory authorities for non compliance on any matter related to capital markets, during the last three years.
- (iii) The Company has formed the whistle Blower Policy and no personnel have been denied access to the Audit Committee of the Board of Directors.
- (iv) The Company has complied with all mandatory requirements of Clause 49 of the Listing Agreement and DPE Guidelines on Corporate Governance for CPSEs, save and except the composition of Board of Directors with regard to Independent Directors. The Company has already taken up the matter with the Ministry of Petroleum & Natural Gas, Government of India for the appointment of sufficient number of Independent Directors on the Board of the Company.
- (v) During the last three years, the Presidential Directives regarding the following were received and duly complied with:-
 - a. The Gazette of India (Extraordinary) Part-II, Section-I, No. 20, dated 18.05.2010 regarding Payment of Gratuity (Amendment) Act 2010.
- (vi) Director(s) are nominated on training programmes and they have also attended various seminars/conferences from time to time.
- (vii) No Expenditures were debited in the Books of Accounts during the financial year 2012-13 which are not for the purposes of the Business.
- (viii) No expenses had been incurred which were personal in nature and incurred for the Board of Directors and the top Management.
- (ix) The administrative and office expenses are 3.81% of the total expenses in the financial year 2012-13 as against 3.22% during the financial year 2011-12.



- (x) It is always Company's endeavour to present unqualified financial statements.
- (xi) None of the Directors of the Company are inter-se related as on 31st March, 2013.
- (xii) None of the Non-Executive Directors hold any equity shares in the company as on 31st March, 2013.

13. General Information

i) 48th Annual General Meeting

Date	August 23, 2013
Time	10.30 A.M.
Venue	Manekshaw Centre, Parade Road, Delhi Cantt., New Delhi - 110010

ii) Financial Year

1st Day of April to 31st Day of March every year.

iii) Dates of Book-closure

Wednesday, August 14, 2013 to Friday, August 23, 2013 (Both days inclusive).

iv) Dividend

The Board of Directors of the company have recommended payment of Final Dividend of ₹ 3/- per share (on the face value of ₹ 5/- each) for the Financial Year ended 31st March, 2013 subject to approval of shareholders in the ensuing AGM. This was in addition to the Interim Dividend of ₹ 3/- per share (on the face value of ₹ 5/- each) paid in March, 2013.

The Record Date and Dividend Payment Date for Final Dividend for the financial year ended 31st March, 2013 are Tuesday, August 13, 2013 and Tuesday, August 27, 2013 respectively. The dividend warrants would be posted on or after August 27, 2013 and within 30 days from the date of declaration of dividend as provided in the Companies Act, 1956.

v) Listing on Stock Exchanges

- a) The Bombay Stock Exchange Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400 001.
- b) National Stock Exchange of India Ltd.
Exchange Plaza, 5th floor,
Plot No.C/1, G Block,
Bandra-Kurla Complex
Bandra (E), Mumbai - 400 051.

The Company has paid Listing fees for the Financial Year 2012-13 to the above Stock Exchanges. The Company has also made the payment of Annual Custody fees to National Securities Depository Limited (NSDL) and Central Depository Services (India) Limited (CDSL) for the financial year 2012-13.

vi) Stock Code

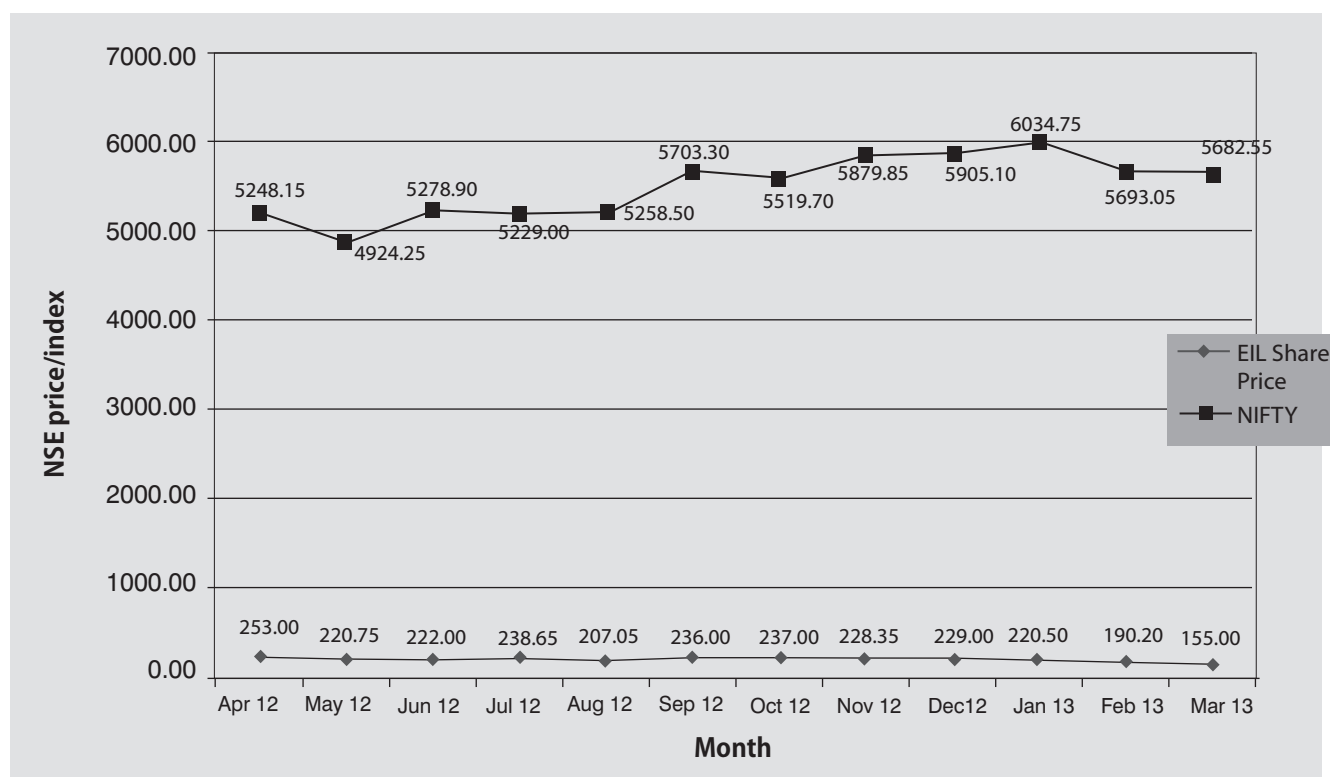
ISIN	INE510A01028
Scrip Code	532178
Scrip Symbol	ENGINEERSIN

vii) Monthly Share Price Data

(Amount in Rupees)

Month & Year	Bombay Stock Exchange		National Stock Exchange	
	High	Low	High	Low
April, 2012	266.00	245.05	269.80	244.00
May, 2012	257.60	220.40	257.70	220.00
June, 2012	227.15	207.05	228.20	207.00
July, 2012	245.00	220.00	242.30	219.80
August, 2012	251.00	206.25	250.00	205.00
September, 2012	241.30	207.65	243.00	207.50
October, 2012	257.45	230.25	257.25	230.10
November, 2012	239.05	225.05	239.50	225.00
December, 2012	231.50	219.00	233.00	220.00
January, 2013	244.90	220.15	245.00	220.00
February, 2013	223.00	189.25	223.95	177.10
March, 2013	195.00	150.00	196.00	150.00

viii) Performance of EIL's Share price in comparison to NIFTY Index during the financial year 2012-13.





ix) Liquidity

EIL shares are actively traded on National Stock Exchange of India Ltd. and The Bombay Stock Exchange Ltd.

x) Dematerialization/Rematerialization of Shares

Shareholding in Demat Mode as on 31.03.2013.

Depository	No. of Shares	Percentage
NSDL	60563781	17.975
CDSL	275548477	81.781
Total	336112258	99.756

President of India has held 80.401% of the total shares, all in dematerialised form. Out of the balance 19.599% shares held by others, 19.355 % have been held in dematerialised form as on March 31, 2013. The trading in the equity shares of the Company is compulsory in dematerialised segment as per Notification issued by the Securities and Exchange Board of India.

Dematerialised/Rematerialised for the period from 01.04.2012 to 31.03.2013.

	NSDL		CDSL	
	No. of Shares	Percentage	No. of Shares	Percentage
Dematerialised	18732	0.0056	3702	0.0011
Rematerialised	2213	0.0007	98	0.0000

xi) Distribution of Shareholding as on March 31, 2013.

The shareholding in EIL by major categories of Shareholders as at the end of March 31, 2013 is presented hereunder:

a) Shareholding Pattern

Category of Shareholders	No. of Shares held	% of Total
President of India	270900540	80.40
Mutual Funds	7408050	2.20
Banks, Financial Institutions and Insurance Companies	18872031	5.60
Private Corporate Bodies	6378270	1.89
Foreign Institutional Investors	15026017	4.46
NRI/OCBs/Trust	1002627	0.30
Indian Public	17349065	5.15
Total	336936600	100.00

b) Distribution Schedule

S. No.	Category Shareholders	No. of Shareholders	% to Total	Amount (₹)	% of Total Amount
1	Upto 5000	126308	97.88	57336830	3.40
2	5001 to 10000	1428	1.11	10266055	0.61
3	10001 to 20000	851	0.66	12910075	0.77
4	20001 to 30000	152	0.12	3813085	0.23
5	30001 to 40000	61	0.05	2100220	0.12
6	40001 to 50000	39	0.03	1783435	0.11
7	50001 to 100000	61	0.05	4545185	0.27
8	100001 and above	132	0.10	1591928115	94.49
	Total	129032	100.00	1684683000	100.00

xii) Unclaimed/Unpaid Dividend

As per provision of Section 205A read with Section 205C of the Companies Act, 1956, the Company is required to transfer Unpaid Dividend remaining unclaimed and unpaid for a period of 7 years from the due date(s) to the Investor Education and Protection Fund (IEPF) set up by the Central Government. The Unpaid Dividend remaining unclaimed and unpaid for the financial years 2004-05 and 2005-06 (Interim) have accordingly been transferred to Investor Education & Protection Fund (IEPF) on 9.11.2012 and 19.03.2013 respectively.

Unpaid/Unclaimed Final Dividend for the financial year 2005-2006 is due for transfer to Investor Education & Protection Fund (IEPF) established by the Government of India on or before 14.10.2013 (tentative). The Company sends a communication to the concerned shareholders well in advance, advising them to lodge their claim with respect to unclaimed dividend before it is due for transfer to IEPF. All shareholders, whose dividend is still unpaid/unclaimed for the financial year 2005-06 (Final) are requested to lodge their claim with Company Secretary of EIL by submitting an application as per Company's procedure before 30th September, 2013. The subsequent due dates of transfer of unpaid/unclaimed dividend to IEPF for the respective financial years have been provided here-in below and also at Company's website. Therefore, the members who have not encashed their dividend so far for these years are also requested to write to the Company or its Registrar & Share Transfer Agent for claiming the unpaid dividend before their due dates of transfer to IEPF. Kindly note that no claim will lie against the company or IEPF once the dividend is deposited in IEPF.

Given below are the proposed dates for transfer of the unpaid/unclaimed dividend to IEPF by the company:

Financial Year	Date of Declaration of Dividend	Proposed date for transfer to IEPF (Tentative Date)
2005-06 (Final)	15.09.2006	14.10.2013
2006-07 (Interim)	31.01.2007	01.03.2014
2006-07(Final)	17.09.2007	16.10.2014
2007-08(Interim)	18.12.2007	17.01.2015
2007-08(Final)	19.09.2008	18.10.2015
2008-09(Interim)	19.12.2008	18.01.2016
2008-09(Final)	18.09.2009	17.10.2016
2009-10 (Interim)	15.12.2009	14.01.2017
2009-10 (Special Interim)	23.03.2010	22.04.2017
2010-11 (Interim)	17.03.2011	16.04.2018
2010-11 (Final)	7.09.2011	6.10.2018
2011-12 (Interim)	13.02.2012	12.03.2019
2011-12 (Final)	30.08.2012	29.09.2019
2012-13 (Interim)	13.03.2013	12.04.2020

xiii) Share Transfer System

The Shares of the Company are being compulsorily traded in dematerialised form. Shares received in physical form are transferred within a period of 15 days from the date of lodgement subject to documents being valid and complete in all respects. In order to expedite the process of share transfer and in line with clause 49 of the Listing Agreement, the Company has delegated the power to approve Share transfer/transmission of shares to Registrar and Share Transfer Agent of the Company.

xiv) Demat Suspense Account

Details of unclaimed shares in respect of EIL FPO-2010 are furnished below:-

Opening Balance as on 1.4.2012		Shareholders approached for Transfer of shares from Suspense Account during 2012-13		Shareholders to whom shares were transferred from Suspense Account during 2012-13		Closing Balance as on 31.03.2013	
Cases	No. of Shares	Cases	No. of Shares	Cases	No. of Shares	Cases	No. of Shares
7	535	1	119	1	119	6	416

The voting rights on the shares mentioned in the closing balance as stated above shall remain frozen till the rightful owner of such shares claims the shares.

xv) Registrar & Share Transfer Agent (RTA)

The Company has appointed M/s Karvy Computershare Private Limited as its Registrar and Share Transfer Agent (RTA) for handling all matters relating to the shares of EIL (both physical as well as demat mode).



All matters relating to the shares of Engineers India Limited such as transfer, transmission, dematerialization, rematerialisation, dividend, change of address etc. and related correspondence and queries may be addressed to:-

M/s Karvy Computershare Private Limited

305, New Delhi House, 27, Barakhamba Road, Connaught Place New Delhi – 110 001 Tel No. 011-43681700 Fax No. 011-43681710 Email: delhi@karvy.com	or	Plot No. 17-24, Vittalrao Nagar Madhapur, Hyderabad - 500081 Tel No. 040-44655000 Fax No. 040-23420814 Email: einward.ris@karvy.com Website: www.karvy.com/ www.karvycomputershare.com
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xvi) Registered & Head Office

Engineers India Bhavan,
1, Bhikaiji Cama Place,
New Delhi-110066
Tel.: 011-26762121, Fax : 011- 26178210, 26194715
E-mail : eil.mktg@eil.co.in,
Website : www.engineersindia.com

Flat No. 1703, 17th Floor, P.O. Box 126592,
Al-Salam Street, Abdulla (ABN Amro Building),
Abu Dhabi, United Arab Emirates (U.A.E)
Tel.: 00-9712-6740101, Fax : 00-9712-6740707
E-mail: cooeilad@eiluae.ae

xvii) Regional Offices

A.G.Towers (5th Floor), 125/1,
Park Street, Kolkata - 700017
Tel.: 033-22277118, 22276304, Fax : 033-22278902
E-mail : eil.rok@eil.co.in

Room No. 1632, 16th Floor, Asian Biz Centre
Orient Century Plaza, 345 Xian Xia Road, Shanghai –
200336, China
Tel.: 0086 21 22157403
E-mail: eilshanghai@eil.co.in, shanghai.eil@gmail.com

4th & 5th Floor, Meghdhanush Complex,
Race Course, Near Transpek Circle House,
Vadodara - 390015
Tel.: 0265-2340326, 2340368, Fax : 0265-2340328
E-mail: eil.rov@eil.co.in

Engineers India Ltd., Myland S.A.S Di IIIRE S.r.l. 112 in
Milan Piazza Luigi Di Savoi 28 Milan, Italy
Tel.: 0039-0236533017
E-mail: eilmilan2012@gmail.com

Talamuthu Natrarajan Building, CMDA Tower, 5th
Floor(West Wing),
Gandhi Irwin Salai,
Egmore, Chennai - 600 008 (Tamil Nadu)
Tel.: 044-28576001, 28543060, Fax: 044-28543080
E-mail : eil.roc@eil.co.in

EIL Asia Pacific Sdn. Bhd. Suite B-02-05, Dataran 3 Two,
No. 2, 19/1, 46300 Petaling Jaya, Selangor Darul Ehsan
Kuala Lumpur – Malaysia
Tel.: 00-603-77255279 Fax : 00-603-77261027

xviii) Branch Office

Great Eastern Chambers, 5th Floor,
Plot no. 28, Sector - 11, C.B.D. Belapur,
Navi Mumbai - 400614
Tel.: 022-27560072, 27560032,
Fax: 022-27572011, 27563066
E-mail: eil.bo@eil.co.in

xx) Auditors

M/s.M.Verma & Associates
Chartered Accountants
1209, Hemkunt Chambers,
89, Nehru Place, New Delhi-110019
Tel. No.011-41078098, Fax : 011-26211211

xix) Overseas Offices

487, Great West Road, Hounslow Middlesex,
TWS OBS, UK
Tel.: +4420-85705530, Fax : +44-208-5704350
E-mail : eillondon@btconnect.com

xxi) Address for correspondence

All correspondence relating to the shares of the Company
should be sent to the Company's Registrar & Share Transfer
Agents as mentioned in Item 13(xv) till further
communication from the Company.

Place: New Delhi
Date: May 28, 2013



Auditors' Report on Corporate Governance

The Members
Engineers India Limited

We have examined the compliance of conditions of Corporate Governance by ENGINEERS INDIA LIMITED for the year ended 31st March, 2013, as stipulated in Clause 49 of the Listing Agreement of the said Company with stock exchanges and Guidelines on Corporate Governance for Central Public Sector Enterprises issued by Department of Public Enterprises (DPE), Ministry of Heavy Industries and Public Enterprises, Government of India.

The compliance of conditions of Corporate Governance is the responsibility of the Management. Our examination has been limited to review of procedures and implementations thereof, adopted by the Company for ensuring the Compliance of the conditions of Corporate Governance as stipulated in the said clause and guidelines. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us, and based on representations made by the Directors and the Management, and subject to:

- i) **Clause 49 I (A) (ii) of the Listing Agreement and Para 3.1.4 of the DPE Guidelines on Corporate Governance require that in case the Chairman is an Executive Director, at least half of the Board should comprise of Independent Directors, however, during the year, the Company did not have the required number of Independent Directors on its Board except for the period from 4th July, 2012 to 30th November, 2012.**

we certify that the Company has complied with the conditions of Corporate Governance as stipulated in clause 49 of the Listing Agreement and DPE Guidelines on Corporate Governance as mentioned above.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the Management has conducted the affairs of the Company.

For M. VERMA & ASSOCIATES
CHARTERED ACCOUNTANTS

(MOHENDER GANDHI)
PARTNER
M.NO. 088396
Firm Registration No. 501433C

Place: New Delhi
Dated: May 28, 2013



Management's Reply to Auditors' Report on Corporate Governance (2012-13)

AUDITORS' COMMENTS	MANAGEMENT'S REPLY
i) Clause 49 I (A) (ii) of the Listing Agreement and Para 3.1.4 of the DPE Guidelines on Corporate Governance require that in case the Chairman is an Executive Director, at least half of the Board should comprise of Independent Directors, however, during the year, the Company did not have the required number of Independent Directors on its Board except for the period from 4th July, 2012 to 30th November, 2012.	EIL is a Public Sector Undertaking and the appointment of Directors both Executive and Non-Executive are made by the Government of India. In order to fulfil the requirement of the number of Independent Directors under the provisions of Clause 49 of the Listing Agreement and DPE Guidelines on Corporate Governance, the Company has already taken up the matter with the Ministry of Petroleum and Natural Gas (MoP&NG), Government of India for appointment of sufficient number of Independent Directors on the Board of the Company.

Particulars of Employees (Part Year) in terms of Section 217 (2A) of Companies Act, 1956 read with the Companies Rules, 1976

Employee Name	Designation	Age as on 31.3.2013 (yrs.)	Qualification	Date of Joining	Total Exp. as on 31.03.2013 (yrs.)	Total Remuneration (₹)	Last Organisation
N K THAGELA	MANAGER	60	MECHANICAL D MAN	01.7.1974	39	591,544	DCM CHEMICAL WORKS
S K PURI	EXECUTIVE DIRECTOR	60	DEGREE IN ENGG/ PGDM	01.7.1975	39	600,759	UNIVERSAL SCREW FACTORY
T G MOHAN	ADDL GENERAL MANAGER	60	DEGREE IN SCIENCE/DMIT	14.7.1980	37	503,748	TELETERM INST CO
M P SINGH	ASST. GENERAL MANAGER	60	DEGREE IN ENGG	03.12.1981	37	510,412	OCRI-DTD&P(AIR)-HAL
B K GUPTA	EXECUTIVE DIRECTOR	60	DEGREE IN ENGG	04.2.1982	39	1,726,643	BHEL
S P LAUMAS	DY GENERAL MANAGER	60	DEGREE IN ENGG	27.9.1983	37	596,603	EPI LTD.
A SURESH	DY GENERAL MANAGER	52	DEGREE IN ENGG	06.7.1985	29	608,562	-

Notes: i) None of the employees listed above is related to any Director of the Company.
 ii) All the employees listed above were regular employees.



INDEPENDENT AUDITOR'S REPORT

To,

The Members of

ENGINEERS INDIA LIMITED

1. We have audited the accompanying financial statements of ENGINEERS INDIA LIMITED ("the Company"), which comprise the Balance Sheet as at March 31, 2013, and the Statement of Profit and Loss and Cash Flow Statement for the year then ended, and a summary of significant accounting policies and other explanatory information.
2. Management is responsible for the preparation of these financial statements that give a true and fair view of the financial position, financial performance and cash flows of the Company in accordance with the Accounting Standards referred to in sub-section (3C) of section 211 of the Companies Act, 1956 ("the Act"). This responsibility includes the design, implementation and maintenance of internal control relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.
3. Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with the Standards on Auditing issued by the Institute of Chartered Accountants of India. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.
4. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Company's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of the accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.
5. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.
6. In our opinion and to the best of our information and according to the explanations given to us, the financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India:
 - a) in the case of the Balance Sheet, of the state of affairs of the Company as at March 31, 2013;
 - b) in the case of the Profit and Loss Account, of the profit for the year ended on that date; and
 - c) in the case of the Cash Flow Statement, of the cash flows for the year ended on that date.
7. As required by the Companies (Auditor's Report) Order, 2003 ("the Order") issued by the Central Government of India in terms of sub-section (4A) of section 227 of the Act, we give in the Annexure a statement on the matters specified in paragraphs 4 and 5 of the Order.
8. As required by section 227(3) of the Act, we report that:
 - a) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit;
 - b) in our opinion proper books of account as required by law have been kept by the Company so far as appears from our examination of those books [and proper returns adequate for the purposes of our audit have been received from sites not visited by us];
 - c) the Balance Sheet, Statement of Profit and Loss, and Cash Flow Statement dealt with by this Report are in agreement with the books of account [and with the returns received from sites not visited by us];
 - d) in our opinion, the Balance Sheet, Statement of Profit and Loss, and Cash Flow Statement comply with the Accounting Standards referred to in subsection (3C) of section 211 of the Companies Act, 1956;
 - e) In terms of notification No. G.S.R. 829(E) dt. 21.10.2003, issued by Ministry of Finance, Department of Company Affairs, Government of India, clause (g) of sub-section (1) of 274 of the Companies Act, 1956 is not applicable to Government Company.
 - f) Since the Central Government has not issued any notification as to the rate at which the cess is to be paid under section 441A of the Companies Act, 1956 nor has it issued any Rules under the said section, prescribing the manner in which such cess is to be paid, no cess is due and payable by the Company.

For M. Verma & Associates
Chartered Accountants
FRN 501433C

(Mohender Gandhi)
(Partner)

Membership Number-088396

Place : New Delhi
Date : May 28, 2013

ANNEXURE TO THE AUDITORS' REPORT REFERRED TO IN PARAGRAPH (7) OF OUR REPORT OF EVEN DATE ON THE ACCOUNTS OF ENGINEERS INDIA LIMITED FOR THE YEAR ENDED ON 31st MARCH, 2013

- (i) (a) The company has maintained proper records showing full particulars including quantitative details and situation of its fixed assets.
- (b) As explained to us, the fixed assets have been physically verified by the management at phased manner so as to cover each asset at least once in a three years which, in our opinion is reasonable having regard to the size of the company and the nature of its business. As informed to us, no material discrepancies were noticed on such verification.
- (c) In our opinion and according to the information and explanations given to us, the disposal of assets during the year was not substantial and would not have an impact on the operations of the company.
- (ii) (a) As explained to us, the inventories have been physically verified during the year by the management. In our opinion, the frequency of verification is reasonable.
- (b) In our opinion, and according to the information and explanations given to us, the procedures of physical verification of inventories followed by the management are reasonable and adequate in relation to the size of the Company and the nature of its business.
- (c) We are of the opinion that, the Company is maintaining proper records of inventories. Further as per information and explanations provided to us, the discrepancies noticed on physical verification of inventories as compared to book records were not material and have been properly dealt with in the books of account.
- (iii) (a) According to the information and explanations given to us, the Company has, during the year, not granted any loans, secured or unsecured to companies, firms or other parties covered in the register maintained under section 301 of the Companies Act 1956. Accordingly, paragraphs 4(iii) (a), (b), (c) and (d) of the Order, are not applicable.
- (b) According to the information and explanations given to us, the Company has, during the year, not taken any loans, secured or unsecured from companies, firms or other parties covered in the register maintained under section 301 of the Companies act, 1956. Accordingly, paragraphs 4 (iii) (e), (f) and (g) of the Order, are not applicable.
- (iv) In our opinion and according to the information and explanations given to us, there are adequate internal control systems commensurate with the size of the company and the nature of its business for the purchase of inventory and fixed assets for the sale of goods & services. During the course of our audit, we have neither come across nor have been informed of any instance of major weakness in the aforesaid internal control system.
- (v) (a) In our opinion and according to the information and explanations given to us, there are no transactions that need to be entered into the register maintained under Section 301 of the Companies Act, 1956.
- (b) In our opinion and according to the information and explanations given to us, as there are no transactions that need to be entered into the Register maintained under Section 301 of the Companies Act, 1956, paragraph 4(v)(b) of the Order is not applicable.
- (vi) The Company has not accepted any deposits from the public within the meaning of Section 58A, 58AA and other relevant provisions of the Companies Act, 1956 and the rules framed there under and hence provisions of paragraph 4(vi) of the Order is not applicable.
- (vii) In our opinion, the Company has an adequate internal audit system commensurate with the size of the Company and nature of its business. However in our opinion the procedure for IT System Audit at periodic intervals from outside expert agency need to be strengthened.



- (viii) As per information and record provided to us the Company is maintaining cost record for its two operating segments viz. Consultancy and Engineering Projects and Turnkey projects as prescribed under section 209 (1)(d) of the Companies Act 1956 depicting cost and revenue for each job. We have broadly reviewed the books of accounts maintained by the Company pursuant to the rules made by the Central Government for the maintenance of cost record under section 209(1)(d) of the Companies Act, 1956 and are of the opinion that prima facie, the prescribed accounts and records have been made and maintained.
- (ix) (a) As per information and explanation and record provided to us, the company has been generally regular in depositing undisputed statutory dues including Provident Fund, Investor Education and Protection Fund, Income Tax, Sales Tax, Wealth Tax, Service Tax, Customs Duty, Excise Duty, Cess and other applicable statutory dues with the appropriate authorities during the year. We are informed that there are no undisputed statutory dues as at the year end outstanding for a period of more than 6 months from the date they become payable.
- (b) According to the information and explanations given to us and based on records of the company, there are no dues outstanding on account of Income Tax, Sales Tax, Wealth Tax, Service Tax, Custom Duty, Excise Duty and Cess on account of any dispute, other than the following-

Name of Statute	Nature of Dues	Amount (Rs. in Lakhs)	Period to which amount relates	Forum where the dispute is pending
Uttar Pradesh Sales Tax Act	Demand of Sales Tax	15.04	1999-2000	Matter referred back to Assessing Authority Mathura by Sales Tax Tribunal Mathura
Service Tax Act 1994	Demand of Service Tax (including penalty of Rs. 31.44)	62.87	2002-2006	Custom Excise and Service Tax Appellate Tribunal
Income Tax Act 1961	Demand of TDS U/s 201 (1)	0.32	2008-2009	Commissioner of Income Tax (Appeals)
Income Tax Act 1961	Demand of Income Tax U/s 143 (3)	32.26	2009-2010	Commissioner of Income Tax (Appeals)

- (x) The Company does not have accumulated losses as at the year ended March 31, 2013. Further, the Company has not incurred any cash losses during the year ended March 31, 2013 and in the immediately preceding financial year.
- (xi) According to the records of the Company examined by us and on the basis of information and explanations given to us, the Company has not defaulted in repayment of dues to banks, financial institutions during the year. The Company has not issued debentures during the year.
- (xii) As the Company has not granted any loans and advances on the basis of security by way of pledge of shares, debentures and other securities, paragraph 4(xii) of the Order is not applicable.
- (xiii) As the Company is not a chit fund / nidhi / mutual benefit funds / society to which the provisions of special statute relating to chit fund are applicable, paragraph 4(xiii) of the Order is not applicable.
- (xiv) As the Company is not dealing or trading in shares, securities, debentures and other investments, paragraph 4(xiv) of the Order is not applicable.
- (xv) As per record and according to the information and explanations given to us, the Company has not given any guarantee for loans taken by others from banks or financial institutions during the year except a guarantee amounting to Rs 1000.00 lacs



issued on behalf of M/s Certification Engineers International Limited a wholly owned subsidiary company. In our opinion the terms and condition of the guarantee are not prejudicial to the interest of the Company.

- (xvi) According to the information and explanations given to us, the company has not raised any term loan during the year.
- (xvii) According to the information and explanations given to us and on an overall examination of the balance sheet of the company, we report that short term funds have not been used to finance long term investments.
- (xviii) During the year the company has not made any preferential allotment of shares to parties or companies covered in the Register maintained under section 301 of the Companies Act, 1956.
- (xix) The company has not issued any debentures during the year.
- (xx) The company has not raised any money by way of public issue during the year.
- (xxi) To the best of our knowledge and belief and according to the information and explanations given by the management, and the records of the company examined by us, no fraud on or by the company was noticed or reported during the year.

For M. Verma & Associates
Chartered Accountants

(Mohender Gandhi)
Partner

Membership Number-088396
Firm Registration No. 501433C

Place : New Delhi
Date : May 28, 2013

**BALANCE SHEET**

AS AT MARCH 31, 2013

PARTICULARS	NOTE NO.	as at 31-Mar-13 ₹ in lakhs		as at 31-Mar-12 ₹ in lakhs	
EQUITY AND LIABILITIES					
Shareholders' funds					
Share Capital	2.1	16846.84		16846.84	
Reserves and Surplus	2.2	206907.80	223754.64	167557.67	184404.51
Non-Current Liabilities					
Other Long term Liabilities	2.3	380.82		513.09	
Long Term Provisions		2099.13	2479.95	2002.12	2515.21
Current Liabilities					
Trade Payables	2.4	34638.96		58723.32	
Other Current Liabilities		76179.98		75427.12	
Short term Provisions		47413.34	158232.28	53336.02	187486.46
TOTAL			384466.87		374406.18
ASSETS					
Non Current Assets					
Fixed Assets:					
Tangible assets	2.5	4741.85		5147.78	
Intangible assets		303.90		161.75	
Capital work-in-Progress		13551.70	18597.45	5159.54	10469.07
Non Current Investments	2.6		10813.85		7647.05
Deferred Tax Asset (Net)	2.33		23636.73		21425.91
Long Term Loans and Advances	2.7		4682.16		5625.92
Other Non Current Assets	2.8		37.47		25.86
Current Assets:					
Current Investments	2.9	54500.00		55850.40	
Inventories		82.10		81.73	
Trade Receivables		33217.03		30737.25	
Cash and Bank Balances		184801.99		164314.20	
Short Term Loans and Advances		6335.15		18509.37	
Other Current Assets		47762.94	326699.21	59719.42	329212.37
TOTAL			384466.87		374406.18

Significant Accounting Policies and Notes to Accounts 1 & 2

(RAJAN KAPUR)
Company Secretary
PAN:AAIPK0926B

(SUDERSHAN GUPTA)
Executive Director (F&A)
PAN:AAGPG5991E

(RAM SINGH)
Director (Finance)
DIN:02942267

(A.K.PURWAHA)
Chairman & Managing Director
DIN:00165092

As per our report of even date attached
for M VERMA & ASSOCIATES
CHARTERED ACCOUNTANTS

(MOHENDER GANDHI)
PARTNER
Membership No.088396
Firm Registration No.501433C

Place : New Delhi
Dated : May 28, 2013

STATEMENT OF PROFIT & LOSS

FOR THE YEAR ENDED 31ST MARCH 2013

	NOTENO.	2012-2013 ₹ in lakhs	2011-2012 ₹ in lakhs
A. Revenue:			
i) Revenue from Operations	2.10		
Consultancy & Engineering Services		118045.74	120260.87
Increase (+)/(Decrease) (-) in Work-in-Progress		5,377.79	470.24
		<u>123423.53</u>	<u>120731.11</u>
-Turnkey Projects		127173.17	269584.31
Increase (+)/(Decrease) (-) in Work-in-Progress		-	(20,432.99)
		<u>127173.17</u>	<u>249151.32</u>
		250596.70	369882.43
ii) Other Income	2.11	31642.17	23217.74
Total Revenue (i + ii)		<u>282238.87</u>	<u>393100.17</u>
B. Expenses:			
Technical Assistance/Sub-Contracts	2.12	50261.88	67196.93
Construction Materials & Equipments	2.13	61371.96	151652.92
Employee Benefits Expense	2.14	57655.90	54168.93
Depreciation & Amortization Expense	2.15	1087.00	1944.90
Other Expenses:	2.16		
Facilities		4500.15	4731.65
Corporate Costs		2345.04	3740.66
Other Costs		15495.49	17996.08
Total Expenses		<u>192717.42</u>	<u>301432.07</u>
Profit for the Year (A-B)		89521.45	91668.10
Less: Prior Period Adjustments(Net)	2.34	427.75	191.57
Profit Before Tax		89093.70	91476.53
Less: Tax Expense			
Current Tax		28445.61	32025.99
Deferred Tax		(2,229.56)	(3,862.71)
		<u>62877.65</u>	<u>63313.25</u>
Less: Prior Period Tax Adjustments(net):			
Current Tax		1.36	(318.66)
Deferred Tax		18.74	0.38
Profit After Tax		<u>62857.55</u>	<u>63631.53</u>
Earning Per Share (Face value ₹ 5/- per share):			
Basic (in ₹)		18.66	18.89
Diluted (in ₹)		18.66	18.89
Significant Accounting Policies and Notes to Accounts	1 & 2		
(RAJAN KAPUR) Company Secretary PAN: AAIPK0926B	(SUDERSHAN GUPTA) Executive Director (F&A) PAN: AAGPG5991E	(RAM SINGH) Director (Finance) DIN: 02942267	(A.K.PURWAHA) Chairman & Managing Director DIN: 00165092

As per our report of even date attached
for M VERMA & ASSOCIATES
CHARTERED ACCOUNTANTS

(MOHENDER GANDHI)
PARTNER
Membership No. 088396
Firm Registration No. 501433C

Place : New Delhi
Dated : May 28, 2013



CASH FLOW STATEMENT

FOR THE YEAR ENDED 31ST MARCH 2013

		2012-2013 ₹ in lakhs	2011-2012 ₹ in lakhs
A) Cash Flow from Operating Activities			
Net Profit Before Tax and Prior Period Adjustments	a	89521.45	91668.10
Add:			
i) Adjustment For:			
Depreciation and Amortization		1087.00	1944.90
Fixed Assets Written Off		29.73	1.93
Provision for Diminution in Value of Investment in Joint Ventures		143.88	106.76
(Profit)/Loss on Sale of Fixed Assets		39.98	(2.64)
ii) Other Income:			
Interest Income		(18,324.65)	(16,461.31)
Share of Profit on Trade Investment		(60.68)	(37.37)
Capital Gain on Redemption of Investment in Mutual Funds		(4,478.73)	(4,070.03)
Dividend Income		(874.30)	(712.46)
	b	<u>(22,437.77)</u>	<u>(19,230.22)</u>
Operating Profit before Working Capital Changes	c=a+b	67083.68	72437.88
iii) Adjustment For:			
(Increase)/Decrease in Trade Receivables		(2,479.78)	74.68
(Increase)/Decrease in Inventories		(0.37)	5.76
(Increase)/Decrease in Loans & Advances and Other Assets		27,460.43	(35,427.85)
(Increase)/Decrease in Work in Progress		(5,377.79)	19,962.75
Increase/(Decrease) in Liabilities/Provisions		<u>(24,138.87)</u>	<u>(14,487.77)</u>
	d	(4,536.38)	(29,872.43)
Cash Generated from Operations	e=c+d	62,547.30	42,565.45
Less: Tax Paid	f	27,713.63	31,669.80
Cash Flow Before Prior Period Adjustments	g=e-f	34,833.67	10,895.65
Prior Period Adjustments	h	(427.75)	(191.57)
Net Cash Flow from Operating Activities	i=g+h	34,405.92	10,704.08
B) Cash Flow from Investing Activities			
Payments Towards Capital Expenditure		(7,981.29)	(3,964.78)
Sale of Fixed Assets		10.36	26.79
Interest Received		18,154.87	16,450.50
Dividend Received		874.30	712.46
Redemption of Investment in Fixed Maturity Plans of Mutual Funds		54,428.73	47,070.03
Purchase of Investment in Fixed Maturity Plans of Mutual Funds		(52,750.00)	(53,700.00)
Investment in Liquid Plans of Mutual Funds (Net)		900.40	(900.40)
Fixed Deposit Placed with Banks having Original Maturity of More than Three Months		(194,180.72)	(225,770.88)



CASH FLOW STATEMENT (Contd.)

FOR THE YEAR ENDED 31ST MARCH 2013

		2012-2013 ₹ in lakhs	2011-2012 ₹ in lakhs
Fixed Deposit with Banks Matured having Original Maturity of More than Three Months	173,711.00		227,678.21
Investment in Joint Ventures	-		(799.00)
Divestment in Joint Venture	-		74.10
Net Cash Flow from Investing Activities	j	(6,832.35)	6,877.03
C) Cash Flow from Financing Activities			
Dividend Payment (Including Dividend Tax)	(15,631.40)		(15,631.40)
Interim Dividend Payment (Including Dividend Tax)	(11,715.44)		(7,807.59)
Net Cash Flow from Financing Activities	k	(27,346.84)	(23,438.99)
Increase/ (Decrease) in Cash & Cash Equivalents	i+j+k	226.73	(5,857.88)
Cash & Cash Equivalents at the Beginning of the Year		1,055.98	6,913.86
Cash & Cash Equivalents at the Close of the Year		1,282.71	1,055.98
Increase/ (Decrease) in Cash and Cash Equivalents		226.73	(5,857.88)

NOTES:

- The Cash Flow statement has been prepared under the "Indirect Method" as set out in Accounting Standard - 3 "Cash Flow Statements".
- Cash & Cash Equivalents represents :

i) Cash and Stamps in Hands	31.70	25.34
ii) Cheques in Hand	0.00	537.53
iii) Balance with Banks in Current Account	1251.01	493.11
Total	1282.71	1055.98

(RAJAN KAPUR)
Company Secretary
PAN:AAIPK0926B

(SUDERSHAN GUPTA)
Executive Director (F&A)
PAN:AAGPG5991E

(RAM SINGH)
Director (Finance)
DIN:02942267

(A.K.PURWAHA)
Chairman & Managing Director
DIN:00165092

As per our report of even date attached
for M VERMA & ASSOCIATES
CHARTERED ACCOUNTANTS

(MOHENDER GANDHI)
PARTNER
Membership No.088396
Firm Registration No.501433C

Place : New Delhi
Dated : May 28, 2013



Significant Accounting Policies and Notes to Accounts

1) Significant Accounting Policies

1.1 ACCOUNTING CONCEPTS

The accounts are prepared on historical cost concept based on accrual method of accounting as a going concern, and consistent with generally accepted accounting principles in accordance with the mandatory accounting standards and disclosure requirements as per the provisions of the Companies Act, 1956.

1.2 REVENUE RECOGNITION

(A) Revenue from services rendered is accounted for:

- (a) In the case of cost plus jobs, on the basis of amount billable under the contracts;
- (b) In the case of lumpsum services and turnkey contracts, as proportion of actual direct costs of the work to latest estimated total direct cost of the work; and
- (c) In the case of inspection contracts providing for a percentage fee on equipment/project cost, on the basis of physical progress duly certified.

(B) Other claims including interest on outstandings are accounted for when there is virtual certainty of ultimate collection.

1.3 TURNOVER/WORK-IN-PROGRESS

(A) No income has been taken into account on jobs for which:

- a) The terms of remuneration receivable by the Company have not been settled and/or scope of work has not been clearly defined and, therefore, it is not possible in the absence of settled terms to determine whether there is a profit or loss on such jobs. However, in cases where minimum undisputed terms have been agreed to by the clients, income has been accounted for on the basis of such undisputed terms though the final terms are still to be settled.
- b) The terms have been agreed to at lumpsum services / turnkey contracts and physical progress is less than 25%.

(B) The Cost of such jobs as stated in 'A' above is carried forward as work-in-progress at actual direct cost.

1.4 CASH & CASH EQUIVALENT

- i) Cash comprises cash on hand and demand deposits i.e. balances held with banks in current accounts for unrestrictive use;
- ii) Cash equivalents are short term, highly liquid investments that are readily convertible into known amount of cash and which are subject to an insignificant risk of changes in value. The company considers unrestrictive time deposits with banks having an original maturity of three months or less as cash equivalent.

1.5 FIXED ASSETS

- a) Fixed Assets are stated at cost of acquisition or construction less accumulated depreciation. Cost of acquisition is inclusive of freight, duties, taxes and other incidental expenses.
- b) The cost of any software purchased initially along with the computer hardware is being capitalised along with the cost of the hardware. Any subsequent acquisition / upgradation of software is being capitalized as an intangible asset.
- c) Whenever any new office space is acquired and partitions/fixtures and fittings are provided to make it suitable for use, the expenditure on the same is capitalised and depreciation charged as per Para 1.6 (a) below. All expenditure on subsequent modifications and repairs of partitions/fixtures and fittings are charged to revenue in the year it is incurred.

1.6 DEPRECIATION & AMORTIZATION

- a) Depreciation on fixed assets is charged on straight line method either on the basis of rates arrived at with reference to the useful life of the assets evaluated by the Committee consisting of Technical experts and approved by the Management, or the minimum rates prescribed under Schedule XIV of the Companies Act, 1956, whichever is higher.

- b) No depreciation has been provided in the case of land which is on perpetual lease or where no lease deeds have been executed. Premium paid on land where lease agreements have been executed are written off over the period of lease proportionately.
- c) The cost of capitalized software is amortized over a period of three years from the date of its acquisition. However, software individually costing upto Rs.5 lakhs is fully amortized during the year of its acquisition.
- d) 100% depreciation is provided on library books in the year of purchase since individual books are low value items.
- e) Assets individually costing less than Rs.5,000 are fully depreciated in the year of acquisition.

1.7 IMPAIRMENT OF ASSETS

Impairment of cash generating assets are reviewed for impairment whenever an event or changes in circumstances indicate that carrying amount of such assets may not be recoverable. If such assets are considered to be impaired, the impairment to be recognized is measured by the amount by which the carrying amount of the assets exceeds the fair value of assets. If it is found that some of the impairment losses already recognized needs to be reversed the same are recognized in the statement of Profit & Loss Account in the year of reversal.

1.8 INVENTORIES

Inventories in respect of stores, spares and chemicals etc. are valued at cost or net realisable value whichever is less. Cost is determined on "First In, First Out" basis.

1.9 PROVISIONS, CONTINGENT LIABILITIES AND CONTINGENT ASSETS

Provisions are liabilities involving substantial degree of estimation are recognized when there is a present obligation as a result of past event having probability of outflow of resources and a reliable estimate can be made of such an obligation. Contingent liabilities are disclosed by way of note unless the possibility of outflow is remote. Contingent assets are neither recognized nor disclosed in the financial statements.

1.10 PROVISION FOR CONTRACTUAL OBLIGATIONS

The provision for estimated liabilities on account of guarantees & warranties etc. in respect of lumpsum services and turnkey contracts awarded to the Company are being made on the basis of management's assessment of risk and consequential probable liabilities on each such job.

1.11 FOREIGN CURRENCY TRANSACTIONS

- a) Fixed assets are incorporated at the rates in force when transaction takes place.
- b) Current Assets and Current Liabilities including Cash and Bank balances are carried at the year end exchange rates. Any gain or loss on account of exchange difference is charged to the Profit & Loss Account.
- c) Foreign currency transactions (Income & Expenditure) are accounted for at average monthly rates based on market rates for preceding month in respect of Pound Sterling, US Dollars, Euro, Australian Dollar, Canadian Dollar, Swiss Franc & Japanese Yen and in respect of other currencies at Government rates prevailing in the month. Payments to sub-contractors/vendors from Foreign Currency (FCN) account are recorded at bank rate prevailing on the date of transaction.

1.12 RESEARCH AND DEVELOPMENT EXPENDITURE/GOVERNMENT GRANT

- (a) Revenue expenditure on Research and Development is charged to Profit and Loss Account in the year the expenditure is incurred. Capital Expenditure on Research and Development is capitalized under respective fixed assets.
- (b) Government grant of capital nature for promotion and setting up of R&D Centre is treated as Capital Reserve and shown separately under Reserves and Surplus.
- (c) Funds received from Government Agencies to carry out Research and Development activities are shown under the Head 'other income' as adjustment against expenditure incurred. Unutilised funds are shown under other liabilities.

1.13 RETIREMENT / OTHER LONG TERM EMPLOYEE BENEFITS

- a) Liability in respect of Gratuity, a defined benefit plan, is being paid to a fund maintained by LIC and administered through a separate irrevocable trust set up by the company. Difference between the fund balance and accrued liability at the end of the year based on actuarial valuation is charged to Profit & Loss Account.



- b) Liability towards carried forward leave and post retirement medical benefits, being defined benefit plans, is paid to a fund maintained by LIC and difference between the fund balance and accrued liability at the end of the year based on actuarial valuation is charged to Profit & Loss Account.
- c) Contributions with respect to Provident Fund, a defined contribution plan, are made to the trust set-up by the Company for the purpose.
- d) Contribution with respect to Superannuation Scheme, a defined contribution plan for employees is paid to a fund maintained by the Life Insurance Corporation of India and administered through separate irrecoverable Trust set up by the Company.
- e) Liability in respect of other long term/terminal employee benefits, being defined benefit plans, is recognized on the basis of actuarial valuation.
- f) Voluntary retirement expenses are charged to Profit & Loss Account in the year of its incurrence.

1.14 Expenses/Income booked to Profit and Loss Account are after adjustment of excess/short provisions. However, in cases of specific provisions where no expenses/income has been incurred/received against such provisions, the same are adjusted as excess provisions of previous years written back/Miscellaneous income.

1.15 Dividend on Units/Shares is accounted for on declaration made upto the close of the accounting year. Income distributed/undistributed surplus on investment in an AOP is recognised as income as per intimation received.

1.16 TAXES ON INCOME

Current tax is determined as the amount of tax payable in respect of taxable income for the period. Deferred tax is recognized on timing difference, being the difference between taxable income and accounting income that originate in one period and are capable of reversal in one or more subsequent periods. Deferred Tax Asset is recognized only to the extent that there is a reasonable certainty that sufficient future taxable income will be available against which such deferred assets can be realised.

1.17 INVESTMENT

Long-term investments are carried at cost. However, when there is a decline, other than temporary, in the value of a long-term investment, the carrying amount is reduced to recognise the decline.

Current Investments i.e. investments which are intended to be held for not more than twelve months from the date of investment are carried at the lower of cost or market value.

1.18 OIL & GAS EXPLORATION ACTIVITIES

- A)** The Company follows 'Successful Efforts Method' in accounting for Oil & Gas exploration and production activities as detailed below:
 - a) Survey costs are charged as expense in the year of its incurrence.
 - b) Acquisition costs, cost of incomplete/ undecided exploratory wells and development costs are carried as capital work in progress till these are either transferred to producing properties on completion or expensed in the year when determined to be dry as the case may be.
- B)** The Company's share of proved oil and gas reserves are disclosed when notified by the operator of the relevant block.
- C)** The Company's proportionate share in the assets, liabilities, income and expenditure of jointly controlled assets are accounted for as per the participating interest.

2) NOTES TO ACCOUNTS FOR THE YEAR ENDED 31 ST MARCH , 2013

2.1) Share Capital :

The company at present is having only one class of share capital i.e. equity share capital.

The requisite disclosure in respect of share capital are as under :

	as at 31-Mar-13 ₹ in lakhs	as at 31-Mar-12 ₹ in lakhs
Authorised		
600,000,000 Equity shares of Par Value of ₹ 5 each (600,000,000 Equity shares of Par Value of ₹ 5 each)	30000.00	30000.00
Issued		
337,017,600 Equity shares of Par Value of ₹ 5 each (337,017,600 Equity shares of Par Value of ₹ 5 each)	16850.88	16850.88
Subscribed and Paid up		
336,936,600 Equity shares of Par Value of ₹ 5 each (336,936,600 Equity shares of Par Value of ₹ 5 each) fully paid up	16846.83	16846.83
Add: Forfeited Shares	0.01	0.01
Amount originally paid up on 2,600 Equity shares of Par Value of ₹ 5 each (2,600 equity shares of Par Value of ₹ 5 each)	16846.84	16846.84

Reconciliation of number of shares outstanding at the beginning and at the end of the reporting period :

	Financial Year 2012-13	Financial Year 2011-12
No. of shares outstanding at the beginning of the financial year	336936600	336936600
No. of shares outstanding at the close of the financial year	336936600	336936600

Rights, Preferences and Restrictions attaching to Equity Shares

The Company is having one Class of Equity Shares having a Par Value of ₹5 each. Each Shareholder is eligible for one vote per Share held. The Dividend proposed by Board of Directors is subject to the approval of Shareholders in the ensuing Annual General Meeting except in case of Interim Dividend. In the event of Liquidation, Equity Shareholders are eligible to receive the remaining assets of the Company after distribution of all Preferential amount in proportion to their Shareholding.

Details of each Shareholder holding more than 5 percent shares

Name of the shareholder	Number of shares held as at 31-Mar-13	Number of shares held as at 31-Mar-12
President of India	270900540 80.401%	270900540 80.401%

Other disclosures

	as at 31-Mar-13	as at 31-Mar-12
Aggregate number of equity shares having par value of ₹ 5/- each allotted as fully paid up by way of bonus share during the period of five years immediately preceding the Balance sheet date	224624400	224624400

**2.2) Reserves & Surplus :**

The Classification of Reserves & Surplus disclosing therein Appropriation / Allocation / Transfers is detailed as under :

	as at 31-Mar-13			as at 31-Mar-12		
	₹ in lakhs			₹ in lakhs		
A. General Reserve						
Balance as per last						
Balance sheet	167357.67			127165.13		
Add: Transferred from Statement of Profit and Loss	<u>62857.55</u>	230215.22		<u>63631.53</u>	190796.66	
Less: Appropriations :						
Interim Dividend	10108.10			6738.73		
Proposed Final Dividend	10108.10			13477.46		
Tax on Interim / Proposed Dividend	3291.22			3222.80		
Transfer to CSR Activity Reserve	<u>2211.90</u>	<u>25719.32</u>	204495.90	<u>0.00</u>	<u>23438.99</u>	167357.67
B. CSR Activity Reserve						
Balance as per last						
Balance sheet	0.00			0.00		
Add: Transferred from General Reserve	<u>2211.90</u>	<u>2211.90</u>	2211.90	<u>0.00</u>	<u>0.00</u>	0.00
C. Capital Reserve						
Capital Grant Received from Oil Industry Development Board for R&D Centre			200.00			200.00
			<u>206907.80</u>			<u>167557.67</u>

2.3) Non- Current Liabilities :

The Disclosure of Non-Current Liabilities Including their sub-Classification into major heads is given as under :

	as at 31-Mar-13 ₹ in lakhs	as at 31-Mar-12 ₹ in lakhs
A) Other Long Term Liabilities:		
Security Deposits & Retentions	250.82	330.59
Advances Received from Clients	130.00	182.50
	<u>380.82</u>	<u>513.09</u>
B) Long Term Provisions :		
Employees' Post Retirement/ Long Term Benefits	2099.13	2002.12
	<u>2099.13</u>	<u>2002.12</u>

2.4) Current Liabilities:

The Disclosure of Current Liabilities Including their sub-Classification into major heads is given as under:

	as at 31-Mar-13 ₹ in lakhs	as at 31-Mar-12 ₹ in lakhs
A) Trade Payables	34638.96 <u>34638.96</u>	58723.32 <u>58723.32</u>
B) Other Current Liabilities:		
Security Deposits & Retentions	25086.64	23810.15
Advances Received from Clients	3156.33	1814.88
Income Received in Advance	38620.00	37556.14
Capital Creditors	1793.81	687.88
Service Tax Payable	284.34	947.44
Unpaid Dividend *	94.76	60.56
Other Payables:		
- Withholding for Employees including Employers Contribution	942.64	948.45
- Withholding for Income Taxes	1287.33	1714.93
- Accrued Employees Benefits	3778.55	6534.40
- Amount held on behalf of Clients	978.85	1210.10
- Others	156.73	142.19
	<u>7144.10</u> <u>76179.98</u>	<u>10550.07</u> <u>75427.12</u>
* Excluding amount due for payment to Investor Education And Protection Fund		
C) Short Term Provisions:		
Employees' Post Retirement/ Long Term Benefits	2981.52	2559.83
Contractual Obligations	30609.45	29161.07
Provision for Corporate Social Responsibility	0.00	1536.25
Provision for Taxation	28450.61	32146.99
Less: Advance Income Tax	<u>26420.22</u>	<u>27699.52</u>
Proposed Dividend	10108.10	13477.46
Tax on Dividend	1683.88	2153.94
	<u>47413.34</u>	<u>53336.02</u>



2.5) Fixed Assets

(₹ in Lakhs)

PARTICULARS	GROSS BLOCK				DEPRECIATION				NET BLOCK	
	AS ON 31-Mar-12	ADD. FOR YR.	SOLD/RECL/ TRNS/ADJ.	AS ON 31-Mar-13	DEP UPTO 31-Mar-12	DEP FOR YEAR	DEP WRTN. BACK	TOT.DEP. 31-Mar-13	WDV AS ON 31-Mar-13	WDV AS ON 31-Mar-12
Tangible Assets :										
Land Freehold	298.08	0.00	-	298.08	0.00	0.00	0.00	0.00	298.08	298.08
Land Leasehold	1611.55	0.00	0.00	1611.55	18.10	13.87	0.00	31.97	1579.58	1593.45
Building	4270.24	38.88	133.50	4175.62	2745.39	132.96	105.70	2772.65	1402.97	1524.85
Plant & Machinery	1182.37	0.00	94.56	1087.81	1134.83	0.00	90.56	1044.27	43.54	47.54
Furniture, Fixtures And Office/ Constn. Equipment	2100.29	64.58	25.56	2139.31	1698.86	99.83	21.49	1777.20	362.11	401.43
Computer Hardware	7018.88	343.45	1547.76	5814.57	5695.51	567.65	1503.83	4759.33	1055.24	1323.37
Motor Vehicles	9.10	0.00	0.00	9.10	8.77	0.00	0.00	8.77	0.33	0.33
Library Books	470.33	8.39	0.05	478.67	470.33	8.39	0.05	478.67	0.00	0.00
	16960.84	455.30	1801.43	15614.71	11771.79	822.70	1721.63	10872.86	4741.85	5189.05
Less: Assets held for disposal	1508.47		1508.47	0.00	1467.20		1467.20	0.00	0.00	41.27
Total Tangible Assets	15452.37	455.30	292.96	15614.71	10304.59	822.70	254.43	10872.86	4741.85	5147.78
Intangible Assets :										
Computer Software	3335.94	406.45	0.00	3742.39	3174.19	264.30	0.00	3438.49	303.90	161.75
Total Intangible Assets	3335.94	406.45	0.00	3742.39	3174.19	264.30	0.00	3438.49	303.90	161.75
Total	18788.31	861.75	292.96	19357.10	13478.78	1087.00	254.43	14311.35	5045.75	5309.53
Previous Year	19282.83	1314.46	300.51	18788.31	13275.67	1944.90	274.59	13478.78	5309.53	6007.16
Capital Work In Progress									13551.70	5159.54

2.6) Non Current Investments:

The Classification of Non Current Investments (Long Term) into different categories with requisite details is given as under:

	as at 31-Mar-13		as at 31-Mar-12	
	₹ in lakhs		₹ in lakhs	
I. Trade (At Cost)				
Unquoted				
Investment in Association of Persons (AOP):				
Capital Contribution in Petroleum India International	500.00		500.00	
Share in Accumulated Surplus of Petroleum India International	711.98	1211.98	651.30	1151.30
TOTAL (a)		1211.98		1151.30

Other Member Companies are: Bharat Petroleum Corporation Ltd, Hindustan Petroleum Corporation Limited, Indian Oil Corporation Limited, Indian Petrochemical Corporation Limited, Chennai Petroleum Corporation Limited and Oil India Limited.

Oil and Natural Gas Corporation of India Limited was member till June, 2001.

Total Capital of Petroleum India International is ₹ 5500.00 Lakhs and EIL's share in Capital of AOP is ₹ 500.00 Lakhs.

Details of share in accumulated surplus for investment in Petroleum India International, an association of person in which the Company is a member, based on last available annual audited accounts for the financial year 2011-12 and amount received during the current year is as under:

(₹ in Lakhs)

Balance as on 01-04-2012	Share of Profit accounted during Year 2012-13	Amount received during the Year 2012-13	Balance as on 31-03-2013
651.30	60.68	0.00	711.98

Petroleum India International during financial year 2010-11 has ceased its business activities and is in process of dissolution.

II. Other Than Trade

Unquoted (At cost less diminution in value other than temporary)

Investment in Subsidiary Companies

1) Eil Asia Pacific Sdn Bhd Malaysia

2,50,000 Ordinary shares of RM 1 each fully paid up in wholly owned subsidiary company, out of which

3.04

3.04

2,25,000 Equity shares were received by way of Bonus shares

2) Certification Engineers International Limited

1,00,000 Equity Shares @ ₹ 100 each fully paid up in wholly owned subsidiary company, out of which 80,000 equity shares were received by way of Bonus shares

20.00

20.00

Investment in Joint Venture Companies

1) TEIL Projects Limited

500.00

500.00

49,99,997 Equity shares of ₹ 10 each fully paid up (49,99,997 Equity shares of ₹ 10 each fully paid up)

Less: Provision for diminution in value of investment

435.34

64.66

376.29

123.71

2) Jabal Elliot Co.Ltd.

500,000 shares of SR 10 each fully paid up

599.00

599.00

Less: Provision for diminution in value of investment

84.83

514.17

0.00

599.00



**Quoted
In Units of Fixed Maturity Plan of Mutual Funds**

No. of Units			
Nil	SBI Debt Fund Series - 18 Months - 8	0.00	2750.00
(27,500,000)	Growth Plan of ₹ 10 Each		
Nil	SBI Debt Fund Series - 15 Months - 7	0.00	3000.00
(30,000,000)	Growth Plan of ₹ 10 Each		
90,000,000	UTI Fixed Term Income Fund Series XIV-VIII (371 Days)	9000.00	0.00
(Nil)	Direct Growth Plan of ₹ 10 Each		
TOTAL (b)		9601.87	6495.75
TOTAL (a+b)		10813.85	7647.05
Aggregate Value of Quoted Investments - Book Value		9000.00	5750.00
Aggregate Value of Quoted Investments - Market Value		9000.00	5900.48
Aggregate Value of Unquoted Investments - Gross Book Value		2334.02	2273.34
Aggregate Provision for diminution in value of investments		520.17	376.29

2.7) Long Term Loans & Advances :

The details of Long terms Loans & Advances classified under different heads is disclosed hereunder :

	as at 31-Mar-13	as at 31-Mar-12
	₹ in lakhs	₹ in lakhs
a) Capital Advances - Unsecured (Considered Good)	188.79	355.75
b) Security Deposit :		
Unsecured- Considered Good	87.01	53.97
c) Loans & Advances to Related Parties :		
Secured-Considered Good:		
Directors	3.50	3.65
Unsecured-Considered Good:		
Directors	1.03	1.26
d) Other Loans and Advances		
(Advances Recoverable in Cash or in Kind or for value to be received):		
Secured-Considered Good:		
Employees	2165.95	2538.34
Unsecured-Considered Good:		
Employees	1833.47	1610.94
Others	<u>0.82</u>	<u>3.50</u>
	1834.29	1614.44
Advance Income Tax	62541.07	55486.49
Less :Provision for Taxation	<u>62139.48</u>	<u>54427.98</u>
	<u>4682.16</u>	<u>5625.92</u>

2.8) Other Non Current Assets :

Details of other Non-Current Assets Classified under different heads is disclosed hereunder :

	as at 31-Mar-13	as at 31-Mar-12
	₹ in lakhs	₹ in lakhs
Bank Balances :		
Non-Current Bank Deposits	37.47	25.86
Total (A)	<u>37.47</u>	<u>25.86</u>

The above includes Bank Deposits ₹ 37.47 Lakhs (₹ 25.86 Lakhs) held as Margin Money/Security against Bank Gurantees.

2.9) Current Assets :

The details of Current Assets Classified under different heads is given as below :

		as at 31-Mar-13 ₹ in lakhs	as at 31-Mar-12 ₹ in lakhs
A) Current Investments :			
1) Current Maturity of Long Term Investments - (At Cost Less Diminution in Value Other than Temporary)			
Other than Trade Quoted			
Investment In units of Fixed Maturity Plan of Mutual Funds			
No. of Units			
Nil (82,000,000)	SBI Debt Fund Series - 370 Days - 11 - Growth Plan of ₹ 10 Each	0.00	8200.00
Nil (20,000,000)	SBI Debt Fund Series - 367 Days - 6 - Dividend Plan of ₹ 10 Each	0.00	2000.00
Nil (15,000,000)	UTI Fixed Term Income Fund Series XI - VI - (367 Days) - Growth Plan of ₹ 10 Each	0.00	1500.00
Nil (100,000,000)	SBI Debt Fund Series - 367 Days - 17 - Growth Plan of ₹ 10 Each	0.00	10000.00
Nil (82,500,000)	UTI Fixed Term Income Fund Series XI - VII - (366 Days) - Growth Plan of ₹ 10 Each	0.00	8250.00
Nil (50,000,000)	Canara Robeco Fixed Maturity Plan - Series 7 - Plan A - Growth Plan of ₹ 10 Each	0.00	5000.00
Nil (100,000,000)	SBI Debt Fund Series - 367 Days - 19 - Growth Plan of ₹ 10 Each	0.00	10000.00
100000000 (100,000,000)	SBI Debt Fund Series - 367 Days - 18 - Growth Plan of ₹ 10 Each	10000.00	10000.00
27500000 (Nil)	SBI Debt Fund Series - 18 Months - 8 Growth Plan of ₹ 10 Each	2750.00	0.00
30000000 (Nil)	SBI Debt Fund Series - 15 Months - 7 Growth Plan of ₹ 10 Each	3000.00	0.00
123000000 (Nil)	SBI Debt Fund Series - 366 Days - 23 - Growth Plan of ₹ 10 Each	12300.00	0.00
20000000 (Nil)	SBI Debt Fund Series - 366 Days - 24 - Growth Plan of ₹ 10 Each	2000.00	0.00
150000000 (Nil)	SBI Debt Fund Series - 366 Days - 25 - Growth Plan of ₹ 10 Each	15000.00	0.00
40000000 (Nil)	UTI Fixed Term Income Fund Series XIV - V - (366 Days) - Direct Growth Plan of ₹ 10 Each	4000.00	0.00
19500000 (Nil)	UTI Fixed Term Income Fund Series XIV - VII - (367 Days) - Growth Plan of ₹ 10 Each	1950.00	0.00
10000000 (Nil)	Union KBC Fixed Maturity Plan-Series 6- Growth-Direct Plan of ₹ 10 Each	1000.00	0.00
25000000 (Nil)	IDBI FMP-366 Days Series-III - (March 2013)-D-Growth Direct Plan of ₹ 10 Each	2500.00	0.00
TOTAL (a)		54500.00	54950.00



		as at 31-Mar-13 ₹ in lakhs	as at 31-Mar-12 ₹ in lakhs
2) Other Current Investments (lower of cost or net realizable value)			
Other than trade			
Quoted			
In Units of Liquid Plans of mutual funds			
No. of Units			
Nil	SBI Premier Liquid Fund Super Institutional	0.00	900.40
(89,748.51)	Daily Dividend Plan of ₹ 1000 Each		
	TOTAL (b)	0.00	900.40
	TOTAL (a+b)	54500.00	55850.40
Aggregate Value of Quoted Investments - Book Value		54500.00	55850.40
Aggregate Value of Quoted Investments - Market Value		56307.91	56877.73

	as at 31-Mar-13 ₹ in lakhs		as at 31-Mar-12 ₹ in lakhs	
B) Inventories (lower of cost or net realizable value) :				
Stores, Spares and Chemicals in Hand		82.10		81.73
		<u>82.10</u>		<u>81.73</u>
C) Trade Receivables (Unsecured)				
Trade Receivable Outstanding for a period exceeding six months from the date they are due for payment:				
Considered Good	12793.56		8718.15	
Considered Doubtful	5040.85		5217.85	
	<u>17834.41</u>		<u>13936.00</u>	
Other Trade Receivable: Considered Good	20423.47		22019.10	
	<u>38257.88</u>		<u>35955.10</u>	
Less: Provision for Doubtful Debts	5040.85	<u>33217.03</u>	5217.85	<u>30737.25</u>
D) Cash And Bank Balances :				
Cash & Cash Equivalents:				
Balances with Banks in Current Account #	1251.01		493.11	
Cheques in Hand	0.00		537.53	
Cash & Stamps on Hand #	<u>31.70</u>	1282.71	<u>25.34</u>	1055.98
Other Bank Balances :				
Unpaid Dividend Account	94.76		60.56	
Held on Behalf of Clients	978.85		1210.10	
Balances with Banks in deposits account having maturity of more than three months but are due for maturity within twelve months of balance sheet date *	<u>182445.67</u>	<u>183519.28</u>	<u>161987.56</u>	<u>163258.22</u>
		<u>184801.99</u>		<u>164314.20</u>

* Includes Bank deposits having more than twelve months original maturity of ₹ 70677.00 lakhs (₹ 31694.66 Lakhs)

* Includes Bank deposits ₹ 54.00 Lakhs (₹ 49.56 Lakhs) held as margin Money/Security against Bank Guarantees.

Includes ₹ 146.50 Lakhs (₹ 133.77 Lakhs) in currencies which are not repatriable.



	as at 31-Mar-13 ₹ in lakhs		as at 31-Mar-12 ₹ in lakhs	
E) Short Term Loans & Advances :				
a) Loans & Advances to Related Parties :				
Secured-Considered Good:				
Directors		1.44		0.73
Unsecured-Considered Good:				
Directors		0.24		0.24
b) Security Deposit				
Unsecured- Considered Good	161.21		132.45	
Unsecured-Considered Doubtful	0.69		0.00	
	<u>161.90</u>		<u>132.45</u>	
Less:Provision for Doubtful Deposits	0.69	161.21	0.00	132.45
c) Other Loans and Advances :				
(Advances Recoverable in Cash or in Kind or for Value to be Received):				
Secured-Considered Good:				
Employees	328.43		332.29	
Unsecured-Considered Good:				
Employees	768.57		692.08	
Prepaid Expenses	153.89		181.49	
Advances to Vendors/Contractors	4002.42		12417.41	
Advance Income Tax	0.00		2493.50	
Advance Fringe Benefit Tax	23.36		23.36	
Retention against Contracts	573.57		1166.50	
Claims Receivable	0.60		0.00	
Others	321.42		1069.32	
Unsecured - Considered Doubtful :				
Employees	1.36		1.36	
Advances to Vendors/Contractors	2.58		2.58	
Claims Receivable	286.30		286.30	
Retention against Contracts	37.99		0.00	
	<u>6500.49</u>		<u>18666.19</u>	
Less:Provision for Doubtful Loans & Advances	328.23	6172.26	290.24	18375.95
TOTAL (a+b+c)		<u>6335.15</u>		<u>18509.37</u>
F) Other Current Assets :				
Work In Progress *		6701.57		1323.78
Fixed asset held for disposal		0.00		41.27
Interest Accrued on Current Bank Deposits		5309.46		5018.60
Unbilled Revenue		35751.91		53335.77
		<u>47762.94</u>		<u>59719.42</u>

* As taken, valued and certified by the management

* Direct Cost incurred on Lumpsum services & Turnkey contracts having physical progress less than 25 %.

2.10) Revenue from Operations:

The details of Revenue from operations for different components of revenue is detailed as below:

	2012-2013 ₹ in lakhs		2011-2012 ₹ in lakhs	
A) Consultancy & Engineering Services	118045.74		120260.87	
	<u>118045.74</u>		<u>120260.87</u>	
B) Turnkey Projects	127173.17		269584.31	
	<u>127173.17</u>		<u>269584.31</u>	
Total (A+B)	<u>245218.91</u>		<u>389845.18</u>	

Increase/(Decrease) in Work-in-Progress

A) Consultancy & Engineering Services

Closing Work-in-Progress	6701.57		1323.78	
Less: Opening Work-in-Progress	<u>1323.78</u>	5,377.79	<u>853.54</u>	470.24

B) Turnkey Projects

Closing Work-in-Progress	0.00		0.00	
Less: Opening Work-in-Progress	<u>0.00</u>	- 5,377.79	<u>20432.99</u>	(20,432.99) (19,962.75)

2.11) Other Income

The details of other Income into various categories is disclosed hereunder:

Interest Earned (Gross):

Bank deposits	17659.03		15539.51	
Loans to Employees	165.79		167.55	
Income Tax refund	0.00		538.43	
Others	<u>499.83</u>		<u>215.82</u>	
	<u>18324.65</u>		<u>16461.31</u>	

Income from Long Term Investments:

Share of Profit from AOP (Trade Investment)	60.68		37.37	
Dividend income from Subsidiary Company	400.00		350.00	
Dividend Income from Current Investments	474.30		362.46	
Capital Gain on redemption of Investments in Mutual Funds	4478.73		4070.03	
Funds recd. for expenditure against R&D	108.88		296.13	
Less: Utilisation	<u>(108.88)</u>	-	<u>(296.13)</u>	-
Profit on Sale of Assets	1.13		10.81	
Provisions no Longer Required Written Back *	6994.09		1467.42	
Miscellaneous Income	<u>908.59</u>		<u>458.34</u>	
	<u>13317.52</u>	<u>31642.17</u>	<u>6756.43</u>	<u>23217.74</u>

* Provisions no longer required written back under head 'Other Income' represents:

- Contractual obligations written back for ₹ 5457.84 Lakhs (₹ 1467.42 Lakhs) in respect of contracts for which obligation under respective contracts is completed.
- Unspent amount on CSR activity of ₹ 1536.25 Lakhs disclosed as provision till 31-03-2012.



Expenses:

The Details of expenses under various heads as per their nature is as given below:

	2012-2013		2011-2012	
	₹ in lakhs		₹ in lakhs	
2.12) Technical Assistance/Sub Contracts	50261.88		67196.93	
2.13) Construction Materials & Equipments	61371.96		151652.92	
2.14) Employee Benefits Expense :				
Salaries and Allowances @				
Staff	45367.30		43857.43	
Directors	229.12	45596.42	151.03	44008.46
Contribution towards Employees` Pension and Provident Fund & Administration Charges thereon:				
Staff	3363.60		3116.52	
Directors	11.45	3375.05	10.41	3126.93
Contribution towards Employees` Defined Contributory Superannuation Scheme:				
Staff	4137.84		2809.40	
Directors	14.49	4152.33	9.54	2818.94
Staff Welfare				
Staff	4360.55		4053.90	
Directors	7.79	4368.34	6.70	4060.60
Contribution to Gratuity Fund*	168.89		159.11	
Less: Contribution received from Others	5.13	163.76	5.11	154.00
	57655.90		54168.93	

@ Salaries and Allowances Includes:

- Provision for Bonus of ₹ 0.08 Lakhs (Previous Year ₹ 0.08 Lakhs).
- ₹ 1868.16 Lakhs (₹ 2003.17 Lakhs) on account of Leave Encashment Funded Scheme with LIC of India.

* Contribution to Gratuity fund includes:

- Term Insurance Premium paid to LIC OF INDIA.
- Additional Gratuity liability of ₹ Nil (₹ 36.00 Lakhs) pursuant to revision of Gratuity Ceiling from ₹ 3.50 Lakhs to ₹ 10.00 Lakhs in respect of employees separated during the period 1.1.2007 to 23.5.2010.

	2012-2013 ₹ in lakhs		2011-2012 ₹ in lakhs	
2.15) Depreciation & Amortization Expense				
Depreciation & Amortization Expense		1087.00		1944.90
		1087.00		1944.90
2.16) Other Expenses:				
a) Facilities:				
Rent:				
Office		475.13		417.81
Residential Accommodation				
Staff	701.43		492.91	
Directors	25.77	727.20	29.69	522.60
Less: Recovered - Staff	105.30		89.81	
- Directors	3.84	109.14	4.30	94.11
		618.06		428.49
Light, Water & Power		910.35		697.39
Insurance		142.64		146.25
Misc. Repairs & Maintenance *		2303.92		2984.02
Hire Charges of Office Equipments		50.05		57.69
		4500.15		4731.65
b) Corporate Cost:				
Bank Charges		132.87		240.79
Sitting Fees to Independent Directors		5.66		4.00
Interest		0.18		116.02
Advertisement for Tender				
& Recruitment		1060.23		1772.63
Publicity		212.05		54.92
Subscription		126.52		146.77
Entertainment		185.73		200.77
Foreign Exchange Difference (net)		7.33		736.54
Remuneration to Auditors:				
For Audit	7.00		5.00	
For Tax Audit	1.50		1.00	
Others	6.86		3.50	
Reimbursement of Service Tax	1.90	17.26	1.12	10.62
Filing Fee		3.04		2.28
Legal & Professional Charges		355.15		298.18
Licences & Taxes		168.18		147.04
Loss on Sale of Assets		41.11		8.17
Fixed Assets Written off		29.73		1.93
		2345.04		3740.66

* Includes ₹ 329.88 Lakhs (Previous Year ₹ 1103.37 Lakhs) for repairs & maintenance of own building and ₹ 241.63 Lakhs (Previous Year ₹ 287.00 Lakhs) for Plant & Machinery.



	2012-2013 ₹ in lakhs		2011-2012 ₹ in lakhs	
c) Other Costs				
Consumables/Stores		0.82		0.09
Travel & Conveyance				
Directors @	71.43		70.07	
Others	<u>6382.95</u>	6454.38	<u>5620.38</u>	5690.45
Printing, Stationery & General Office Supplies		404.63		451.94
Newspapers and Periodicals		79.41		56.27
Postage & Telecommunications		551.97		545.82
Courier, Transportation & Handling		77.63		99.37
Commission to Foreign Agents		167.30		131.66
Provision for Doubtful Debts & Advances (net)		(138.32)		625.32
Bad Debts written off		17.32		562.45
Provision for Contractual obligations		6906.22		6962.24
Provision for Diminution in value of Investment in Joint Ventures		143.88		106.76
Training Expenses				
Travel	22.85		4.39	
Others	<u>263.64</u>	286.49	<u>237.42</u>	241.81
Miscellaneous Expenses #		825.50		2713.41
		<u>15777.23</u>		<u>18187.59</u>
Less: Expenditure relating to Capital Works		281.74		191.51
		<u>15495.49</u>		<u>17996.08</u>

@ Includes recovery of ₹ 0.62 Lakhs on account of use of car (Previous Year ₹ 0.56 lakhs)

Includes CSR expenditure to the tune of ₹ 596.98 (₹ 2478.70 Lakhs)

2.17 CONTINGENT LIABILITIES AND COMMITMENTS

i) Contingent Liabilities:

- a) Claims against the Company not acknowledged as debt.
 - i) Commercial claims pending in the Courts or lying with Arbitrators amounting to ₹ 3532.45 Lakhs (₹ 2092.40 Lakhs).
 - ii) Few cases relating to the employees/others are pending in the Court against the Company, in respect of which the liability is not ascertainable.
- b) Income Tax/Fringe Benefit Tax assessments have been completed upto the assessment year 2010-11. Income Tax liability, if any, in respect of pending assessments for the assessment years 2011-12 and 2012-13 cannot be ascertained although tax as per return/revised return has been paid in full.

Wealth Tax Assessments have been completed upto the Assessment Year 2010-11. Wealth Tax liability, if any, in respect of pending assessments for the Assessment Years 2011-12 and 2012-13 cannot be ascertained although tax on returned wealth has been paid in full.

Company has filed an application for rectification (u/s 154) of short credit given for Tax Deducted at Source (TDS) and other processing mistakes amounting to ₹ 248.24 lakhs for Assessment year 2010-11.

Income Tax Department is in appeal for an amount of ₹ 608.44 lakhs with Income Tax Appellate Tribunal against the Commissioner of Income Tax (Appeals) Orders in Company's favour for the Assessment Years 2002-03 and 2004-05.

Income Tax Department is in appeal for an amount of ₹ 109.39 lakhs with Delhi High Court against the order of Income Tax Appellate Tribunal (ITAT) in Company's favour for the Assessment Year 2006-07.

Income Tax Department is in appeal for an amount of ₹ 52.84 lakhs with Supreme Court of India against the order of Delhi High Court in Company's favour for the Assessment Years 2006-07 and 2007-08.

Company has filed an appeal with Commissioner of Income Tax (Appeal) for an amount of ₹ 32.26 Lakhs against the order of Assessing Officer u/s 143(3) for the Assessment Year 2010-11.

Company has filed an appeal with Commissioner of Income Tax (Appeals) for an amount of ₹ 0.32 Lakhs (₹ 2.55 Lakhs) against the order of Assistant Commissioner of Income Tax (TDS) u/s 201(1) for the Assessment Year 2009-10.

Company has filed an appeal against demand of service tax (inclusive of penalty of ₹ 31.44 Lakhs) for ₹ 62.87 lakhs (₹ 62.87 lakhs) and interest thereon by Commissioner of Central Excise (Appeals) for the period 01.4.2002 to 17.4.2006 before Customs, Excise and Service Tax Appellate Tribunal (CESTAT).

Sales Tax Department was in appeal against the order of Joint Commissioner (Appeals) in Company's favour for an amount of ₹ 132.53 Lakhs for assessment year 1999-2000 and ₹ 116.12 Lakhs for assessment year 2000-01 respectively before Sales Tax Tribunal, Agra which has since been referred back to the Assessing Authority, Mathura.

The Company was in appeal before Sales tax Tribunal, Agra against the demand of Sales Tax Department for ₹ 20.05 Lakhs on account of entry tax for the year 1999-2000 against which company has deposited an amount of ₹ 5.01 Lakhs. The matter has since been referred back to the Assessing Authority, Mathura.

- c) Guarantees given on behalf of Subsidiary ₹ 1000 Lakhs (Nil)

In respect of above contingent liabilities, it is not probable to estimate the timing of cash flow, if any, pending the resolution of Arbitration/Appellate/Court/assessment proceedings.

ii) Commitments:

Estimated amount of contracts remaining to be executed on capital account (net of advances) and not provided for ₹ 6686.35 Lakhs (₹ 6318.34 Lakhs)

- 2.18** a) Guarantees issued by the banks and outstanding as on 31st March, 2013 ₹ 30070.20 Lakhs (₹ 30883.13 Lakhs), against which a provision of ₹ 10984.74 Lakhs (₹ 15082.73 Lakhs) has been made in the books towards liability for performance guarantees/warranties.
- b) Letter of credit outstanding as on 31st March, 2013 ₹ 2295.73 Lakhs (₹ 25403.92 Lakhs).
- c) Corporate Guarantees issued by the Company on its behalf for contractual performance and outstanding as on 31st March, 2013 ₹ 19047.00 Lakhs (₹ 19132.50 Lakhs)



2.19 The profit & loss account includes Research & Development expenditure of ₹ 1607.29 Lakhs (₹ 1546.30 Lakhs).

2.20 Land & Buildings includes ₹0.07 Lakhs (₹ 0.07 Lakhs) being amount invested as share money in Cooperative Housing Societies as detailed below:

Twintowers Premises Cooperative Society Ltd., Mumbai

10 ordinary shares of ₹ 50/- each fully paid.

Gardenview Premises Cooperative Society Ltd., Mumbai

10 ordinary shares of ₹ 50/- each fully paid.

Heera Panna Towers Cooperative Housing Society Ltd., Vadodara

10 ordinary shares of ₹ 50/- each fully paid.

Suflam Cooperative Housing Society Ltd., Ahmedabad

8 ordinary shares of ₹ 250/- each fully paid.

Darshan Co-operative Society Ltd., Vadodara

80 ordinary shares of ₹ 50/- each fully paid

2.21 The title deed in respect of following buildings is pending execution in the favor of the Company since previous years. The amount of registration charges, if any, shall be deposited in due course.

Particulars	Cost as on 31/03/2013 (₹ in Lakhs)
Leasehold Building –CBD Belapur, Mumbai comprises of one office premises	101.68
Freehold Building- Gokuldham, Mumbai comprises of 84 flats	202.73

2.22 i) Following depreciation rates are charged in terms of the Accounting Policy defined in Note No.1.6.

Sl.No.	Particulars	Rates(%age)	Sl. No.	Particulars	Rates(%age)
1.	Land Freehold	Nil	4.	Plant & Machinery	
2.	Land Leasehold	Over a lease period except for perpetual lease Nil %age		Plant & Machinery	8.0
3.	Building			Storage Tank	6.0
	Office Building	2.4	5.	Furniture & Fixtures, Office & Construction Equipment	
	R&D Centre, Gurgaon	4.0		Furniture & Fixtures	9.6
	Window/Split AC	15.84		Chairs	16.0
	AC Central Plant	6.5		Office Equipment	16.0
	Lifts	6.5		Construction Equipment	12.0
	Electric Power Sub Station	8.0			
	Invertors	19.2			
	Tubewell & Pumps	9.5	6.	Computer Software/Hardware	
	Fire Alarm System	5.15		PC/Laptop/Printer	24.32
	Fire Fighting System	9.5		Server, LAN & Networking Components	19.45
	Chilling Plant	9.6		Projector, Video Conference Equipments	19.20
				Software	33.33*
			7.	Motor Vehicles	13.75
			8.	Library Books	100

* Software individually costing up to ₹ 5.00 Lakhs is fully amortized during the year of its acquisition.

- ii) The Capital work in progress comprises cost of fixed assets that are not yet ready for their intended use at the balance sheet date, the details of which are as under :

(₹ in Lakhs)

S.No.	Particulars	As on 31.03.2013	As on 31.03.2012
1)	Capital expenditure incurred / Capital Assets acquired, but not yet ready for use at balance sheet date *	13551.70	5159.54
	Total	13551.70	5159.54

* Includes Capital Expenditure of ₹ 0.47 Lakhs (Nil) relating to ongoing Oil & Gas Exploration Activities.

2.23 There is no impairment of cash generating assets during the year in terms of Accounting Standard (AS-28) "Impairment of Assets".

2.24 The movement in provision for doubtful debts and advances during the year is as follows:

(₹ In Lakhs)

	2012-13	2011-12
Opening Balance	5508.09	4882.77
Add : Amount provided during the year	1681.32	1172.68
Less: Amount written back during the year	1819.64	547.36
Net provision during the year	(138.32)	625.32
Closing Balance	5369.77	5508.09

2.25 Company is primarily operating under two segments namely Consultancy & Engineering Projects and turnkey Projects. The broad heads under which income of the company is accounted for as per provisions of AS-7 (Construction Contracts) are as under:

Particulars	Amount (₹ in Lakhs)	
	2012-13	2011-12
Consultancy & Engineering Projects	123423.53	120731.11
Turnkey Projects	127173.17	249151.32
Total	250596.70	369882.43

2.26 Information regarding imports and foreign exchange earnings, expenditures etc. (excluding exchange difference on conversion of foreign currency).

(₹ in Lakhs)

	2012-13	2011-12
a) Expenditure (disbursement basis) in foreign Currency on account of:		
(i) Know how and professional fees including sub contracts (others)	324.23	892.19
(ii) Sub-Contractor/Construction Material turnkey projects	28769.18	43924.40
(iii) Others (foreign travel, living allowance membership fees, agency commission, foreign office expenses)	2626.66	1479.90
b) (i) Earnings (accrual basis) in foreign exchange on account of professional fees including ₹352.55 Lakhs (₹250.63 Lakhs) earned in local foreign currencies, which are not repatriable to India against which, an expenditure of ₹289.87 Lakhs (₹188.30 Lakhs) incurred in local foreign currencies.	15679.80	11607.08
(ii) Interest earned in foreign exchange	1.27	1.20



2.27 (a) Amount payable in Foreign Currency (Unhedged) on account of the following:

Amount in Lakhs

Liabilities & Provisions			
As on 31st March, 2013		As on 31st March, 2012	
₹	Foreign Currency	₹	Foreign Currency
281.68	AED 18.51	189.65	AED 13.24
7889.38	USD 143.97	21326.11	USD 413.06
2.00	KWD 0.01	23.18	KWD 0.12
1034.34	EURO 14.72	1867.68	EURO 27.00
366.73	GBP 4.41	495.23	GBP 6.25
128.70	SWK 15.23	194.44	SWK 24.93
1312.06	JPY 2243.98	1421.11	JPY 2243.98
0.07	OR 0.00	0.07	OR 0.00
0.00	QR 0.00	1.07	QR 0.08
1.19	BD 0.01	2.91	BD 0.02
19.27	AD 27.14	0.00	AD 0.00

(b) Amount receivable in Foreign Currency (Unhedged) on account of the following:

Amount in Lakhs

Assets, Loans & Advances			
As on 31st March, 2013		As on 31st March, 2012	
₹	Foreign Currency	₹	Foreign Currency
990.64	AED 68.75	472.55	AED 34.90
891.84	USD 16.52	1256.27	USD 24.77
188.48	KWD 1.02	52.57	KWD 0.29
910.05	EURO 13.25	743.29	EURO 11.02
0.27	BOLIVAR 0.03	----	----
3.60	GBP 0.04	3.67	GBP 0.05
0.24	LD 0.01	0.22	LD 0.01
146.50	AD 206.33	133.77	AD 199.66
4.70	YUAN 0.54	5.07	YUAN 0.64

2.28 The Working Capital facilities from Banks are secured by hypothecation of stocks, book debts and other current assets of the Company, both present and future.

2.29 In terms of provision of Accounting Standard (AS -7) "Construction Contracts", the information in respect of Lumpsum services/Trunk Projects for contract in progress as on 31.03.2013:

- The aggregate amount of Cost incurred and recognized Profit up to 31.03.2013 ₹ 949093.43 lakhs (₹ 803713.62 Lakhs).
- The amount of advances received ₹ 3100.40 lakhs (₹ 1739.90 Lakhs).
- The amount of retention – ₹ 573.57 Lakhs (₹ 1102.77 Lakhs)

2.30 In terms of Accounting Standard 27, "Financial Reporting of Interest in Joint Ventures of the Company", a brief description of joint ventures of the Company is:

a) TEIL Projects Limited

A joint venture with Tata Projects Limited was formed in the financial year 2008-09 for pursuing projects on engineering procurement and construction basis (EPC Projects) in selected sectors such as oil & gas, fertilizers, steel, railways, power and infrastructure.

The Joint Venture Company formed in this regard having its Registered Office at New Delhi has an Authorized capital of ₹ 1500 Lakhs & Issued, Subscribed & Paid-up capital of ₹ 1000 lakhs.

Of the issued, subscribed and paid-up capital, 4,999,997 shares of ₹ 10/- each fully paid-up amounting to ₹ 500.00 lakhs (₹ 500.00 Lakhs) are held by the Company, being 50% of paid-up capital of joint venture company.

Till 31st March, 2012, the joint venture company had accumulated losses to the tune of ₹ 752.57 Lakhs and the company had provided a diminution in value of investment to the tune of ₹ 376.29 Lakhs for its share of loss in the financial statements for year ending March 31, 2012. During the current financial year 2012-13, the Joint Venture Company had a net loss of ₹ 118.12 Lakhs and the company has provided a further diminution in value of its investment to the extent of ₹ 59.05 Lakhs for its share of loss in the financial statements for the year ending 31st March, 2013.

b) Jabal Elliot Co.Ltd.

A joint venture with Jabal Dhahran Company Limited Saudi Arabia and IOT Infrastructure & Engineering Services Limited, Mumbai was formed during the financial year 2011-12 for execution of contracts in Saudi Arabia in the field of oil & gas, non ferrous metallurgy, infrastructure projects etc.

The joint venture company namely "Jabal Elliot Co. Ltd." was registered with Dammam Commercial registry, Kingdom of Saudi Arabia. The Joint Venture Company formed for pursuing its business interests has an initial capital of SR. 15000000, out of which one third i.e. 5000000 SR. (Equivalent Indian ₹ 599.00 Lakhs) was contributed by the company as its share.

Till 31st December, 2012, the Joint Venture Company had incurred losses to the tune of SR 2124126 of which the, the Company's share is SR 708042 (equivalent Indian ₹ 84.83 Lakhs). During the current financial year 2012-13, Company has provided its share of loss amounting to ₹ 84.83 Lakhs as diminution in value of its investment in Joint Venture.

Company's share in Assets and Liabilities and Income and Expenditure related to its interest in TEIL Projects Limited and Jabal Elliot Co. Ltd based on their audited financial statements for the year ended 31st March, 2013 and 31st December, 2012 respectively are as under: .

(₹ in Lakhs)

Particulars	2012-13	2011-12
Assets	757.67	834.15
Liabilities	85.42	30.17
Income	167.20	54.40
Expenditure	317.50	170.04

2.31 Jointly Controlled Assets

Company has entered into Production Sharing Contracts with Government of India along with other partners for Exploration & Production of Oil and Gas. The Company is a non-operator and is having following participating interest in the ventures. The company would share Expense/Income/Assets/Liabilities of the ventures on the basis of its percentage in the production sharing contracts. The detail of company's interest in blocks is as under:

Block No.	Participating Interest
CB-ONN-2010/11	20%
CB-ONN-2010/08	20%

Based on available information, revenue expenditure of ₹30.58 Lakhs (₹ 6.08 Lakhs) and capital expenditure of ₹ 0.47 Lakhs (Nil), being the company's share has been accounted for in the financial statements of the year 2012-13.

Company's estimated share in work programmes committed under production sharing contract in respect of above blocks as on 31st March, 2013 is ₹ 5540.28 Lakhs (₹2546.39 Lakhs).

2.32 The disclosures required under Accounting Standard (AS-15) "Employee Benefits" are given below:**Defined Contribution Plan**

The amount recognized as an expense in defined contribution plan is as under:

₹ In Lakhs

Particulars	Expense recognized in 2012-13	Expense recognized in 2011-12
Contributory Provident Fund & Employees Pension Scheme, 1995	3375.05	3126.93
Employees Defined Contributory Superannuation Scheme	4152.33	2818.94

In respect of Provident Fund, the company has a separate irrevocable PF Trust, managing the Provident Fund accumulation of employees. The Guidance on implementing AS15, Employee Benefits (revised 2005) issued by Accounting Standards Board (ASB) of ICAI states that benefits involving employer established provident funds, which require interest shortfalls to be re-compensated by the employer are to be considered as defined benefit plans. In this regard, Actuarial valuation as on 31st March, 2013 was carried out by the Actuary to find out value of Projected Benefit Obligation arising due to interest rate guarantee by the Company towards Provident Fund. In terms of said valuation the Company has no liability towards interest rate guarantee as on 31st March, 2013.

Defined Benefit Plan

Company is having the following Defined Benefit Plans:

- Gratuity (Funded)
- Leave Encashment (Funded)
- Post Retirement Medical Benefits (Funded)
- Long Service Awards (Unfunded)
- Other benefits on Retirement (Unfunded)



	Gratuity (Funded)		Leave Encashment (Funded)		Post Retirement Medical Benefits (Funded)		Long Service Award (Unfunded)		Other Benefits on Retirement (Unfunded)	
	2012-13	2011-12	2012-13	2011-12	2012-13	2011-12	2012-13	2011-12	2012-13	2011-12
a) Actuarial Assumptions ₹ In Lakhs										
Discount rate	8.00%	8.00%	8.00%	8.00%	8.50%	8.50%	8.00%	8.00%	8.00%	8.00%
Expected rate of return on assets	9.55%	9.50%	9.55%	9.50%	9.55%	9.50%	--	--	--	--
Expected rate of future salary increase	10.00%	10.00%	10.00%	10.00%	--	--	--	--	--	--
Increase in compensation levels	--	--	--	--	7.00%	7.00%	--	--	--	--
Increase in price (Gold) of award (Silver)	--	--	--	--	--	--	13.00% 16.00%	13.00% 16.00%	--	--
Increase in other benefits on Retirement	--	--	--	--	--	--	--	--	5.00%	5.00%
b) Reconciliation of opening and closing balances of Defined Benefit obligation										
Present value of obligations as at beginning of year	10779.64	10680.63	21397.84	19328.00	8156.45	7528.50	1992.76	1606.26	171.65	160.29
Interest cost	862.37	854.45	1711.83	1546.24	693.30	639.92	159.42	128.50	13.73	12.82
Current Service Cost	90.85	315.88	5217.74	1619.00	168.07	125.75	229.56	222.33	7.90	9.39
Past Service Cost	--	--	--	--	--	--	--	--	--	--
Benefits paid	(1203.06)	(997.24)	(2364.92)	(1658.49)	(736.37)	(620.96)	(143.36)	(128.62)	(20.26)	(16.26)
Actuarial (gain)/loss on Obligations	227.89	(74.08)	(3155.73)	563.09	983.88	483.24	(146.51)	164.29	(19.87)	5.41
Present value of obligations as at end of year	10757.69	10779.64	22806.76	21397.84	9265.33	8156.45	2091.87	1992.76	153.15	171.65
c) Reconciliation of opening and closing balances of fair value of plan assets										
Fair value of plan assets as on beginning of year	10996.34	10597.84	19394.11	16439.24	7581.94	6421.20	--	--	–	–
Additional Interest in plan asset credited at beginning of period	5.25	--	9.08	--	3.55	--	--	--	–	–
Expected return on plan assets	995.90	997.07	1905.68	1725.16	720.62	674.40	--	--	--	--
Contributions	90.85	398.67	2003.16	2888.20	574.51	1107.30	--	--	--	--
Benefits paid	(1203.06)	(997.24)	(2364.92)	(1658.49)	(736.37)	(620.96)	--	--	--	--
Actuarial Gain/(Loss) on Plan assets	--	--	--	--	17.51	--	--	--	--	--
Fair value of plan assets at the end of year	10885.28	10996.34	20947.11	19394.11	8161.76	7581.94	--	--	–	–
d) Fair value of plan assets as on 31.03.2013										
Fair value of plan assets at beginning of year	10996.34	10597.84	19394.11	16439.24	7581.94	6421.20	--	--	--	--
Additional Interest in plan asset credited at beginning of period	5.25	--	9.08	--	3.55	--	--	--	–	–
Actual return on plan assets	995.90	997.07	1905.68	1725.16	738.13	674.40	--	–	–	–
Contributions	90.85	398.67	2003.16	2888.20	574.51	1107.30	--	--	–	–
Benefits paid	(1203.06)	(997.24)	(2364.92)	(1658.49)	(736.37)	(620.96)	--	--	–	–
Fair value of plan assets at the end of year	10885.28	10996.34	20947.11	19394.11	8161.76	7581.94	--	--	–	–
Funded status	127.59	216.70	(1859.65)	(2003.73)	(1103.57)	(574.51)	(2091.87)	(1992.76)	(153.15)	(171.65)
Excess of Actual over estimated return on plan	--	--	--	--	17.51	--	--	--	–	–

	Gratuity (Funded)		Leave Encashment (Funded)		Post Retirement Medical Benefits (Funded)		Long Service Award (Unfunded)		Other Benefits on Retirement (Unfunded)	
	2012-13	2011-12	2012-13	2011-12	2012-13	2011-12	2012-13	2011-12	2012-13	2011-12
e) Actuarial Gain/Loss recognized for the year 2012-13										
Actuarial gain/(Loss) for the year – Obligation	(227.89)	74.08	3155.73	(563.09)	(983.88)	(483.24)	146.51	(164.29)	19.87	(5.41)
Actuarial (gain)/Loss for the year – plan assets	--	--	--	--	(17.52)	--	--	--	--	--
Total (gain)/Loss for the year	227.89	(74.08)	(3155.73)	563.09	966.36	483.24	(146.51)	164.29	(19.87)	5.41
Actuarial (gain)/Loss recognized in the year	227.89	(74.08)	(3155.73)	563.09	966.36	483.24	(146.51)	164.29	(19.87)	5.41
f) The amounts recognized in the balance sheet										
Present value of obligations as at the end of year	10757.69	10779.64	22806.76	21397.84	9265.33	8156.45	2091.87	1992.76	153.15	171.65
Fair value of plan assets as at the end of the year	10885.28	10996.34	20947.11	19394.11	8161.76	7581.94	--	--	--	--
Funded status	127.59	216.70	(1859.65)	(2003.73)	(1103.57)	(574.51)	(2091.87)	(1992.76)	(153.15)	(171.65)
Net (Asset)/liability recognized in balance sheet	(127.59)	(216.70)	1859.65	2003.73	1103.57	574.51	2091.87	1992.76	153.15	171.65
g) Expenses Recognized in statement of Profit & Loss										
Current Service Cost	90.85	315.88	5217.74	1619.00	168.07	125.75	229.56	222.33	7.90	9.39
Past Service Cost	--	--	--	--	--	--	--	--	--	--
Interest cost	862.37	854.45	1711.83	1546.24	693.30	639.92	159.42	128.50	13.73	12.82
Expected return on plan assets	(995.90)	(997.07)	(1905.68)	(1725.16)	(720.62)	(674.40)	--	--	--	--
Net Actuarial (gain)/Loss recognized in the year	227.89	(74.08)	(3155.73)	563.09	966.36	483.24	(146.51)	164.29	(19.87)	5.41
Expenses recognized in statement of Profit & Loss	185.21	99.18	1868.16	2003.17	1107.11	574.51	242.47	515.12	1.77	27.62
h) Amount for the current period										
Present Value of Obligation	10757.69	10779.64	22806.76	21397.84	9265.33	8156.45	2091.87	1992.76	153.15	171.65
Plan Assets	10885.28	10996.34	20947.11	19394.11	8161.76	7581.94	--	--	--	--
Surplus (Deficit)	127.59	216.70	(1859.65)	(2003.73)	(1103.57)	(574.51)	(2091.87)	(1992.76)	(153.15)	(171.65)
i) Major Categories of Plan Assets (as percentage of total plan assets)										
Fund managed by Insurer	100%	100%	100%	100%	100%	100%	--	--	--	--

j) The effect of an increase of one percentage point and the effect of a decrease of one percentage point in the assumed medical cost trend rates on the following in respect of Post Retirement Medical Benefits Scheme:

(₹ In Lakhs)

	At 7% rate of escalation	At 6% rate of escalation	At 8% rate of escalation
Current Service Cost (for the period 01.04.2012 to 31.03.2013)	168.07	137.91	208.85
Interest Cost (for the period 01.04.2012 to 31.03.2013)	693.30	634.72	763.38
Value of Projected Benefit Obligation on 31.03.2013	9265.33	8453.10	10247.70



2.33 DEFERRED TAX ASSET (NET):

As per Accounting Standard (AS-22) "Accounting for taxes on Income", the major components of deferred tax assets and liabilities arising on account of timing differences are:

(₹ in Lakhs)

Sl. No	Particulars of Deferred Tax Assets/ (Liability)	Upto 31-03-2012	For the year 2012-13	As on 31st March 2013
A.	Deferred Tax Asset			
1.	Provision For leave Encashment	6942.71	809.31	7752.02
2.	Provision for Contractual Obligations	9070.38	1222.60	10292.98
3.	Provision for Doubtful Debts	1787.10	38.08	1825.18
4.	Provision for Post Retirement Medical	2646.36	502.92	3149.28
5.	Provision for Leave encashment, Superannuation and Provident fund for pay revision allowable on cash basis u/s 43B	18.56	(18.56)	0.00
6.	Provision for Other Benefits on retirement	55.69	(3.63)	52.06
7.	Provision for Long Service Awards	646.55	64.48	711.03
8.	Voluntary Retirement Scheme	7.94	(2.39)	5.55
9.	Carry forward of unabsorbed long term Capital Loss on Investment in Fixed Maturity Plans of Mutual Funds	72.96	29.16	102.12
10.	Provision for Loss in Joint Ventures	81.39	36.48	117.87
11.	Provision for Corporate Social Responsibility	498.44	(498.44)	0.00
	Total Deferred Tax Asset	21828.08	2180.01	24008.09
B.	Deferred Tax Liability:			
1.	Depreciation	402.17	(30.81)	371.36
	Total Deferred Tax Liability	402.17	(30.81)	371.36
C.	Net Deferred Tax Asset / (Liability)	21425.91	2210.82	23636.73

2.34 Prior period items net debit of ₹427.75 Lakhs (net debit ₹191.57 Lakhs) shown under prior period adjustments are as detailed below:-

Prior Period Income

(₹ In Lakhs)

	Particulars	2012-13	2011-12
I	Consultancy & Engineering Services	(427.98)	(188.95)
II	Miscellaneous Income	0.23	0.17
	(A)	(427.75)	(188.78)

Prior Period Expenditure

	Particulars	2012-13	2011-12
I	Corporate Cost	0.00	1.10
II	Facilities	0.00	1.69
	(B)	0.00	2.79
	TOTAL (A-B)	(427.75)	(191.57)

2.35 In line with Accounting Standard (AS-17) "Segment Reporting", the Company has (segmented) identified its business activity into two business segment i.e. Consultancy & Engineering Projects and Turnkey Projects, taking into account the organizational structure and internal reporting system as well as different risk and rewards of these segments. Segment results are given below:-

SEGMENT WISE REVENUE, RESULTS AND CAPITAL EMPLOYED

(₹ in Lakhs)

	Year ended 31.03.2013	Year ended 31.03.2012
Segment Revenue		
Consultancy & Engineering projects	123423.53	120731.11
Turnkey Projects	127173.17	249151.32
Total	250596.70	369882.43
Segment Profit		
Consultancy & Engineering Projects	52704.81	51090.88
Turnkey Projects	11047.67	24521.08
Total (a)	63752.48	75611.96
Prior period adjustment	427.75	191.57
Interest	0.18	116.02
Other un-allocable expenditure	5873.02	7045.58
Total (b)	6300.95	7353.17
Other Income (c)	31642.17	23217.74
Profit Before Tax (a-b+c)	89093.70	91476.53
Capital Employed(*)	223754.64	184404.51

(*) Fixed Assets used in the Company's business or liabilities contracted have not been identified to any of the reportable segments, as the fixed assets and support services are used interchangeably between segments. Accordingly, no disclosure relating to total segment assets and liabilities has been made.

2.36 DISCLOSURE PURSUANT TO AS-18 "RELATED PARTY DISCLOSURES":-

(A) RELATED PARTIES:

S.NO.	NAME OF THE RELATED PARTY	NATURE OF RELATIONSHIP
1.	CERTIFICATION ENGINEERS INTERNATIONAL LIMITED	WHOLLY OWNED SUBSIDIARY
2.	EIL ASIA PACIFIC SDN BHD	WHOLLY OWNED SUBSIDIARY
3.	PETROLEUM INDIA INTERNATIONAL	ASSOCIATION OF PERSON
4.	TEIL PROJECTS LTD.	JOINT VENTURE COMPANY
5.	JABAL EIL IOT CO. LTD.	JOINT VENTURE COMPANY
6.	DIRECTORS	KEY MANAGEMENT PERSONNEL
	Mr. A K PURWAHA	CHAIRMAN & MANAGING DIRECTOR
	Mr. L. N. GUPTA	DIRECTOR (GOVT. NOMINEE) - upto 02/08/2012
	Mr. DEPENDRA PATHAK	DIRECTOR (GOVT. NOMINEE) - upto 02/08/2012
	Dr. ARCHANA S MATHUR	DIRECTOR (GOVT. NOMINEE) - w.e.f 03/08/2012
	Ms. SUSHMA TAISHETE	DIRECTOR (GOVT. NOMINEE) - w.e.f 03/08/2012
	Mr. RAM SINGH	DIRECTOR (FINANCE)
	Mr. P. K. RASTOGI	DIRECTOR (HR) - upto 30/09/2012
	Mr. G. D. GOYAL	DIRECTOR (COMMERCIAL) - upto 30/06/2012
	Mr. P. MAHAJAN	DIRECTOR (TECHNICAL)
	Mr. D. MOUDGIL	DIRECTOR (PROJECTS)
	Mr. SANJAY GUPTA	DIRECTOR (COMMERCIAL) - w.e.f. 01/07/2012
	Ms. VEENA SWARUP	DIRECTOR (HR) - w.e.f. 01/10/2012
	Mr. A. K. PURWAR	DIRECTOR - upto 29/01/2013
	Mr. U. N. BOSE	DIRECTOR - upto 30/11/2012
	Dr. AVINASH CHANDRA	DIRECTOR - upto 29/01/2013
	Mr. ADIT JAIN	DIRECTOR
	Dr. (Prof.) KDP NIGAM	DIRECTOR
	Mr. BIJOY CHATTERJEE	DIRECTOR - w.e.f. 04/07/2012
	Dr. J. P. GUPTA	DIRECTOR - w.e.f. 04/07/2012
	Dr. R. K. SHEVGAONKAR	DIRECTOR - w.e.f. 04/07/2012

**(B) RELATED PARTY TRANSACTIONS:**

(₹ in Lakhs)

PARTICULARS	WHOLLY OWNED SUBSIDIARIES	JOINT VENTURE COMPANIES	ASSOCIATION OF PERSON	KEY MANAGEMENT PERSONNEL	TOTAL
Deputation of employees & Reimbursement of expenses (at cost)		34.26 (29.87)			34.26 (29.87)
Dividend / Share of profit	400.00 (350.00)		60.68 (37.37)		460.68 (387.37)
Rendering of services & other transactions	279.53 (303.96)	21.37 (0.00)			300.90 (303.96)
Outstanding receivables	25.34 (123.44)	52.87 (2.73)			78.21 (126.17)
Services & facilities Received	245.44 (226.39)	183.46 (128.92)			428.90 (355.31)
Outstanding Payable	44.66 (17.49)	62.55 (1.94)			107.21 (19.43)
Remuneration/ Sitting fees*				268.51 (181.68)	268.51 (181.68)
Rent paid for residential accommodation				21.93 (25.39)	21.93 (25.39)
Interest Income on loans given				0.05 (0.12)	0.05 (0.12)
Outstanding Loans, Interest & other receivables				6.21 (5.88)	6.21 (5.88)
Equity Contributions (Net)		0.00 (724.90)			0.00 (724.90)

*The remuneration does not include provision for post retirement/other long term benefits under Accounting Standard-15 (Revised), since the same is not available for individual employees.

2.37 EARNING PER SHARE (E.P.S.)

In terms of Accounting Standard-20 "Earning per Share", the requisite disclosures are as under:

Calculation of E.P.S.	2012-13	2011-12
A Net Profit for the year attributable to Equity Shareholders (₹ in Lakhs)	62857.55	63631.53
B Weighted average number of Equity shares	336936600	336936600
C Basic & Diluted Earning per share (A)/(B)	₹18.66	₹18.89
D Nominal value per share	₹5	₹5

2.38 The Board of Directors at their meeting held on 28th May, 2013 has proposed a final dividend of ₹3/- per share for financial year 2012-13 (₹4/- per share) subject to approval of shareholders in annual general meeting. The above is in addition to an interim dividend of ₹3/- per share for financial year 2012-13 (₹2/- per share) declared and already paid.

2.39 The interest expense includes ₹Nil (₹116.00 Lakhs) on account of interest on shortfall in advance tax paid computed as per provisions of Income Tax Act.

2.40 In terms of Accounting Standard (AS 29) "Provisions, Contingent Liabilities and Contingent Assets," the requisite disclosures are as under:

i) The movement in provisions are disclosed as under:

(₹ in Lakhs)

S.No.	Particulars	Class of Provision	
		Contractual Obligations	
		2012-13	2011-12
1	Opening Balance	29161.07	23666.25
2	Additional Provision during the year	6906.22	6962.24
3	Provision used during the year	-----	-----
4	Provision reversed during the year	5457.84	1467.42
5	Closing Balance (1+2-3-4)	30609.45	29161.07

ii) Nature of provision:

Contractual obligations represent provision for estimated liabilities on account of guarantees and warranties etc. in respect of consultancy & engineering services and turnkey contracts executed by the Company. The said obligation covers performance as well as defect liability period defined in the respective contracts.

For turnkey contracts, the estimated liability on account of contractual obligations is provided at 1% of revenue recognized based on risk assessment made by the management. For consultancy & engineering services contracts the estimated liability on account of contractual obligations is provided as per assessment of probable liability made by the management based on liability clauses in respective contracts.

iii) The disclosures in respect of contingent liabilities are given as per Note No.2.17.

2.41 CSR Activity Reserve amounting to ₹ 2211.90 Lakhs under head Reserves & Surplus (Note 2.2) represents unspent amount, out of amounts set aside as 2% of profit earned in the past years for meeting social obligations as per Department of Public Enterprise guidelines for Corporate Social Responsibility. Till last year the unspent amount was being disclosed as provision for CSR under head short term provisions.

2.42 In terms of Section 22 of the Micro, Small and Medium Enterprises Development Act 2006, the outstanding to these enterprises are required to be disclosed. However, these enterprises are required to be registered under the Act. In the absence of the information about registration of the Enterprises under the above Act, the required information could not be furnished.

2.43 Remuneration to Chairman & Managing Director and full time Directors are as per their appointment letters from the Ministry of Petroleum & Natural Gas, Government of India, New Delhi. They are also allowed to use the staff car for private journeys upto a ceiling of 1000 kms per month.

2.44 Previous year's figures have been re-casted and/or regrouped wherever necessary to make them comparable with the current year's figures. Figures shown within brackets in Notes represent previous year's figures.

RAJAN KAPUR
Company Secretary
PAN: AAIPK0926B

SUDERSHAN GUPTA
Executive Director (F&A)
PAN: AAGPG5991E

RAM SINGH
Director (Finance)
DIN: 02942267

A.K. PURWAHA
Chairman & Managing Director
DIN: 00165092

As per our report of even date attached
for M VERMA & ASSOCIATES
CHARTERED ACCOUNTANTS

(MOHENDER GANDHI)
PARTNER

Membership No. 088396
Firm Registration No. 501433C

Place : New Delhi

Dated : May 28, 2013



STATEMENT PURSUANT TO SECTION 212 OF THE COMPANIES ACT, 1956 RELATING TO SUBSIDIARY COMPANY

1.	Name of the Company	EIL Asia Pacific Sdn. Bhd. (Incorporated in Malaysia)
2.	a) Issued, Subscribed and Paid-up Capital of Subsidiary Company	2.50 Lakhs equity shares of RM 1 each
3.	(a) No. of shares held by EIL at the end of the Financial year of the Subsidiary company	2.50 Lakhs equity shares of RM 1 each
	(b) Extent of interest of holding company At the end of the Financial Year of the Subsidiary Company	100%
4.	Financial Year of Subsidiary Company ended on	31st December, 2012
5.	Date from which it became subsidiary company	21st February, 1994
6.	Net aggregate amount of the subsidiary Company's Profit/Losses so far it concerns the member of the Holding Company	
	(a) <u>Not dealt within Holding Company Accounts:</u>	
1.	For the Subsidiary Company's Financial year ending 31st December, 2012 (Amount in Lakhs)	RM (0.12)
2.	For the previous financial year(s) of the subsidiary company since It became the holding company's Subsidiary (Amount in Lakhs)	RM 0.09
	(b) <u>Dealt within Holding Company Accounts:</u>	
1.	For the Subsidiary Company's Financial year ending 31st December, 2012 (Amount in Lakhs)	NIL
2.	For the previous financial year(s) of the subsidiary company since It became the holding company's Subsidiary (Amount in Lakhs)	RM 14.00

RAJAN KAPUR
Company Secretary
PAN : AAIPK0926B

SUDERSHAN GUPTA
Executive Director (F&A)
PAN : AAGPG5991E

RAM SINGH
Director (Finance)
DIN : 02942267

A.K. PURWAHA
Chairman & Managing Director
DIN : 00165092



STATEMENT PURSUANT TO SECTION 212 OF THE COMPANIES ACT, 1956 RELATING TO SUBSIDIARY COMPANY

1.	Name of the Company	Certification Engineers International Limited
2.	Issued, Subscribed and Paid-up Capital of Subsidiary Company	1 Lakh equity shares of ₹100 each
3.	(a) No. of shares held by EIL at the end of the Financial year of the Subsidiary company	1 Lakh equity shares of ₹100 each
	(b) Extent of interest of holding company At the end of the Financial Year of the Subsidiary Company	100%
4.	Financial Year of Subsidiary Company ended on	31st March, 2013
5.	Date from which it became subsidiary company	26th October, 1994
6.	Net aggregate amount of the subsidiary Company's Profit/Losses so far it concerns the member of the Holding Company	
	(a) <u>Not dealt within Holding Company Accounts:</u>	
1.	For the Subsidiary Company's Financial year 01.04.2012 to 31.03.2013 (Amount in Lakhs)	₹ 500.69
2.	For the previous financial year(s) Of the subsidiary company since It became the holding company's Subsidiary (Amount in Lakhs)	₹ 5058.26
	(b) <u>Dealt within Holding Company Accounts:</u>	
1.	For the Subsidiary Company's Financial year 01.04.2012 to 31.03.2013 (Amount in Lakhs)	₹ 400.00
2.	For the previous financial year(s) of the subsidiary company since It became the holding company's Subsidiary (Amount in Lakhs)	₹ 2251.00

RAJAN KAPUR
Company Secretary
PAN : AAIPK0926B

SUDERSHAN GUPTA
Executive Director (F&A)
PAN : AAGPG5991E

RAM SINGH
Director (Finance)
DIN : 02942267

A.K. PURWAHA
Chairman & Managing Director
DIN : 00165092



**COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA
UNDER SECTION 619(4) OF THE COMPANIES ACT,
1956 ON THE ACCOUNTS OF ENGINEERS INDIA LIMITED FOR THE YEAR
ENDED 31st MARCH 2013.**

The preparation of financial statements of Engineers India Limited for the year ended 31st March 2013 in accordance with the financial reporting framework prescribed under the Companies Act, 1956 is the responsibility of the management of the Company. The Statutory Auditor appointed by the Comptroller and Auditor General of India under Section 619 (2) of the Companies Act, 1956 is responsible for expressing opinion on these financial statements under Section 227 of the Companies Act, 1956 based on independent audit in accordance with the auditing and assurance standards prescribed by their professional body, the Institute of Chartered Accountants of India. This is stated to have been done by them vide their Audit Report dated 28th May 2013.

I, on behalf of the Comptroller and Auditor General of India, have conducted a supplementary audit under section 619 (3) (b) of the Companies Act, 1956 of the financial statements of Engineers India Limited for the year ended 31st March 2013. This supplementary audit has been carried out independently without access to the working papers of the statutory auditor and is limited primarily to the inquiries of the Statutory Auditor and company personnel and a selective examination of some of the accounting records. On the basis of my audit nothing significant has come to my knowledge which would give rise to any comment upon or supplement to Statutory Auditor's report under section 619(4) of the Companies Act, 1956.

For and on the behalf of the Comptroller
& Auditor General of India

(Naina A. Kumar)
Principal Director of Commercial Audit &
Ex-officio Member, Audit Board - II
New Delhi

Place : New Delhi
Date : July 4, 2013

Directors' Report

To
The Shareholders,
Certification Engineers International Limited

Gentlemen,

Your Directors have pleasure in presenting the 18th Annual Report together with Audited accounts of the Company for the year ended 31st March 2013 along with Audited Statement of Accounts, the Auditors' Report and Comments of the Comptroller and Auditor General of India.

Performance During the Year 2012-13

The overall financial performance for the year 2012-13 is highlighted below:

(₹ IN THOUSANDS)

RESULTS OF OPERATIONS	For the year ended 31.3.2013	For the year ended 31.3.2012
Income from services rendered (Including adjustment of work-in-progress)	284313	299204
Expenditure Operating profit Other Income	208517 75796 39759	186486 112718 35900
Profit before Tax & Prior period adj. Prior period adjustment	115555 1962	148618 ---
Profit before Tax	113593	148618
Provision for Taxation Current Tax Deferred Tax Adj. of previous year's Tax Provision	40529 (-)3648 —	50085 (-)2212 104
Profit after Tax Dividend Tax on dividend Transfer to General Reserve	76712 40000 6644 30068	100641 35000 5677 59964
SOURCES AND USES OF FUNDS Authorised Capital Issued, Subscribed & Paid-up Capital Reserves and Surplus Non-Current Liabilities Current Liabilities	20000 10000 535894 20922 57258 624074	20000 10000 505826 15714 61725 593265
REPRESENTED BY Fixed Assets Deferred Tax Long Term Loans & Advances Other Non-Current Assets Current Assets	29810 10643 22434 16044 545143 624074	30962 6996 13602 20334 521371 593265



DIVIDEND

The Board of Directors of the Company have recommended for the financial year 2012-13, a final dividend of ₹ 200/- per share (of face value of ₹ 100/- per share) in addition to ₹ 200/- per share interim dividend already paid during the year. With this, the total dividend for the financial year 2012-13 works out to ₹ 400/- per share. Payment of final dividend is, however, subject to approval of shareholders in the ensuing annual general meeting of the Company.

BUSINESS REVIEW – THE YEAR IN RETROSPECT

During the financial year, the income from services rendered by your Company has decreased to ₹ 28.43 Crores from ₹ 29.92 Crores in the previous year, which is 5.0% lower than the previous year, mainly on account of lower average man-day realization in a competitive environment and adverse revenue mix.

Profit before tax has decreased to ₹ 11.36 Crores from ₹ 14.86 Crores, which is 23.6% lower than the previous year, mainly on account of lower average manday realization, and upward trend of overall cost due to general inflationary trend. Similarly, Profit after tax has decreased by 23.8% from ₹ 10.06 Crores in previous year to ₹ 7.67 Crores in the current year.

Your company is continuously adopting suitable measures to reduce average man-day cost substantially, through increased outsourcing, to effectively counter the pressure of reduced average realizations, and higher operating expenses to increase the profit margin. Further, your Company is aggressively targeting business proposals in overseas markets and also inspection of imported components for new refineries and exploring opportunities in new areas for improvement in man-day realization and existing market share.

OPERATIONS

During the year, work on the following major assignments progressed well:

- 1) Oil & Natural Gas Corporation Limited (ONGC)– OGIP (TPI & Certification assignments), SSCP Project & WO16 and SB-14 PL Project.
- 2) Gujarat State Petronet Limited – Various Pipeline Projects.
- 3) VMSS & SMC – Infrastructure works for Vadodara Municipal Corporation and surat Municipal Corporation
- 4) Technimont-OPaL – TPI for HEPE/LLDPE & PPU
- 5) Petrofac Intl. – TPI for Gas Field Development Project of Turkmen gas
- 6) Corp. of Chennai – TPI of SWD Project

- 7) Fernas Construction-Various LSTK contracts
- 8) During the year, CEIL completed review & certification of ERDMP / Safety Audit for following Clients / Facilities:-
 - a. GAIL – RPNHQ, Vadodara
 - b. GAIL – Jamnagar – Loni Pipeline
 - c. GAIL – LPG Compression Vaghodia
 - d. GECCL – CBM facilities at Asansol, West Bengal
- 9) HAZOP studies for GAIL, Maharashtra Natural Gas Pipeline network were completed.
- 10) Baseline Energy Audit for Pumping Stations of Indore Municipal Corporation completed.

The following major assignments were secured during the year:

- ONGC - Certification services for B127 WPP Project, SSCP Project and Certification and TPI services for OGIP
- TPI for various Infrastructure projects for Vadodara Municipal Corporation and Surat Municipal Corporation
- GSPL-TPI for various Pipeline Projects and Technical Audit
- ONGC Asset – TPI for Mumbai High MH, B&S, N&H and OMG Projects.
- Sizable number of TPI jobs directly by suppliers of package equipments for projects of IOCL, ONGC and State Govt. Organizations etc.

OUTLOOK

Your Company had an order book position of around ₹ 28 Crores as on 31.03.2013, comprising of the in process portion of the orders from ONGC, VMSS, SMC, GSPL, Technimont etc. Your Company is striving hard to enhance the order book position.

Your Company is also continuously exploring the possibility of securing TPI jobs from other sectors like Nuclear, Defence, Fertilizers and Power.

RISK MANAGEMENT

The Company has a well defined Risk Management policy. The objective of risk management in the Company is to act as an enabler in maintaining its knowledge edge, sustaining and expanding the business, being competitive and ensuring execution of jobs within budgeted cost and time resulting in improved turnover and profitability. The management is committed to further strengthen its risk management capabilities in order to improve its business performance and enhance shareholder value. Continuous efforts in creating new opportunities, improving competencies/knowledge in various



areas leading to improved performance and leveraging existing knowledge resources, in line with the risk appetite of the company, has enabled the company to protect the shareholders interests.

INTERNAL AUDIT

Internal audit of the company is done by Internal Audit Department of Engineers India Ltd., the parent company. During the year internal audit was carried out in September, 2012 and March, 2013. Internal Audit Reports are submitted to the Management and Audit Committee of the Board.

VIGILANCE

Vigilance activities of the company are carried out by the Vigilance Department of Engineers India Ltd, the parent company, with focused objective of ensuring conformity to the company procedures and Govt. guidelines. System improvement are suggested to management and actions are undertaken for improvement.

CEIL observed the Vigilance Awareness Week w.e.f 29th October 2012 to 03rd November 2012 for spreading vigilance awareness and encouraging "participative vigilance" amongst the employees of CEIL

Various competitions were organised during the vigilance week for the employees. The prizes were given to the winners of the competitions and participation gift were also presented for all the participants.

SUBSIDIARY COMPANIES

The Company does not have any subsidiary company.

MANPOWER

As on 31st March 2013, your Company had total manpower of 80. Regular employees were 76 and number of employees on deputation from EIL stood at 4.

Employees were nominated to various training programs in the field like NDT, Offshore, CSR & sustainability, functional & behavioral trainings from time to time.

For meeting job requirements at optimum cost, your Company is also outsourcing manpower from agencies and is empanelling engineers and consultants.

OFFICIAL LANGUAGE

Like previous years, awareness and increased usage of official language was enthusiastically carried out during the year. Provisions of section 3(3) of Official Languages Act and Official Language Rules have been complied with. 'Hindi Diwas' was observed on 14.09.2012 and 'Hindi Fortnight' was organized from 14.09.2012 to 28.09.2012 in association with holding company EIL. With a view to create greater awareness,

consciousness and to encourage employees to enhance use of Hindi in official work several workshops, inspection and seminar were also organized.

PARTICULARS OF EMPLOYEES

The company had no employee in respect of whom disclosure is required to be made pursuant to Section 217(2A) of the Companies Act, 1956 read with the Companies (Particulars of Employees) Rules, 1975, as amended.

CONSERVATION OF ENERGY & FOREIGN-EXCHANGE EARNINGS AND OUTGO

As the Company's operations do not involve any manufacturing or processing activities, the particulars as per the Companies (Disclosures of particulars in the report of the Board of Directors) Rules, 1988, regarding conservation of energy and technology absorption are not applicable.

The particulars regarding foreign exchange earnings and outgo are appearing in para 2.31 of the notes to accounts. The Company does not own any manufacturing facilities; hence the other particulars relating to Foreign Exchange Earnings & Outgo in the Companies (Disclosure of particulars in the Report of the Board of Directors) Rules, 1988 are not applicable.

CORPORATE SOCIAL RESPONSIBILITY

During the year 2012-13, the company remained focused towards its social obligations and the following project was taken up through Smile Foundation, New Delhi:

- To provide financial assistance for their three STeP Centers located at Kalyanam, Rasta and Nipun in Delhi region to purchase new computers, related accessories and other office facilities (like furniture etc). SMILE foundation through these centers shall provide training in selected market driven courses to those under privileged youth whose education and inter-personal skills need grooming so as to make them eligible for the job opportunity in the IT, Retail and hospitality sector.

CODE OF BUSINESS CONDUCT AND ETHICS

The Company has formulated a Code of Business Conduct and Ethics for its Board Members and Senior Management Personnel in terms of DPE Guidelines on Corporate Governance. The confirmation of compliance of the same is obtained from all concerned on annual basis. All Directors and Senior Management Personnel have given their confirmation of compliance for the year under review. A declaration duly signed by the CEO is given in the Report on Corporate Governance.

CORPORATE GOVERNANCE

The Company is committed to good Corporate Governance as per the requirements/Guidelines on Corporate Governance for



CPSEs issued by Department of Public Enterprises, Government of India. The Board of Directors support the broad principles of Corporate Governance. In addition to the basic issues, CEIL lays strong emphasis on transparency, accountability and integrity.

A Report on Corporate Governance as required under DPE Guidelines on Corporate Governance is annexed.

Certificate of the Auditors of CEIL regarding compliance of the conditions of the Corporate Governance as stipulated in DPE Guidelines on Corporate Governance along with the Management's Reply on the comments of the Auditors is enclosed.

COMPLIANCE CERTIFICATE PURSUANT TO SECTION-383A OF THE COMPANIES ACT, 1956

The Compliance Certificate as required under Section 383A of the Companies Act, 1956 from a Practicing Company Secretary has been obtained and annexed.

DIRECTORS' RESPONSIBILITY STATEMENT

Pursuant to provisions of Section 217 (2AA) of the Companies Act, 1956, the Directors confirm:

- i) that in the preparation of the annual accounts, the applicable accounting standards have been followed and that no material departures have been made from the same.
- ii) that they have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company at the end of the financial year and of the profit or loss of the Company for that period.
- iii) that they have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 1956 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities.
- iv) that they have prepared the annual accounts on a going concern basis.

RESEARCH & DEVELOPMENT AND SUSTAINABLE DEVELOPMENT ACTIVITIES

Your company has made budgetary provision for R&D activities which shall lead to more efficient & cost effective processes. The company has also made budgetary provisions for the activities related to Sustainable Development which involves an enduring and balance approach to economic activity, social progress and environmental responsibility.

RIGHT TO INFORMATION ACT, 2005

In order to promote transparency and accountability, appropriate action is taken to reply to queries from any source whenever received, on time. In compliance to the provisions of the Right to Information Act, 2005, Central Public Information Officer (CPIO) and ACPIOs have been appointed and utmost care is being taken for timely compliance and dissemination of information. During the Financial year 2012-13, the company received two applications under RTI Act, 2005 and all had been responded within the statutory time limit. As on 31.3.2013, no application is pending under RTI Act, 2005.

DIRECTORS

After the date of last Directors' Report i.e. 13.07.2012, Dr. Avinash Chandra ceased to be the Director of the Company due to resignation w.e.f. 30.01.2013.

Shri D. Moudgil and Shri Ajay N. Deshpande ceased to be the Directors of the Company due to resignation w.e.f. 13.03.2013.

Shri Adit Jain and Dr. J.P. Gupta were appointed as Additional Directors (Non-official Independent) on the Board of the Company w.e.f. 13.03.2013.

The Board has placed on record its appreciation for the services rendered and contributions made by Dr. Avinash Chandra, Shri D. Moudgil and Shri Ajay N. Deshpande during their tenure as Directors of the Company.

In accordance with the provisions of the Companies Act, 1956, Shri Sanjay Gupta and Shri Sudershan Gupta, Directors would retire by rotation at the ensuing Annual General Meeting and being eligible, offer themselves for re-appointment.

In accordance with the provisions of the Companies Act, 1956, Shri Adit Jain and Dr. J.P. Gupta, who were appointed as Additional Directors (Non-official Independent) after the date of last Directors' report, shall vacate their office at the ensuing Annual General Meeting. Necessary notices have been received from the Members of the Company under Section 257 of the Companies Act, 1956, proposing their candidature for appointment. The Board recommends their appointment.

Brief resume of the Directors seeking appointment/reappointment together with the nature of their expertise in specific functional areas, names of companies in which they hold directorships and the membership of Committees of the Board and shareholding of non-executive directors pursuant to the requirements of Corporate Governance are given in the Annexure to Notice of 18th Annual General Meeting.

BANKERS

The Bankers of the Company are Bank of India, Corporation Bank, Axis Bank and State Bank of India.



ACCREDITATIONS

• ISO 17020:

CEIL continues to be a Type-A accredited Inspection Body in accordance with ISO/IEC 17020 granted by NABCB. During the year, ISO 17020 Surveillance Audit was carried out by NABCB successfully. The ISO 17020 accreditation is granted for company's operations in India for inprocess / finished product/installation/in-service inspection activities. ISO 17020 accreditation is a pre-qualification criteria to carry out ERDMP and T4S Audits under PNGRB.

• Emergency Response & Disaster Management Plan (ERDMP):

CEIL continues as an approved Third Party Inspection body under PNGRB for review and verification of Emergency Response & Disaster Management Plan (ERDMP). During the year, CEIL carried out ERDMP Audits for esteemed customers like GAIL (India) Ltd. for Natural Gas Pipelines and Green Gas Ltd. for City Gas Distribution network.

• Technical Standards and Specifications including Safety Standards (T4S) Audits

CEIL continues to be an approved Third party Inspection body under PNGRB for carrying out Technical Standards and Specifications including Safety Standards (T4S) Audits for Natural Gas Pipelines (NGPL) and City Gas Distribution (CGD) networks.

• Indian Boiler Regulations (IBR)

During the year CEIL received approval from IBR as a recognised inspection authority as well as competent authority for inspections in all countries of Europe, Middle East and China.

• Bureau of Energy Efficiency (BEE) - ESCO

During the year CEIL was assigned CARE BEE Grade 2 rating as Energy service company. The Grading indicates "HIGH" ability to carry out energy efficiency audits and undertake energy efficiency projects.

AUDITORS

M/s Kapoor Goyal & Co, Chartered Accountants were appointed as Auditors of your Company for the Financial Year 2012-13 by the Office of the Comptroller & Auditor General of India.

ACKNOWLEDGEMENTS

The Board of Directors express their sincere thanks to the esteemed Clients of CEIL for their continued patronage and express deep appreciation for the assistance provided by the Ministries of the Government of India.

The Board of Directors express their sincere gratitude to EIL, the holding company for their all round support and look forward to their continued support and guidance.

The Board of Directors also wish to place on record their appreciation for the excellent contribution made by all the employees towards the successful operations of the Company.

For & on behalf of the
Board of Directors

(A K Purwaha)
Chairman

Place: New Delhi
Date: July 2, 2013



Management Discussion & Analysis

We have the pleasure of presenting you an analysis report covering the performance of the company for the year 2012-13 and the future outlook.

Business overview

During the financial year company was able to maintain a healthy order book and secured business worth around ₹ 27.00 Crores.

In the Certification activities the company was able to secure four major orders during the year. The company is striving hard for further improving order book position of Certification contracts in the current year 2013-14.

In the Third Party Inspection activities, the company secured major orders from Vadodara Municipal Corporation, Gujarat State Petronet Ltd., ONGC for Mumbai High Assets and other esteemed clients, besides securing sizeable business from various State Government Organizations etc.

The Company has made inroads into the HSE area for External Safety Audit and ERDMP Audit.

Business environment and future outlook

Your Company had a order book position of around ₹28.00 Crores as on 31.03.2013, comprising of the unexecuted portion of the orders from ONGC, VMSS, SMC, GSPL, Tecnimont etc. Your Company expects to secure further assignments during the year from ONGC, State Infrastructure authorities, GSPL, and major LSTK Contractors etc. which will translate into healthy order book and increased turnover at the end of year.

Your Company is also continuously exploring the possibility of securing Certification & TPI jobs from other sectors/contractors and enhancing its service portfolio to include areas concerning environment, Plant Operation & Safety, specialized engineering analysis etc.

Financial Performance

During the financial year, the income from services rendered by the Company has decreased to ₹ 28.43 Crores from ₹29.92 Crores in the previous year, which is 5.0% lower than the previous year.

Profit before tax has decreased to ₹11.36 Crores from ₹14.86 Crores in previous year, which is 23.6 % lower. Similarly, Profit after tax has decreased by 23.8% from ₹ 10.06 Crores in previous year to ₹ 7.67 Crores in the current year.

Risk & Concerns

The Company has a well defined Risk Management policy. The objective of risk management in the company is to act as enabler in maintaining its knowledge edge, sustaining and expanding

the business, being competitive and ensuring execution of projects within budgeted cost and time resulting in improved turnover and profitability. The management is committed to further strengthen its risk management capabilities in order to improve its business performance and enhance shareholder value. Continuous efforts in creating new opportunities, improving competencies/knowledge in various areas leading to improved performance and leveraging existing knowledge resources, in line with the risk appetite of the company, has enabled the company to protect the shareholders interests.

Internal control systems

Your company has in place adequate systems of internal control. These have been designed to provide reasonable assurance with regard to maintaining proper accounting controls, monitoring economy and efficiency of operations, protecting assets from unauthorized use or losses, and ensuring reliability of financial and operational information. We continued our efforts to align all its process and control with best practices.

Some significant features of the internal control systems are preparation and monitoring of annual budgets, internal audit and its review, clear delegation of authority and responsibility, corporate policy on accounting and capital acquisition and periodic management meeting to review operation and plans in business areas.

Memorandum of understanding (MoU) with Engineers India Limited

Your company's MoU with EIL for the year 2013-14 was signed in March 2013 and envisages higher turnover with thrust on holistic growth encompassing customer satisfaction, HRD, R&D, Sustainability and CSR initiatives.

Significant Initiatives

In order to meet the challenges of continuing changes in business environment and growing competition, corporate focus has been on various initiatives on increasing engagement in Company's core strength areas; gaining entry into areas that are expected to show significant growth in the near future, entering in future strategic/new viable areas; improvement in processes and augmented efforts in training & recruitment.

Human Resources

Strength of regular employees, including employees on deputation from EIL, increased from 78 to 80 during the year. 192 Mandays of training was imparted to employees during the year through 24 Nos. training programmes.

Your Company shall focus on specilized training to enhance knowledge of its employees in its area of business.



Marketing

The company is successfully expanding its clients base with addition of new clients in existing and diversified business areas. Company's commitment to quality and timely execution of certification and third party inspection activities, coupled with proper marketing initiatives has helped the company maintain its order book. Staffing in the Marketing Department has been substantially increased.

Operational Improvement

Major Operational Improvements like improving manpower productivity, optimization of cost etc. are ensured through strict monitoring of operations in the Company and gradual increase in use of Software Packages and automated systems.

Cost Control & Monitoring

Effective cost reduction measures for control of travel cost, manpower cost etc. are taken up at all stages of operations.

Corporate Social Responsibility

Your Company's CSR initiatives aim at assisting socially and economically weaker segments of society, as well as defining the Company as a socially responsible business to employees, clients and other stakeholders. As part of CSR activities, the following project was taken up through SMILE foundation, New Delhi:-

- To provide financial assistance for their three step center located at Kalyanam, Rasta and Nipun in Delhi Region to purchase new Computers, related accessories and other office facilities (like furniture etc.). SMILE Foundation through these centers shall provide training in selected market driven courses to those under privileged youth whose education and inter-personal skills need

grooming so as to make them eligible for the job opportunity in the booming IT, Retail and hospitality Sector

Environment Protection and Conservation, Technological Conservation, Renewable Energy Development, Foreign Exchange Conservation

Environmental protection is an integral part of the Company's business processes. The Company is adopting a long term approach to business, built upon a solid commitment of sustainable growth through the active participation in responsible environmental practices.

Management Information System (MIS)

MIS in the company is constantly being fine tuned to cater to ever growing information needs for effective and quick decision making as well as for statutory requirements. This provides vital data inputs to management highlighting operating variables, achievement vis-à-vis budgets and other decision support data.

Disclosure by Senior Management Personnel

As Confirmed by Senior Management Personnel, none of them has material financial and commercial transactions with the Company, where they have personal interest, that may have a potential conflict with the interest of the Company.

Cautionary Statement

Statements in management discussion and analysis describing the company's objectives, projections, expectations, estimates are based on current business environment. Actual results could differ from those expressed or implied based on future economic and other developments in India and abroad.



Compliance Certificate

CIN : U74899DL1994GOI062371.

Nominal Capital : ₹ 2 Crores

Paid-up Capital : ₹ 1 Crore

To,
The Members,
Certification Engineers International Limited.

We have examined the registers, records, books and papers of M/s Certification Engineers International Limited as required to be maintained under the Companies Act, 1956, (the Act) and the rules made thereunder and also the provisions contained in the Memorandum, and Articles of Association of the Company for the financial year ended on 31st March 2013 (Financial Year). In our opinion and to the best of our information and according to the examination carried out by us and explanations furnished to us by the Company, its officers and agents, we certify that in respect of the aforesaid financial year:

1. The Company has kept and maintained all registers as stated in Annexure 'A' to this Certificate, as per the provisions and the rules made thereunder and all entries therein have been duly recorded.
2. The Company has duly filed the forms and returns as stated in Annexure 'B' to this certificate, with the Registrar of Companies, NCT of Delhi and Haryana, New Delhi within the time prescribed under the Act and rules made there under.
3. The Company, being a public limited company, comments are not required.
4. The Board of Directors duly met 6 (Six) times on 03/05/2012, 16/05/2012, 26/07/2012, 12/10/2012, 07/12/2012 and 28/02/2013 in respect of which meetings proper notices were given and the proceedings were properly recorded and signed including the circular resolutions passed in the Minutes Book maintained for the purpose.
5. The Company has not closed its Register of Members during the financial year.
6. The annual general meeting for the financial year ended on 31st March, 2012 was held on 26/07/2012 after giving shorter notice to the members of the company and the resolutions passed thereat were duly recorded in Minutes Book maintained for the purpose.
7. No Extra-ordinary general meeting was held during the financial year.
8. The Company, being a Government Company, provisions of Section 295 of the Act are not applicable.
9. The Company, being a Government Company, provisions of section 297 of the Act are not applicable.
10. The Company has made necessary entries in the register maintained under Section 301 of the Act.
11. As there were no instances falling within the purview of section 314 of the Act, the Company has not obtained any approvals from the Board of Directors, Members or Central Government.
12. The Company has not issued any duplicate share certificates during the financial year.
13. (i) The Company has delivered all the certificates on lodgement thereof for transfer of securities. There was no allotment/ transmission of securities during the financial year;
(ii) The Company has paid one final dividend (for the financial year 2011-2012) and one interim dividend (for the financial year 2012-13) during the financial year out of current accounts of the Company within five days of the declaration of such dividends. However, no separate bank account for the payment of these dividends was opened;
(iii) The Company has paid dividend to all the members within 30 days from the date of declaration of dividend;
(iv) The Company was not required to transfer the amounts in unpaid dividend account as the provision of section 205A is not applicable on wholly owned Government companies;
(v) The Company has duly complied with the requirements of section 217 of the Act.
14. The Board of Directors of the Company is duly constituted. Mr. Chandra Bhan Singh resigned from Directorship of the Company w.e.f. 1st May, 2012 and Mr. G.D. Goyal ceased to be the Director of the Company due to retirement w.e.f. 1st July, 2012. Mr. Sanjay Gupta was appointed as an Additional Director of the Company w.e.f. 1st July, 2012 and was regularized as Director in the Annual General Meeting held on 26th July, 2012. Dr. Avinash Chandra resigned from Directorship of the Company w.e.f. 30th January, 2013. Mr. Aditya Jain & Mr. Jai Prakash Gupta were appointed as Additional Director of the Company and Mr. Deepak Moudgil & Mr. Ajay Narayan Deshpande resigned from Directorship of the Company w.e.f. 13th March, 2013 respectively. Except these, there was no other appointment of additional directors, alternate directors and directors to fill casual vacancy during the financial year.



15. The Company, being a Government Company, provisions regarding appointment and remuneration of Managing Director/Whole time director/ Manager are not applicable.
16. The Company has not appointed any sole-selling agents during the financial year.
17. The Company was not required to obtain any approvals of the Central Government, Company Law Board, Regional Director, Registrar or such other authorities as prescribed under the various provisions of the Act during the financial year.
18. The directors have disclosed their interest in other firms/companies to the Board of Directors pursuant to the provisions of the Act.
19. The Company has not issued any shares/debentures/other securities during the financial year.
20. The Company has not bought back any shares during the financial year.
21. The Company has not redeemed any preference shares/debentures during the year after complying with the provisions of the Act.
22. There were no transaction necessitating the Company to keep in abeyance rights to dividend, right shares and bonus shares pending registration of transfer of shares.
23. The Company has not invited any deposits including unsecured loans falling within the purview of section 58A during the financial year.
24. The Company has not made any borrowings during the financial year.
25. The Company, being a Government Company, provisions of section 372A of the Companies Act are not applicable.
26. The Company has not altered the provisions of Memorandum of Association with respect to the situation of Company's registered office from one state to another during the financial year.
27. The Company has not altered the provisions of Memorandum of Association with respect to the objects of the Company during the financial year.
28. The Company has not altered the provisions of the Memorandum of Association with respect to name of the Company during the financial year.
29. The Company has not altered the provisions of the Memorandum of Association with respect to share capital of the Company during the financial year.
30. The Company has not altered its Articles of Association during the Financial Year.
31. We have been given to understand that there was no prosecution initiated against or show cause notices received by the Company and no fines or penalties or any other punishment imposed on the Company during the financial year, for offences under the Act.
32. The Company has not received any money as security from its employees during the financial year.
33. Since the Company has not constituted its own provident fund trust, provisions of section 418 of the Act is not applicable to the Company.

for Santosh Kumar Pradhan
(Company Secretaries)

Santosh Kumar Pradhan
(Proprietor)
C. P. No. 7647

Place: New Delhi.
Date : 10/05/2013



ANNEXURE A

Statutory Registers

1. Register of members.
2. Register of directors, managing director, manager and secretary.
3. Register of director's shareholdings.
4. Register of share allotment.
5. Seal book.
6. Register of director's attendance.
7. Register of share transfer.
8. Register of Particulars of Contracts in which Directors are Interested.
9. Minutes Book of Meetings.

10. Register of Charges.

11. Register of Investments or Loans made, Guarantee Given or Security provided.

Note:

The Company has not maintained the following registers as it was informed that there were no entries/ transactions to be recorded therein:

1. Register of renewed and duplicate certificates.
2. Register of destruction of records/ documents.
3. Register of securities bought back.
4. Register of debenture holders.
5. Foreign register of members.

ANNEXURE B

Forms and returns as filed by the Company with the Registrar of Companies during the financial year ending on 31st March, 2013:

S. No.	Form No./ Return	Filed under Section	For	Date of filing	Whether filed within prescribed time Yes/No	If delay in filing whether requisite additional fee paid. Yes/No
1.	Form 32 vide SRN No. B39139761	303(2)	Cessation of directorship of Mr. Chandra Bhan Singh due to his resignation w. e. f. 01/05/2012.	15/05/2012	Yes.	N/A.
2.	Form 32 vide SRN No. B44097798	303(2)	Cessation of directorship of Mr. G.D Goyal due to his retirement & appointment of Mr. Sanjay Gupta as Additional Director of the Company w. e. f. 01/07/2012 respectively.	25/07/2012	Yes.	N/A.
3.	Form 32 vide SRN No. B45413481	303(2)	Change in designation of Mr. Sanjay Gupta as Director of the Company w. e. f. 26/07/2012.	14/08/2012	Yes.	N/A.
4.	Form 66 vide SRN No. P88480389	Proviso to Sec. 383A (1)	Compliance Certificate for the financial year 2011-12.	17/08/2012	Yes.	N/A.
5.	Form 20B vide SRN No. P89019236	159	Annual Return as on date of Annual General Meeting held on 26/07/2012.	22/09/2012	Yes.	N/A.
6.	Form 23AC and 23ACA vide SRN No. Q04017919.	220	Balance Sheet & Profit & Loss Account for the financial year 2011-12.	07/12/2012	Yes.	N/A.
7.	Form 32 vide SRN No. B68583178	303(2)	Cessation of directorship of Dr. Avinash Chandra due to his resignation w. e. f. 30/01/2013.	22/02/2013	Yes.	N/A.

Report on Corporate Governance

1. Company's Philosophy on Corporate Governance

The Company firmly believes in consistently practicing good Corporate Governance. The Company's essential character is shaped by the values of transparency, professionalism and accountability. The Company is committed to attain the highest standard of Corporate Governance. The philosophy of the Company in relation to Corporate Governance is to ensure transparency in all its operations, make disclosures and enhance all stakeholders' value within the framework of laws, regulations and Government Guidelines.

2. Board of Directors

a) Composition of the Board of Directors

Certification Engineers International Limited is a public sector undertaking. The Articles of Association of the Company stipulates that the number of Directors shall not be less than three and more than nine.

Presently, CEIL is having 5 Directors on its Board comprising of 3(three) Directors including Chairman nominated by Holding Company, Engineers India Limited and 2 (two) non-official (Independent) Directors. The non-official (Independent) Directors have been nominated by Engineers India Limited.

b) Number of Board Meetings

The Board of Directors met 6 times during the financial year 2012-13. The details of the Board Meetings are as under:

Sl.No.	Date of Meeting	Place	Board Strength	No. of Directors present
1.	May 3, 2012	New Delhi	6	5
2.	May 16, 2012	New Delhi	6	6
3.	July 26, 2012	New Delhi	6	6
4.	October 12, 2012	New Delhi	6	6
5.	December 7, 2012	New Delhi	6	5
6.	February 28, 2013	New Delhi	5	5

c) Attendance record of Directors at Board Meetings and Annual General Meeting and number of other Directorships/Committee Memberships/ Chairmanships.

Attendance of each Director at the Board Meetings and at the last Annual General Meeting held during the year 2012-2013 and number of other Directorships / Committee Memberships/ Chairmanships of each director is given below:

Name of the Director	Attendance Particulars		Number of other Directorships / Committee Memberships / Chairmanships		
	Board Meetings	Last Annual General Meeting held on 26/07/2012	Other Directorships	Committee Memberships**	Committee Chairmanships**
A) Part time Directors- From Holding Company, EIL					
I) Present Directors					
Shri A.K. Purwaha, Chairman	6	Yes	4	-	-
Shri Sanjay Gupta ^{*-1}	4	Yes	4	1	-
Shri Sudershan Gupta	6	Yes	1	-	-
II) Directors Retired					
Shri G.D. Goyal ^{*-2}	2	-	-	-	-
Shri D. Moudgil ^{*-3}	5	Yes	-	-	-
Shri Ajay N. Deshpande ^{*-4}	6	No	-	-	-
B) Non-official Independent Directors					
I) Present Directors					
Shri Adit Jain ^{*-5}	-	-	5	-	1
Dr. J.P. Gupta ^{*-6}	-	-	1	1	-
II) Directors Retired					
Dr. Avinash Chandra ^{*-7}	4	Yes	-	-	-

**Remarks:**

- *¹ Shri Sanjay Gupta was appointed as Additional Director w.e.f. 1.07.2012 and was appointed as Director in 17th AGM held on 26.07.2012.
- *² Shri G.D.Goyal ceased to be the Director w.e.f. 1.07.2012.
- *³ Shri D.Moudgil ceased to be the Director w.e.f. 13.03.2013.
- *⁴ Shri Ajay N.Deshpande ceased to be the Director w.e.f. 13.03.2013.
- *⁵ Shri Adit Jain was appointed as Additional Director (Non-official Independent) w.e.f. 13.03.2013.
- *⁶ Dr.J.P.Gupta was appointed as Additional Director (Non-official Independent) w.e.f. 13.03.2013.
- *⁷ Dr.Avinash Chandra ceased to be the Director w.e.f.30.01.2013.
- ** None of Directors on the Board is a member of more than 10 committees or chairman of more than 5 committees across all the companies in which he is a Director. Membership/ Chairmanship in committee is reckoned pertaining to Audit Committee and Shareholders/ Investors Grievance Committee and based on disclosures received from Directors.

d) Board Procedure

The meetings of the Board of Directors are generally held at the Company's Registered Office in New Delhi. The meetings are generally scheduled well in advance. The Board meets at least once a quarter to review the quarterly performance and the financial results. The time gap between two meetings was not more than three months. The agenda for the meetings is prepared by the concerned officials and sponsored by CEO of the Company. The Board papers are circulated to the Directors in advance. The members of the Board have access to all information and are free to recommend inclusion of any matter in the agenda for discussion. Senior executives are invited to attend the Board meetings and provide clarification as and when required. Action Taken Reports are put up to the Board periodically. To enable better and more focused attention on the affairs of the Company, the Board has delegated certain matters to Committees of the Board set up for the purpose.

e) Code of Conduct

The Board of Directors has laid down the Code of Business Conduct and Ethics for all Board Members and Senior Management of the Company in terms of the DPE Guidelines on Corporate Governance for CPSEs. The same has also been posted on the Website of the Company (www.certificationengineers.com).

Declaration as required under DPE Guidelines on Corporate Governance for CPSEs

All the Members of the Board and Senior Management Personnel have affirmed compliance of the Code of Business Conduct and Ethics for the financial year ended on March 31, 2013.

Date: May 14, 2013

Place: New Delhi

(M.P.Jain)

Chief Executive Officer

f) Compliance Reports

To the best of the knowledge and belief, the Company is complying with all applicable laws as on date except the composition of Board of Directors and Audit Committee. The Board has reviewed Compliance Report of all Laws applicable to the Company and the steps taken by the Company to rectify instances of non-compliances.

g) Appointment/Re-appointment of Directors

The brief resume of the Directors seeking appointment/re-appointment together with the nature of their expertise in specific functional areas, names of companies in which they hold directorships, memberships of Committees of the Board and Shareholding of non-executive directors pursuant to the requirements of Corporate Governance is annexed to the Notice calling the Annual General Meeting.

3. Audit Committee

Presently, the Audit Committee comprises of three Members viz. Shri Adit Jain, Director, Shri Sanjay Gupta, Director and Shri Sudershan Gupta, Director. Shri Adit Jain, Director is acting as the Chairman of the Committee. The Audit Committee was reconstituted twice during the year. Dr. Avinash Chandra ceased to be the Director of the Company w.e.f. 30.01.2013 and hence ceased to be Chairman of the Committee w.e.f. the same date. Shri Sanjay Gupta, Director was inducted as the Chairman of the Committee w.e.f. 30.1.2013. Shri Ajay N.Deshpande ceased to be the Director of the Company w.e.f. 13.3.2013 and hence ceased to be member of the Committee w.e.f. the same date. Shri Adit Jain, Director was inducted as Chairman of the Committee w.e.f. 13.3.2013 in place of Shri Sanjay Gupta, Director.

The terms of reference/scope, role and powers etc. of the Audit Committee are in accordance with DPE Guidelines on Corporate Governance for CPSEs. The details of meetings held during the financial year 2012-13 and the attendance of the Members is given below:

S.No	Date of the Meeting	Name of the Members	Chairman/Member	Attendance
1.	16.05.2012	Dr.Avinash Chandra Shri Sudershan Gupta Shri Ajay N.Deshpande	Chairman Member Member	Present Present Present
2.	26.07.2012	Dr.Avinash Chandra Shri Sudershan Gupta Shri Ajay N.Deshpande	Chairman Member Member	Present Present Present
3.	12.10.2012	Dr.Avinash Chandra Shri Sudershan Gupta Shri Ajay N.Deshpande	Chairman Member Member	Present Present Present
4.	28.02.2013	Shri Sanjay Gupta Shri Sudershan Gupta Shri Ajay N.Deshpande	Chairman Member Member	Present Present Present

4. Subsidiary Companies

The Company is not having any subsidiary company.

5. Remuneration Committee/Remuneration of Directors

The company has formed a Remuneration Committee as per DPE OM dated 26th November, 2008 regarding pay revision of CPSE executives. Presently, Dr. J.P. Gupta, Director, Shri Sanjay Gupta, Director and Shri Sudershan Gupta, Director are the members of the Committee. Dr. J.P. Gupta, Director is acting as Chairman of the Committee. The Remuneration Committee was reconstituted twice during the year. Dr. Avinash Chandra ceased to be the Director of the Company w.e.f. 30.01.2013 and hence ceased to be Chairman of the Committee w.e.f. the same date. Shri D. Moudgil, Director-member of the Committee, was appointed as the Chairman of the Committee w.e.f. 30.1.2013. Shri Sanjay Gupta, Director was inducted as the member of the Committee w.e.f. 30.1.2013. Shri D. Moudgil ceased to be the Director of the Company w.e.f. 13.3.2013 and hence ceased to be Chairman of the Committee w.e.f. the same date. Dr. J.P. Gupta, Non-official Independent Director was inducted as Chairman of the committee w.e.f. 13.3.2013 in place of Shri D. Moudgil, Director. The Committee met once during the year 2012-13 in which all the members of the Committee were present.

The scope of the Remuneration Committee includes finalizing the salary structure, applicable perks & allowances and deciding the annual bonus pool/variable pay & policy for its distribution across the executives and Non-Unionised Supervisors with prescribed limits. Remuneration Committee may also be called upon to decide issues like ESOP schemes, Performance Incentive Schemes, Superannuation Benefits and any other Fringe Benefits which may be considered appropriate. The Remuneration committee shall also assist the Board in ensuring that appropriate and effective remuneration packages and policies are implemented in CEIL for all employees including Directors and Chairman. The Committee's role also extends to the review of non-executive Directors' fees.

There is no pecuniary relationship or transactions of the non-executive directors vis-à-vis the company. The part-time official directors other than non-official Independent Directors nominated on the Board do not draw any remuneration from the Company for their role as director. The sitting fees fixed for part-time (non official) independent directors of the Company is ₹ 10,000/- per meeting of the Board or its Committee thereof attended by them.

The details of payments towards sitting fees to Non-official Independent Director during the year 2012-13 are given below:-

(Amount in Rupees)

Name of Part-time(non-official) Independent Director	Sitting Fees*		Total
	Board Meeting	Committee Meeting	
Dr.Avinash Chandra	40000	30000	70000

*Gross Fees excluding Tax as per applicable Tax Laws and Rules.

6. Accounting Treatment

The Financial statements have been prepared as per generally accepted accounting principles and in accordance with the prescribed Accounting Standards.



7. CEO/CFO Certification

The CEO and Head of the Finance Function i.e AGM (F&A) have given the certificate to the Board as well as disclosed the required information to the Statutory Auditors and the Audit Committee in terms of DPE Guidelines on Corporate Governance.

8. Risk Management

The Company has well defined Risk Management policy. The objective of risk management in the Company is to act as enabler in maintaining its knowledge edge, sustaining and expanding the business, being competitive and ensuring execution of projects within budgeted cost and time resulting in improved turnover and profitability. The management is committed to further strengthen its risk management capabilities in order to protect and enhance shareholder value by improving its business performance. Continuous efforts in creating new opportunities, improving competencies/knowledge in various areas leading to improved performance and leveraging existing knowledge resources, in line with the risk appetite of the company, has enabled the company to protect the shareholders interests.

9. General Body Meetings

i) Annual General Meeting (AGM)

The Annual General Meetings of the Company are held at New Delhi where the registered office of the Company is situated. The details of such meetings held during the last three years are as under:

AGM	Year	Venue	Date	Time
15 th	2009-2010	EIB, 1, Bhikaiji Cama Place, New Delhi-110066.	16.08.2010	4.30 P.M
16 th	2010-2011	EIB, 1, Bhikaiji Cama Place, New Delhi-110066.	26.07.2011	4.30 P.M
17 th	2011-2012	EIB, 1, Bhikaiji Cama Place, New Delhi-110066.	26.07.2012	3.30 P.M

ii) Details of Special Resolutions passed at last three AGMs

AGM	Details of Special Resolutions Passed
15 th	Approval for payment of Sitting Fees and Amendment in Articles of Association of the Company
16 th	Nil
17 th	Nil

No special resolutions were put through ballot during the last year. No special resolution is proposed to be passed through postal ballot at the ensuing Annual General Meeting.

iii) No Extra-ordinary General Meeting of the members was held during the financial year 2012-13.

iv) Procedure for Postal Ballot

The company will follow the procedure as laid down under section 192A of the Companies Act, 1956 in respect of passing of resolution by postal ballot as and when the need arises.

10. Disclosures

- Details of transactions between the Company and its holding company, associates, key managerial personnel during the year 2012-2013 are given in Point 2.24 of the Notes to Accounts for the year ended 31st March, 2013. These transactions do not have any potential conflict with the interests of the Company at large.
- There have been no instances of non-compliance by the Company and no penalties/strictures imposed on the Company by any statutory authority on any matters related to any Guidelines issued by Government during the last three years.
- The Company has complied with all mandatory requirements of DPE Guidelines on Corporate Governance for CPSEs, save and except the composition of Board of Directors and Audit Committee.
- During the last three years, the Presidential Directive relating to 'Pay Revision of Executives' were issued by Ministry of Petroleum and Natural Gas vide their letter dated 30.04.2009 and the same has been complied with.
- No Expenditures were debited in the Books of Accounts during the year 2012-13 which are not for the purposes of the Business.
- No expenses had been incurred which are personal in nature and incurred for the Board of Directors and the top Management.
- The administrative and office expenses are 22.08% of the total expenses in the Financial year 2012-13 as against 26.83% during the Financial year 2011-12.

11. Means of Communication

The quarterly/yearly Financial results are displayed on the website viz. www.certificationengineers.com of the company. The website of the company also displays the official news releases. Annual Report is also available on the website in a user friendly manner and is circulated to the members and others entitled to.

12. Audit Qualifications

The company has ensured to remain in the regime of unqualified statements.

13. Training of Board Members

The Company has a well defined Training Policy for Board Members. Detailed presentations are made by senior executives/professionals/consultants on business related issues and the Directors have attended seminars/conferences/programmes from time to time.

14. Whistle Blower Policy

The scope of whistle Blower Policy of holding company i.e EIL covers the subsidiary company also.

15. General Information

i) 18th Annual General Meeting

Date	August 5, 2013
Time	3.30 p.m.
Venue	E.I. Bhavan, 1, Bhikaiji Cama Place, New Delhi-110066.

ii) Financial Year

1st Day of April to 31st Day of March every year.

iii) Dividend

The Board of Directors of the company have recommended payment of Final Dividend of ₹ 200/- per share (on the face value of ₹ 100/- each) for the Financial Year ended 31st March, 2013 subject to approval of Shareholders in the forthcoming Annual General Meeting. This was in addition to the Interim Dividend of ₹ 200/- per share (on the face value of ₹ 100/- each) paid during the year.

iv) Registered office of the Company

Certification Engineers International Limited
E.I. Bhavan,
1, Bhikaiji Cama Place,
New Delhi-110066.
Tel. No. 011-26762121, Fax : 011-26164868, 011-26192693
website: www.certificationengineers.com

v) Auditors

M/s Kapoor Goyal & Co
Chartered Accountants
G-1, Pooja Apartment,
4, Ansari Road, Daryaganj,
New Delhi – 110002
Tel.: 011- 2327 1046
email: kapoorgoyal@gmail.com

Place: New Delhi

Date: May 14, 2013



Auditors' Report on Corporate Governance

To,

The Members
Certification Engineers International Limited

We have examined the compliance of Guidelines on Corporate Governance by CERTIFICATION ENGINEERS INTERNATIONAL LIMITED for the year ended 31st March, 2013, as stipulated in O.M No. 18(8)/2005-GM dated 14.05.2010 of the Ministry of Heavy Industries and Public Enterprises, DPE, Government of India.

The compliance of Guidelines on Corporate Governance is the responsibility of the Management. Our examination was limited to review of procedures and implementations thereof, adopted by the Company for ensuring the Compliance of Guidelines on Corporate Governance. It is neither an audit nor an expression of opinion on the financial statements of the Company.

In our opinion and to the best of our information and according to the explanations given to us by the Management, we certify that, except the Composition of the Board of Directors and Audit Committee, the Company has complied with the Guidelines on Corporate Governance as stipulated in above mentioned O.M.

We further state that such compliance is neither an assurance as to the future viability of the Company nor the efficiency or effectiveness with which the Management has conducted the affairs of the Company.

For KAPOOR GOYAL & CO.
CHARTERED ACCOUNTANTS

(J.C. KAPOOR)
PARTNER
M.NO. 012001
Firm Registration No. 001370N

Place : New Delhi
Dated: May 14, 2013



Management's Reply to Auditors' Report on Corporate Governance (2012-13)

AUDITORS' COMMENTS	MANAGEMENT'S REPLY
The Composition of the Board of Directors and Audit Committee as per DPE Guidelines on Corporate Governance has not been complied with.	The Company is pursuing with the Ministry of Petroleum & Natural Gas (MoP&NG), Government of India for appointment of sufficient number of Directors on the Board of the Company.



AUDITORS' REPORT

The Members,
CERTIFICATION ENGINEERS INTERNATIONAL LIMITED,

We have audited the attached Balance Sheet of M/S CERTIFICATION ENGINEERS INTERNATIONAL LIMITED as at 31.3.2013 and also the Profit & Loss Account and cash flow statement for the year ended on that date. These financial statements are responsibility of the management. Our responsibility is to express an opinion on these financial statements based on our audit.

We have conducted the audit in accordance with auditing standards generally accepted in India. These standards require that we plan and perform the audit to obtain the reasonable assurance about whether the financial statements are free of material misstatement. An audit includes examining on test basis evidence supporting the amounts and disclosures in the financial statements. An audit also includes assessing the accounting principles used and significant estimates made by the management, as well as evaluating the overall financial statement presentation. We believe that our audit provides a reasonable basis for our opinion.

1. As required by Companies (Auditor's Report) (Amendment) Order, 2003 as amended by the Companies (Auditors Report) (Amendment) order 2004 issued by Government of India under sub section (4A) of Section 227 of the Companies Act, 1956, we annex hereto a statement of the matters specified in para 4 and 5 of the said order to the extent applicable.
2. Further to our comments in Annexure referred to in paragraph 1 above, we report that:
 - a. We have obtained all information and explanations, which to the best of our knowledge & belief were necessary for the purpose of our audit.
 - b. In our opinion proper books of accounts as required by law have been kept by the company so far as it appears from our examination of the said books;
 - c. The Balance Sheet and Profit & Loss Account and the Cash Flow Statement dealt with by this report are in agreement with the books of account;
 - d. In our opinion, the Profit & Loss Account and Balance Sheet and the cash flow statement complies with the Accounting Standards referred to in Sub-Section (3C) of Section 211 of the Companies Act, 1956.
 - e. In terms of notification No GSR 829 (E) dated 21-10-2003, issued by the Ministry of Finance, Department of Company Affairs, Government of India, Section 274(1)(g) of the Companies Act, 1956 is not applicable to Government Companies.
 - f. In our opinion and to the best of our information and according to the explanations given to us, the accounts read together with accounting policies and notes to accounts as per schedule 1 & 2 read together give the information required by the Companies Act 1956 in the manner so required and give a true and fair view:-
 - i. In so far as it relates to the Balance Sheet of the state of affairs of the company as on 31st March 2013.
 - ii. In so far as it relates to the Profit & Loss A/C of the Profit of the Company for the year ended on that date.
 - iii. In the case of Cash Flow Statement, of the cash flows for the year ended on that date.

For KAPOOR GOYAL & CO.
CHARTERED ACCOUNTANTS

(J.C. KAPOOR)
PARTNER
M.NO. 012001

Firm Registration No. 001370N

Place : New Delhi
Dated: May 14, 2013

ANNEXURE TO THE AUDITOR'S REPORT

As required by statement on the Companies (Auditor's Report) (Amendment) Order 2003.

(Referred to in paragraph 1 of our report of even date on account of
CERTIFICATION ENGINEERS INTERNATIONAL LIMITED as at 31st March 2013)

i) In respect of Fixed Assets

- a) The Company has maintained proper records showing full particulars including quantitative details and situation of its fixed Assets.
- b) We have been informed that the assets have been physically verified by the Management as per verification programme which in our opinion is reasonable and no material discrepancies were noticed on such verification carried out during the year.
- c) In our opinion and according to the information and explanations given to us, the Company has not made substantial disposal of fixed assets during the year.

ii) In respect of inventories:

The Company being a service company does not have any inventory of raw material or finished goods, the work in progress is on account of "continuing service projects" for which bills have not been raised. However, there is inventory of office stationery.

- a) The stocks of inventory stationery have been physically verified by the management during year at reasonable intervals. The discrepancies noticed on such verification between the physical stock and the books records were not material.
- b) The procedures of physical verification of stock followed by the management are, in our opinion, reasonable and adequate in relation with the size of the company and the nature of business.
- c) In our opinion, the valuation of the stock of stationery & Work in progress is fair and proper in accordance with the normally accepted accounting principles.

iii) According to the information and explanation given to us in respect of loans:

- a) The Company has not given advances to Companies, firms or other parties listed in the register maintained under Section 301 of the Companies Act, 1956 and/or to the Companies under the same Management as this company within the meaning of Section 370 (1B) of the Companies Act, 1956. Hence, the provisions of clause (iii) (b) (c) & (d) of the paragraph 4 of the order (as amended) are not applicable to the company.
- b) The Company has not taken any loans, secured or unsecured, from companies, firms or parties covered in the register maintained under section 301 of the Companies Act, 1956. Consequently sub Para (f) and (g) are not applicable.

iv) In our opinion and according to the information and explanations given to us, there is adequate internal control system commensurate with the size of the company and the nature of business with regards to purchase of Fixed Assets, sale of goods & services & Purchase of inventories.

v) The Transactions of sales and services made in pursuance of contracts or arrangements entered in the register maintained under section 301 of the companies act 1956 aggregating during the year Rs. 500,000/- or more in respect of each party have been made at prices which are reasonable having regard to prevailing market prices for such services on the prices at which transactions for similar services have been made with other parties.

vi) The Company has not accepted any deposits from the public.

vii) We have been informed that the internal audit of the Company is carried out by the official deputed by the internal audit department of the EIL, the parent company; the audit was done twice in the previous financial year. In our opinion, the company has an adequate internal audit system commensurate with the size of the company and nature of its business.

viii) As informed to us, the Company is not engaged in production, processing, manufacturing or mining activity as such Section 209(1)(d) of the Companies Act, 1956, is not applicable to the company. Hence, the clause (viii) of para 4 of the order (as amended) is not applicable to the company.

ix) According to the information and explanation given to us in respect of statutory and other dues:

- a) We have been informed that the Employee State Insurance Scheme, investor Education and protection fund, sales tax, wealth tax, customs duty and excise duty are not applicable to the Company. The Company is regularly depositing undisputed applicable statutory dues including Provident Fund, Income Tax, Service tax, cess and other material statutory dues with appropriate authorities during the year. There are no undisputed statutory dues as mentioned above which are outstanding for payment for a period exceeding 6 months on the date of the Balance Sheet of the Company.



- b) According to the information and explanations given to us, there are no disputed amount payable in respect of Income Tax, Wealth Tax, Sales Tax, Customs, Cess and Excise Duty have remained outstanding as at 31 st March 2013 for period more than six months from the date they became payable except for Service Tax details here below:

Name of the statute	Nature of Dues	Amount (Rs. In thousand)	Period to which the amount relates	Forum where dispute is pending
Service Tax, as per Finance Act 1994	Show Cause Notice cum Demand of service Tax	22747.44	April '04 to March '09	Commissioner, Service Tax, Mumbai
Service Tax, as per Finance Act 1994	Show Cause Notice cum Demand of service Tax	321.40	April '09 to March '10	Commissioner, Service Tax, Mumbai
Service Tax, as per Finance Act 1994	Show Cause Notice cum Demand of service Tax	891.89	April '10 to March '11	Commissioner, Service Tax, Mumbai
Service Tax, as per Finance Act 1994	Show Cause Notice cum Demand of service Tax	2091.25	April '11 to March '12	Commissioner, Service Tax, Mumbai

- x) The Company has no accumulated losses at the end of the financial year and it has not incurred any cash losses in current and immediately preceding financial year.
- xi) Based on audit procedures and on the information and explanations given by the management, we are of the opinion that the Company has not taken any loans from any financial institution or banks.
- xii) According to the information and explanations given to us the company has not granted loans and advances on the basis of security by way of pledge of shares, debentures and other securities.
- xiii) The Company is not a chit fund or nidhi mutual benefit fund/ society. Therefore, the provisions of clause 4(xiii) of Companies (Auditors Report) (Amendment) Order 2003 is not applicable to the company.
- xiv) The Company is not dealing or trading in shares, securities, debentures and other Investments. Accordingly the provisions of clause 4(xiv) of Companies (Auditors Report) (Amendment) Order 2003 are not applicable to the company.
- xv) According to the information and explanation given to us, the company has not given any guarantee for loan taken by others from bank or financial institutions.
- xvi) According to the information and explanation given to us, the company has not availed any term loans during the year.
- xvii) According to the information and explanations given to us, the Company has not raised any fund on short term basis during the year. As such clause (xvii) of paragraph 4 of the order (as amended) is not applicable to the company for the year ended on 31-3-2013.
- xviii) The Company has not made any preferential allotment during the year.
- xix) The Company has not issued any debentures during the year.
- xx) The company has not raised any money through public issue during the year.
- xxi) Based on the audit procedures performed for the purpose of reporting true & fair view of the financial statements and according to the information and explanations given to us, no fraud on or by the company has been noticed or reported during the year.

For KAPOOR GOYAL & CO.
CHARTERED ACCOUNTANTS

(J.C. KAPOOR)
PARTNER
M.NO. 012001

Firm Registration No. 001370N

Place : New Delhi
Dated: May 14, 2013



BALANCE SHEET

AS AT 31ST MARCH 2013

₹ IN THOUSANDS

PARTICULARS	NOTENO.	As At 31-Mar-13	As At 31-Mar-12
EQUITY AND LIABILITIES			
SHAREHOLDERS' FUNDS			
SHARE CAPITAL	2.1	10,000.00	10,000.00
RESERVES & SURPLUS	2.2	535,894.48	505,825.72
NON-CURRENT LIABILITIES	2.3		
OTHER LONG TERM LIABILITIES		292.68	638.82
LONG TERM PROVISION		20,629.05	15,075.14
CURRENT LIABILITIES	2.4		
TRADE PAYABLES		11,582.99	16,940.06
OTHER CURRENT LIABILITIES		15,122.98	18,315.12
SHORT TERM PROVISION		30,552.12	26,469.75
TOTAL		624,074.30	593,264.61
ASSETS			
NON-CURRENT ASSETS			
FIXED ASSETS			
TANGIBLE ASSETS	2.5	29,596.47	30,856.08
INTANGIBLE ASSETS		213.42	105.87
DEFERRED TAX ASSETS (NET)	2.25	10,643.20	6,995.39
LONG TERM LOANS AND ADVANCES	2.6	22,434.47	13,602.18
OTHER NON-CURRENT ASSETS:			
BANK BALANCES	2.7	15,210.84	17,740.26
OTHERS		832.81	2,593.82
CURRENT ASSETS	2.8		
CURRENT INVESTMENTS		1,518.80	-
INVENTORIES		223.38	87.03
TRADE RECEIVABLES		120,656.42	94,769.62
CASH AND BANK BALANCES		362,923.50	368,274.15
SHORT-TERM LOANS AND ADVANCES		12,639.23	6,427.76
OTHER CURRENT ASSETS		47,181.76	51,812.45
TOTAL		624,074.30	593,264.61

SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO ACCOUNTS

1 & 2

(MP JAIN)
Chief Executive Officer
PAN: AAGPJ4914L

(SUDERSHAN GUPTA)
Director
DIN: 00813955

(A K PURWAHA)
Chairman
DIN: 00165092

As per our report of even date attached
For KAPOOR GOYAL & CO
Chartered Accountants
Firm Regn. No. 001370N

(J C KAPOOR)
Partner
M.No. 012001

Place : New Delhi
Dated: May 14, 2013

**STATEMENT OF PROFIT & LOSS**

FOR THE YEAR ENDED 31ST MARCH 2013

₹ IN THOUSANDS

PARTICULARS	NOTE NO.	2012-13	2011-12
A. REVENUE			
I. REVENUE FROM OPERATIONS	2.9	284,313.27	299,203.94
II. OTHER INCOME	2.10	39,758.97	35,900.03
TOTAL REVENUE (I + II)		324,072.24	335,103.97
B. EXPENSES			
MANPOWER SERVICES	2.11	70,087.42	58,387.47
EMPLOYEE BENEFIT EXPENSE	2.12	66,673.17	53,252.61
DEPRECIATION AND AMORTIZATION EXPENSE	2.13	1,767.77	1,834.75
OTHER EXPENSES :	2.14		
FACILITIES		11,002.06	8,853.60
CORPORATE COSTS		2,204.57	2,163.18
OTHERS COSTS		56,781.65	61,993.91
TOTAL EXPENSES		208,516.64	186,485.52
PROFIT FOR THE YEAR (A-B)		115,555.60	148,618.45
LESS: PRIOR PERIOD ADJUSTMENTS (NET)	2.26	1,962.46	-
PROFIT BEFORE TAX		113,593.14	148,618.45
LESS: TAX EXPENSE			
CURRENT TAX		40,528.69	50,085.49
DEFERRED TAX		(3,647.81)	(2,212.10)
PRIOR PERIOD TAX ADJUSTMENTS (NET):			
CURRENT TAX		-	59.18
DEFERRED TAX		-	44.77
PROFIT AFTER TAX		76,712.26	100,641.11
EARNING PER SHARE (IN Rs.)-FACE VALUE Rs.100/- per share			
(1) BASIC		767.12	1,006.41
(2) DILUTED		767.12	1,006.41
SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO ACCOUNTS	1 & 2		

(M P JAIN)
Chief Executive Officer
 PAN:AAGPJ4914L

(SUDERSHAN GUPTA)
Director
 DIN:00813955

(A K PURWAHA)
Chairman
 DIN:00165092

As per our report of even date attached
For KAPOOR GOYAL & CO
Chartered Accountants
Firm Regn.No.001370N

(J C KAPOOR)
Partner
M.No.012001

Place : New Delhi
 Dated: May 14, 2013



CASH FLOW STATEMENT

FOR THE YEAR ENDED ON 31ST MARCH 2013

₹ IN THOUSANDS

PARTICULARS	YEAR ENDED on 31.03.2013	YEAR ENDED on 31.03.2012
A Cash Flow from Operating Activities		
Net Profit before Tax And Prior Period Items	115,555.60	148,618.45
Adjustment for:		
Depreciation and Amortization	1,767.77	1,834.75
Provision for Post Retirement & Long Term Benefits	6,454.78	1,961.70
Provision for Doubtful Debts/Advances	1,471.70	2,805.12
Interest Income	(38,468.45)	(34,133.77)
Dividend Income	(399.00)	(812.69)
Operating Profit before Working Capital Changes	86,382.40	120,273.56
Adjustment for:		
Debtors	(27,358.50)	21,843.20
Other Current Assets	407.07	(13,668.33)
Loans & Advances	(8,000.69)	(2,144.39)
Inventories	(136.35)	(87.03)
Work-in-progress	371.91	(387.70)
Trade Payables And Other Liabilities	(5,868.35)	(455.02)
Cash Generated from Operations	45,797.49	125,374.29
Direct Taxes Paid	(47,571.77)	(56,343.80)
Cash Flow before Prior Period items	(1,774.28)	69,030.49
Prior period items	(1,962.46)	-
Net Cash Flow from Operating Activities	A (3,736.74)	69,030.49
B Cash Flow from Investing Activities		
Payments Towards Capital Expenditure	(615.70)	(3,147.85)
Interest Income	44,081.17	21,824.50
Dividend Income	399.00	812.69
Changes in Term Deposit Over Three Months Original Maturity	12,608.28	(56,687.81)
Current Investments	(1,518.80)	7,840.75
Net Cash Flow from Investing Activities	B 54,953.95	(29,357.72)

**CASH FLOW STATEMENT (Contd.)**

FOR THE YEAR ENDED ON 31ST MARCH 2013

₹ IN THOUSANDS

PARTICULARS	YEARENDED on 31.03.2013	YEARENDED on 31.03.2012
C. Cash Flow from Financing Activities		
Dividend Paid	(40,000.00)	(35,000.00)
Tax on Dividend	(6,489.00)	(5,677.89)
Net Cash Flow from Financing Activities	C (46,489.00)	(40,677.89)
Increase/(Decrease) in Cash	4,728.21	(1,005.12)
& Cash Equivalents (A+B+C)		
Opening Balance	3,295.10	4,300.22
(Cash and Cash Equivalents)		
Closing Balance	8,023.31	3,295.10
(Cash and Cash Equivalents)		

Notes:

1. The above Cash Flow Statement has been prepared under the "Indirect Method" as set out in Accounting Standard-3 "Cash Flow Statement".

2. Cash and Cash Equivalents represents:

Cash on Hand	8.69	14.29
Balances with Banks in Current Accounts	8,014.62	3,280.81
	8,023.31	3,295.10

3. Previous year's figures have been regrouped wherever necessary in order to conform to this year presentation.

(MP JAIN)
Chief Executive Officer
PAN:AAGPJ4914L

(SUDERSHAN GUPTA)
Director
DIN:00813955

(A K PURWAHA)
Chairman
DIN:00165092

As per our report of even date attached
For KAPOOR GOYAL & CO
Chartered Accountants
Firm Regn.No.001370N

(J C KAPOOR)
Partner
M.No.012001

Place : New Delhi
Dated: May 14, 2013

SIGNIFICANT ACCOUNTING POLICIES AND NOTES TO ACCOUNTS FOR THE YEAR ENDED MARCH 31, 2013

1. SIGNIFICANT ACCOUNTING POLICIES

1.1 The financial statements are prepared on Historical Cost Convention and generally comply with the applicable Accounting Standards issued by the Institute of Chartered Accountants of India and also conform to the statutory provisions and practice prevalent in the country.

1.2 Expenses / Income booked to Profit and Loss Account are after adjustment of excess / short provisions of earlier year. However, in case of specific provisions where no expenses / income has been incurred / received against such provisions, the same are adjusted as excess provisions of previous year written back / Miscellaneous Income.

1.3 The method of Accounting followed for preparation of Accounts is generally on Accrual basis unless otherwise stated.

1.4 INCOME FROM SERVICES RENDERED IS ACCOUNTED FOR:

- (a) In case of cost plus / rate basis jobs, on the basis of amount billable under the contracts.
- (b) In case of lump sum contracts, as proportion of actual direct costs of the work to date to the latest estimated total direct costs of the work, and
- (c) In case of contracts providing for a percentage fees on equipment / material value / project cost, on the basis of physical progress as certified up to the closing date of accounting year.

1.5 WORK-IN-PROGRESS

- I) Cost of jobs are carried forward as Work-in-Progress for which:
 - (a) The terms of remuneration receivable by the company have not been settled and / or scope of work has not been clearly defined and therefore, it is not possible in the absence of settled terms to determine whether there is a profit or loss on such jobs. However, in cases where minimum undisputed terms have been agreed to by the clients, income has been accounted for on the basis of such undisputed terms though the final terms are still to be settled.
 - (b) The terms have been agreed to at lump sum basis but the physical progress is less than 25% of the job.
- II) Work-in-Progress is valued at direct cost.

1.6 CASH & CASH EQUIVALENT

- i) Cash comprises cash on hand and demand deposits i.e. balances held with banks in current accounts for unrestrictive use;
- ii) Cash equivalents are short term, highly liquid investments that are readily convertible into known amount of cash and which are subject to an insignificant risk of changes in value. The company considers unrestrictive time deposits with banks having an original maturity of three months or less as cash equivalent.

1.7 FIXED ASSETS

Fixed assets are stated at cost, which comprises of purchase price, duties, levies and any directly attributable cost of bringing the assets to their working condition.

1.8 IMPAIRMENT OF ASSETS

Impairment of cash generating assets are reviewed for impairment whenever an event or changes in circumstances indicate that carrying amount of such assets may not be recoverable. If such assets are considered to be impaired, the impairment to be recognized is measured by the amount by which the carrying amount of the assets exceeds the fair value of assets. If it is found that some of the impairment losses already recognized needs to be reversed the same are recognized in the statement of Profit & Loss Account in the year of reversal.

1.9 DEPRECIATION

Depreciation on Fixed Assets is charged on straight-line method on the basis of rates prescribed under Schedule XIV of the Companies Act, 1956, except in case of software, for which straight line method and life expectancy of 3 years is considered. In case of assets where actual cost does not exceed Rs.5 thousands, 100% depreciation is provided. 100% depreciation is provided on library books, being low value items. Leasehold properties are amortized over the period of lease, or as per rates prescribed under Scheduled XIV of the Companies Act, 1956, whichever is higher.

**1.10 PROVISIONS, CONTINGENT LIABILITIES AND CONTINGENT ASSETS**

Provisions are liabilities involving substantial degree of estimation are recognized when there is a present obligation as a result of past event having probability of outflow of resources and a reliable estimate can be made of such an obligation. Contingent liabilities are disclosed by way of note unless the possibility of outflow is remote. Contingent assets are neither recognized nor disclosed in the financial statements.

1.11 RETIREMENT/OTHER LONG TERM EMPLOYEE BENEFITS

- (a) Contribution in respect of Provident Fund, a defined contribution plan, is deposited to Regional Provident Fund Commissioner. The company's contribution to Provident Fund is charged to Profit and Loss Account of the year.
- (b) Liability in respect of carried forward leave being defined benefit plan is recognized on the basis of actuarial valuation.
- (c) Liability in respect of Gratuity, a defined benefit plan, is being paid to a fund managed by LIC and administered through a separate irrevocable trust set up by the company. Difference between the fund value and accrued liability based on actuarial valuation at the end of the year is charged to Profit & Loss Account.
- (d) Liability in respect of other long term/terminal employee benefits, being defined benefit plans, is recognized on the basis of actuarial valuation.

1.12 FOREIGN CURRENCY TRANSACTIONS

- a) Current Assets and Current Liabilities are being recorded at the rates in force when transaction takes place. However these are re-stated at the year-end at Bank's closing rates. Exchange fluctuation is accounted for in Profit and Loss Account.
- b) Foreign currency transactions in relation to revenue and expenditure have been accounted for at predetermined average monthly rates based on market rates for preceding month.
- c) Gain / Loss arising out of fluctuations in Exchange Rate for the transactions settled during the accounting period is accounted for in the Profit and Loss Account of the relevant year.

1.13 INCOME TAX

- a) Income Tax is provided on the taxable income determined as per income tax laws.
Deferred tax assets/liability is recorded for timing difference as per Accounting Standard 22 issued by the Institute of Chartered Accountants of India.
- b) Tax on dividend distributed/paid is provided at the prevailing Income Tax rates.

1.14 INVESTMENT

Long-term investments are stated at cost. Cost includes commission, transfer charges and related direct expenses. However, when there is a decline, other than temporary, in the value of a long term investment, the carrying amount is reduced to recognise the decline.

Current Investments i.e. investments which are intended to be held for not more than twelve months from the date of investment are carried at the lower of cost or market value.

2. NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31ST MARCH, 2013

2.1) Share Capital:

The Company at present is having only one class of share capital, i.e., equity share capital. The requisite disclosure in respect of share capital are as under:

(₹ In Thousands)

	As At 31-Mar-13	As At 31-Mar-12
AUTHORISED		
200,000 Equity Shares Of Par Value of ₹100 each (200,000 Equity Shares of Par Value of ₹100 each)	<u>20,000.00</u>	<u>20,000.00</u>
ISSUED, SUBSCRIBED AND PAID UP*		
100,000 Equity Shares of Par Value of ₹100 each fully paid up (100,000 Equity Shares of Par Value of ₹100 each fully paid up)	<u>10,000.00</u>	<u>10,000.00</u>
*All shares are held by Holding Company- ENGINEERS INDIA LTD. and its Nominees	<u>10,000.00</u>	<u>10,000.00</u>

2.2) Reserves & Surplus:

The Classification of Reserves & Surplus disclosing therein Appropriation/Allocation/Transfers is as under:

(₹ In Thousands)

	As At 31-Mar-13	As At 31-Mar-12
GENERAL RESERVE		
Balance As Per Last Balance Sheet	505,825.72	445,862.49
Add: Transferred from Statement of Profit and Loss	76,712.26	100,641.11
Less: Interim Dividend	20,000.00	15,000.00
Less: Proposed Dividend	20,000.00	20,000.00
Less: Tax on Interim/ Proposed Dividend	6,643.50	5,677.88
	<u>535,894.48</u>	<u>505,825.72</u>

2.3) Non-Current Liabilities:

The Disclosure of Non-Current Liabilities including their sub-classification into major heads is as under:

(₹ In Thousands)

	As At 31-Mar-13	As At 31-Mar-12
A) Other Long Term Liabilities		
Security Deposits & Retentions	<u>292.68</u>	<u>638.82</u>
B) Long Term Provisions		
Employees' Post Retirement/Long Term Benefits	<u>20,629.05</u>	<u>15,075.14</u>



2.4) Current Liabilities:

The Disclosure of Current Liabilities including their sub-classification into major heads is as under :

(₹ In Thousands)

	As At 31-Mar-13	As At 31-Mar-12
A) Trade Payables	11,582.99	16,940.06
B) Other Current Liabilities		
Security Deposits & Retentions	1,305.55	643.11
Advances Received from Clients	3,472.77	2,663.89
Unearned Income Billed to Clients	3,605.71	3,214.62
Service Tax Payable	185.32	2,763.09
Other Payables:		
Withholding for Employees including Employers' Contribution	788.80	-
Withholding for Income Taxes	838.05	2,568.41
Accrued Employee Benefits	2,801.99	3,866.17
Others	2,124.79	9,030.41
	15,122.98	18,315.12
C) Short Term Provisions		
Employees' Post Retirement/Long Term Benefits	2,367.05	1,466.17
Provision for Corporate Social Responsibility	4,786.07	1,759.08
Proposed Dividend	20,000.00	20,000.00
Tax on Dividend	3,399.00	3,244.50
	30,552.12	26,469.75

2.5) Fixed Assets

The disclosure of Fixed Assets including their sub-classification into major heads are as under :

Tangible Assets as at 31st March, 2013

(₹ In Thousands)

Particulars	Gross Block				Depreciation				Net Block	
	As on 01.04.2012	Additions for the year	Sold/Adj	As on 31.03.2013	Dep upto 31.03.2012	Dep for the year	Earlier year's Depreciation Adj/Write-off	Total Dep as on 31.03.2013	WDV as on 31.03.2013	WDV as on 31.03.2012
Vehicles	272.64	268.14	-	540.78	21.65	47.40	-	69.05	471.73	250.98
Office equipment	1,470.86	99.85	-	1,570.71	303.41	87.55	-	390.96	1,179.75	1,167.45
Furniture & Fixtures	5,737.00	42.10	(3.69)	5,782.80	1,672.57	393.95	3.69	2,070.21	3,712.59	4,064.43
Leasehold Property *	23,177.59	-	-	23,177.59	1,803.26	386.34	-	2,189.60	20,987.99	21,374.32
Air Conditioners	2,160.02	-	-	2,160.02	433.45	102.60	-	536.05	1,623.97	1,726.57
Library Books	236.63	0.32	(0.62)	237.56	236.63	0.32	0.62	237.56	-	-
Computers	6,057.67	8.31	-	6,065.99	3,785.35	660.18	-	4,445.53	1,620.46	2,272.33
Total	39,112.40	418.72	(4.31)	39,535.44	8,256.32	1,678.33	4.31	9,938.96	29,596.47	30,856.08
Previous Year	36,267.94	2,998.25	153.79	39,112.40	6,619.09	1,791.02	(153.79)	8,256.32	30,856.08	29,648.85

* Acquired from CIDCO Ltd. on 60 years lease basis

Intangible Assets as at 31st March, 2013

(₹ In Thousands)

Particulars	Gross Block				Depreciation				Net Block	
	As on 01.04.2012	Additions for the year	Sold/Adj	As on 31.03.2013	Dep upto 31.03.2012	Dep for the year	Earlier year's Depreciation Adj/Write-off	Total Dep as on 31.03.2013	WDV as on 31.03.2013	WDV as on 31.03.2012
Software	1,460.91	196.98	-	1,657.89	1,355.04	89.44	-	1,444.47	213.42	105.87
Total	1,460.91	196.98	-	1,657.89	1,355.04	89.44	-	1,444.47	213.42	105.87
Previous Year	1,311.31	149.60	-	1,460.91	1,311.31	43.73	-	1,355.04	105.87	0.00

2.6) Long Term Loans & Advances :

The Disclosure of Long Term Loans & Advances including their sub-classification into major heads is as under :

(₹ In Thousands)

	As At 31-Mar-13	As At 31-Mar-12
a) Security Deposit-Unsecured (Considered -Good)	4,423.62	2,631.41
b) Other Loans & Advances		
(Advances Recoverable in Cash or in Kind or for Value to be received) -Unsecured- Considered Good		
Loans & Advances to Employees	0.20	3.80
Prepaid Expenses	0.60	-
	0.80	3.80
Advance Income Tax	295,386.39	247,814.62
Less:- Provision for Taxation	278,559.68	238,030.99
Advance Fringe Benefit Tax	6,043.40	6,043.40
Less:- Provision for Fringe Benefit Tax	4,860.06	4,860.06
	1,183.34	1,183.34
	22,434.47	13,602.18

2.7) Other Non - Current Assets

The Disclosure of other Non Current Assets including their sub-classification into major heads is as under :

(₹ In Thousands)

	As At 31-Mar-13	As At 31-Mar-12
Bank Balances		
Term Deposit with remaining maturity of more than 1 year	15,210.84	17,740.26
(Includes Rs.15210.84Thousands (Rs.17740.26Thousands)		
Held under Lien against Bank Guarantees)		
	15,210.84	17,740.26
Others		
Interest accrued on non-current bank deposits	821.79	2,583.18
Interest accrued - Others	11.02	10.64
	832.81	2,593.82

2.8) Current Assets :

The Disclosure of Current Assets including their sub-classification in major heads is as under :

(₹ In Thousands)

	As At 31-Mar-13	As At 31-Mar-12
Current Investments (Lower of Cost or Net Realisable value)		
Other Than Trade (Unquoted)		
1518.474 units (Prev.Year NIL units) of UTI Treasury Advantage Fund	1518.80	0.00
(Face Value ₹1000/- Per Unit), valued at cost	1518.80	0.00
Inventories (Lower of cost or Net Realisable value)	223.38	87.03
Trade Receivables (Unsecured)		
Trade Receivable Outstanding for a period exceeding six months from the date they are due for payment:		
Considered Good	28,511.69	26,955.76
Considered Doubtful	12,789.30	11,317.60
	41,300.99	38,273.36
Less: Provision for Doubtful Debts	12,789.30	11,317.60
	28,511.69	26,955.76
Other Trade Receivable: Considered Good*	92,144.73	94,769.62
	120,656.42	67,813.86



Cash and Bank Balances

(₹ In Thousands)

	As At 31-Mar-13	As At 31-Mar-12
Cash and Cash Equivalents		
Cash on Hand	8.69	14.29
Balances with Banks in Current Accounts	8,014.62	3,280.81
	8,023.31	3,295.10
Other Bank Balances		
Balances with Banks in Deposit Accounts other than having original maturity of 3 months or less but are due for maturity within 12 months of Balance Sheet Date.*	354,900.19	364,979.05
*Includes ₹28900.19Thousands (₹22679.05Thousands)		
Held under Lien against Bank Guarantees		
*Includes Bank Deposits having more than 12 months original maturity of ₹27469.78Thousands (₹118150.31Thousands)		
	362,923.50	368,274.15
Short Term Loans & Advances		
a) Security Deposit		
Unsecured-Considered Good	10,593.05	4,691.27
Unsecured-Considered Doubtful	349.68	349.68
	10,942.73	5,040.95
Less: Provision for Doubtful Deposits	349.68	349.68
	10,593.05	4,691.27
b) Other Loans & Advances		
Advances Recoverable in Cash or in Kind or for Value to be Received (Unsecured - Considered Good)		
Loans & Advances to Employees	844.22	942.80
Prepaid Expenses	289.89	296.26
Others	912.07	497.43
	2,046.18	1,736.49
	12,639.23	6,427.76
Other Current Assets		
Work in Progress*	81.27	453.18
Interest accrued on current bank deposits	19,773.08	23,624.79
Unbilled Income	27,327.41	27,734.48
	47,181.76	51,812.45

*As taken, valued and certified by Management

2.9) Revenue from Operations :

The Details of Revenue from Operations into various Categories is disclosed as under :

(₹ in Thousands)

	2012-13		2011-12	
Revenue from Operations	284,685.18		298,816.24	
Changes in work-in-progress				
Closing Work-in-Progress	81.27		453.18	
Less: Opening Work-in-Progress	453.18	(371.91)	65.48	387.70
TOTAL		284,313.27		299,203.94

2.10) Other Income

The Details of Other Income into various Categories is disclosed as under :

(₹ in Thousands)

	2012-13		2011-12	
Interest Earned (Gross)				
On Bank Deposits	38,468.08		34,132.83	
On Loans To Employees	0.37	38,468.45	0.94	34,133.77
Dividend from Current Investments	399.00		812.69	
Provision for Doubtful Debts No Longer Required Written Back	614.73		589.38	
Foreign Exchange Difference	276.78		326.88	
Other Miscellaneous Income	0.01		37.31	
TOTAL		39,758.97		35,900.03



EXPENSES

The Details of expenses under various heads as per their nature is as given below:

(₹ in Thousands)

		2012-13	2011-12
2.11) Manpower Services		70,087.42	58,387.47
2.12) Employee Benefit Expense			
Salaries and Allowances		59,904.63	47,902.32
Contribution Towards Employees'			
Pension and Provident Fund and			
Administration Charges Theron		4,606.76	3,647.51
Staff Welfare		590.79	487.95
Contribution to Gratuity Fund		1,570.99	1,214.83
		<u>66,673.17</u>	<u>53,252.61</u>
2.13) Depreciation and Amortization Expense		1,767.77	1,834.75
2.14) Other Expenses			
a) Facilities			
Rent - Residential Accommodation	3,975.11	3,341.16	
Less: Recovered	<u>342.61</u>	<u>308.64</u>	3,032.52
Rent (Office)		2,672.85	1,715.46
Electricity & Water		1,909.54	1,316.45
Repairs to Building		269.91	610.14
Other Repairs and Maintenance		1,875.69	1,571.10
Insurance		425.82	367.45
Hire Charges - Office Equipment		215.75	240.48
		11,002.06	8,853.60
b) Corporate Cost			
Bank Charges		359.73	379.60
Sitting Fees To Independent Director		70.00	50.00
Publicity		555.63	723.33
Entertainment		691.63	529.47
Remuneration to Auditors			
- Audit Fees	100.00	100.00	
- Tax Audit Fees	20.00	20.00	
- Certification	33.00	7.00	
- Out of Pocket Expenses & Service Tax	<u>182.10</u>	<u>201.43</u>	328.43
Filing Fee		22.48	21.53
Licences & Taxes		11.09	55.49
Legal & Professional Charges		158.91	75.33
		2,204.57	2,163.18
c) Other Costs			
Travel & Conveyance		47,906.37	49,791.41
Printing, Stationery & General Office Supplies		666.61	418.81
Newspapers and Periodicals		1.21	6.27
Postage & Telecommunications		1,281.24	951.21
Courier, Transportation & Handling		307.93	328.83
Provision for Doubtful Debts		2,086.44	3,394.49
Corporate Social Responsibility Expenditure		3,019.23	5,746.59
Training Expenses		494.08	576.65
Other Miscellaneous Expenses		<u>1,018.54</u>	<u>779.65</u>
		<u>56,781.65</u>	<u>61,993.91</u>
TOTAL		208,516.64	186,485.52

2.15 Contingent Liabilities

- Income Tax assessments have been completed upto the A.Y.2007-2008. Tax liability, if any, in respect of pending assessment for subsequent assessment years upto assessment year 2012-13 cannot be ascertained. Due taxes on self assessment basis have been paid.
- Income Tax Department is in Appeal for an amount of ₹981.55 Thousand with Income Tax Appellate Tribunal against Commissioner of Income Tax (Appeals) Orders dated 16.03.2011 in Company's favour for the Assessment Year 2002-03.
- The Company has filed a reply to show cause notice cum demand of ₹22,747.44 Thousand created by Commissioner, Service Tax, Mumbai on 27th Nov, 2009, covering the period from April, 2004 to March, 2009.
- The Company has filed a reply to show cause notice cum demand of ₹321.40 Thousand created by Commissioner, Service Tax, Mumbai on 29th Oct, 2010, covering the period from April, 2009 to March, 2010.
- The Company has filed a reply to show cause notice cum demand of ₹891.89 Thousand created by Additional Commissioner, Service Tax, Mumbai on 18th Oct, 2011 covering the period from April, 2010 to March, 2011.
- The Company has filed a reply to show cause notice cum demand of ₹2091.25 Thousand created by Additional Commissioner, Service Tax, Mumbai on 8th Nov, 2012 covering the period from April, 2011 to March, 2012.

2.16 Commitments

Estimated amount of contracts remaining to be executed on capital account (net of advances) and not provided in accounts ₹43.08 Thousand (₹42.24 Thousand).

2.17 Guarantees issued by Bank and outstanding as on 31st March 2013 ₹33,162.27 Thousand (₹37,780.38 Thousand).

2.18 Balances of Sundry Debtors, Sundry Creditors, Loans and Advances, Security Deposits etc., whether in debit or credit are subject to confirmation and reconciliation. Amounts, which may remain unrecovered, shall be written off at the time of final settlement.

- 2.19** a) The Company has a Memorandum of Understanding with Engineers India Limited (The Holding Company) for utilizing their facilities like providing manpower, office space and other facilities etc. The MOU provides level based fixed man hour/ man-day rates for EIL employees on cost plus overhead basis and fixed annual cost towards space, infrastructure and facilities etc.
- b) The company also has a Memorandum of Understanding with Engineers India Limited for providing manpower services to EIL at actual cost plus margin.

2.20 In terms of Section 23 of the Micro, Small and Medium Enterprises Development Act, 2006, the amount due to these enterprises are required to be disclosed. These enterprises are required to be registered under that Act. In the absence of the information about their registration, the required information cannot be stated.

2.21 In the opinion of the Management, the Current Assets, Loans and Advance have a value on realization in the ordinary course of business at least equal to the amount at which they are stated and all the known liabilities have been provided for.

2.22 The movement in provision for doubtful debts and deposits during the year is as follows:

(₹ in Thousands)

	2012-13	2011-12
Opening Balance	11667.27	8862.16
Add : Amount provided during the year	2086.44	3394.49
Less : Amount written back during the year	614.73	589.38
Closing Balance at the year end	13138.98	11667.27

2.23 The Company operates in the nature of service towards Certification and Third Party Inspection jobs, which comes under single segment. Hence segment reporting requirements under AS-17 issued by The Institute of Chartered Accountant of India are not applicable.

2.24 RELATED PARTY DISCLOSURE

(a) The names of related parties as identified in accordance with provisions of the Accounting Standard – 18 "Related Party Disclosure" :-

S. No.	NAME OF THE RELATED PARTY		NATURE OF RELATIONSHIP
1.	ENGINEERS INDIA LIMITED		HOLDING COMPANY
2.	TEIL PROJECTS		Joint Venture Company of EIL
3.	KEY MANAGEMENT PERSONNEL		
	A. Mr.A.K.PURWAHA	Chairman	C&MD in EIL
	B. Dr.AVINASH CHANDRA (upto 29.01.13)	Director	Director in EIL
	C. Mr.SUDERSHAN GUPTA	Director	ED in EIL
	D. Mr.G.D.GOYAL (upto 30.06.12)	Director	Director in EIL
	E. Mr.D.MOUDGIL (upto 12.03.13)	Director	Director in EIL
	F. Mr.A.DESHPANDE (upto 12.03.13)	Director	Director in EIL
	G. Mr.C.B.SINGH (upto 30.04.12)	Director	Government Nominee
	H. Mr.SANJAY GUPTA (w.e.f.01.07.12)	Director	Director in EIL
	I. Mr.ADIT JAIN (w.e.f.13.03.13)	Director	Director in EIL
	J. Dr.J.P.GUPTA (w.e.f.13.03.13)	Director	Director in EIL
	K. Mr.MVK KUMAR (upto 20.12.12)	CEO	ED in EIL
	L. Mr.M.P.JAIN (w.e.f.21.12.12)	CEO	GM in EIL



(b) (1) RELATED PARTY TRANSACTIONS

During the year, ended 31st March 2013, the company had following transactions with related parties:-

(₹ in Thousands)

Name of related party	Particulars	Relation- ship	Amount	Payable/ Receivable as on 31.3.13
Engineers India Limited	Purchase of Professional & Technical services and Facilities	Holding Company	31,407.50 (33,474.60)	Payable NIL (9,689.35)
-do-	Execution of contract for services	-do-	27,577.28 (25,003.19)	Receivable 1,956.86 (1,748.50)
-do-	Dividend (Interim & Final)	-do-	40,000.00 (35,000.00)	
TEIL Projects	Execution of contract for services	Joint Venture Company of Engineers India Limited	140.45 (NIL)	Receivable 140.45 (NIL)

(2) Director's Remuneration :

Sitting Fees paid to a part time Director ₹ 70.00Thousand (₹ 50.00Thousand)

- (c) Chief Executive Officer of the Company is on deputation from EIL (Holding Company) and the salary for which is paid by Engineers India Limited. EIL raises monthly bills on the basis of manhour cost as per agreement with the company which are accounted for as professional charges, under the head "Manpower Services".

2.25 As per the requirement of AS-22 relating to "Accounting for Taxes on Income" issued by the Institute of Chartered Accountants of India, deferred tax assets for the current year amounting to ₹ 3647.81 Thousands (₹ 2212.10Thousands) has been recognized in the Profit & Loss Account.

Break-up of deferred tax liabilities and assets:-

(₹ in Thousands)

S.No.	Particulars of Deferred Tax Assets / (Liabilities)	Upto 31-03-2012	For the year 2012-13	As on 31-03-2013
A.	Deferred Tax Assets			
1.	Provision for Leave Encashment	5439.24	2362.76	7802.00
2.	Provision for Doubtful Debts/Advances	3785.45	680.49	4465.94
3.	Provision for Long Service Awards	324.01	57.34	381.35
4.	Provision for Leave Encashment & PF for pay revision	48.16	(8.30)	39.86
5.	Unspent CSR	570.73	1056.06	1626.79
	Total	10167.59	4148.35	14315.94
B.	Deferred Tax Liabilities			
1.	Depreciation	3172.20	500.54	3672.74
C.	Net Deferred Tax Asset/ (Liabilities)	6995.39	3647.81	10643.20

2.26 Prior period items net debit of ₹1962.46Thousands (net Debit of NIL) shown under prior period adjustments are as detailed below :

(₹ In Thousands)

	2012-13	2011-12
Prior Period Income		
Prev years Exp reversal- others	4.31	0.00
Total(A)	4.31	0.00
Prior Period Expenditure		
Previous years Income reversal	2012-13	2011-12
Depreciation	1962.46	0.00
Total(B)	4.31	0.00
TOTAL(A-B)	1966.77	0.00
	(1962.46)	(0.00)

2.27 In view of CSR guidelines which require mandatorily to fix CSR budget each year based on profits for previous financial year, the company has provided ₹3019.23 Thousand (₹5746.59 Thousand) in the books of accounts towards Corporate Social Responsibility Expenditure for the financial year 2012-13.

2.28 There is no impairment of cash generating assets during the year in terms of AS-28 "Impairment of Assets" issued by the Institute of Chartered Accountants of India.

2.29 Liability in respect of 'Performance Related Pay', amounting to ₹2366.60 Thousand (₹3161.58 Thousand) for the employees for the year 2012-2013 has been estimated and provided based on scheme formulated in accordance with DPE Guidelines, based upon certain ranking parameters.

2.30 Retirement Benefits

- The Company has undernoted employee benefits:

Defined contribution plan

The amount recognized as expenses in defined contribution plan are as under:

Particular	Expenses recognized in 2012-2013
Contributory Provident Fund and Employee Pension Scheme 1995	₹ 4606.76 Thousands (₹3647.51 Thousands)

Defined Benefit Plan

The Company is having following defined benefit plans:

- i. Gratuity (Funded)
- ii. Leave Encashment (Unfunded)
- iii. Long Service Awards (Unfunded)

The liability in respect of these items are provided for as per actuarial valuation. The amount of expenditure in respect of leave encashment (unfunded) and Long Service Awards (Unfunded) are of such size, nature or incidence that a specific disclosure is not needed as per para 132 of AS-15 (Revised). However, the required disclosure as per Accounting Standard AS-15 (Revised) in respect of gratuity (Funded) – defined benefit plan are given below:

(₹ in Thousands)		
Gratuity (Funded)	Ason 31.03.13	Ason 31.03.12
a) Actuarial Assumptions		
Discount rate	8.00%	8.00%
Expected rate of return on assets	9.15%	9.15%
Expected rate of future salary increase	10.00%	10.00%
b) Reconciliation of opening and closing balances of present value of Defined Benefit obligation		
Present value of obligations as at beginning of year	7384.19	5605.80
Interest cost	590.73	448.46
Current Service Cost	1193.37	1230.38
Benefits paid	(0.00)	(0.00)
Actuarial (gain)/loss on Obligations	514.47	99.55
Present value of obligations as at end of year	9682.76	7384.19
c) Reconciliation of opening and closing balances of fair value of plan assets		
Fair value of plan assets as beginning of year	7450.06	4067.43
Expected return on plan assets	784.85	613.88
Contributions	1127.50	2768.75
Benefits paid	(0.00)	(0.00)
Actuarial Gain/(loss) on plan assets	NIL	NIL
Fair value of plan assets at the end of year	9362.41	7450.06
d) Fair value of plan assets as on 31.03.2013		
Fair value of plan assets at beginning of year	7450.06	4067.43
Actual return on plan assets	784.85	613.88
Contribution	1127.50	2768.75
Benefits paid	(0.00)	(0.00)
Fair value of plan assets at the end of year	9362.41	7450.06
Funded status	(320.35)	65.87
Excess of Actual over estimated return on plan Assets	NIL	NIL



e) Actuarial Gain/Loss recognized for the year 2012-13		
Actuarial Gain/(Loss) for the year – Obligation	(514.47)	(99.55)
Actuarial Gain/Loss for the year – Plan assets	NIL	NIL
Total (gain)/Loss for the year	514.47	99.55
Actuarial (gain)/Loss for the year	514.47	99.55
f) The amounts recognized in the balance sheet		
Present value of obligations as at the end of year	9682.76	7384.19
Fair value of plan assets as at the end of the year	9362.41	7450.06
Funded status	(320.35)	65.87
Net (Asset)/liability recognized in balance sheet	320.35	(65.87)
g) Expenses Recognized in statement of Profit & Loss		
Current Service Cost	1193.37	1230.37
Interest cost	590.73	448.46
Expected return on plan assets	(784.85)	(613.88)
Net actuarial (gain)/Loss recognized in the year	514.47	99.55
Expenses Recognized in statement of Profit & Loss	1513.71	1164.51

2.31 Other disclosures required under Companies Act, 1956/Revised Schedule-VI.

(₹ in Thousands)

Particulars	For the year ended 31.03.13	For the year ended 31.03.12
a) CIF Value of Import:		
i) Components and spare parts for office equipments.	NIL	NIL
b) Expenditure incurred in foreign currency on account of:		
i) Know-how and professional fee	NIL	NIL
ii) Other matters (Foreign Travel)	10029.68	15612.57
c) Earning in foreign exchange towards professional fees.	16475.38	13281.59

2.32 In Significant Accounting Policies and Notes to Accounts, figures in brackets represent previous year figures, wherever year is not specified. Elsewhere figures in brackets represent negative figures.

2.33 Previous Year figures have been recast / regrouped / rearranged / reclassified wherever considered necessary to conform to the classification adopted for the current year.

Signatures to Significant Accounting Policies and Notes to Accounts

(MP JAIN)
Chief Executive Officer
PAN:AAGPJ4914L

(SUDERSHAN GUPTA)
Director
DIN:00813955

(AK PURWAHA)
Chairman
DIN:00165092

As per our report of even date attached
For KAPOOR GOYAL & CO
Chartered Accountants
Firm Regn.No.001370N

(J KAPOOR)
Partner
M.No.012001

Place : New Delhi
Dated: May 14, 2013



**COMMENTS OF THE COMPTROLLER AND AUDITOR GENERAL OF INDIA UNDER
SECTION 619(4) OF THE COMPANIES ACT, 1956 ON THE ACCOUNTS OF
CERTIFICATION ENGINEERS INTERNATIONAL LIMITED
FOR THE YEAR ENDED 31 MARCH 2013.**

The preparation of financial statements of Certification Engineers International Limited for the year ended 31 March 2013 in accordance with the financial reporting framework prescribed under the Companies Act, 1956 is the responsibility of the management of the company. The statutory auditor appointed by the Comptroller and Auditor General of India under section 619(2) of the Companies Act, 1956 is responsible for expressing opinion on these financial statements under section 227 of the Companies Act, 1956 based on independent audit in accordance with the auditing and assurance standards prescribed by their professional body, the Institute of Chartered Accountants of India. This is stated to have been done by them vide their Audit Report dated 14 May 2013.

I, on behalf of the Comptroller and Auditor General of India, have decided not to review the report of the Statutory Auditor on the accounts of Certification Engineers International Limited for the year ended 31 March 2013 and as such have no comments to make under section 619 (4) of the Companies Act, 1956.

For and on the behalf of the Comptroller
& Auditor General of India

(Naina A. Kumar)
Principal Director of Commercial Audit &
Ex-officio Member, Audit Board - II
New Delhi

Place : New Delhi
Date : June 5, 2013



DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements for the financial year ended 31st December 2012.

Principal activity

The principal activity of the Company is the provision of technical services to the oil, gas and other industrial projects. The Company has temporarily ceased its business operation in the financial year 2007.

Financial results

	RM
Loss after taxation	12,437 / -

Reserves and provisions

There were no material transfers to or from reserves or provisions during the financial year.

Issue of shares and debentures

The Company has not issued any shares or debentures during the financial year.

Directorate

The directors in office since the date of last report are:-

ASHOK KUMAR PURWAHA

RAM SINGH

GORDHAN DAS GOYAL (Resgd w.e.f. 01.07.2012)

DR. SAMAD BIN SOLBAI

TAN HOR SENG

SANJAY GUPTA (Apptd w.e.f. 18.07.2012)

According to the register of directors' shareholdings, none of the directors holding office at the end of the financial year had any interest in shares in the Company or its related corporations during the financial year.

Directors' benefits

Neither at the end of the financial year, nor at any time during the year, did there subsist any arrangement to which the Company or any of its related corporations was a party whereby the directors might acquire benefits by means of the acquisition of shares in, or debentures of the Company or any other body corporate.

Since the end of the previous financial year, no director has received or become entitled to receive a benefit (other than a benefit included in the aggregate amount of emoluments received or due and receivable by the directors as shown in the financial statement) by reason of a contract made by the Company or a related corporation with the director or with a firm of which he is a member, or with a Company in which he has a substantial financial interest.

Other statutory information

- (a) Before the income statement and balance sheet were made out, the directors took reasonable steps:-
 - (i) to ascertain that action had been taken in relation to the writing off of bad debts and the making of provision for doubtful debts and satisfied themselves that there were no known bad debts and that no provision for doubtful debts was necessary; and
 - (ii) to ensure that any current assets which were unlikely to be realised in the ordinary course of business including

their value as shown in the accounting records of the Company have been written down to an amount which they might be expected so to realise.

- (b) At the date of this report, the directors are not aware of any circumstances:
 - (i) which would render it necessary to write off any bad debts or to make any provision for doubtful debts in respect of the financial statements of the Company; and
 - (ii) which would render the values attributed to current assets in the financial statements of the Company misleading, or
 - (iii) which have arisen which render adherence to the existing method of valuation of assets or liabilities of the Company misleading or inappropriate.
- (c) At the date of this report there does not exist:
 - (i) any charge on the assets of the Company which has arisen since the end of the financial year which secures the liabilities of any other person.
 - (ii) any contingent liability of the Company which has arisen since the end of the financial year.
- (d) No contingent or other Liability has become enforceable or is likely to become enforceable within the period of twelve months after the end of the financial year which, in the opinion of the directors, will or may substantially affect the ability of the Company to meet its obligations as and when they fall due.
- (e) At the date of this report, the directors are not aware of any circumstances not otherwise dealt with in this report or the financial statements which would render any amount stated in the financial statements misleading
- (f) In the opinion of the directors,
 - (i) the results of the Company's operations during the financial year were not substantially affected by any item, transaction or event of a material and unusual nature;
 - (ii) there has not arisen in the interval between the end of the financial year and the date of this report any item, transaction or event of a material and unusual nature likely to affect substantially the results of the operations of the Company for the current financial year.

Holding Company

The directors' regard Engineers India Limited, a company incorporated in the Republic of India, as the ultimate holding company of the Company.

Auditors

Messrs. Sundar & Associates have expressed their willingness to continue in office.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors dated 4th April, 2013.

Ram Singh
Director
Kuala Lumpur

Dr. Samad Bin Solbai
Director



Statement by Directors

Pursuant to Section 169(15) of the Companies Act, 1965

We, **Ram Singh and Dr. Samad Bin Solbai**, being two of the directors of **EIL ASIA PACIFIC SDN. BHD.**, do hereby state that, in the opinion of the directors, the accompanying balance sheet and statements of income, cash flows and changes in equity are drawn up in accordance with MASB approved accounting standards for private entities and the provisions of the Companies Act, 1965 so as to give a true and fair view of the state of affairs of the Company as at 31st December 2012 and of the results and the cash flows of the Company for the year then ended.

Signed on behalf of the Board of Directors in accordance with a resolution of the Directors dated 4th April, 2013.

RAM SINGH
Director

DR. SAMAD BIN SOLBAI
Director

Kuala Lumpur

Statutory Declaration

I, **Ram Singh**, being the director primarily responsible for the accounting records and financial management of **EIL ASIA PACIFIC SDN. BHD.**, do solemnly and sincerely declare that the accompanying balance sheet and statements of income, cash flows and changes in equity are to the best of my knowledge and belief correct and I make this solemn declaration conscientiously believing the same to be true, and by virtue of the provisions of the Statutory Declarations Act, 1960.

Subscribed and solemnly declared by
the above named at Kuala Lumpur in
Wilayah Persekutuan this 4th April, 2013.

Suite 8-8-2, Menara Mutiara Bangsar
Jalan Liku, Off. Jalan Riong
Bangsar
59100 - Kuala Lumpur

RAM SINGH
Before me,
Commissioner for Oaths



Independent Auditors' Report to The Members of EIL ASIA PACIFIC SDN. BHD. (290200-W)

Report on the Financial Statements

We have audited the financial statements of **EIL ASIA PACIFIC SDN. BHD.**, which comprise the balance sheet as at 31st December 2012, and the income statement, statement of changes in equity and cash flow statement for the year then ended, and a summary of significant accounting policies and other explanatory information, as set out on pages 8 to 17.

Directors' Responsibility for the Financial Statements

The directors of the Company are responsible for the preparation of financial statements that give a true and fair view in accordance with Financial Reporting Standards and the Companies Act 1965 in Malaysia, and for such internal control as the directors determine are necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with approved standards on auditing in Malaysia. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgment, including the assessment of risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation of financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements have been properly drawn up in accordance with Private Entities Reporting Standards and the Companies Act 1965 in Malaysia so as to give a true and fair view of the financial position of the Company as of 31st December 2012 and of its financial performance and cash flows for the year then ended.

Report on Other Legal and Regulatory Requirements

In accordance with the requirements of the Companies Act 1965 in Malaysia, we also report that in our opinion the accounting and other records and the registers required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

Other Matters

This report is made solely to the members of the Company, as a body, in accordance with Section 174 of the Companies Act 1965 in Malaysia and for no other purpose. We do not assume responsibility to any other person for the content of this report.

SUNDAR & ASSOCIATES
AF No: 1127
Chartered Accountants (M)

SUNDARASAN A/L ARUMUGAM
1876/02/14(J/PH)
Chartered Accountant (M)

Place : Petaling Jaya
Date : April 4, 2013



INCOME STATEMENT

for the year ended 31st December 2012

	Notes	2012 RM	2011 RM
Revenue	3(ii)	-	-
Other income		7,451	7,556
Other operating expenses		<u>(18,025)</u>	<u>(17,919)</u>
Loss before taxation	5	(10,574)	(10,363)
Taxation	6	(1,863)	(1,511)
Loss after taxation		<u>(12,437)</u>	<u>(11,874)</u>

The annexed notes form an integral part of these financial statements



BALANCE SHEET

as at 31st December 2012

	Notes	2012 RM	2011 RM
Non-current asset			
Plant and equipment	7	2	2
Current assets			
Other receivables		513	642
Fixed deposit with a licensed bank		220,000	240,000
Cash and bank balances		37,357	25,824
		257,870	266,466
Current liabilities			
Accrued liabilities		10,639	5,750
Taxation		463	1,511
		11,102	7,261
Net Current assets		246,768	259,205
		246,770	259,207
Financed by:			
Share capital	9	250,000	250,000
Accumulated (loss)/Profit		(3,230)	9,207
		246,770	259,207

The annexed notes form an integral part of these financial statements



STATEMENT OF CHANGES IN EQUITY

for the year ended 31st December 2012

	Share Capital RM	Accumulated (loss)/profit RM	Total RM
Balance as at 1 st January 2012	250,000	9,207	259,207
Loss after taxation	-	(12,437)	(12,437)
Balance as at 31st December 2012	<u>250,000</u>	<u>(3,230)</u>	<u>246,770</u>
Balance as at 1 st January 2011	250,000	21,081	271,081
Loss after taxation	-	(11,874)	(11,874)
Balance as at 31st December 2011	<u>250,000</u>	<u>9,207</u>	<u>259,207</u>

The annexed notes form an integral part of these financial statements.

**CASH FLOW STATEMENT**for the year ended 31st December 2012

	2012 RM	2011 RM
Cash flows from operating activities		
Loss before taxation	(10,574)	(10,363)
Adjustments for :		
Interest income	(7,451)	(7,556)
Operating loss before working capital changes	(18,025)	(17,919)
Changes in working capital :		
Other receivables	129	2,739
Other payables	4,889	(990)
Cash absorbed by operations	(13,007)	(16,170)
Tax paid	(2,911)	(1,304)
Net cash flow from operating activities	(15,918)	(17,474)
Cash flows from investing activity		
Interest received	7,451	7,556
Net cash flow from investing activity	7,451	7,556
Net decrease in cash and cash equivalents	(8,467)	(9,918)
Cash and cash equivalents brought forward	265,824	275,742
Cash and cash equivalents carried forward	257,357	265,824
 Breakdown of cash and cash equivalents carried forward		
Fixed deposit with a licensed bank	220,000	240,000
Cash and bank balances	37,357	25,824
	257,357	265,824

The annexed notes form an integral part of these financial statements.

NOTES TO THE FINANCIAL STATEMENTS

31st December 2012

1. Corporate Information

The Company is a private limited liability company, incorporated and domiciled in Malaysia.

The registered office of the company is located at Level 7, Menara Milenium, Jalan Damanlela, Pusat Bandar Damansara, Damansara Heights, 50490 Kuala Lumpur.

2. Date of Authorisation of Issue

The financial statements were authorised for issue by the Board of Directors on 4th April, 2013.

3. Significant Accounting Policies

(i) Basis of preparation

The financial statements comply with applicable approved accounting standards for private entities issued by the Malaysian Accounting Standards Board and the provisions of the Companies Act, 1965.

The financial statements have been prepared under the historical cost convention.

(ii) Revenue recognition

There is no revenue recognised as the Company has ceased its business operations.

Interest income

Interest is recognised on a time proportion basis that reflects the effective yield on the asset.

(iii) Plant and equipment

Plant and equipment is stated at cost less accumulated depreciation and impairment loss.

Depreciation on plant and equipment is calculated on a straight - line method based on the estimated useful lives of the assets.

The principal annual rates of depreciation used are as follows:

Office equipment	20%
Computer	20%

Plant and equipment is written down to recoverable amount if, the recoverable amount is less than their carrying value. Recoverable amount is the higher of an asset's net selling price and its value in use.

(iv) Income tax

Income tax on the profit or loss for the year comprises current and deferred tax. Current tax is the expected amount of income taxes payable in respect of the taxable profit for the year and is measured using the tax rates that have been enacted at balance sheet date.

Deferred tax is provided for, using the liability method, on temporary differences at the balance sheet date between the tax bases of assets and liabilities and their carrying amounts in the financial statements.

In principle, deferred tax liabilities are recognised for all taxable temporary differences and deferred tax assets are recognised for all deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that taxable profit will be available against which the deductible temporary differences, unused tax losses and unused tax credits can be utilised.

Deferred tax measured at the tax rates that are expected to apply in the period when the asset is realised or the liability is settled, based on the tax rates that have been enacted or substantively enacted at the balance sheet date.

Deferred tax is recognised in the income statement except when it arises from a transaction which is recognised directly in equity.

**(v) Provisions**

Provisions are recognised when the company has a present legal and constructive obligation as a result of past events, when it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation, and when a reliable estimate can be made of the amount of the obligation.

(vi) Cash and cash equivalents

Cash represent cash, bank balances and fixed deposits with financial institutions. Cash equivalents comprises of investments maturing within three months from the date of acquisition and which are readily convertible to known amount of cash which are subject to an insignificant risk of change in value.

(vii) Employment benefit**a. Short term benefits**

Wages, salaries, bonuses and social security contributions are recognised as an expense in the financial year in which the associated services are rendered by employees of the Company. Short term accumulating compensated absences such as paid annual leave are recognised when services are rendered by employees that increase their entitlement to future compensated absences, and short term non-accumulating compensated absences such as sick leave are recognised when the absences occur.

b. Defined contribution plan

As require by law, companies in Malaysia make contributions to the Employee Provident Fund (EPF). Such contributions are recognised as an expense in the income statement as incurred.

(viii) Receivables

Trade and other receivables are carried at anticipated realisable value. Bad debts are written off in the period in which they are identified. An estimate is made for doubtful debts based on a review of all outstanding amounts at the balance sheet date.

(ix) Impairment of assets

The carrying value of assets excluding deferred tax assets and financial assets are reviewed for impairment when there is an indication that the assets might be impaired. Impairment is measured by comparing the carrying values of the assets with their recoverable amounts. The recoverable amount is the higher of an asset's net selling price and its value in use, which is measured by reference to discounted future cash flows. Recoverable amounts are estimated for individual assets, or if it is not possible, for the cash-generating unit.

An impairment loss is charged to the income statement immediately, unless the asset is carried at revalued amount. Any impairment loss of a revalued asset is treated as a revaluation decrease to the extent of previously recognised revaluation surplus for the same asset.

Subsequent increase in the recoverable amount of an asset is treated as reversal of the previous impairment loss and is recognised to the extent of the carrying amount of the asset that would have been determined (net of amortisation and depreciation) had no impairment loss been recognised. The reversal is recognised in the income statement immediately, unless the asset is carried at revalued amount.

A reversal of an impairment loss on a revalued asset is credited directly to revaluation surplus. However, to the extent that an impairment loss on the same revalued asset was previously recognised as an expense in the income statement, a reversal of that impairment loss is recognised as income in the income statement.

4. Principal activity

The principal activity of the Company is the provision of technical services to the oil, gas and other industrial projects. The Company has temporarily ceased its business operation in the financial year 2007.

5. Loss before taxation

Loss before taxation is stated after charging:

	2012 RM	2011 RM
Directors' fee	7,000	7,000
Auditor's remuneration	1,750	1,750
And crediting:		
Interest income	7,451	7,556

6. Taxation

	2012 RM	2011 RM
Tax charges	1,863	1,511

A reconciliation of income tax expense applicable to loss before taxation at the statutory income tax rate to income tax expense at the effective income tax rate of the Company is as follows:

	2012 RM	2011 RM
Loss before taxation	(10,574)	(10,363)
Taxation at Malaysian statutory tax rate of 25%	(2,644)	(2,073)
Expenses not deductible for tax purposes	4,507	3,584
Tax expense for the year	1,863	1,511

Subject to agreement of the Inland Revenue Board, the Company has the following available for set-off against future taxable income

	2012 RM	2011 RM
Unutilised tax losses	746,875	746,875
Unutilised capital allowances	345	345
	747,220	747,220

**7. Plant and equipment**

Cost	Office equipment RM	Computer RM	Total RM
Balance brought forward	590	9,950	10,540
Addition	-	-	-
Disposal	-	-	-
Balance carried forward	590	9,950	10,540
Accumulated depreciation			
Balance brought forward	589	9,949	10,538
Current charge	-	-	-
Disposal	-	-	-
Balance carried forward	589	9,949	10,538
Net book value			
2012	1	1	2
2011	1	1	2

8. Deferred taxation

No deferred tax asset is recognised for the following items:

	2012 RM	2011 RM
Unabsorbed tax capital allowances	345	345
Unutilised tax losses	746,875	746,875
	747,220	747,220

9. Share capital

	2012 RM	2011 RM
Authorised:		
500,000 Ordinary shares of RM1/- each	500,000	500,000
Issued and fully paid:		
250,000 Ordinary shares of RM 1/- each	250,000	250,000



INCOME STATEMENT

for the year ended 31st December 2012

	2012 RM	2011 RM
Revenue	-	-
Other income:		
Interest income	7,451	7,556
Other operating expenses	Appendix 1 (18,025)	(17,919)
Net loss for the year	(10,574)	(10,363)

The management income statement is prepared from information furnished by the management of EIL Asia Pacific Sdn. Bhd. and does not form part of the audited financial statements of the Company.

SCHEDULE OF EXPENSES

for the year ended 31st December 2012

	2012 RM	2011 RM
Other operating expenses		
Directors' fee	7,000	7,000
Legal and professional fee	4,292	4,690
Auditors' remuneration	1,750	1,750
Printing and stationery	1,246	672
Communication and courier	1,077	680
Tax fee	1,000	1,000
Service tax	651	675
Miscellaneous expenses	500	500
Travelling expenses	386	220
Bank charges	60	50
Penalty	50	682
Search fee	13	-
	18,025	17,919

This management schedule of expenses is prepared from information furnished by the management of EIL Asia Pacific Sdn. Bhd. and does not form part of the audited financial statements of the Company.



Independent Auditors' Report

To,
The Board of Directors of
Engineers India Limited

Report on the Consolidated Financial Statements

1. We have audited the accompanying consolidated financial statements of Engineers India Limited ("the Company") and its subsidiaries, joint ventures which comprise the consolidated Balance Sheet as at March 31, 2013, and the consolidated Statement of Profit and Loss and the consolidated Cash Flow Statement for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Consolidated Financial Statements

2. Management is responsible for the preparation of these consolidated financial statements that give a true and fair view of the consolidated financial position, consolidated financial performance and consolidated cash flows of the Company in accordance with accounting principles generally accepted in India. This responsibility includes the design, implementation and maintenance of internal control relevant to the preparation and presentation of the consolidated financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

3. Our responsibility is to express an opinion on these consolidated financial statements based on our audit. We conducted our audit in accordance with the Standards on Auditing issued by the Institute of Chartered Accountants of India. Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatements.
4. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Company's preparation and presentation of the consolidated financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of the accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.
5. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

6. In our opinion and to the best of our information and according to the explanations given to us, the consolidated financial statements give a true and fair view in conformity with the accounting principles generally accepted in India:
 - a) in the case of the consolidated Balance Sheet, of the state of affairs of the Company as at March 31, 2013;
 - b) in the case of the consolidated Profit and Loss Account, of the profit for the year ended on that; and
 - c) in the case of the consolidated Cash Flow Statement, of the cash flows for the year ended on that date.

Other Matters

7. We did not audit the financial statements of subsidiaries and joint ventures, whose financial statements reflect the total assets (net) of ₹6172.14 Lacs as at 31st March, 2013/31st December, 2012 and total revenue of ₹3433.37 Lacs and total expenditure of ₹2789.23 Lacs for the year ended on that date. These financial statements have been audited by other auditors, whose reports have been furnished to us, and our opinion, in so far as it relates to the amounts included in respect of the subsidiaries and joint ventures, is based solely on the report of other auditors.
8. In respect of subsidiary EIL Asia Pacific Sdn. Bhd. and joint venture Jabal Elliot Co Ltd. the accounts drawn up to December 2012 have been used in the consolidation. As per information and explanation given to us, no significant transactions or other events occurred between reporting date as above and 31st March 2013, which require adjustment.

Our opinion is not qualified in respect of other matters.

For M. Verma & Associates
Chartered Accountants
FRN: 501433C

(Mohender Gandhi)
(Partner)
Membership Number-088396

Place : New Delhi
Date : May 28, 2013



CONSOLIDATED BALANCE SHEET

AS AT MARCH 31ST, 2013

PARTICULARS	NOTE NO.	as at 31-Mar-13 ₹ in lakhs	as at 31-Mar-12 ₹ in lakhs
EQUITY AND LIABILITIES			
Shareholders' funds			
Share Capital	2.1	16846.84	16846.84
Reserves and Surplus	2.2	212676.77	173030.89
		229523.61	189877.73
Non-Current Liabilities			
Other Long term Liabilities	2.3	383.75	519.48
Long Term Provisions		2306.84	2153.40
		2690.59	2672.88
Current Liabilities			
Trade Payables	2.4	34705.37	58810.97
Other Current Liabilities		76334.45	75598.48
Short term Provisions		47476.39	53400.96
		158516.21	187810.41
TOTAL		390730.41	380361.02
ASSETS			
Non Current Assets			
Fixed Assets:			
	2.5		
Tangible assets		5052.17	5486.25
Intangible assets		306.04	162.81
Capital work-in-Progress		13551.70	5159.54
		18909.91	10808.60
Non Current Investments	2.6	10211.98	6901.30
Deferred Tax Asset (Net)	2.27	23726.91	21495.87
Long Term Loans and Advances	2.7	4912.97	5773.21
Other Non Current Assets	2.8	197.79	234.90
Current Assets:			
	2.9		
Current Investments		54530.74	55949.24
Inventories		84.33	82.60
Trade Receivables		34386.80	31578.55
Cash and Bank Balances		189083.79	168702.11
Short Term Loans and Advances		6501.47	18597.38
Other Current Assets		48183.72	60237.26
		332770.85	335147.14
TOTAL		390730.41	380361.02
Significant Accounting Policies and Notes to Accounts			
	1 & 2		

(RAJAN KAPUR)
Company Secretary
PAN:AAIPK0926B

(SUDERSHAN GUPTA)
Executive Director {F & A}
PAN:AAGPG5991E

(RAM SINGH)
Director {Finance}
DIN:02942267

(A.K.PURWAHA)
Chairman & Managing Director
DIN:00165092

As per our report of even date attached
for M.VERMA & ASSOCIATES
CHARTERED ACCOUNTANTS

(MOHENDER GANDHI)
PARTNER

Membership No.088396
Firm Registration No.501433C

PLACE : NEW DELHI
DATED: May 28, 2013

**CONSOLIDATED STATEMENT OF PROFIT & LOSS**FOR THE YEAR ENDED 31ST MARCH 2013

	NOTE NO.	2012-2013 ₹ in lakhs	2011-2012 ₹ in lakhs
A. Revenue :			
i) Revenue from Operations	2.10		
-Consultancy & Engineering Services		120357.65	122717.13
Increase (+)/(Decrease)(-) in Work-in-Progress		5,373.08	475.11
		<u>125730.73</u>	<u>123192.24</u>
-Turnkey Projects		127173.17	269584.31
Increase (+)/(Decrease)(-) in Work-in-Progress		-	(20,432.99)
		<u>127173.17</u>	<u>249151.32</u>
		252903.90	372343.56
ii) Other Income	2.11	31679.07	23224.06
Total Revenue (i + ii)		284582.97	395567.62
B. Expenses :			
Technical Assistance/Sub-Contracts	2.12	50512.37	67268.32
Construction Materials & Equipments	2.13	61372.71	151653.45
Employee Benefits Expense	2.14	58417.43	54783.95
Depreciation & Amortization Expense	2.15	1111.77	1969.23
Other Expenses :	2.16		
Facilities		4603.34	4807.70
Corporate Costs		2398.30	3669.69
Other Costs		15873.07	18511.79
Total Expenses		194288.99	302664.13
Profit for the Year (A-B)		90293.98	92903.49
Less: Prior Period Adjustments (net)	2.28	447.37	191.83
Profit Before Tax		89846.61	92711.66
Less: Tax Expense			
Current Tax		28856.55	32527.09
Deferred Tax		(2,249.78)	(3,884.83)
		63239.84	64069.40
Less: Prior Period Tax Adjustments (net) :			
Current Tax		1.36	(318.07)
Deferred Tax		18.74	0.83
Profit After Tax		63219.74	64386.64
Earning Per Share (Face value ₹ 5/- per share):			
Basic (In ₹)		18.76	19.11
Diluted (In ₹)		18.76	19.11

Significant Accounting Policies and Notes**to Accounts****1 & 2**

(RAJAN KAPUR)
Company Secretary
PAN:AAIPK0926B

(SUDERSHAN GUPTA)
Executive Director {F & A}
PAN:AAGPG5991E

(RAM SINGH)
Director {Finance}
DIN:02942267

(A.K.PURWAHA)
Chairman & Managing Director
DIN:00165092

As per our report of even date attached
for M.VERMA & ASSOCIATES
CHARTERED ACCOUNTANTS

(MOHENDER GANDHI)
PARTNER

Membership No.088396
Firm Registration No.501433C

PLACE : NEW DELHI
DATED : May 28, 2013

CONSOLIDATED CASH FLOW STATEMENT

FOR THE YEAR ENDED 31ST MARCH 2013

		2012-2013 ₹ in lakhs	2011-2012 ₹ in lakhs
A) Cash Flow from Operating Activities			
Net Profit Before Tax and Prior Period Adjustments	a	90293.98	92903.49
Add:			
i) Adjustment For:			
Depreciation and Amortization		1111.77	1969.23
Fixed Assets Written Off		29.73	1.93
(Profit)/Loss on Sale of Fixed Assets		33.23	(2.64)
ii) Other Income:			
Interest Income		(18,710.62)	(16,803.81)
Share of Profit on Trade Investment		(60.68)	(37.37)
Capital Gain on Redemption of Investment in Mutual Funds		(4,480.79)	(4,073.54)
Dividend Income		(479.23)	(372.38)
	b	(22,556.59)	(19,318.58)
Operating Profit before Working Capital Changes	c=a+b	67737.39	73584.91
iii) Adjustment For:			
(Increase)/Decrease in Trade Receivables		(2,808.25)	325.24
(Increase)/Decrease in Inventories		(1.73)	4.89
(Increase)/Decrease in Loans & Advances and Other Assets		27,437.78	(35,605.21)
(Increase)/Decrease in Work in Progress		(5,373.08)	19,957.88
Increase/(Decrease) in Liabilities/Provisions		(24,132.61)	(14,481.19)
	d	(4,877.89)	(29,798.39)
Cash Generated from Operations	e=c+d	62,859.50	43,786.52
Less: Tax Paid	f	28,198.98	32,240.42
Cash Flow Before Prior Period Adjustments	g=e-f	34,660.52	11,546.10
Prior Period Adjustments	h	(447.37)	(191.83)
Net Cash Flow from Operating Activities	i=g+h	34,213.15	11,354.27
B) Cash Flow from Investing Activities			
Payments Towards Capital Expenditure		(7,990.77)	(4,011.51)
Sale of Fixed Assets		28.91	26.79
Interest Received		18,596.97	16,670.30
Dividend Received		479.23	372.38
Redemption of Investment in Fixed Maturity Plans of Mutual Funds		54,428.73	47,073.54
Purchase of Investment in Fixed Maturity Plans of Mutual Funds		(52,750.00)	(53,700.00)
Investment in Liquid Plans of Mutual Funds (Net)		970.56	(908.22)
Fixed Deposit Placed with Banks having Original Maturity of More than Three Months		(197,921.55)	(228,884.05)

**CONSOLIDATED CASH FLOW STATEMENT (Contd.)**FOR THE YEAR ENDED 31ST MARCH 2013

		2012-2013 ₹ in lakhs	2011-2012 ₹ in lakhs
Fixed Deposit with Banks Matured having Original Maturity of			
More than Three Months		177,577.27	230,224.59
Divestment in Joint Venture		-	74.10
Net Cash Flow from Investing Activities	j	(6,580.65)	6,937.92
C) Cash Flow from Financing Activities			
Dividend Payment (Including Dividend Tax)		(15,663.85)	(15,663.85)
Interim Dividend Payment (Including Dividend Tax)		(11,747.89)	(7,831.92)
Net Cash Flow from Financing Activities	k	(27,411.74)	(23,495.77)
Increase/ (Decrease) in Cash & Cash Equivalents	i+j+k	220.76	(5,203.58)
Cash & Cash Equivalents at the Beginning of the Year		1,754.76	6,958.34
Cash & Cash Equivalents at the Close of the Year		1,975.52	1,754.76
Increase/ (Decrease) in Cash and Cash Equivalents		220.76	(5,203.58)

NOTES:

- The Cash Flow statement has been prepared under the "Indirect Method" as set out in Accounting Standard - 3 "Cash Flow Statements".
- Cash & Cash Equivalents represents :

i) Cash and Stamps in Hands	31.79	27.39
ii) Cheques in Hand	0.00	537.53
iii) Balance with Banks in Current Account	1943.73	1189.84
Total	1975.52	1754.76

(RAJAN KAPUR)
Company Secretary
PAN:AAIPK0926B

(SUDERSHAN GUPTA)
Executive Director {F & A}
PAN:AAGPG5991E

(RAMSINGH)
Director {Finance}
DIN:02942267

(A.K.PURWAHA)
Chairman & Managing Director
DIN:00165092

As per our report of even date attached
for M.VERMA & ASSOCIATES
CHARTERED ACCOUNTANTS

(MOHENDER GANDHI)
PARTNER
Membership No.088396
Firm Registration No.501433C

PLACE : NEW DELHI
DATED: May 28, 2013

Significant Accounting Policies and Notes to the Consolidated Financial Statements for the year ended 31st March, 2013

1) SIGNIFICANT ACCOUNTING POLICIES

a) BASIS OF ACCOUNTING

The Financial Statements are prepared under the historical cost convention and comply with the applicable Accounting Standards and the relevant provisions of the Companies Act, 1956.

b) PRINCIPLES OF CONSOLIDATION

i) The Consolidated Financial Statements relate to Engineers India Limited "the Company", its wholly owned Subsidiary Companies and Joint Venture Companies. The Consolidated Financial Statements have been prepared on the following basis:-

- The Financial Statements of the Company and its Subsidiary Companies have been Consolidated on a line-by-line basis by adding together the book values of like items of assets, liabilities, income and expenses after fully eliminating intra-group balances and intra-group transactions and resulting unrealized profits or losses in accordance with Accounting Standard (AS-21) "Consolidated Financial Statements" as notified by the Central Government under Companies (Accounting Standards) Rules, 2006.
- The Financial Statements of the Company and its Joint Venture Companies have been consolidated by applying proportionate consolidation method on a line by line basis for items of assets, liabilities and expenses after eliminating proportionate share of unrealized Profit or Loss in accordance with Accounting standard (AS-27) "Financial Reporting of interests in Joint Ventures" as notified by the Central Government under Companies (Accounting Standards) Rules, 2006
- The Consolidated Financial Statements have been prepared using uniform accounting policies, for like transactions and other events in similar circumstances and are presented to the extent possible, in the same manner as the Company's separate Financial Statements, except in cases as mentioned under S.No. 2.19 of Notes to the Consolidated Financial Statements.
- The excess of the cost to the Company of its Investment in Subsidiaries or Joint Ventures over its proportionate share in the equity of investee Company at the date of acquisition of stake is recognized in the consolidated financial statements as Goodwill. In case the cost of investment in a Subsidiaries or Joint Ventures is less than the proportionate share in the equity of the investee company as on the date of investment, the difference is recognized as Capital Reserve in the Consolidated Financial Statements.

• FOREIGN EXCHANGE TRANSLATIONS

For the purpose of preparation of Consolidated Financial Statements, assets and liabilities (other than fixed assets) of Overseas Subsidiary/ Joint Venture have been translated at the rate of exchange prevailing on the date of balance sheet of the foreign Subsidiary Company/ Joint Venture and all items of the profit and loss accounts have been translated at average monthly Exchange Rates and the resultant differences are taken directly to the profit and loss account under "Difference in Exchange (Net)".

ii) The Subsidiary Companies/ Joint Ventures considered in the Consolidated Financial Statements are:

Name of the Company	Relationship	Country of Incorporation as at 31st March, 2013	% Share holding held
Certification Engineers International Limited	Subsidiary	India	100
EIL Asia Pacific Sdn. Bhd.	Subsidiary	Malaysia	100
TEIL Projects Limited	Joint Venture	India	50
Jabal Elliot Co. Ltd.	Joint Venture	Saudi Arabia	33.333



- iii) The reporting date of Financial Statements of EIL Asia Pacific Sdn. Bhd. (Foreign Subsidiary of the Company) and Jabal Elliot Co. Ltd. (Foreign Joint Venture Company) is 31st December, 2012 as against the Company's reporting date which is 31st March, 2013. There were no significant transactions or other events occurred between reporting date of foreign subsidiary and foreign joint venture and 31st March, 2013 which require adjustment.
- iv) The Company has entered into Production Sharing Contracts with Government of India along with other partners for Exploration & Production of Oil and Gas. The Company is a non-operator and is having following participating interest in the ventures. The company would share Expense/Income/Assets/Liabilities of the ventures on the basis of its percentage in the production sharing contracts. The detail of company's interest in blocks is as under:

Block No.	Participating Interest
CB-ONN-2010/11	20%
CB-ONN-2010/08	20%

Based on available information, revenue expenditure of ₹ 30.58 Lakhs (₹ 6.08 Lakhs) and capital expenditure of ₹ 0.47 Lakhs (Nil), being the company's share has been accounted for in the financial statements of the year 2012-13.

The Company's estimated share in work programmes committed under production sharing contract in respect of above blocks as on 31st March, 2013 is ₹ 5540.28 Lakhs (₹ 2546.39 Lakhs)

c) OTHER SIGNIFICANT ACCOUNTING POLICIES

These are set out in the notes to accounts under "Statement of Accounting Policies" of the respective financial statements of 'the Company', Certification Engineers International Limited and EIL Asia Pacific Sdn. Bhd. (Subsidiaries).

2) NOTES TO CONSOLIDATED ACCOUNTS FOR THE YEAR ENDED 31 ST MARCH, 2013

2.1) Share Capital:

The company at present is having only one class of share capital i.e. equity share capital. The requisite disclosure in respect of share capital are as under:

	as at 31-Mar-13 ₹ in lakhs	as at 31-Mar-12 ₹ in lakhs
Authorised		
600,000,000 Equity shares of Par Value of ₹5 each (600,000,000 Equity shares of Par Value of ₹ 5 each)	30000.00	30000.00
Issued		
337,017,600 Equity shares of Par Value of ₹ 5 each (337,017,600 Equity shares of Par Value of ₹5 each)	16850.88	16850.88
Subscribed and Paid up		
336,936,600 Equity shares of Par Value of ₹5 each (336,936,600 Equity shares of Par Value of ₹ 5 each) fully paid up	16846.83	16846.83
Add: Forfeited Shares		
Amount originally paid up on 2,600 Equity shares of Par Value of ₹ 5 each (2,600 equity shares of Par Value of ₹ 5 each)	0.01	0.01
	16846.84	16846.84

Reconciliation of number of shares outstanding at the beginning and at the end of the reporting period :

	Financial Year 2012-13	Financial Year 2011-12
No. of shares outstanding at the beginning of the financial year	336936600	336936600
No. of shares outstanding at the close of the financial year	<u>336936600</u>	<u>336936600</u>

Rights, Preferences and Restrictions attaching to Equity Shares

The Company is having one Class of Equity Shares having a Par Value of ₹ 5 each. Each Shareholder is eligible for one vote per Share held.

The Dividend proposed by Board of Directors is subject to the approval of Shareholders in the ensuing Annual General Meeting except in case of Interim Dividend. In the event of Liquidation, Equity Shareholders are eligible to receive the remaining assets of the Company after distribution of all Preferential amount in proportion to their Shareholding.

Details of each Shareholder holding more than 5 percent shares

Name of the shareholder	Number of shares held as at 31-Mar-13	Number of shares held as at 31-Mar-12
President of India	270900540 80.401%	270900540 80.401%

Other disclosures

	as at 31-Mar-13	as at 31-Mar-12
Aggregate number of equity shares having par value of ₹5/- each allotted as fully paid up by way of bonus share during the period of five years immediately preceding the Balance sheet date	224624400	224624400

2.2) Reserves & Surplus :

The Classification of Reserves & Surplus disclosing therein Appropriation /Allocation/Transfers is detailed as under :

	as at 31-Mar-13			as at 31-Mar-12		
	₹ in lakhs			₹ in lakhs		
A. General Reserve						
Balance as per last						
Balance sheet	172722.18			131831.31		
Add:Transferred from Statement of Profit and Loss	<u>63219.74</u>	235941.92		<u>64386.64</u>	196217.95	
Less:Appropriations:						
Interim Dividend	10108.10			6738.73		
Proposed Final Dividend	10108.10			13477.46		
Tax on Interim / Proposed Dividend	3357.66			3279.58		
Transfer to CSR Activity Reserve	<u>2259.76</u>	<u>25833.62</u>	210108.30	<u>-</u>	<u>23495.77</u>	172722.18
B. CSR Activity Reserve						
Balance as per last						
Balance sheet	0.00			0.00		
Add:Transferred from General Reserve	<u>2259.76</u>	<u>2259.76</u>	2259.76	<u>0.00</u>	<u>0.00</u>	0.00
C. Capital Reserve						
Capital Grant Received from Oil Industry Development Board for R&D Centre			200.00			200.00
Capital Reserve due to Consolidation			<u>108.71</u>			<u>108.71</u>
			212676.77			173030.89



2.3) Non-Current Liabilities :

The Disclosure of Non-Current Liabilities Including their sub-Classification into major heads is given as under :

	as at 31-Mar-13 ₹ in lakhs	as at 31-Mar-12 ₹ in lakhs
A) Other Long Term Liabilities :		
Security Deposits & Retentions	253.75	336.98
Advances Received from Clients	130.00	182.50
	383.75	519.48
B) Long Term Provisions :		
Employees' Post Retirement/ Long Term Benefits	2306.84	2153.40
	2306.84	2153.40

Above includes ₹1.43 Lakhs (₹ 0.53 Lakhs) share of Joint Ventures.

2.4) Current Liabilities :

The Disclosure of Current Liabilities Including their sub-Classification into major heads is given as under :

	as at 31-Mar-13 ₹ in lakhs	as at 31-Mar-12 ₹ in lakhs
A) Trade Payables	34705.37	58810.97
	34705.37	58810.97
B) Other Current Liabilities :		
Security Deposits & Retentions	25097.19	23816.59
Advances Received from Clients	3195.17	1841.51
Income Received in Advance	38656.06	37588.28
Capital Creditors	1793.81	687.88
Service Tax Payable	286.22	975.07
Unpaid Dividend *	94.76	60.56
Other Payables :		
- Withholding for Employees including Employers Contribution	950.52	948.48
- Withholding for Income Taxes	1297.88	1742.23
- Accrued Employees Benefits	3814.75	6578.39
- Amount held on behalf of Clients	978.85	1210.10
- Others	169.24	149.39
	7211.24	10628.59
	76334.45	75598.48

* Excluding amount due for payment to Investor Education and Protection Fund

C) Short Term Provisions :		
Employees' Post Retirement/ Long Term Benefits	3005.19	2574.48
Contractual Obligations	30609.45	29161.07
Provision for Corporate Social Responsibility	0.00	1553.84
Provision for Taxation	28456.26	32147.24
Less: Advance Income Tax	<u>26420.48</u>	<u>27699.52</u>
Proposed Dividend	10108.10	13477.46
Tax on Dividend	1717.87	2186.39
	47476.39	53400.96

Above includes ₹ 58.47 Lakhs (₹ 12.98 Lakhs) share of Joint Ventures.

2.5) Fixed Assets

₹ IN LAKHS

PARTICULARS	Gross Block			Depreciation					Net Block	
	ASON 31-Mar-12	ADD. FOR YR.	SOLD/RECL/ TRNS/ADJ.	ASON 31-Mar-13	DEP UPTO 31-Mar-12	DEP FOR YEAR	DEP WRTN. BACK	TOT.DEP. 31-Mar-13	WDV ASON 31-Mar-13	WDV ASON 31-Mar-12
Tangible Assets:										
Land Freehold	298.08	0.00	-	298.08	0.00	0.00	0.00	0.00	298.08	298.08
Land Leasehold	1611.55	0.00	0.00	1611.55	18.10	13.87	0.00	31.97	1579.58	1593.45
Building	4523.61	38.88	133.50	4428.99	2767.74	137.86	105.70	2799.90	1629.09	1755.87
Plant & Machinery	1195.65	0.00	104.84	1090.81	1140.26	0.91	95.56	1045.61	45.20	55.39
Furniture, Fixtures And Office/ Constn. Equipment	2193.08	68.33	40.65	2220.76	1727.80	107.06	30.99	1803.87	416.89	465.28
Computer Hardware	7088.10	344.18	1548.71	5883.57	5738.52	575.46	1503.87	4810.11	1073.46	1349.58
Motor Vehicles	19.68	2.68	0.00	22.36	9.81	2.68	0.00	12.49	9.87	9.87
Library Books	472.71	8.39	0.05	481.05	472.71	8.39	0.05	481.05	0.00	0.00
	17402.46	462.46	1827.75	16037.17	11874.94	846.23	1736.17	10985.00	5052.17	5527.52
Less: Assets held for disposal	1508.47		1508.47	0.00	1467.20		1467.20	0.00	0.00	41.27
Total Tangible Assets	15893.99	462.46	319.28	16037.17	10407.74	846.23	268.97	10985.00	5052.17	5486.25
Intangible Assets:										
Computer Software	3349.98	408.77	0.00	3758.75	3187.17	265.54	0.00	3452.71	306.04	162.81
Total Intangible Assets	3349.98	408.77	0.00	3758.75	3187.17	265.54	0.00	3452.71	306.04	162.81
Total	19243.97	871.23	319.28	19795.92	13594.91	1111.77	268.97	14437.71	5358.21	5649.06
Previous Year	19693.30	1361.19	302.05	19243.97	13369.01	1969.23	276.13	13594.91	5649.06	6324.29
Capital Work In Progress									13551.70	5159.54

Net Fixed Assets includes ₹ 14.35 Lakhs (₹ 28.30 Lakhs) share of Joint Ventures.

2.6) Non Current Investments:

The Classification of Non Current Investments (Long Term) into different categories with requisite details is given as under:

	as at 31-Mar-13		as at 31-Mar-12	
	₹ in lakhs		₹ in lakhs	
I. Trade (At Cost)				
Unquoted				
Investment in Association of Persons (AOP):				
Capital Contribution in Petroleum India International	500.00		500.00	
Share in Accumulated Surplus of Petroleum India International	711.98	1211.98	651.30	1151.30
TOTAL (a)		1211.98		1151.30

Other Member Companies are: Bharat Petroleum Corporation Ltd, Hindustan Petroleum Corporation Limited, Indian Oil Corporation Limited, Indian Petrochemical Corporation Limited, Chennai Petroleum Corporation Limited and Oil India Limited.

Oil and Natural Gas Corporation of India Limited was member till June, 2001.

Total Capital of Petroleum India International is ₹ 5500.00 Lakhs and EIL's share in Capital of AOP is ₹ 500.00 Lakhs.

Details of share in accumulated surplus for investment in Petroleum India International, an association of person in which the Company is a member, based on last available annual audited accounts for the financial year 2011-12 and amount received during the current year is as under:



₹ IN LAKHS

Balance as on 01.04.2012	Share of Profit accounted during Year 2012-13	Amount received during the Year 2012-13	Balance as on 31.03.2013
651.30	60.68	0.00	711.98

Petroleum India International during financial year 2010-11 has ceased its business activities and is in process of dissolution.

II. Other Than Trade

Quoted

In Units of Fixed Maturity Plan of Mutual Funds

No. of Units

Nil	SBI Debt Fund Series - 18 Months - 8	0.00	2750.00
(27,500,000)	Growth Plan of ₹ 10 Each		
Nil	SBI Debt Fund Series - 15 Months - 7	0.00	3000.00
(30,000,000)	Growth Plan of ₹ 10 Each		
90,000,000	UTI Fixed Term Income Fund Series XIV-VIII (371 Days)	9000.00	0.00
(Nil)	Direct Growth Plan of ₹ 10 Each		
	TOTAL (b)	9000.00	5750.00
	TOTAL (a+b)	10211.98	6901.30
Aggregate Value of Quoted Investments - Book Value		9000.00	5750.00
Aggregate Value of Quoted Investments - Market Value		9000.00	5900.48
Aggregate Value of Unquoted Investments - Gross Book Value		1211.98	1151.30

2.7) Long Term Loans & Advances :

The details of Long terms Loans & Advances classified under different heads is disclosed hereunder :

	as at 31-Mar-13 ₹ in lakhs	as at 31-Mar-12 ₹ in lakhs
a) Capital Advances - Unsecured (Considered Good)	188.79	355.75
b) Security Deposit:		
Unsecured- Considered Good	137.55	84.42
c) Loans & Advances to Related Parties:		
Secured-Considered Good:		
Directors	6.13	3.65
Unsecured-Considered Good:		
Directors	1.30	2.16
d) Other Loans and Advances		
(Advances Recoverable in Cash or in Kind or for value to be received):		
Secured-Considered Good:		
Employees	2163.32	2538.34
Unsecured-Considered Good:		
Employees	1833.21	1610.19
Others	0.99	3.52
Advance Income Tax	65494.93	57971.64
Less: Provision for Taxation	64925.08	56808.29
Advance Fringe Benefit Tax	60.43	60.43
Less: Provision for Fringe Benefit Tax	48.60	11.83
	4912.97	5773.21

Above includes ₹ 6.46 Lakhs (₹ 11.15 Lakhs) share of Joint Ventures.

2.8) Other Non Current Assets:

Details of other Non-Current Assets Classified under different heads is disclosed hereunder:

	as at 31-Mar-13 ₹ in lakhs	as at 31-Mar-12 ₹ in lakhs
Bank Balances:		
Non-Current Bank Deposits	189.57	203.26
Total (A)	189.57	203.26
The above includes Bank Deposits ₹ 189.57 Lakhs (₹ 203.26 Lakhs) held as Margin Money/Security against Bank Gurantees.		
Others:		
Interest Accrued on Non-Current Bank Deposits	8.22	25.83
Miscellaneous Expenditure (to the extent not written off or adjusted)	0.00	5.81
Total (B)	8.22	31.64
Total (A+B)	197.79	234.90

Above includes Nil (₹ 5.81 Lakhs) share of Joint Ventures.



2.9) Current Assets :

The details of Current Assets Classified under different heads is given as below :

		as at 31-Mar-13 ₹ in lakhs	as at 31-Mar-12 ₹ in lakhs
A) Current Investments :			
1) Current Maturity of Long Term Investments - (At Cost Less Diminution in Value Other than Temporary)			
Other than Trade Quoted			
Investment In units of Fixed Maturity Plan of Mutual Funds			
No. of Units			
Nil (82,000,000)	SBI Debt Fund Series - 370 Days - 11 - Growth Plan of ₹ 10 Each	0.00	8200.00
Nil (20,000,000)	SBI Debt Fund Series - 367 Days - 6 - Dividend Plan of ₹ 10 Each	0.00	2000.00
Nil (15,000,000)	UTI Fixed Term Income Fund Series XI - VI - (367 Days) - Growth Plan of ₹ 10 Each	0.00	1500.00
Nil (100,000,000)	SBI Debt Fund Series - 367 Days - 17 - Growth Plan of ₹ 10 Each	0.00	10000.00
Nil (82,500,000)	UTI Fixed Term Income Fund Series XI - VII - (366 Days) - Growth Plan of ₹ 10 Each	0.00	8250.00
Nil (50,000,000)	Canara Robeco Fixed Maturity Plan - Series 7 - Plan A - Growth Plan of ₹ 10 Each	0.00	5000.00
Nil (100,000,000)	SBI Debt Fund Series - 367 Days - 19 - Growth Plan of ₹ 10 Each	0.00	10000.00
100000000 (100,000,000)	SBI Debt Fund Series - 367 Days - 18 - Growth Plan of ₹ 10 Each	10000.00	10000.00
27500000 (Nil)	SBI Debt Fund Series - 18 Months - 8 Growth Plan of ₹ 10 Each	2750.00	0.00
30000000 (Nil)	SBI Debt Fund Series - 15 Months - 7 Growth Plan of ₹ 10 Each	3000.00	0.00
123000000 (Nil)	SBI Debt Fund Series - 366 Days - 23 - Growth Plan of ₹ 10 Each	12300.00	0.00
20000000 (Nil)	SBI Debt Fund Series - 366 Days - 24 - Growth Plan of ₹ 10 Each	2000.00	0.00
150000000 (Nil)	SBI Debt Fund Series - 366 Days - 25 - Growth Plan of ₹ 10 Each	15000.00	0.00
40000000 (Nil)	UTI Fixed Term Income Fund Series XIV - V - (366 Days) - Direct Growth Plan of ₹ 10 Each	4000.00	0.00
19500000 (Nil)	UTI Fixed Term Income Fund Series XIV - VII - (367 Days) - Growth Plan of ₹ 10 Each	1950.00	0.00
10000000 (Nil)	Union KBC Fixed Maturity Plan-Series 6- Growth-Direct Plan of ₹ 10 Each	1000.00	0.00
25000000 (Nil)	IDBI FMP-366 Days Series-III - (March 2013)-D-Growth Direct Plan of ₹ 10 Each	2500.00	0.00
TOTAL (a)		54500.00	54950.00

		as at 31-Mar-13 ₹ in lakhs	as at 31-Mar-12 ₹ in lakhs
2) Other Current Investments (lower of cost or net realizable value)			
Other than trade			
Quoted			
In Units of Liquid Plans of mutual funds			
No. of Units			
Nil (89,748.51)	SBI Premier Liquid Fund Super Institutional Daily Dividend Plan of ₹ 1000 Each	0.00	900.40
Nil (588,232.688)	ING Treasury Advantage Fund-Institutional Daily Dividend of ₹ 10 Each	0.00	58.84
326.277 (2,349.215)	SBI Premier Liquid Fund - Institutional-Growth Plan of ₹ 1000 Each	5.55	40.00
279.416 (Nil)	SBI Premier Liquid Fund -Regular Plan-Growth Plan of ₹ 1000 Each	5.00	0.00
317.176 (Nil)	UTI Treasury Advantage Fund-Institutional Daily Dividend of ₹ 1000 Each	5.00	0.00
1518.474 (Nil)	UTI Treasury Advantage Fund of ₹ 1000 Each	15.19	0.00
TOTAL (b)		30.74	999.24
TOTAL (a+b)		54530.74	55949.24
Aggregate Value of Quoted Investments - Book Value		54530.74	55949.24
Aggregate Value of Quoted Investments - Market Value		56339.34	56976.59

Above includes ₹ 15.55 Lakhs (₹ 98.84 Lakhs) share of Joint Ventures.



	as at 31-Mar-13 ₹ in lakhs		as at 31-Mar-12 ₹ in lakhs	
B) Inventories (lower of cost or net realizable value) :				
Stores, Spares and Chemicals in Hand	84.33		82.60	
	<u>84.33</u>		<u>82.60</u>	
C) Trade Receivables (Unsecured)				
Trade Receivable Outstanding for a period exceeding six months from the date they are due for payment:				
Considered Good	13075.95		8987.71	
Considered Doubtful	5168.74		5331.03	
	<u>18244.69</u>		<u>14318.74</u>	
Other Trade Receivable: Considered Good	21310.85		22590.84	
	<u>39555.54</u>		<u>36909.58</u>	
Less: Provision for Doubtful Debts	5168.74	<u>34386.80</u>	5331.03	<u>31578.55</u>
Above includes ₹3.86 Lakhs (₹ 0.10 Lakhs) share of Joint Ventures.				
D) Cash And Bank Balances :				
Cash & Cash Equivalents:				
Balances with Banks in Current Account #	1943.73		1189.84	
Cheques in Hand	0.00		537.53	
Cash & Stamps on Hand #	<u>31.79</u>	1975.52	<u>27.39</u>	1754.76
Other Bank Balances :				
Unpaid Dividend Account	94.76		60.56	
Held on Behalf of Clients	978.85		1210.10	
Balances with Banks in deposits account having maturity of more than three months but are due for maturity within twelve months of balance sheet date *	<u>186034.66</u>	<u>187108.27</u>	<u>165676.69</u>	<u>166947.35</u>
		<u>189083.79</u>		<u>168702.11</u>

* Includes Bank deposits having more than twelve months original maturity of ₹ 70951.70 Lakhs (₹ 32876.16 Lakhs)

* Includes Bank deposits ₹ 343.00 Lakhs (₹ 276.35 Lakhs) held as margin Money/Security against Bank Guarantees.

Includes ₹ 146.50 Lakhs (₹ 133.77 Lakhs) in currencies which are not repatriable.

Above includes ₹ 605.78 Lakhs (₹ 661.61 Lakhs) share of Joint Ventures.

	as at 31-Mar-13		as at 31-Mar-12	
	₹ in lakhs		₹ in lakhs	
E) Short Term Loans & Advances :				
a) Loans & Advances to Related Parties:				
Secured-Considered Good:				
Directors		2.13		0.73
Unsecured-Considered Good:				
Directors		0.90		1.91
b) Security Deposit				
Unsecured- Considered Good	267.14		179.36	
Unsecured-Considered Doubtful	4.19		3.50	
	271.33		182.86	
Less:Provision for Doubtful Deposits	4.19	267.14	3.50	179.36
c) Other Loans and Advances :				
(Advances Recoverable in Cash or in Kind or for Value to be Received):				
Secured-Considered Good:				
Employees	327.74			332.29
Unsecured-Considered Good:				
Employees	776.46			699.85
Prepaid Expenses	159.87			190.65
Advances to Vendors/Contractors	4002.42			12417.41
Advance Income Tax	16.13			2493.50
Advance Fringe Benefit Tax	23.36			23.36
Retention against Contracts	573.57			1166.50
Claims Receivable	0.60			0.00
Others	351.15			1091.82
Unsecured - Considered Doubtful:				
Employees	1.36			1.36
Advances to Vendors/Contractors	2.58			2.58
Claims Receivable	286.30			286.30
Retention against Contracts	37.99			0.00
	6559.53		18705.62	
Less:Provision for Doubtful Loans & Advances	328.23	6231.30	290.24	18415.38
TOTAL (a+b+c)		6501.47	18597.38	
Above includes ₹39.83 Lakhs (₹ 23.70 Lakhs) share of Joint Ventures.				

F) Other Current Assets :

Work In Progress *	6702.38		1329.30
Fixed asset held for disposal	0.00		41.27
Interest Accrued on Current Bank Deposits	5507.29		5254.95
Unbilled Revenue	35974.05		53611.74
	<u>48183.72</u>		<u>60237.26</u>

* As taken, valued and certified by the management

* Direct Cost incurred on Lumpsum services & Turnkey contracts having physical progress less than 25 %.

Above includes ₹ 3.73 Lakhs (₹ 0.99 Lakhs) share of Joint Ventures.



2.10) Revenue from Operations:

The details of Revenue from operations for different components of revenue is detailed as below:

	2012-2013 ₹ in lakhs	2011-2012 ₹ in lakhs
A) Consultancy & Engineering Services	120357.65	122717.13
	<u>120357.65</u>	<u>122717.13</u>
B) Turnkey Projects	127173.17	269584.31
	<u>127173.17</u>	<u>269584.31</u>
Total (A+B)	247530.82	392301.44

Increase/(Decrease) in Work-in-Progress

A) Consultancy & Engineering Services

Closing Work-in-Progress	6702.38		1329.30	
Less: Opening Work-in-Progress	<u>1329.30</u>	5,373.08	<u>854.19</u>	475.11

B) Turnkey Projects

Closing Work-in-Progress	0.00		0.00	
Less: Opening Work-in-Progress	<u>0.00</u>	-	<u>5,373.08</u>	20432.99
				(20,432.99)
				(19,957.88)

2.11) Other Income

The details of other Income into various categories is disclosed hereunder:

Interest Earned (Gross):

Bank deposits	18045.00	15881.99
Loans to Employees	165.79	167.56
Income Tax refund	0.00	538.44
Others	499.83	215.82
	<u>18710.62</u>	<u>16803.81</u>

Income from Long Term Investments:

Share of Profit from AOP (Trade Investment)	60.68	37.37
Dividend Income from Current Investments	479.23	372.38
Capital Gain on redemption of Investments in Mutual Funds	4480.79	4073.54
Funds recd. for expenditure against R&D	108.88	296.13
Less: Utilisation	<u>(108.88)</u>	<u>(296.13)</u>
Profit on Sale of Assets	7.88	10.81
Foreign Exchange Difference (Net)	19.60	0.00
Provisions no Longer Required Written Back *	7011.68	1467.42
Miscellaneous Income	908.59	458.73
	<u>12968.45</u>	<u>6420.25</u>
	31679.07	23224.06

* Provisions no longer required written back under head 'Other Income' represents:

- Contractual obligations written back for ₹ 5457.84 Lakhs (₹ 1467.42 Lakhs) in respect of contracts for which obligation under respective contracts is completed.
- Unspent amount on CSR activity of ₹ 1553.84 Lakhs disclosed as provision till 31-03-2012.

Above includes ₹ 26.60 Lakhs (₹ 6.32 Lakhs) share of Joint Ventures.

Expenses:

The Details of expenses under various heads as per their nature is as given below:

	2012-2013 ₹ in lakhs		2011-2012 ₹ in lakhs	
2.12) Technical Assistance/Sub Contracts	50512.37		67268.32	
2.13) Construction Materials & Equipments	61372.71		151653.45	
2.14) Employee Benefits Expense:				
Salaries and Allowances @				
Staff	45934.70		44310.05	
Directors	<u>339.92</u>	46274.62	<u>247.45</u>	44557.50
Contribution towards Employees' Pension and Provident Fund & Administration Charges thereon:				
Staff	3404.39		3142.61	
Directors	<u>16.96</u>	3421.35	<u>20.99</u>	3163.60
Contribution towards Employees' Defined Contributory Superannuation Scheme:				
Staff	4130.95		2809.25	
Directors	<u>21.38</u>	4152.33	<u>9.70</u>	2818.95
Staff Welfare				
Staff	4381.02		4068.38	
Directors	<u>8.28</u>	4389.30	<u>9.43</u>	4077.81
Contribution to Gratuity Fund*	184.96		171.26	
Less: Contribution received from Others	<u>5.13</u>	179.83	<u>5.17</u>	166.09
	<u>58417.43</u>		<u>54783.95</u>	

@ Salaries and Allowances Includes:

- Provision for Bonus of ₹0.08 Lakhs (Previous Year ₹0.08 Lakhs).
- ₹ 1868.16 Lakhs (₹ 2003.17 Lakhs) on account of Leave Encashment Funded Scheme with LIC of India.

* Contribution to Gratuity fund includes:

- Term Insurance Premium paid to LIC OF INDIA.
- Additional Gratuity liability of ₹Nil (₹36.00 Lakhs) pursuant to revision of Gratuity Ceiling from ₹3.50 Lakhs to ₹10.00 Lakhs in respect of employees seperated during the period 1.1.2007 to 23.5.2010.

Above includes ₹180.37 Lakhs (₹108.54 Lakhs) share of Joint Ventures.



	2012-2013 ₹ in lakhs		2011-2012 ₹ in lakhs	
2.15) Depreciation & Amortization Expense				
Depreciation & Amortization Expense		1111.77		1969.23
		<u>1111.77</u>		<u>1969.23</u>
2.16) Other Expenses:				
a) Facilities:				
Rent:				
Office		492.99		428.51
Residential Accommodation				
Staff	741.18		526.74	
Directors	25.77	766.95	29.69	556.43
Less: Recovered - Staff	108.73		92.90	
- Directors	3.84	112.57	4.30	97.20
		654.38		459.23
Light, Water & Power		929.03		702.51
Insurance		147.06		150.18
Misc. Repairs & Maintenance *		2327.08		3006.40
Hire Charges of Office Equipments		52.80		60.87
		<u>4603.34</u>		<u>4807.70</u>
b) Corporate Cost:				
Bank Charges		136.58		244.60
Sitting Fees to Independent Directors		6.36		4.50
Interest		0.28		116.02
Advertisement for Tender				
& Recruitment		1060.44		1774.08
Publicity		216.07		58.73
Subscription		126.75		146.77
Entertainment		192.58		205.98
Foreign Exchange Difference (net)		0.00		639.16
Remuneration to Auditors:				
For Audit	8.68		6.59	
For Tax Audit	1.75		1.25	
Others	9.01		3.57	
For Out of Pocket Expenses and Service Tax	1.92	21.36	3.16	14.57
Filing Fee		3.27		2.50
Legal & Professional Charges		366.76		303.76
Licences & Taxes		197.01		148.92
Loss on Sale of Assets		41.11		8.17
Fixed Assets Written off		29.73		1.93
		<u>2398.30</u>		<u>3669.69</u>

* Includes ₹ 332.58 Lakhs (Previous Year ₹ 1109.47 Lakhs) for repairs & maintenance of own building and ₹ 241.63 Lakhs (Previous Year ₹ 287.00 Lakhs) for Plant & Machinery.

Above includes ₹ 70.21 Lakhs (₹ 30.38 Lakhs) share of Joint Ventures.

	2012-2013		2011-2012	
	₹ in lakhs		₹ in lakhs	
c) Other Costs				
Consumables/Stores		0.82		0.09
Travel & Conveyance				
Directors @	71.43		70.07	
Others	<u>6858.21</u>	6929.64	<u>6122.50</u>	6192.57
Printing, Stationery & General Office Supplies		411.44		456.82
Newspapers and Periodicals		79.49		56.40
Postage & Telecommunications		567.00		558.15
Courier, Transportation & Handling		80.81		102.00
Commission to Foreign Agents		167.30		131.66
Provision for Doubtful Debts & Advances (net)		(123.61)		653.37
Preliminary Expenses Written off		5.81		0.59
Bad Debts written off		17.32		562.45
Provision for Contractual obligations		6906.22		6962.24
Training Expenses				
Travel	23.12		4.39	
Others	<u>268.58</u>	291.70	<u>243.18</u>	247.57
Miscellaneous Expenses #		820.87		2779.39
		<u>16154.81</u>		<u>18703.30</u>
Less: Expenditure relating to Capital Works		281.74		191.51
		<u>15873.07</u>		<u>18511.79</u>

@ Includes recovery of ₹ 0.62 Lakhs on account of use of car (Previous Year ₹ 0.56 lakhs)

Includes CSR expenditure to the tune of ₹ 570.75 (₹ 2536.17 Lakhs)

Above includes ₹ 33.78 Lakhs (₹ 16.93 Lakhs) share of Joint Ventures.



2.17 Contingent Liabilities & Commitments

i) Contingent Liabilities:

- a) Claims against the Company not acknowledged as debt.
 - i) Commercial claims pending in the Courts or lying with Arbitrators amounting to ₹ 3532.45 Lakhs (₹ 2092.40 Lakhs).
 - ii) Few cases relating to the employees/others are pending in the Court against the Company, in respect of which the liability is not ascertainable.
- b) Income Tax/Fringe Benefit Tax assessments have been completed upto the assessment year 2010-11. Income Tax liability, if any, in respect of pending assessments for the assessment years 2011-12 and 2012-13 cannot be ascertained although tax as per return/revised return has been paid in full.

Wealth Tax Assessments have been completed upto the Assessment Year 2010-11. Wealth Tax liability, if any, in respect of pending assessments for the Assessment Years 2011-12 and 2012-13 cannot be ascertained although tax on returned wealth has been paid in full.

Company has filed an application for rectification (u/s 154) of short credit given for Tax Deducted at Source (TDS) and other processing mistakes amounting to ₹ 248.24 lakhs for Assessment year 2010-11.

Income Tax Department is in appeal for an amount of ₹608.44 lakhs with Income Tax Appellate Tribunal against the Commissioner of Income Tax (Appeals) Orders in Company's favour for the Assessment Years 2002-03 and 2004-05.

Income Tax Department is in appeal for an amount of ₹109.39 lakhs with Delhi High Court against the order of Income Tax Appellate Tribunal (ITAT) in Company's favour for the Assessment Year 2006-07.

Income Tax Department is in appeal for an amount of ₹52.84 lakhs with Supreme Court of India against the order of Delhi High Court in Company's favour for the Assessment Years 2006-07 and 2007-08.

Company has filed an appeal with Commissioner of Income Tax (Appeal) for an amount of ₹ 32.26 Lakhs against the order of Assessing Officer u/s 143(3) for the Assessment Year 2010-11.

Company has filed an appeal with Commissioner of Income Tax (Appeals) for an amount of ₹ 0.32 Lakhs (₹2.55 Lakhs) against the order of Assistant Commissioner of Income Tax (TDS) u/s 201(1) for the Assessment Year 2009-10.

Company has filed an appeal against demand of service tax (inclusive of penalty of ₹31.44 Lakhs) for ₹ 62.87 lakhs (₹62.87 lakhs) and interest thereon by Commissioner of Central Excise (Appeals) for the period 01.4.2002 to 17.4.2006 before Customs, Excise and Service Tax Appellate Tribunal (CESTAT).

Sales Tax Department was in appeal against the order of Joint Commissioner (Appeals) in Company's favour for an amount of ₹132.53 Lakhs for assessment year 1999-2000 and ₹116.12 Lakhs for assessment year 2000-01 respectively before Sales Tax Tribunal, Agra which has since been referred back to the Assessing Authority, Mathura.

Company was in appeal before Sales tax Tribunal, Agra against the demand of Sales Tax Department for ₹20.05 Lakhs on account of entry tax for the year 1999-2000 against which company has deposited an amount of ₹5.01 Lakhs. The matter has since been referred back to the Assessing Authority, Mathura.

- c) Income Tax Assessments in respect of Certification Engineers International Limited have been completed upto the Assessment Year 2007-08. Income Tax liability, if any, in respect of pending assessment for the assessment years 2008-09, 2009-10, 2010-11, 2011-12 and 2012-13 can not be ascertained although tax as per return has been paid in full.

Income Tax Department is in appeal for an amount of ₹9.82 Lakhs with Income Tax Appellate Tribunal against Commissioner of Income Tax (Appeals) order date 16th March, 2011 in Certification Engineers International Limited's favour for Assessment Year 2002-03.

Certification Engineers International Limited has filed a reply to show cause notice cum demand of ₹227.47 lakhs by Commissioner, Service Tax, Mumbai on 27th November 2009, covering the period from April, 2004 to March, 2009.

Certification Engineers International Limited has filed a reply to show cause notice cum demand of ₹3.21 lakhs by Commissioner, Service Tax, Mumbai on 29th October 2010, covering the period from April, 2009 to March, 2010.

Certification Engineers International Limited has filed a reply to show cause notice cum demand of ₹8.92 lakhs by Additional Commissioner, Service Tax, Mumbai on 18th October 2011, covering the period from April, 2010 to March, 2011.

Certification Engineers International Limited has filed a reply to show cause notice demand of ₹ 20.91 Lakhs by Additional Commissioner, Service Tax, Mumbai on 8th November, 2012, covering the period from April, 2011 to March, 2012.

In respect of above contingent liabilities, it is not probable to estimate the timing of cash flow, if any, pending the resolution of Arbitration/Appellate/Court/ Assessment proceedings.

ii) Commitments:

Estimated amount of contracts remaining to be executed on capital account (net of advances) and not provided for ₹6686.78 Lakhs. (₹6318.76 Lakhs)

- 2.18** a) Guarantees issued by the banks and outstanding as on 31st March, 2013 ₹30401.82 Lakhs (₹31260.93 Lakhs), against which a provision of ₹10984.74 Lakhs (₹15082.73 Lakhs) has been made in the books towards liability for performance guarantees/warranties.
- b) Letter of credit outstanding as on 31st March, 2013 ₹ 2295.73 Lakhs (₹ 25403.92 Lakhs).
- c) Corporate Guarantees issued by the Company on its behalf for contractual performance and outstanding as on 31st March, 2013 ₹19047.00 Lakhs (₹19132.50 Lakhs)
- 2.19** a) Depreciation has been provided for on Written Down Value method and Straight Line Method at the rates specified in Schedule XIV to the Companies Act, 1956, in respect of Joint Venture, TEIL Projects Limited and Subsidiary, Certification Engineers International Limited respectively as against Straight Line Method at the rates specified in Schedule XIV of the Companies Act, 1956 or rates arrived at on the basis of useful life of asset, whichever is higher in the case of 'the Company'.
- b) No income has been taken into account on jobs for which the terms have been agreed to at lumpsum services / turnkey contracts and physical progress is less than 25% in case of 'the Company' as against physical progress of less than 10% in the case of Joint Venture Company 'TEIL Projects Limited'.

The proportion of above items in the Consolidated Financial Statements is not material.

- 2.20.** Land & Buildings includes ₹ 0.07 Lakhs (₹ 0.07 Lakhs) being amount invested as Share Money in Cooperative Housing Societies as detailed below:

Twin towers Premises Cooperative Society Ltd., Mumbai

10 ordinary shares of ₹ 50/- each fully paid.

Garden view Premises Cooperative Society Ltd., Mumbai

10 ordinary shares of ₹ 50/- each fully paid.

Heera Panna Towers Cooperative Housing Society Ltd., Vadodara

10 ordinary shares of ₹ 50/- each fully paid.

Suflam Cooperative Housing Society Ltd., Ahmedabad

8 ordinary shares of ₹250/- each fully paid.

Darshan Co-operative Society Ltd., Vadodara

80 ordinary shares of ₹50/- each fully paid



- 2.21.** There is no impairment of cash generating assets during the year in terms of Accounting Standard (AS-28) "Impairment of Assets".
- 2.22.** In terms of provision of Accounting Standard (AS-7), the information in respect of for Lumpsum services/Turnkey projects for contract in progress as on 31.3.2013:
- The aggregate amount of cost incurred and recognised Profit upto 31.3.2013 – ₹ 949093.43 Lakhs (₹ 803713.62 Lakhs)
 - The amount of advances received – ₹ 3100.40 Lakhs (₹ 1739.90 Lakhs)
 - The amount of retention – ₹ 573.57 Lakhs (₹ 1102.77 Lakhs)
- 2.23.** The disclosures required under Accounting Standard (AS-15) "Employee Benefits" are given below:

Defined Contribution Plan

The amount recognized as an expense in defined contribution plan is as under:

₹ In Lakhs

Particulars	Expense recognized in 2012-13	Expense recognized in 2011-12
Contributory Provident Fund & Employees Pension Scheme, 1995	3421.35	3163.60
Employees Defined Contributory Superannuation Scheme	4152.33	2818.95

In respect of Provident Fund, the Company has a separate irrevocable PF Trust, managing the Provident Fund accumulation of employees. The Guidance on implementing AS15, Employee Benefits (revised 2005) issued by Accounting Standards Board (ASB) of ICAI states that benefits involving employer established provident funds, which require interest shortfalls to be re-compensated by the employer are to be considered as defined benefit plans. In this regard, Actuarial valuation as on 31st March, 2013 was carried out by the Actuary to find out value of Projected Benefit Obligation arising due to interest rate guarantee by the Company towards Provident Fund. In terms of said valuation the Company has no liability towards interest rate guarantee as on 31st March, 2013.

Defined Benefit Plan

Company is having the following Defined Benefit Plans:

- Gratuity (Funded)
- Leave Encashment (Funded)
- Post Retirement Medical Benefits (Funded)
- Long Service Awards (Unfunded)
- Other benefits on Retirement (Unfunded)

	Gratuity (Funded)		Leave Encashment (Funded)		Post Retirement Medical Benefits (Funded)		Long Service Award (Unfunded)		Other Benefits on Retirement (Unfunded)	
	2012-13	2011-12	2012-13	2011-12	2012-13	2011-12	2012-13	2011-12	2012-13	2011-12
a) Actuarial Assumptions										
Discount rate	8.00%	8.00%	8.00%	8.00%	8.50%	8.50%	8.00%	8.00%	8.00%	8.00%
Expected rate of return on assets	9.55%	9.50%	9.55%	9.50%	9.55%	9.50%	--	--	--	--
Expected rate of future salary increase	10.00%	10.00%	10.00%	10.00%	--	--	--	--	--	--
Increase in compensation levels	--	--	--	--	7.00%	7.00%	--	--	--	--
Increase in price (Gold) of award (Silver)	--	--	--	--	--	--	13.00% 16.00%	13.00% 16.00%	--	--
Increase in other benefits on Retirement	--	--	--	--	--	--	--	--	5.00%	5.00%
b) Reconciliation of opening and closing balances of Defined Benefit obligation										
Present value of obligations as at beginning of year	10779.64	10680.63	21397.84	19328.00	8156.45	7528.50	1992.76	1606.26	171.65	160.29
Interest cost	862.37	854.45	1711.83	1546.24	693.30	639.92	159.42	128.50	13.73	12.82
Current Service Cost	90.85	315.88	5217.74	1619.00	168.07	125.75	229.56	222.33	7.90	9.39
Past Service Cost	--	--	--	--	--	--	--	--	--	--
Benefits paid	(1203.06)	(997.24)	(2364.92)	(1658.49)	(736.37)	(620.96)	(143.36)	(128.62)	(20.26)	(16.26)
Actuarial (gain)/loss on Obligations	227.89	(74.08)	(3155.73)	563.09	983.88	483.24	(146.51)	164.29	(19.87)	5.41
Present value of obligations as at end of year	10757.69	10779.64	22806.76	21397.84	9265.33	8156.45	2091.87	1992.76	153.15	171.65
c) Reconciliation of opening and closing balances of fair value of plan assets										
Fair value of plan assets as on beginning of year	10996.34	10597.84	19394.11	16439.24	7581.94	6421.20	--	--	--	--
Additional Interest in plan asset credited at beginning of period	5.25	--	9.08	--	3.55	--	--	--	--	--
Expected return on plan assets	995.90	997.07	1905.68	1725.16	720.62	674.40	--	--	--	--
Contributions	90.85	398.67	2003.16	2888.20	574.51	1107.30	--	--	--	--
Benefits paid	(1203.06)	(997.24)	(2364.92)	(1658.49)	(736.37)	(620.96)	--	--	--	--
Actuarial Gain/(Loss) on Plan assets	--	--	--	--	17.51	--	--	--	--	--
Fair value of plan assets at the end of year	10885.28	10996.34	20947.11	19394.11	8161.76	7581.94	--	--	--	--
d) Fair value of plan assets as on 31.03.2013										
Fair value of plan assets at beginning of year	10996.34	10597.84	19394.11	16439.24	7581.94	6421.20	--	--	--	--
Additional Interest in plan asset credited at beginning of period	5.25	--	9.08	--	3.55	--	--	--	--	--
Actual return on plan assets	995.90	997.07	1905.68	1725.16	738.13	674.40	--	--	--	--
Contributions	90.85	398.67	2003.16	2888.20	574.51	1107.30	--	--	--	--
Benefits paid	(1203.06)	(997.24)	(2364.92)	(1658.49)	(736.37)	(620.96)	--	--	--	--
Fair value of plan assets at the end of year	10885.28	10996.34	20947.11	19394.11	8161.76	7581.94	--	--	--	--
Funded status	127.59	216.70	(1859.65)	(2003.73)	(1103.57)	(574.51)	(2091.87)	(1992.76)	(153.15)	(171.65)
Excess of Actual over estimated return on plan	--	--	--	--	17.51	--	--	--	--	--



₹ In Lakhs

	Gratuity (Funded)		Leave Encashment (Funded)		Post Retirement Medical Benefits (Funded)		Long Service Award (Unfunded)		Other Benefits on Retirement (Unfunded)	
	2012-13	2011-12	2012-13	2011-12	2012-13	2011-12	2012-13	2011-12	2012-13	2011-12
e) Actuarial Gain/Loss recognized for the year 2012-13										
Actuarial gain/(Loss) for the year – Obligation	(227.89)	74.08	3155.73	(563.09)	(983.88)	(483.24)	146.51	(164.29)	19.87	(5.41)
Actuarial (gain)/Loss for the year – plan assets	--	--	--	--	(17.52)	--	--	--	--	--
Total (gain)/Loss for the year	227.89	(74.08)	(3155.73)	563.09	966.36	483.24	(146.51)	164.29	(19.87)	5.41
Actuarial (gain)/Loss recognized in the year	227.89	(74.08)	(3155.73)	563.09	966.36	483.24	(146.51)	164.29	(19.87)	5.41
f) The amounts recognized in the balance sheet										
Present value of obligations as at the end of year	10757.69	10779.64	22806.76	21397.84	9265.33	8156.45	2091.87	1992.76	153.15	171.65
Fair value of plan assets as at the end of the year	10885.28	10996.34	20947.11	19394.11	8161.76	7581.94	--	--	--	--
Funded status	127.59	216.70	(1859.65)	(2003.73)	(1103.57)	(574.51)	(2091.87)	(1992.76)	(153.15)	(171.65)
Net (Asset)/liability recognized in balance sheet	(127.59)	(216.70)	1859.65	2003.73	1103.57	574.51	2091.87	1992.76	153.15	171.65
g) Expenses Recognized in statement of Profit & Loss										
Current Service Cost	90.85	315.88	5217.74	1619.00	168.07	125.75	229.56	222.33	7.90	9.39
Past Service Cost	--	--	--	--	--	--	--	--	--	--
Interest cost	862.37	854.45	1711.83	1546.24	693.30	639.92	159.42	128.50	13.73	12.82
Expected return on plan assets	(995.90)	(997.07)	(1905.68)	(1725.16)	(720.62)	(674.40)	--	--	--	--
Net Actuarial (gain)/Loss recognized in the year	227.89	(74.08)	(3155.73)	563.09	966.36	483.24	(146.51)	164.29	(19.87)	5.41
Expenses recognized in statement of Profit & Loss	185.21	99.18	1868.16	2003.17	1107.11	574.51	242.47	515.12	1.77	27.62
h) Amount for the current period										
Present Value of Obligation	10757.69	10779.64	22806.76	21397.84	9265.33	8156.45	2091.87	1992.76	153.15	171.65
Plan Assets	10885.28	10996.34	20947.11	19394.11	8161.76	7581.94	--	--	--	--
Surplus (Deficit)	127.59	216.70	(1859.65)	(2003.73)	(1103.57)	(574.51)	(2091.87)	(1992.76)	(153.15)	(171.65)
i) Major Categories of Plan Assets (as percentage of total plan assets)										
Fund managed by Insurer	100%	100%	100%	100%	100%	100%	--	--	--	--

j) The effect of an increase of one percentage point and the effect of a decrease of one percentage point in the assumed medical cost trend rates on the following in respect of Post Retirement Medical Benefits Scheme:

(₹ In Lakhs)

	At 7% rate of escalation	At 6% rate of escalation	At 8% rate of escalation
Current Service Cost (for the period 01.04.2012 to 31.03.2013)	168.07	137.91	208.85
Interest Cost (for the period 01.04.2012 to 31.03.2013)	693.30	634.72	763.38
Value of Projected Benefit Obligation on 31.03.2013	9265.33	8453.10	10247.700

2.24. The defined benefit plan in respect of Certification Engineers International Limited are as under:

- (i) Gratuity (Funded)
- (ii) Leave Encashment (Unfunded)
- (iii) Long Service Award (Unfunded)

The liabilities on these accounts are provided for as per actuarial valuation. The requisite disclosures as per Accounting Standard (AS-15) - (Employee Benefits) are disclosed in the notes to accounts of Subsidiary Company.

2.25. (a) Amount payable in Foreign Currency (Unhedged) on account of the following:

Amount in Lakhs

Liabilities & Provisions			
As on 31st March, 2013		As on 31st March, 2012	
₹	Foreign Currency	₹	Foreign Currency
281.68	AED 18.51	189.65	AED 13.24
7889.38	USD 143.97	21326.11	USD 413.06
2.00	KWD 0.01	23.18	KWD 0.12
1034.34	EURO 14.72	1867.68	EURO 27.00
366.73	GBP 4.41	495.23	GBP 6.25
128.70	SWK 15.23	194.44	SWK 24.93
1312.06	JPY 2243.98	1421.11	JPY 2243.98
0.07	OR 0.00	0.07	OR 0.00
0.00	QR 0.00	1.07	QR 0.08
1.19	BD 0.01	2.91	BD 0.02
19.27	AD 27.14	0.00	AD 0.00

(b) Amount receivable in Foreign Currency (Unhedged) on account of the following:

Amount in Lakhs

Assets, Loans & Advances			
As on 31st March, 2013		As on 31st March, 2012	
₹	Foreign Currency	₹	Foreign Currency
990.64	AED 68.75	472.55	AED 34.90
891.84	USD 16.52	1256.27	USD 24.77
188.48	KWD 1.02	52.57	KWD 0.29
910.05	EURO 13.25	743.29	EURO 11.02
0.27	BOLIVAR 0.03	----	----
3.60	GBP 0.04	3.67	GBP 0.05
0.24	LD 0.01	0.22	LD 0.01
146.50	AD 206.33	133.77	AD 199.66
4.70	YUAN 0.54	5.07	YUAN 0.64

2.26. The Working Capital facilities from Banks are secured by hypothecation of stocks, book debts and other current assets of the Company, both present and future.

2.27. As per Accounting Standard (AS-22) "Accounting for Taxes on Income", the major components of deferred tax assets and liabilities arising on account of timing differences are:



(₹ In Lakhs)

Sl. No	Particulars of Deferred Tax Assets/ (Liability)	Upto 31.3.2012	For the year 2012-13	As on 31.3.2013
A.	Deferred Tax Asset			
1.	Provision For leave Encashment	6997.11	832.94	7830.05
2.	Provision for contractual obligations	9070.38	1222.60	10292.98
3.	Provision for Doubtful Debts	1824.95	44.89	1869.84
4.	Provision for Post Retirement Medical	2646.36	502.92	3149.28
5.	Provision for Leave encashment and Provident fund for pay revision allowable on cash basis u/s 43B	19.03	(18.63)	0.40
6.	Provision for other benefits on retirement	55.69	(3.63)	52.06
7.	Provision for Long Service Awards	649.79	65.05	714.84
8.	Voluntary Retirement Scheme	7.94	(2.39)	5.55
9.	Carry forward of unabsorbed long term Capital Loss on Investment in Fixed Maturity Plans of Mutual Funds	72.96	29.16	102.12
10.	Provision for Loss in Joint Venture	81.39	36.48	117.87
11.	Provision for Corporate Social Responsibility	504.15	(504.15)	0.00
	Total Deferred Tax Asset	21929.75	2205.24	24134.99
B.	Deferred Tax Liability:			
1.	Depreciation	433.88	(25.80)	408.08
	Total Deferred Tax Liability	433.88	(25.80)	408.08
C.	Net Deferred Tax Asset / (Liability)	21495.87	2231.04	23726.91

- 2.28. Prior period items net debit of ₹ 447.37 Lakhs (net debit ₹191.83 Lakhs) included in respective head of accounts are as detailed below:-

Prior Period Income

(₹ In Lakhs)

Particulars	2012-13	2011-12
I Consultancy & Engineering Services	(447.60)	(188.95)
II Miscellaneous Income	0.23	0.17
(A)	(447.37)	(188.78)
Prior Period Expenditure		
Particulars	2012-13	2011-12
I Facilities	0.00	1.69
II Corporate Cost	0.00	1.10
III Others	0.00	0.26
(B)	0.00	3.05
Total (A-B)	(447.37)	(191.83)

- 2.29 CSR Activity Reserve amounting to Rs.2259.76 Lakhs under head Reserves & Surplus (Note 2.2) represents unspent amount, out of amounts set aside as 2% (3% in case of Subsidiary CEIL) of profit earned in the past years for meeting social obligations as per Department of Public Enterprise guidelines for Corporate Social Responsibility. Till last year the unspent amount was being disclosed as provision for CSR under head short term provisions.

Certification Engineers International Limited, the Subsidiary Company in its standalone financial statements had accounted for unspent amount on CSR as provision. While consolidating the financial statements, the necessary adjustments have been made to present the unspent amount as CSR Activity Reserve.

- 2.30 In line with Accounting Standard (AS- 17) "Segment Reporting", the Company has (segmented) identified its business activity into two business segment i.e. Consultancy & Engineering Projects and Turnkey Projects, taking into account the organizational structure and internal reporting system as well as different risk and rewards of these segments. Segment results are given below:-

Segment wise Revenue, Results and Capital Employed

(₹ In Lakhs)

	Year ended 31.03.2013	Year ended 31.03.2012
Segment Revenue		
Consultancy & Engineering projects	125730.73	123192.24
Turnkey Projects	127173.17	249151.32
Total	252903.90	372343.56
Segment Profit		
Consultancy & Engineering Projects	53543.88	52495.68
Turnkey Projects	11047.67	24521.08
Total (a)	64591.55	77016.76
Prior period adjustment	447.37	191.83
Interest	0.28	116.02
Other un-allocable expenditure	5976.36	7221.31
Total (b)	6424.01	7529.16
Other Income (c)	31679.07	23224.06
Profit Before Tax (a-b+c)	89846.61	92711.66
Capital Employed(*)	229523.61	189877.73

(*) Fixed assets used in the Company's business or liabilities contracted have not been identified to any of the reportable segments, as the fixed assets and support services are used interchangeably between segments. Accordingly, no disclosure relating to total segment assets and liabilities has been made.

2.31. DISCLOSURE PURSUANT TO ACCOUNTING STANDARD (AS-18) "RELATED PARTY DISCLOSURES":-

(A) RELATED PARTIES:

S.NO.	NAME OF THE RELATED PARTY	NATURE OF RELATIONSHIP
1.	PETROLEUM INDIA INTERNATIONAL	ASSOCIATION OF PERSON
2.	TEIL PROJECTS LTD.	JOINT VENTURE COMPANY
3	JABAL EILLOT CO. LTD.	JOINT VENTURE COMPANY
	DIRECTORS	KEY MANAGEMENT PERSONNEL
	Mr. A K PURWAHA	CHAIRMAN & MANAGING DIRECTOR
	Mr. L.N. GUPTA	DIRECTOR (GOVT. NOMINEE)- upto 02/08/2012
	Mr. DEPENDRA PATHAK	DIRECTOR (GOVT. NOMINEE) – upto 02/08/2012
	Dr. ARCHANA S MATHUR	DIRECTOR (GOVT. NOMINEE) – w.e.f 03/08/2012
	Ms. SUSHMA TAISHETE	DIRECTOR (GOVT. NOMINEE) – w.e.f 03/08/2012
	Mr. RAM SINGH	DIRECTOR (FINANCE)
	Mr. P.K. RASTOGI	DIRECTOR (HR) – upto 30/09/2012
	Mr. G.D. GOYAL	DIRECTOR (COMMERCIAL)- upto 30/06/2012
	Mr. P. MAHAJAN	DIRECTOR (TECHNICAL)
	Mr. D. MOUDGIL	DIRECTOR (PROJECTS)
	Mr. SANJAY GUPTA	DIRECTOR (COMMERCIAL)- w.e.f. 01/07/2012
	Ms. VEENA SWARUP	DIRECTOR (HR) – w.e.f. 01/10/2012
	Mr. A.K. PURWAR	DIRECTOR- upto 29/01/2013
4	Mr. U.N. BOSE	DIRECTOR – upto 30/11/2012
	Dr. AVINASH CHANDRA	DIRECTOR- upto 29/01/2013
	Mr. ADIT JAIN	DIRECTOR
	Dr. (Prof.) KDP NIGAM	DIRECTOR
	Mr. BIJOY CHATTERJEE	DIRECTOR- w.e.f. 04/07/2012
	Dr. J.P. GUPTA	DIRECTOR- w.e.f. 04/07/2012
	Dr. R.K. SHEVGAONKAR	DIRECTOR- w.e.f. 04/07/2012
	Mr. SUDERSHAN GUPTA	DIRECTOR (CEIL)
	Mr. C.B. SINGH	DIRECTOR (CEIL) (GOVT. NOMINEE) upto 30/04/2012
	Mr. AJAY DESHPANDE	DIRECTOR (CEIL) upto 13/03/2013
	Mr. M.P. JAIN	CEO, CEIL w.e.f. 21/12/2012
	Mr. MVK KUMAR	CEO, CEIL upto 20/12/2012
	Dr. SAMAD BIN SOLBAI	DIRECTOR EILAP
	Mr. TAN HOR SENG	DIRECTOR EILAP
	Mr. S.K. TIKKU	DIRECTOR, TEIL PROJECTS LTD., JOINT VENTURE COMPANY (EIL'S NOMINEE)



(B) RELATED PARTY TRANSACTIONS:

(₹ in Lakhs)

PARTICULARS	ASSOCIATION OF PERSON	Joint Venture Company	KEY MANAGEMENT PERSONNEL	TOTAL
Dividend / Share of profit	60.68 (37.37)			60.68 (37.37)
Outstanding receivables		52.87 (2.73)		52.87 (2.73)
Rendering of Services		21.37 (0.00)		21.37 (0.00)
Deputation of employees & reimbursement of expenses at cost		34.26 (29.87)		34.26 (29.87)
Services & facilities received		183.46 (128.92)		183.46 (128.92)
Outstanding Payable		62.55 (1.94)		62.55 (1.94)
Remuneration/ Sitting fees*			392.90 (292.07)	392.90 (292.07)
Rent paid for residential accommodation			21.93 (25.39)	21.93 (25.39)
Interest Income on loans given			0.09 (0.24)	0.09 (0.24)
Outstanding Loans, Interest & other receivables			10.46 (8.45)	10.46 (8.45)

(*)The remuneration does not include provision for post retirement/other long term benefits under Accounting Standard-15 (Revised), since the same is not available for individual employees.

2.32. EARNING PER SHARE (E. P. S.)

In terms of Accounting Standard-20 "Earning per Share", the requisite disclosures are as under:

Calculation of E.P.S.		2012-13	2011-12
A	Net Profit for the year attributable to Equity Shareholders (₹ in Lakhs)	63219.74	64386.64
B	Weighted average number of Equity shares	336936600	336936600
C	Basic & Diluted Earning per share (A)/(B)	₹ 18.76	₹ 19.11
D	Nominal value per share	₹ 5	₹ 5

2.33. Other notes forming part of the Accounts

These are set out in the notes to the account under the respective Financial Statements of 'the Company', Certification Engineers International Limited, EIL Asia Pacific Sdn.Bhd.(Subsidiary Companies).

2.34. Previous year's figures have been re-casted and/or regrouped wherever necessary to make them comparable with the current year's figures. Figures shown within brackets in Notes represent previous year's figures.

(RAJAN KAPUR)
Company Secretary
PAN:AAIPK0926B

(SUDERSHAN GUPTA)
Executive Director (F&A)
PAN:AAGPG5991E

(RAM SINGH)
Director (Finance)
DIN:02942267

(A.K.PURWAHA)
Chairman & Managing Director
DIN:00165092

As per our report of even date attached
for M VERMA & ASSOCIATES
CHARTERED ACCOUNTANTS

(MOHENDER GANDHI)
PARTNER
Membership No.088396
Firm Registration No.501433C

Place : New Delhi
Dated : May 28, 2013

ATTENDANCE SLIP



ENGINEERS INDIA LIMITED

(A Govt. of India Undertaking)

Regd. Office: Engineers India Bhavan, 1, Bhikaiji Cama Place, New Delhi - 110 066

Name of the Member/Proxy :

(In Block Letters)

Folio No. :

DP Id* :

Client Id* :

No. of Shares held :

I certify that I am a member/proxy for the member of the Company.

I hereby record my presence at the 48th Annual General Meeting of the Company held on Friday, the 23rd day of August 2013 at 10.30 a.m at Manekshaw Centre, Parade Road, Delhi Cantt., New Delhi 110 010.

Member's / Proxy's Signature

1. Please sign this attendance slip and hand it over at the Attendance Verification Counter at the ENTRANCE OF THE MEETING HALL.
2. NO GIFTS SHALL BE GIVEN AT THE MEETING.
3. THE ATTENDANCE IS VALID ONLY IN CASE SHARES ARE HELD ON THE DATE OF THE MEETING.

*Applicable for shares held in electronic form.



PROXY FORM



ENGINEERS INDIA LIMITED

(A Govt. of India Undertaking)

Regd. Office: Engineers India Bhavan, 1, Bhikaiji Cama Place, New Delhi - 110 066

I/We of being a member/members of Engineers India Limited hereby appoint of or failing him of as my/our proxy to attend and vote for me / us and on my / our behalf at the 48th Annual General Meeting of the Company to be held on Friday, the 23rd day of August 2013 and any adjournment thereof.

Affix
Revenue
Stamp of
₹ 1/-

Signature

Folio No. :

DP Id* :

Client Id* :

No. of Shares held :

Signed this day of 2013

NOTE: 1. The Proxy need not be a member of the Company.

2. Proxy Form signed across a revenue stamp should reach at least 48 hours before the scheduled time of meeting.

3. Please fill in full particulars.

4. Company reserves the right to ask for identification of the proxy.

5. Proxy cannot speak at the meeting or vote on show of hands.

*Applicable for shares held in electronic form.



ENGINEERS INDIA LIMITED

(A Govt. of India Undertaking)

Delivering Excellence through People

Registered & Head Office

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E-mail : eil.mktg@eil.co.in, Website : www.engineersindia.com

Branch Office

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Email: eil.bo@eil.co.in

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Email : eil.rok@eil.co.in

4th & 5th Floor, Meghdhanush Complex, Race Course Road, Near Transpek Circle, Vadodara – 390 015
Tel. : 0265-2340326, 2340368, Fax : 0265-2340328
Email: eil.rov@eil.co.in

Talamuthu Natarajan Building, CMDA Tower, 5th Floor (West Wing) Gandhi Irwin Salai,
Egmore, Chennai - 600 008 (Tamilnadu)
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**इंजीनियर्स
इंडिया लिमिटेड**
(भारत सरकार का उपक्रम)



**ENGINEERS
INDIA LIMITED**
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